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European defense one year on: Money is not the problem, capacity (and delivery) are

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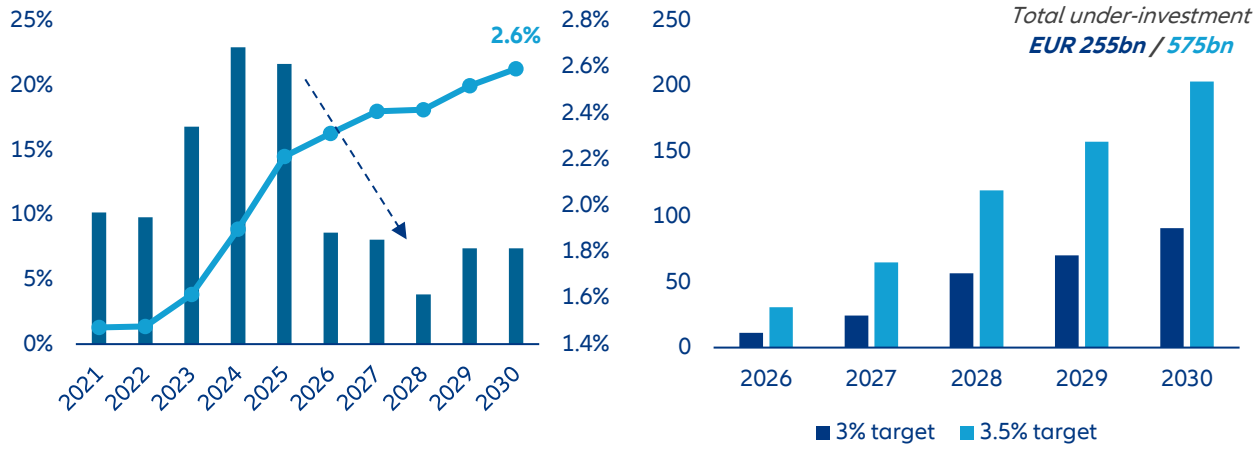
In Summary

- **European defense one year on: bold commitments, but is delivery keeping pace?** One year into Europe's landmark rearmament announcements: defense spending has increased, financial commitments have expanded (e.g. SAFE loans, +60% commitments in 2028-2034 EU draft budget) and order books have reached record highs. But industrial investment and delivery have yet to catch up. Defense spending growth has been cut in half (9% vs. above 20% in 2024/2025), and is set to reach 2.6% of GDP by 2030 (3.1% of GDP by 2035), falling short of the EU 2030 target of 3% and the 2035 NATO target of 3.5% of GDP. This means a funding gap of EUR255bn and EUR575bn, respectively.
- **In equity markets, defense companies are facing a painful reality check but the hype is not over yet.** European defense has lost its magic (+5% YTD but -8% maximum drawdown) after three consecutive years of strong performance (35-60%), a clear reality check from investors as countries take diverging paths: Baltic and Nordic countries, as well as Germany and Poland are leading the effort while Italy and Spain are not using the available fiscal tools to boost spending. Capital has been mostly channeled into equipment, rather than long-term infrastructure projects (0.11% of GDP against NATO recommendations of 1.5% of GDP). In term of innovation, defense is lagging the AI and robotics conversion but rising interest from the private investment market (above EUR10bn vs. EUR2.6bn in 2025) suggests that the innovation cycle still has strong funding leeway.
- **Money is not the constraint, conversion is.** Governments have poured commitments into a sector where newcomers cannot quickly acquire what incumbents built over decades, so excess demand turns into production bottlenecks and postponed projects rather than output. Backlogs stand at more than five times revenue while the capex ratio has stalled near 5%. Diverging national interests, no supranational steer and the absence of conditionality mandatory clauses in public financial support give the industry little reason to invest at a time when higher interest rates and material costs from the Iran conflict have cut margins (from 10% to 8%). The shortage of skilled labor adds to the pressure as firms compete for engineers with civilian sectors that pay more, and cannot quickly transition their workforce into new complex programs. The shortage is sharpest where Europe started late: drones, space and cybersecurity segments account for 26%, 16% and 13% of open defense vacancies.
- **The ongoing depletion of US interceptor stocks is another warning for Europe: external dependence is both a security risk and a capital-efficiency problem.** To fill urgent gaps, Europe buys from abroad, and the import ratio has risen from 20% in 2021 to 45% in 2025. The US's share in European imports has fallen from 71% to 48% but it still supplies almost half, and aircraft and missiles make up 82% of US purchases, with few alternatives for air defense and long-range missiles. We estimate it could take up to five years to rebuild some US stocks; until then, US domestic demand will come first, and Europe will wait in the queue behind it. Dependence is also expensive: Missile import prices are up 116% on the 2019-2021 average, so each euro buys less capacity than budgets assume.
- **The way forward: Two horizons but one single industrial roadmap.** In the short term, Europe needs to close the gaps in long-range missiles, air defense and cyber, and redirect idle automotive capacity to defense. Furthermore, it needs to back this with grants for infrastructure (a 0.5-1% of GDP corridor, or EUR760bn to EUR1.4trn cumulative to 2035) and fiscal flexibility conditional on results. In the long term, Europe needs to build supranational reserves and invest in drones, space, AI, robotics and quantum. These would spread benefits across the economy and protect the export model. Success should be judged on new capacity, spillovers, modernization and reliance rate, not on the share of GDP alone.

Rebuilding European defense: ambition meets reality

One year after the Rearm Europe roadmap was unveiled, the question is no longer one of intent but means. Does Europe have the financial and material resources to match its rhetoric? European defense spending is rising, but not fast enough. At an expected 2.3% of GDP in 2026, up from 2.2% in 2025, it is set to record a second consecutive year above the 2% threshold. Yet the headline masks a sharp deceleration: Annual growth in outlays is falling to about 9%, from more than 20% in 2024-2025, and will drift toward 4-7% by 2028-2030. This new 5-10% regime looks insufficient for to meet the ambitions of Rearm Europe. Based on our growth and inflation forecasts for 2026-2027, and a moderate 1% growth/2% inflation path thereafter, spending is likely to climb to only 2.6% of GDP by 2030, missing the 3% target. The shortfall is material: a cumulative EUR255bn funding gap over 2026-2030, widening to EUR575bn if we consider NATO's new 3.5% of GDP target for core military spending.

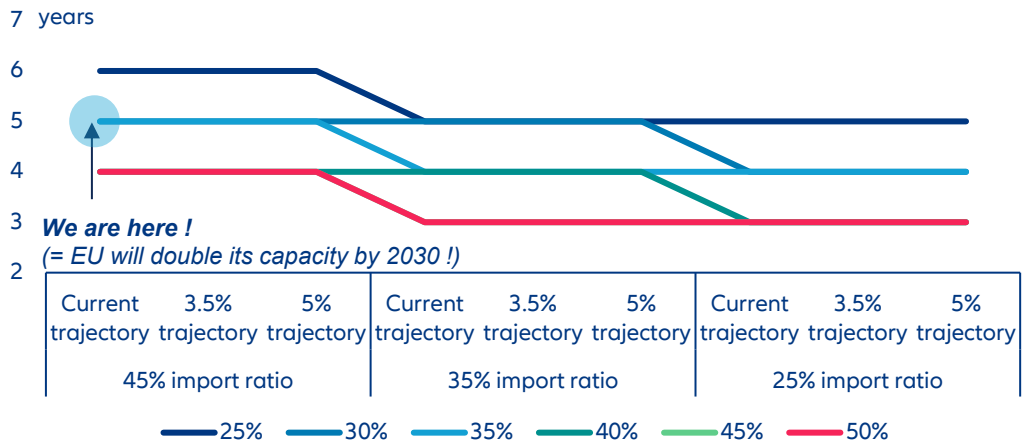
Figures 1 & 2: European defense spending trajectory by 2030 / cumulative spending gap based on 3% and 3.5% GDP budget target (in EUR bn)



Sources: European Defense Agency (EDA), Allianz Research

Europe's rearmament challenge is increasingly about execution, not just ambition. At the current pace, doubling Europe's 2025 military equipment stock would take around five years, leaving little room for delays before the 2030 deadline. Faster progress would require not only higher defense spending, but also a greater share of budgets devoted to equipment and infrastructure, alongside a stronger European industrial base. Redirecting procurement towards European manufacturers by reducing the share of imports from 45% to 25% could help accelerate capacity expansion. Under the most optimistic scenario, these combined measures could shorten the timeline from five to around three years. But Europe cannot supply itself and remains highly dependent on foreign partners to procure its military equipment. The defense spending allocation shows a 35-40% disbursement into new equipment (vs. 30-35% on NATO standards) and 0-5% into infrastructure construction/maintenance, which is quite strong by NATO standards but not as ambitious as promised.

Figure 3: Estimation of years required for EU-27 to double its military equipment based on defense spending, equipment procurement budget share and defense-related goods import ratio

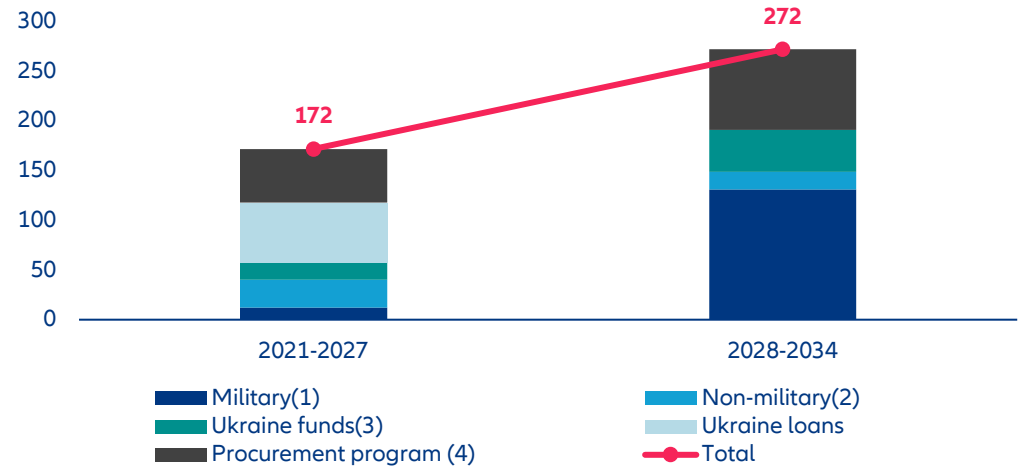


Sources: NATO, European Defense Agency (EDA), Sipri (April 2026 update), Allianz Research

Money is no longer the main constraint: capacity is

Money is not Europe's binding constraint. The draft 2028-2034 EU budget lifts defense-related commitments to around EUR270bn, at least 60% above the roughly EUR170bn of 2021-2027. That estimate excludes the European Investment Bank, which devoted 4-5% of its annual envelope to defense in 2025-2026, or EUR4-5bn a year. Extrapolated over seven years, this adds EUR30-35bn and takes the total mark-up to about 80%. The signal matters as much as the amount. While national budgets face fiscal pressure, Brussels is locking in a multi-year commitment, with no sign of fading effort at the European level. The composition is shifting too: military funds, marginal in 2021-2027, become the largest block of the next envelope, a clear break with past practice. Off-budget instruments reinforce the message, and new tools modelled on current programs could follow if demand and delivery justify them. For industrials and investors, the financing architecture is in place and still expanding. The question is no longer whether capital exists, but whether it reaches the factories that must turn it into equipment.

Figure 4: Estimated allocation of defense and non-defense European funds and financing programs with military purpose (2021-2027 vs. 2028-2034 periods based on EU budget, real and planned)



(1) Funds allocation includes aerospace segment for 2028-2034 period, not for 2021-2027 period. (2) EIB contribution not reported for 2028-2034 period in the absence of guidance. It would be an additional EUR35bn support if we take the 2027 spending estimate as reference. (3) Peace facility program including SAFE surplus (4) The SAFE program's total allocation is estimated at EUR135bn based on European sources; EUR10-20bn funding surplus will be reallocated to Ukraine support. Amount broken down over the 2026-2030 period as no payment was disbursed in 2025. Sources: European Commission, OSW, Allianz Research

SAFE loans illustrate the solution but also the problem. Off-budget and capped at EUR150bn, they should channel roughly EUR80bn into regional efforts if distribution is gradual and homogeneous. The reality is far from that. Only EUR12bn has been disbursed, about 8% of the total, against EUR131bn formally adopted. Poland, the largest beneficiary at EUR43.7bn, has drawn 15% of its envelope. France, Italy, Belgium and Spain have received nothing yet, and Hungary's EUR16.2bn is still pending. Industrials have long blamed red tape and lengthy validation procedures for construction delays and underperforming projects, and SAFE is repeating the pattern. The multiplicity of programs (EDIP, FED, AGILE, innovation funds, EIB defense lines) compounds the issue: they do not connect to industrial segments and leave firms navigating parallel application processes. Participation is uneven as well, with several states slow to apply. Without faster execution, the money risks arriving after the equipment gap has widened, and after the political window that justified it has narrowed.

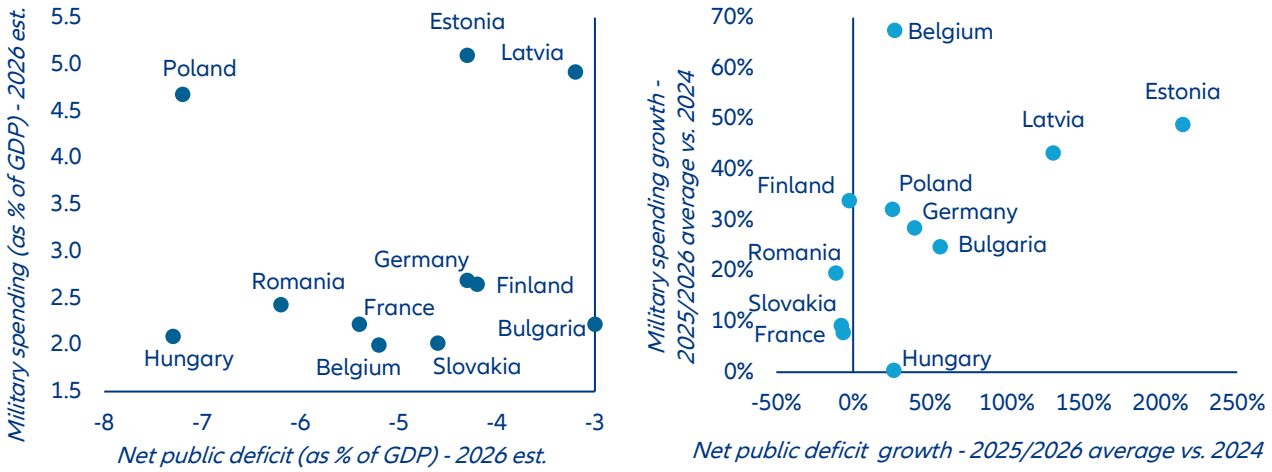
Table 1: Safe procurement program allocation and utilization rate

Subscribers	EUR bn				
	Allocation	Adopted	Pending	Disbursed	Utilization rate
Poland	43.7	43.7		6.6	15%
Romania	16.7	16.7		2.5	15%
Hungary	16.2		16.2		0%
France	15.1	15.1			0%
Italy	14.9	14.9			0%
Belgium	8.3	8.3			0%
Lithuania	6.4	6.4		1.0	15%
Portugal	5.8	5.8			0%
Latvia	3.5	3.5		0.5	15%
Bulgaria	3.3	3.3		0.5	15%
Estonia	2.3	2.3		0.4	15%
Slovakia	2.3	2.3			0%
Czech Rep.	2.1	2.1			0%
Croatia	1.7	1.7		0.3	15%
Cyprus	1.2	1.2		0.2	15%
Spain	1.0	1.0			0%
Finland	1.0	1.0			0%
Greece	0.8	0.8		0.1	15%
Denmark	0.5	0.5			0%
Total	**147**	**131**		**12**	**8.1%**
% of total fund	**98%**	**87%**	**11%**	**8.0%**	

Sources: European Commission, Allianz Research

The European fiscal impulse tool was not used to its full potential. Europe's fiscal loosening leeway, authorizing 18 members to run until extra deficits up to 1.5% of GDP for defense spending showed some results, but not as much as expected. Among positive results, it clearly helped push military spending back above NATO's former 2%-of-GDP benchmark in 2025 for the first time, and keep the momentum up in 2026. Among the 18 eligible countries, 12 are expected to run deficits above 3% in 2026 (70%) and only eight of them recorded a double-digit growth of military spending over the 2025/2026 period compared with 2024 ahead of the launch of the tool. If some countries like Poland, Latvia, Estonia or even Germany are good examples of the positive externalities of the NEC on European defense ramp-up efforts, the overall picture is quite uneven at the European level. Indeed, a higher deficit is not the guarantee of stronger defense spending, as showed by Belgium, Hungary and Slovakia, which carry high deficits but grew military budgets by only 4-5% in 2026. Italy, Spain and the Netherlands raised spending by a modest 5-8% and stayed close to Brussels' 3% line. With interest rates high and markets volatile, France's deficit being the cautionary example, that prudence is understandable. The NEC works, but it is still far from being used to its full potential. This clearly demonstrates that Europe is not running out of resources to rebuild its army but rather of will, at public or private level.

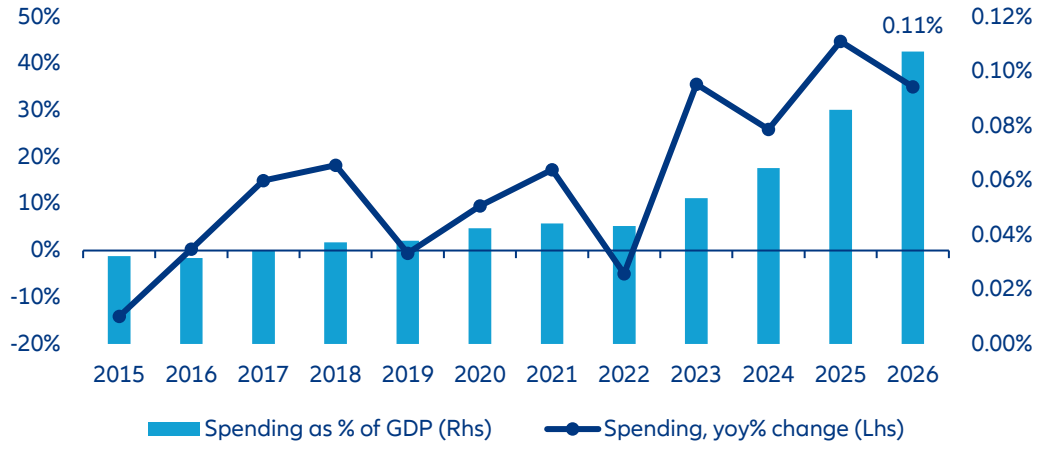
Figures 5 & 6: Estimated net public deficit and military spending as % of GDP in 2026 / Growth of net public deficit and military spending, 2025-2026 average vs. 2024



Sources : IMF (WEO October 2026), NATO (database update July 2026), Allianz Research

Procurement is also crowding out the long term. Spending favors short-term equipment gaps, while defense infrastructure stands at only 0.11% of GDP in 2026, a small share of regional investment. Quick buys beat durable capacity, which leaves the underlying production base no stronger. The undersubscription to SAFE loans is the sharpest evidence: the program did not attract enough demand, and EUR10-20bn is likely to be reallocated to Ukraine. Europeans are not short of funding but of capacity to buy. Sourcing rules limit purchases outside Europe, yet domestic supply cannot absorb the orders either, so governments can neither buy abroad nor at home as much as they would like. Strict rules on foreign investment in sensitive defense assets further limit outside capital for new capacity, closing another route to faster expansion. The pattern points one way: Europe's bottleneck is industrial, not financial. The next euro of ambition should go to factories, infrastructure and faster execution, not to larger envelopes. Otherwise Europe will keep announcing money it cannot spend.

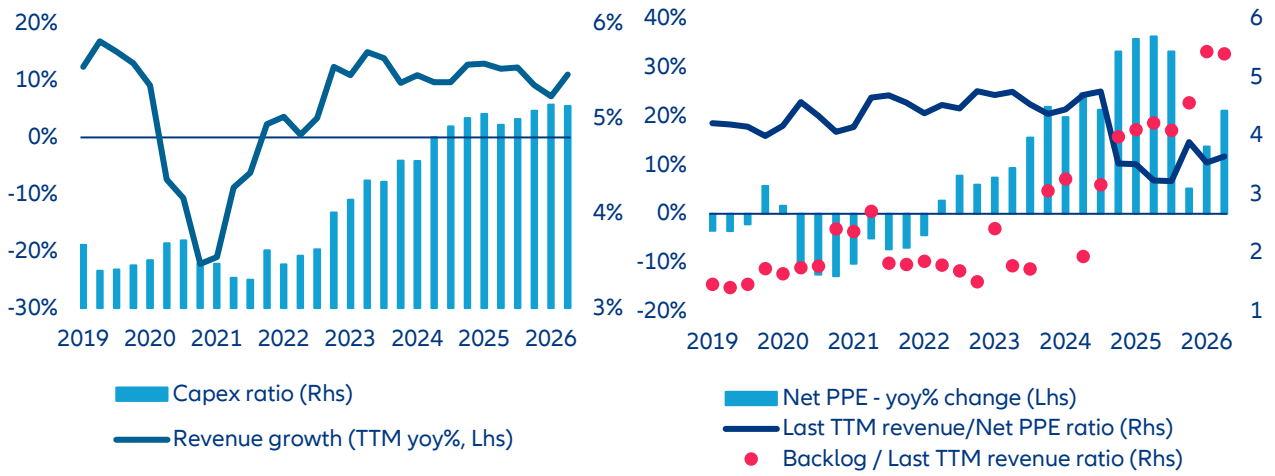
Figure 7: Defense infrastructure spending in EU-27, trend and share of GDP



Sources: NATO (July 2026 update), Allianz Research

Europe's industrial conundrum: a record-high backlog did not translate into new investment. European defense has never had so much demand, yet its largest firms are not building the capacity to serve it. Order backlogs have hit record highs, at more than five times trailing revenue for the ten biggest listed groups, driven mostly by national governments. Revenue still expands at around +10% on a 12-month trailing basis, but the trend is flattening, which raises a question: has the peak already been reached? Capex points the same way. After the surge of 2023-2024, the capex ratio has stabilized around 5%, a natural ceiling that matches the lack of new impulse on sales. Orders are being booked faster than they can be converted into output. This is the industrial conundrum. The timing for investing could hardly be better, with full order books and political tailwinds. But two brakes are holding firms back: a monetization lag between orders and cash, and mild confidence in the durability of state commitment. Managers would rather move slowly than be left with overcapacity if budgets disappoint. The consequence is a self-inflicted bottleneck: the demand is there, but the supply response is rationed by caution.

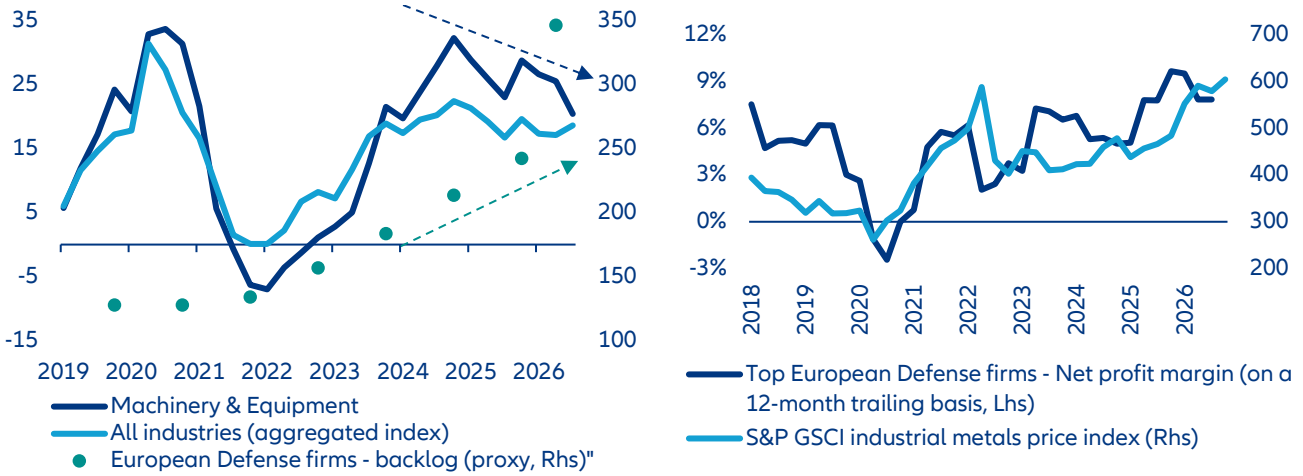
Figure 8 & 9: Revenue & investment trend of top 10 biggest defense firms in Europe* / Ammunition infrastructure and equipment, revenue and backlog trend in Europe**



*Data as of Q2 2026. *Based on a non-fixed sample of corporates but quarterly revenue value / **Rheinmetall data used as a proxy as it became the biggest defense contractor for the German defense department (Bundeswehr) in a few years and the most capitalized defense firm in Europe. Sources: LSEG Datastream, Allianz Research*

The defense industry is adopting a defensive approach to cash management: securing margins rather than chasing new revenue. Scaling up fast without disrupting current activity or inflating costs is harder than early optimism suggested, and the initial enthusiasm for capacity expansion has given way to caution as delivery under high-stakes pressure turns out to be tougher than planned. Visibility is the second brake. Future budgets and governance remain uncertain in a shifting political landscape, with the far-right push visible in several European countries adding doubt over the orientation and durability of defense priorities. All these elements put together drive a weak incentive to invest aggressively in expensive and long-term projects. Market conditions have also turned. Tensions in the Middle East have lifted energy and raw material costs, and the S&P GSCI industrial metals index is back near its 2022 highs, while higher borrowing costs make every risk more expensive. The margin picture shows the squeeze: net profit margins of the top European defense firms peaked around 10% in 2025 and have slipped back to about 8%. In this environment, protecting margins is more rational than chasing new revenue. Backlogs are already full and the sector enjoys relative protection from foreign competition, so there is little need to take risks to win new orders. Defense groups are therefore becoming defensive themselves, prioritizing cash discipline over expansion. The outcome is an industry that has the orders but not the appetite, and a Europe whose rearmament will be paced by corporate prudence rather than by political ambition.

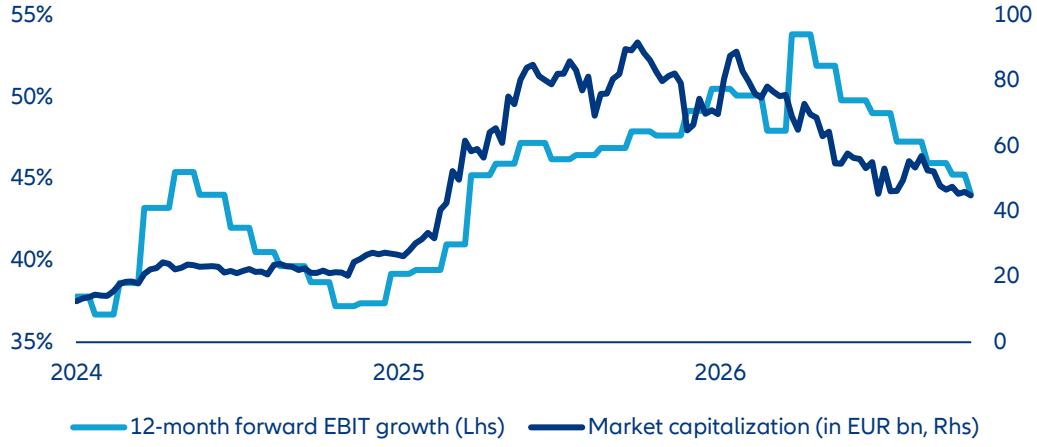
Figures 10 & 11: Production capacity from European manufacturing and defense-related firms vs. European defense firms backlog* / Top European firms margin vs. industrial metals spot price



Data as of Q2 2026 for backlog & Q3 2026 for industrial capacity trend (survey basis, net balance of firms reporting an increase or decrease of their capacity). Sources: DNCEG, LSEG Datastream, Allianz Research

The undesirable effects of a backlog. Governments have poured commitments into a sector where newcomers cannot acquire in a few months what incumbents built over decades, so excess demand turns into production bottlenecks and postponed projects rather than output. The structure compounds the problem. Defense ministries have become the primary customer, competition is weak and contracts are concentrated on a handful of players. That is the captive market trap: a secured backlog, instead of lifting investment appetite, breeds complacency and decision inertia on new infrastructure. Rheinmetall is the case in point. With about 60% of its backlog coming from the Bundeswehr, it cut its revenue guidance in Q2 after removing a naval project it had committed to but could not deliver as it was far from its core ammunition business. Diversification is sound only when it is coherent and gradual. Markets have been unforgiving: the share has lost about 35% year to date, and market capitalization fallen to roughly EUR 40-45bn while forward EBIT growth has slipped from its 2026 peak of over 50% to below 50%. The sector that was once in the spotlight is now paying for the hype, with disappointing delivery feeding a market verdict that could weigh on the next round of investment.

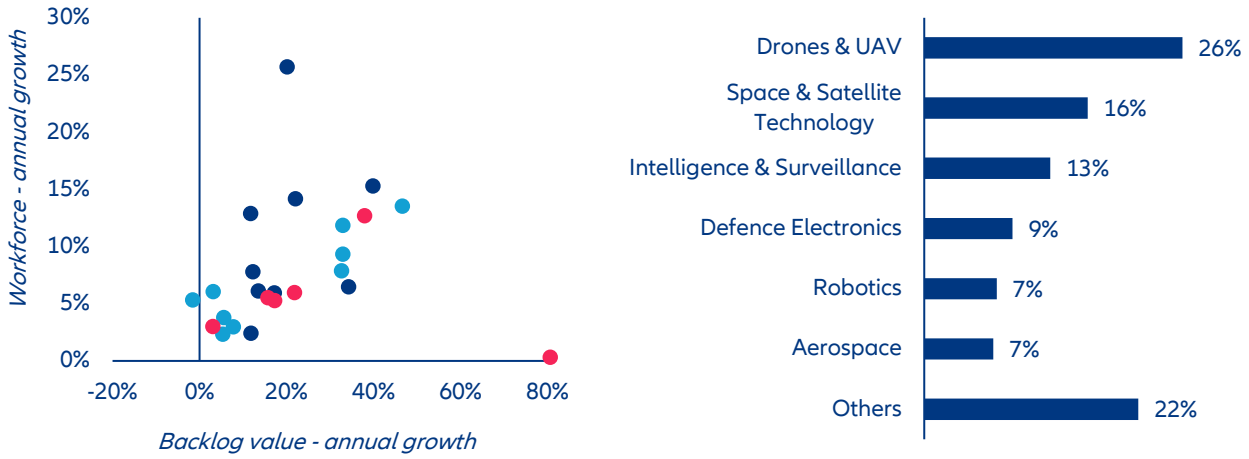
Figure 12: Rheinmetall forward profit growth vs. market capitalization



Sources: LSEG Datastream, Allianz Research

Europe's defense industry is running out of people before it runs out of orders. We estimate the sector employs 650,000-700,000 people, up 30-40% since 2021, while military spending has risen 75% and backlogs have more than doubled. The gap is widening. In our sample of leading firms, backlog growth per point of workforce growth was about 2 before 2025, rose to 3 in 2025 and reached 4 in H1 2026, as EU rearmament programs and fiscal escape clauses poured money into order books. This is more than a capacity limit. Firms have little room to hire at scale: they compete for engineers with civilian sectors that pay more, and newcomers need years of training before they can deliver on complex programs. Expertise cannot be bought, only built, and in defense industrial lead times are long and some skills exist nowhere else. The shortage is sharpest where Europe started late. Drones and UAVs account for 26% of open defense vacancies, space 16%, intelligence and surveillance 13%, electronics 9%: segments in which Europe was largely absent until recently. Industry also risks overestimating what it can absorb. Money moves at political speed, learning curves at industrial speed. Scaling up with too few or poorly matched staff brings delays and failures, so the backlog will convert slowly.

Figures 13 & 14: backlog value vs. workforce growth for top European defense firms (2024-H1 2026) / Current open jobs in Defense sectors in Europe, per activity segment breakdown

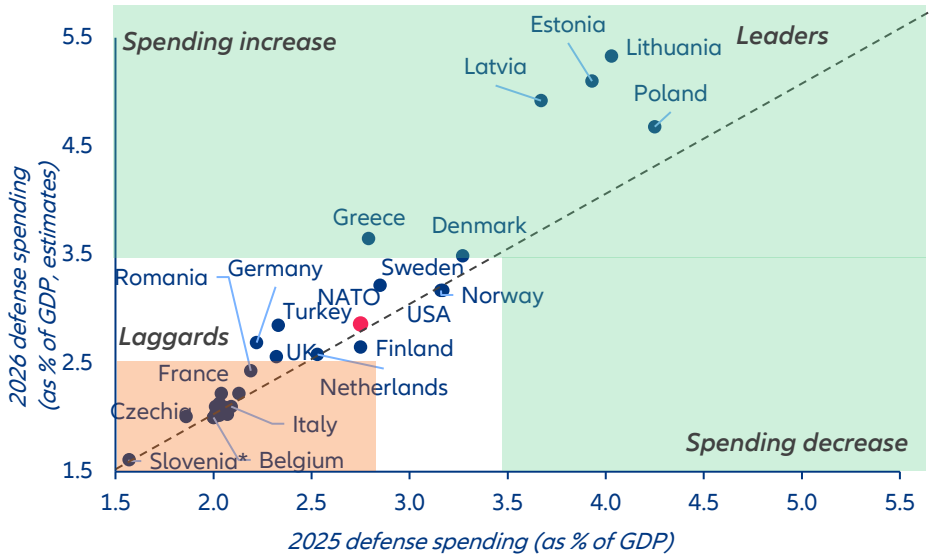


Sources: LSEG Datastream, DefenseJobsEU.com, Allianz Research

Who is piloting the plane ?

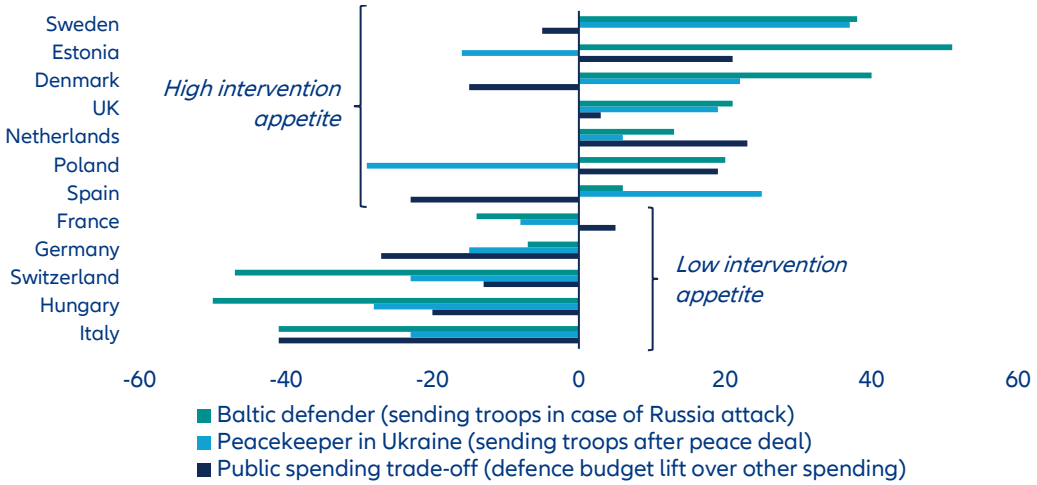
Europe's defense effort is moving at two speeds. The 2025-2026 comparison splits the continent into leaders (Lithuania, Latvia, Estonia and Poland), which are heading toward defense spending at 4.5-5.5% of GDP in 2026 and a pack of laggards, including France, Italy, Belgium, Czechia and Slovenia, which are still below 2.5%. Denmark and Sweden sit in between, above the diagonal. Geography sets the gradient first: Proximity to Russia determines the sense of emergency. But national equipment levels and domestic industrial strength matter as well. Frontline states are rebuilding from thin inventories, while larger Western economies feel less pressed and can lean on existing stocks and industrial bases. Politics reinforces the divide. Household surveys show strong appetite for intervention in Sweden, Estonia, Denmark, Poland and the UK, but little in France, Germany and Italy, where respondents also reject trading off other public spending for defense. Where popular support is thin or social cohesion fragile, governments hesitate to push ambition. The risk is that the largest economies, which hold the biggest industrial bases, set the slowest pace, leaving aggregate momentum dependent on a handful of small, frontline budgets. Europe cannot be defended by its Baltic fringe alone.

Figure 15: Core defense spending as % of national GDP among NATO group, 2026 vs. 2025



Sources: NATO (July 2026 update), Allianz Research

Figure 16: European household sentiment towards different defense commitment scenarios



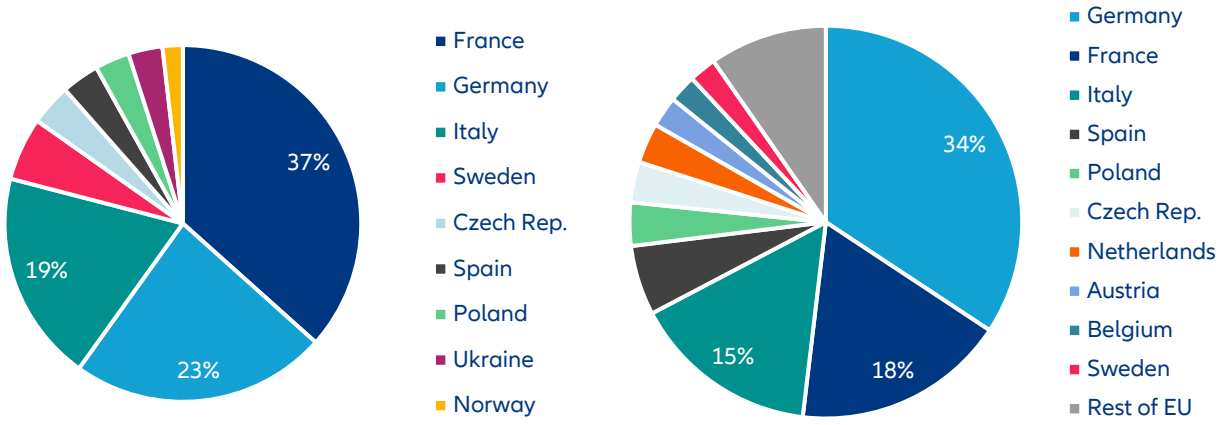
ECFR-commissioned public opinion survey, conducted by YouGov, Mandate Research and Turu-uuringute in May 2026. Sources: ECFR, Allianz Research

Europe's biggest competitor is itself. It is quite straightforward to see that European nations do not ride in the same direction. A quick look at the industrial project pipeline shows duplication rather than scale. Two rival next-generation fighters are under way: the Global Combat Air Program (GCAP) led by the trident UK, Italy, Japan and the French-led Air Combat Fighter (ACF), the successor to former French-German Future Combat Air System (FCAS) initiative whose failure this year illustrates how national interests can sink a supra-regional target. On land, four separate platforms (MGCS, Challenger 3, K2PL, A2CS) are built by four different coalitions. All are not European-led as K2PL is a hybrid partnership between Poland and South Korea to replicate the flagship K2 tank used by the South Korean army. This sends a diverging signal: Europe can find partners other than the US for military procurement, but also it still needs foreign expertise to develop heavy equipment quickly (three-to-five year timeline). For comparison, some joint projects, like the French-German Main Ground Combat System (MGCS), have an industrial lead of over 20 years, and the latter also faces industrial divergences between partners. Behind what is said about the slow development of FCAS and MGCS is a Franco-German leadership contest that is the cause of all this fragmentation. While two pilots are better than none, they do not share the same view in terms of defense: Paris pushes sovereignty and autonomous industrial capacity, while Berlin prioritizes rapid re-equipment to be

effective if war comes. The current air defense pipeline shows the split. The German-led Sky Shield (ESSI) targets 2027-2030, while the European Twister interceptor, driven by France, arrives in 2035-2040. Both logics are defensible, but run in parallel they fragment demand, shorten production runs and raise unit costs. The answer is not black or white. Europe needs short-term equipment to be credible, and buying off the shelf abroad is sometimes the fastest route, as K2PL with South Korea illustrates. But overreliance on external providers has a price: a weaker domestic industry, lost competitiveness and strategic dependence for decades. The workable middle path is to buy abroad for urgent gaps while anchoring long-cycle programs in genuine cooperation, with common requirements, shared leadership and pooled orders. Without that, Europe will spend more and get less.

Industrial direction won't come from a single voice but three. France, Germany and Italy account for about 80% of the European revenue among the world's top 100 arms sellers, and for 67% of the EU's military-related output in 2026. The two measures point to different leaders. France dominates on corporate sales (37%), while Germany leads on production on its territory (34%). No major project can be defined, financed or delivered without all three, which makes their alignment the main lever for an investment trend. The setbacks on FCAS and MGCS did more than delay equipment: they fed doubts about whether Europe can ramp up production to meet its targets, and markets and managers read those signals closely. The trio should settle priorities, share leadership by project and commit to joint program with fixed schedules and pooled funding. A credible Franco-German understanding would carry the most weight. It would show that cohesion is possible and give industry the visibility it needs to invest. Without it, the efforts of smaller countries will stay fragmented, whatever their budgets.

Figures 17 & 18: European country share in top 100 global arms sellers (based on 2024 annual revenue) / in total estimated EU-27 military-related output in 2026*



**proxy based on Aircraft and structural metals (segment including tanks and weapons) gross output value. Sources: SIPRI, Oxford Economics, Allianz Research*

Beyond the rivalries, Europe's military priority is clearly the sky. Long-range missiles, air and missile defense, drones and modernized fighters all answer the same shift in the nature of war. Modern conflict is moving away from massed land and naval engagements toward air strikes and drones aimed at tactical infrastructure, where disruption hurts the economy as much as the army. Ukraine made the point: Drones have become full combat tools, used for reconnaissance and targeting as well as for dropping munitions, at a fraction of the cost of traditional systems. The conflict involving Iran confirmed it, with data centers and power systems among the damaged assets. The implication is that deterrence now depends on striking deep, intercepting cheaply and protecting critical networks, rather than on heavy armor or large fleets. Europe's list of priorities reflects that lesson. The consensus on what to buy is real, the remaining challenge is how to organize and fund it together.

Table 2: Current European industrial projects for building up new generation military equipment

Project name	Equipment	Countries involved	Construction launch	Estimated delivery date
Air				
Global Combat Air Program (GCAP) / Tempest (Edgewing JV)	Airfighter	UK, Italy, Japan	2022	2035
ACF (Future Air Combat - former NGF)	Airfighter	France*	2018	2029
Rafale F5 standard	Airfighter	France	2024	2033-2035
Remote Carrier Compact (FCAS remainder)	UAV	France, Germany, Spain	2018	2029
Eurodrone (MALE RPAS)	UAV	Germany, France, Italy, Spain	2016	2031
Unmanned Combat Air Vehicle (UCAV) companion	UAV	France	2024	2033-2035
Land				
Main Ground Combat System (MGCS)	Tank	France, Germany	2017	2040-2045**
Challenger 3	Tank	UK-Germany	2021	2027-2030
K2PL	Tank	Poland, South Korea	2025	2028-2030
Army Armoured Combat Systems (A2CS)	Armored vehicles/Tank	Italy-Germany	2025	2028-2029
Missiles/Rockets				
European Long-Range Strike Approach (ELSA)	Short to long-range missile + Launcher	France, Germany, Italy, Poland, Sweden, UK	2024	~2030
Stratus (ex Future Cruise/Anti Ship Weapon)	Cruise / anti-ship missile	UK, France	2017	~2030
Taurus Neo	Long-range air-launched cruise missile	Germany, Sweden	2025	2029-2030
Twister	Ballistic missile interceptor	France , Italy, Germany, Netherlands, Spain, Finland	2024	2035-2040
European Sky Shield Initiative (ESSI)	Air and missile defense system	Germany (lead) + 24 European states	2022	2027-2030
European Drone Defense Initiative	Counter-drone defense network	EU member states	2025	2027-2033
Naval				
New Generation Aircraft Carrier (PANG)	Aircraft carrier	France	2025	2038
SNLE 3G	Nuclear ballistic-missile submarine	France	2024	2036-2037
Multi Modular Patrol Corvette (MMPC, ex-EPC)	Naval corvette	France, Italy, Spain, Greece + other European states	2019	2030
Space				
IRIS2	LEO/MEO satellite constellation	EU / ESA member states	2024	2030

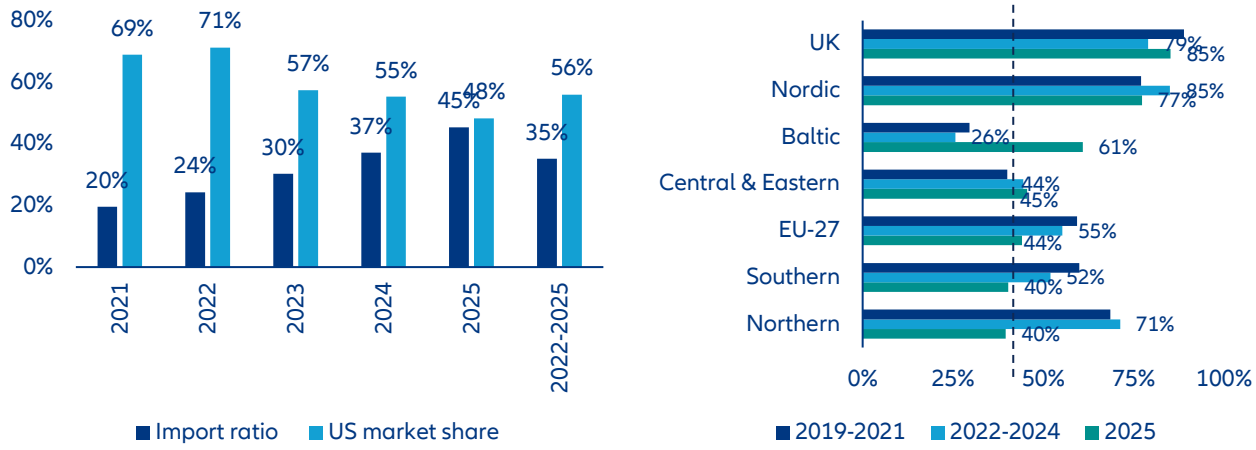
*UAV = Unmanned Aircraft Vehicle. *former FCAS project reframed after the withdrawal from Germany. ** Reframing schedule after the disclosure of industrial divergences between France and Germany. Source: Allianz Research*

Europe needs to bet on itself, not only for sovereign reasons

External reliance has not disappeared but is changing shape. Foreign dependence has almost doubled since 2022, from 24% to 45% of procurement, and the US share has dropped from 71% to 48%. But Washington is still the main supplier, and in the UK, the Nordics and the Baltics, it still supplies the large majority of external purchases. What is new is that buying abroad is starting to give way to partnering. German and Israeli primes already cooperate on missiles, loitering munitions and satellites, and a deal to turn a German car plant into an air defense site is taking shape. These are early signals, but they matter. Openness is the fastest way to meet short-term demand when domestic capacity is stretched, and real investment commitments on European soil turn a purchase into capacity. But openness is also hard to square with security stakes and sovereign risk: whoever owns the technology and the supply chain holds a lever over Europe's defense. The condition is close monitoring: governance, ownership, access to critical know-how and exit options all need to be locked in upfront. This will not be a replicable template

for the whole sector but rather a tool for targeted, specific needs where Europe cannot wait for its own industry to catch up.

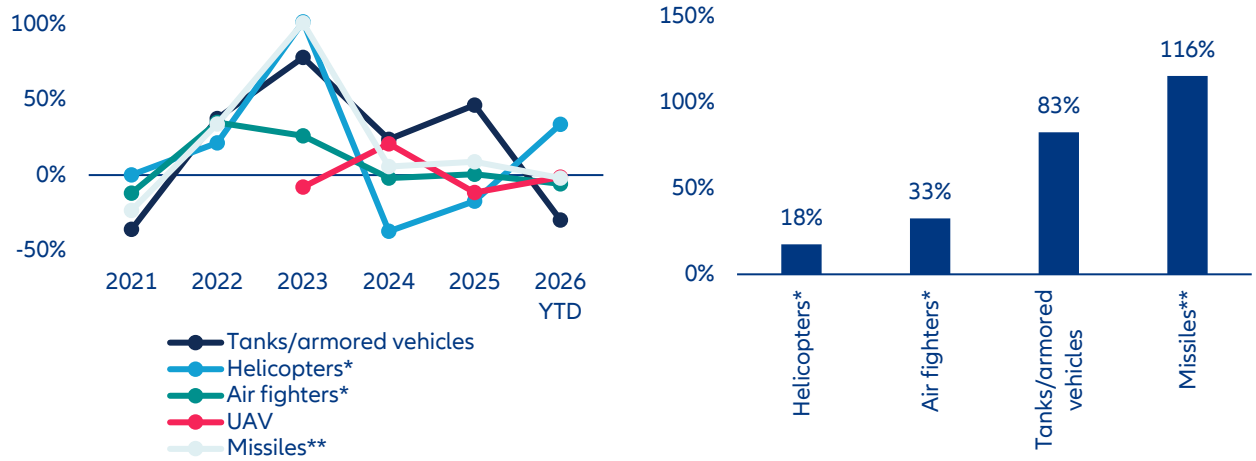
Figures 19 & 20: Imports of arms, non-EU share & US share among non-EU imports / US arms import share in Europe, per region



Data as of 2025. Sources: SIPRI, Allianz Research

Foreign dependence is also a price problem: inefficient capital allocation due to inflationary import costs. Since 2022, as Europe turned to non-European suppliers for arms and ammunition, import prices per kilogram have risen well beyond what a technology premium can justify. Compared with the 2019-2021 average, missiles now cost 116% more, more than double the pre-war level. Tanks and armored vehicles are up 83%, fighters 33% and helicopters 18%. The pattern follows dependence. Where Europe has little or no domestic alternative, as with US interceptors and long-range missiles, suppliers have had room to pass premium margins on to buyers facing scarcity and urgent demand. Higher costs linked to AI expansion and the Middle East conflict play a role, but they do not explain the whole picture: prices have flattened this year for most categories despite renewed energy-driven inflation, which points to pricing power as much as input costs. The consequence is direct. Europe pays more for the same equipment, not because it is worth it but because it cannot wait. Each euro committed buys less capacity than budgets assume, so the real size of the rearmament is smaller than the headline.

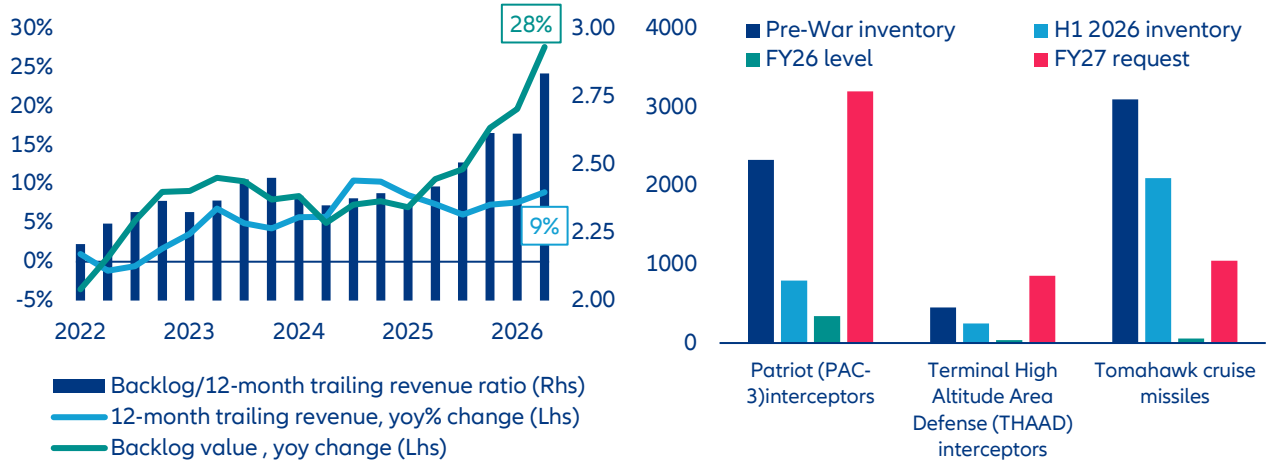
Figures 21 & 22: Evolution of price non-European imports of military equipment in EU-27 over 2021-2026 period (in EUR/kg) / Current non-EU import price gap vs. 2019-2021 average, per military equipment breakdown



*Data as of July 2026. *Equipment with weight over 2,000 kg. **Broad segment including bombs, mine and cartridge. Sources: Eurostat, Allianz Research*

The US ammunition crisis: an unpleasant but welcome wake-up call. The depletion of US missile stocks is a warning for Europe: a single supplier can fail it at any moment, by choice or by necessity. The Iran conflict has consumed interceptors at a pace production cannot match. Compared with pre-war levels, our reading of the data shows H1 2026 inventories down about 65% for Patriot, 45% for THAAD and 30% for Tomahawk. Washington's answer is a rebuild: its FY27 request targets about 3,200 Patriot interceptors and 860 THAAD interceptors. But factories are the bottleneck, not budgets. Backlogs at US missile makers are growing at 28% a year against revenue growth of 9%, and orders now stand at about three times annual sales. On current ramp-up rates, we estimate four years to deliver the Patriot request and five for THAAD. Until then, US domestic demand will come first, and Europe will wait in the queue behind it. The US is not a last-resort partner, because it has no spare capacity to lend. The same weapons are now in short supply on both sides of the Atlantic, so Europe cannot count on American stocks to cover its own air defense.

Figures 23 & 24: US key missiles manufacturers revenue and backlog growth / Evolution of inventory of most popular air defense interceptors along Iran war conflict and Pentagon budget evolution for missile procurement

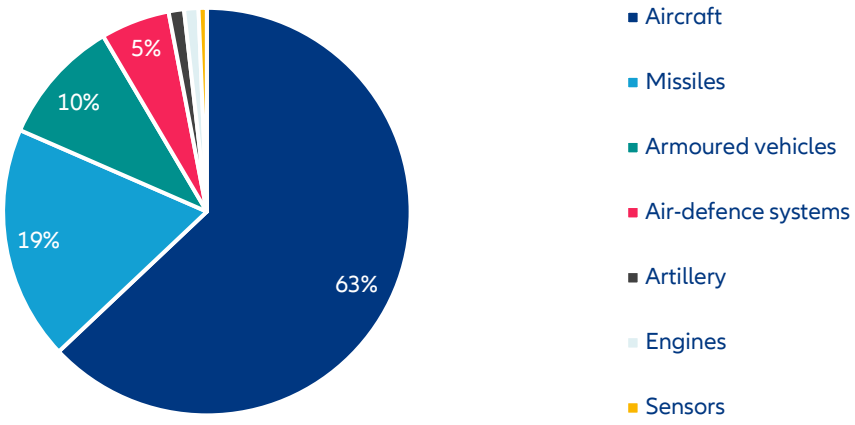


Left chart: data as of Q2 2026. / Right chart : Pentagon mandatory budget overview released in April 2026. Source: US departments of State and War, CSIS, LSEG Datastream, Allianz Research

Europe's defense industry needs three leaders, not one

Rebuilding defense means thinking short-term with a long-term horizon state of mind. When defining European priorities in terms of procurement but also industrial investment, reducing US exports of arms and ammunitions to Europe would help to connect the dots. Aircraft account for 63% of EU imports from the US and missiles 19%, so these two segments make up over four-fifths of the total. Self-reliance has to be built there first. In the short term, Europe should widen its sourcing to cushion the post-Iran arbitrage in US production. On missiles, the options are narrow: Israel is the only credible supplier outside the US, since China and Russia are not an option. That choice should come with local production and investment commitments. On fighters, Europe can lean on its own technology and speed up upgrades, which makes cutting reliance on the US realistic even in the near term. On drones, Ukraine offers scale and unmatched combat experience, and Europe should plug into it through joint production and shared practice. Türkiye can support local manufacturing, and South Korea can help on armored vehicles and robotics as well.

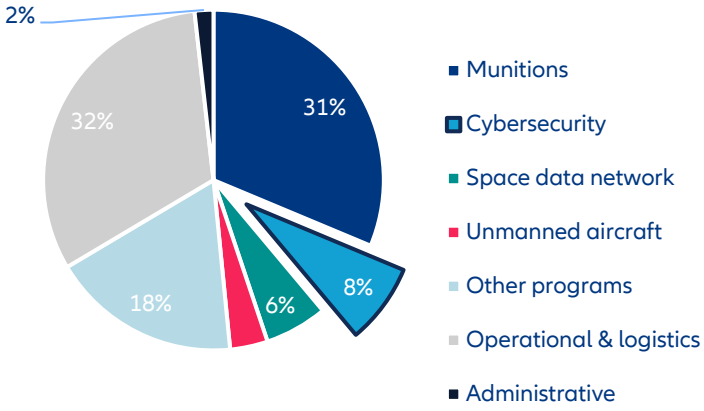
Figure 25: breakdown of EU-27 imports from the US by military equipment type



Data as of 2025. Sources: SIPRI, Allianz Research

Defense capacity should not be exclusively assessed in hardware. Software, IT and telecoms are overlooked, though new equipment carries a heavy digital load and produces vast amounts of data. Used well, that data is a performance driver. Used poorly, it is a vulnerability. Cybersecurity is the other missing layer: modern conflict is fought on networks as much as on the ground. It is no accident that, in the extra funding requested by the US after the Iran clash, cybersecurity stands at about 8% and is the largest dedicated capability line after munitions. Europe should match that signal. There is also a risk of new dependence on the US here. Leading AI models are ahead in detecting system flaws and patching them, and relying on them would hand a foreign provider a view into critical European systems. Europe should invest in open-weight models it can run, audit and adapt on its own infrastructure, and pair them with a European cyber shield. This is an under-funded segment and a strategic one: capacity that cannot be switched off from abroad.

Figure 26: Breakdown of additional funding requested by US department of war after Iran clash



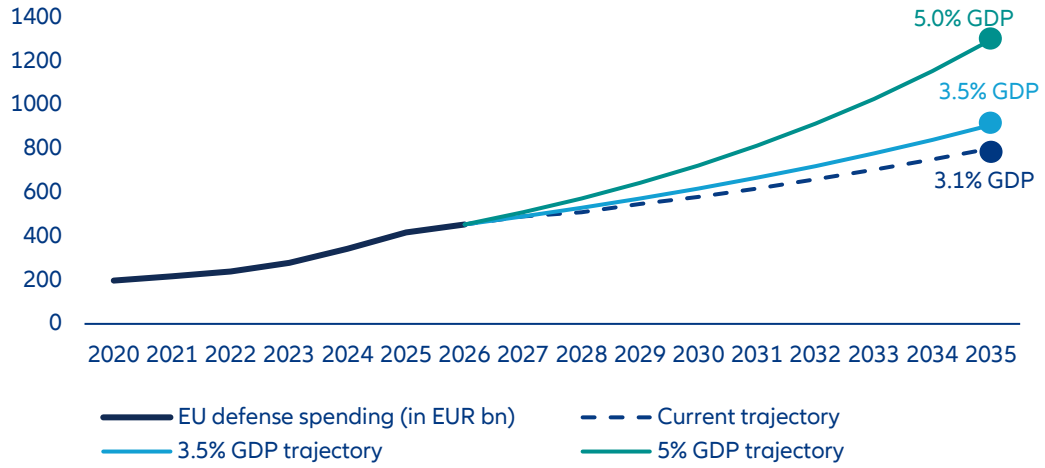
Sources: US department of war and department of State (Epic fury operation report for US Congress), Allianz Research

A two-horizon roadmap

Horizon 1 - Filling the short-term hole to secure protection minimum

The most important action is being consistent. On the current path, spending reaches about 3.1% of GDP by 2035, close to EUR800bn a year. For a region that was below 2% only a few years ago, that is a strong result. The 3% objective may have been set too early, at a time when industry could not absorb the funds. The 3.5% and 5% paths show the stakes: they would require roughly EUR900bn and EUR1.3trn a year by 2035, volumes that factories and supply chains could not deliver on today's footing. Policy should therefore be judged on more than one number. Four measures matter more. First, new output capacity: how many more missiles, vehicles and munitions Europe can produce each year. Second, industrial externalities for automotive, electronics, software and materials. Third, modernization: whether equipment and technology are up to date and are competitive for export market. Fourth, the reliance rate: the share of capability that depends on non-European suppliers. A budget that rises while these four indicators stagnate is a failure. A smaller one that raises capacity and lowers dependence is a success. Europe should publish them alongside the spending ratio.

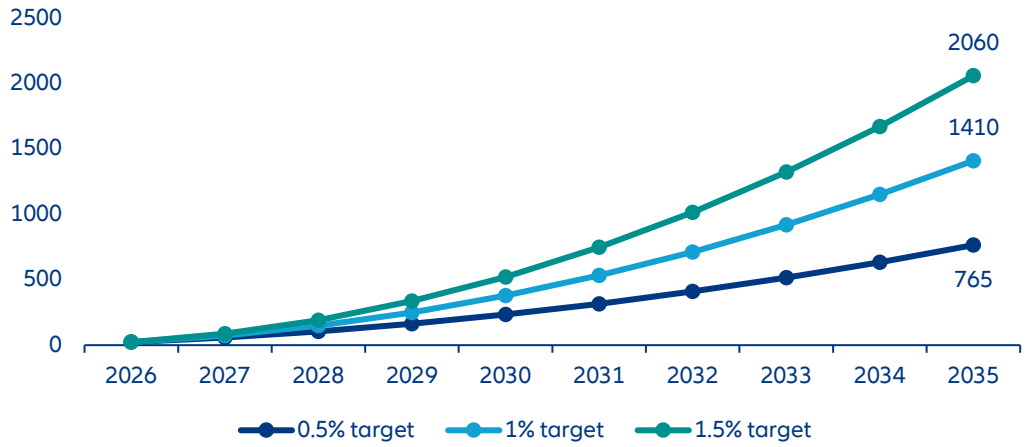
Figure 27: EU-27 defense spending as % of GDP trajectory over 2026-2035 period



Sources: European Commission, European Defense Agency, Allianz Research

Build the ground before the factories. Europe has bought the missiles and forgotten the ground they stand on. Infrastructure is where rearmament stalls: production sites, depots and logistics do not build themselves, and a sleepy private investment cycle will not wake without a push. Governments should provide it, through grants and subsidies aimed at defense infrastructure. NATO's 1.5% of GDP line by 2035 should be read as a compass, not a deadline. Reaching it would mean covering a hole above EUR2trn, on top of procurement bills that are already heavy. Europe should set a realistic corridor of 0.5-1% instead, which still demands EUR760bn to EUR1.4trn of effort. Public money cannot replace the market, and it should not try. Its job is narrower: lower the entry cost, signal permanence and rekindle an investment engine slowed by high rates. Every euro of support should buy a commitment in return, on capacity, deadlines and European location. Defense becomes a new vertical of European industrial policy, planned with the ambition once reserved for energy and chips.

Figure 28: Infrastructure spending scenario, cumulative investment over 2026-2035 period (in EUR bn)



Source: Allianz Research

No free lunch: look at home before buying abroad. Europe's car plants run below potential while its defense lines run beyond it. This is an opportunity for European governments to play matchmaker and build up industrial bridges, especially as the automotive industry slows down. Steering idle automotive capacity, workforce and supplier networks toward defense primes in a first step, then lifting output without burning scarce capital would kill two birds with one stone: loosening bottlenecks in defense while easing the production cost structure for automakers. Each new link proves the two industrial agendas can be synchronized. Procurement must follow the same logic. Domestic orders come with capex commitments attached. Foreign technology is welcome only when the need is critical and recurrent, and only if it brings production and investment onto European soil. Buying abroad with no local return is a bill, not a strategy. The short-term priorities are narrow and clear: long-range missiles, air defense to shield infrastructure and cyber tools against disinformation and external attacks. Europe should treat price as a security variable: build competing sources, pool orders to gain bargaining power and tie large contracts to production on European soil.

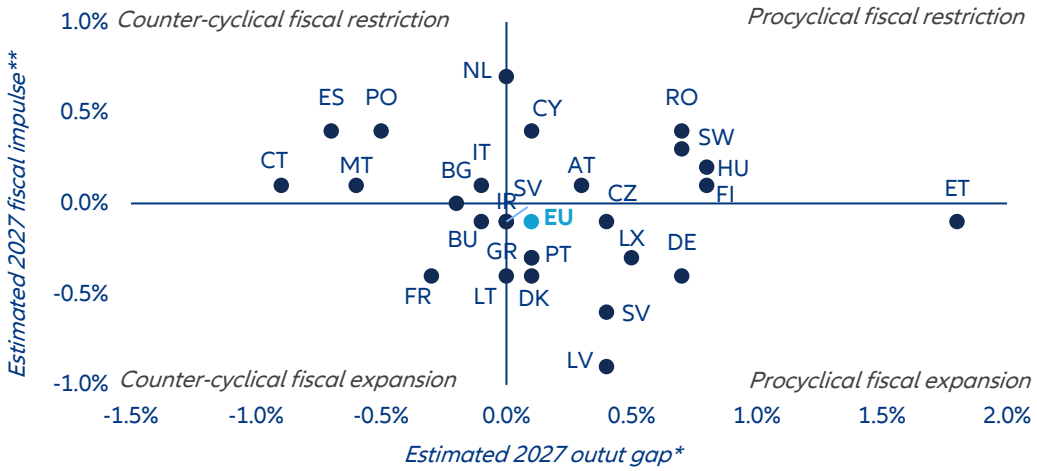
Table 3 : Non-exhaustive list of key automotive/defense partnerships and/or deals struck in 2026

Date	Automaker	Defense Partner	Deal Type
Mar 2026	Volkswagen (DE)	Rafael (IS)	Plant conversion / JV
May 2026	GM (US) & JLR (UK)	UK Ministry of Defense	Joint bid
Jun 2026	Mercedes-Benz (DE)	Tytan Technologies (DE)	Partnership (MoU)
Jun 2026	Rheinmetall (Power Systems*, DE)	AEQUITA (DE)	Transaction
Jun 2026	Renault (FR)	Thales (FR)	Strategic partnership
Jun 2026	Renault (FR)	Turgis & Gaillard (FR)	Production partnership
Jun 2026	Renault (FR)	John Cockerill (BE)	Development partnership
Jun 2026	GM (US)	Lockheed Martin (US)	Strategic partnership (MoU)
Jun 2026	Stellantis (US)/Peugeot (FR)	Thales (FR)	Partnership
Jun 2026	Volkswagen (DE)	Rafael (IS)	Defense production
Jun 2026	Valmet Automotive (FI)	Patria	Multi-year production deal
Jul 2026	Ford, GM, BC Customs (US)	US Army	Prototype contracts
Aug 2026	GM & Ford (US)	US Army	Tactical truck contracts
Sep 2026	Ford (US) + General Dynamics/Ricardo (UK)	UK MoD	Contract bid
Sep 2026	GM Defense (US) + NP Aerospace/BAE Systems(UK)	British Army	"Team LionStrike" bid
Oct 2026	GM Defense (US)	Pentagon / US DoD	Expansion discussions

Source: Allianz Research

Flexibility is earned, not granted. The fiscal impulse is fading while rates are getting higher and stagflation risks in Europe are rising, which means public effort could weaken just when momentum is needed. Greater fiscal flexibility is required but an extension of the national escape clause (NEC) is perhaps not the right answer to underpin a constant and robust investment cycle as results so far have been quite mixed. Incentives are missing and here is the crux of the capacity conundrum in Europe. Instead, a double approach in which a big military spender – either the state or a corporate - would be rewarded by a fiscal loosening measure and easier credit access but support would be this time conditional and monitored against tangible results. Spending above budget lines would be authorized if, and only if, it is channeled into European-based industrial projects for identified critical equipment or resources, and key milestones are met on time. For firms, a tax-rebate of 1 to 2% could be applied in case of strong investment commitment that would be evaluate in function of their current capex policies and backlog levels. This should reassure sceptics who see another loosening of the rules as a loophole, and give markets what they want to see: ambition with discipline. Used well, a conditional waiver turns fiscal rules from an obstacle into an instrument of industrial strategy. Used badly, it becomes Europe's next debt debate.

Figure 29: Estimated 2027 output gap vs. fiscal pulse (based on primary budget balance as % of GDP)

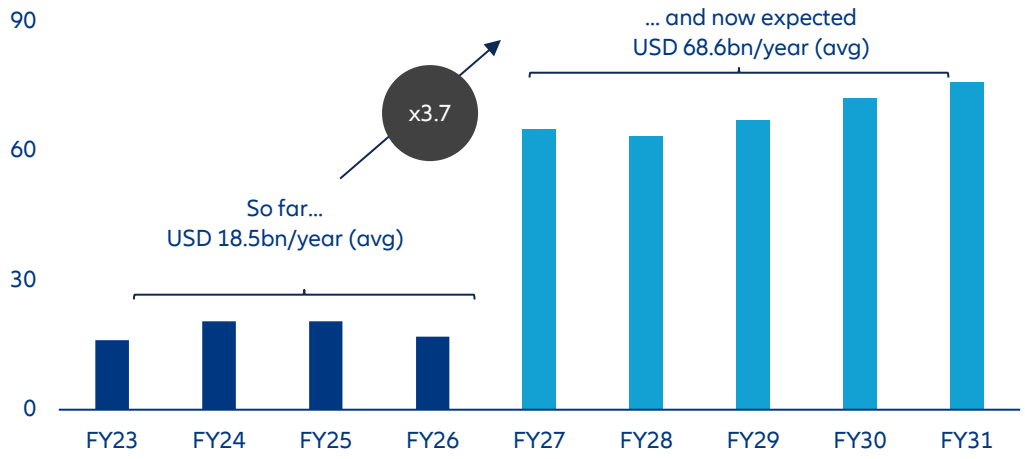


*Data as of September 2026. *Real growth estimate based on new October 2026 IMF forecasts.** Potential GDP growth and primary budget balance estimates based on spring 2026 European Commission forecasts. Sources: European Commission (Spring 2026 economic forecast), IMF (WEO October 2026), Allianz Research*

Horizon 2: Thinking on a 2030 defensive line

Building supranational reserves as the ultimate disruption-mitigation tool. Let's take US as example. Having the biggest and most performing defense industry does not prevent it from building up strategic reserves to anticipate market shocks and/or a wartime-led demand surge. Europe should do the same for critical equipment, arms and ammunition. A reserve cuts dependence on foreign supply and buys time when conflict closes borders and ports. It also needs ownership beyond national flags. Build supranational governance and a shared financing base, with European borrowing on the table, so that every capital feels concerned. Conditioning financial support on joint procurement channels would end the national conflicts of interest that have sunk projects before. The ideal is a nation-free fleet of arms and ammunition, usable only under NATO governance, with clear intermediate targets so that private firms can plan capacity, hire and invest with confidence.

Figure 30: US Pentagon budget requirement for missile procurement

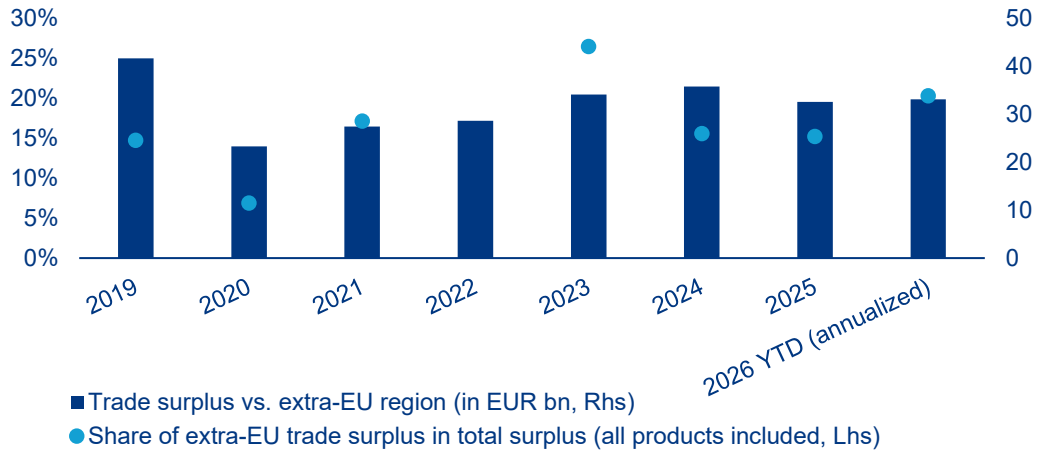


Data extracted from FY27 Department of Defense budget (April 2026). Source: US departments of State and War, LSEG Datastream, Allianz Research

Modernize or be dependent again... Modernization is the best protection against new dependence, and it protects what Europe sells best: defense exports are a major revenue line, and they erode the moment the continent slips off the technology curve. The priorities are clear. First, build an air-defense and drone industry at scale. Second, widen the footprint in space, with broader constellations and stronger launch capacity. Third, invest in AI, the most under-funded defense segment, and fuse it with the cyber shield. Automation and robotics are the multiplier. Autonomous mobility advances from the car industry can transfer, and R&D should be pooled across sectors. Joint investment with semiconductor, software and base-metal producers should lift material quality, onboard intelligence and computing power. Quantum belongs in the same pipeline. The primary goal is a leading-edge European model that can be exported, not an assembly of imported parts.

...and lose your best trade engine and political stabilizer. For years, aerospace and aircraft have been Europe's most performing segment in trade exchanges, generating a consistent EUR30–35bn annual surplus toward non-EU members. More recently, the ramp-up in defense capacity has added EUR1–3bn per year in weapons and ammunition exports, a contribution that is far from negligible. But this is not just about trade balances. European defense expertise is widely acknowledged abroad and serves as the most effective diplomatic connector during high-level political engagements with international partners. It is, in essence, a powerful geopolitical tool: defense equipment and know-how open doors to broader bilateral agreements, strengthen alliances and help counter global fragmentation. Failing to invest in military modernization does not just weaken Europe's security – it risks dismantling the very engine that fuels its trade influence and strategic relevance on the world stage.

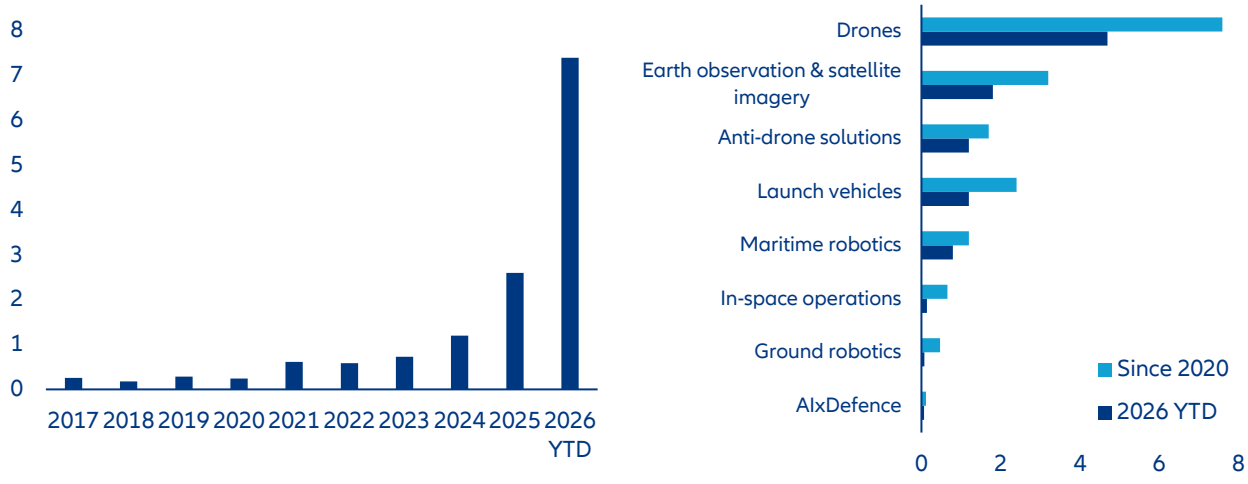
Figure 31: Aerospace, arms and ammunitions trade surplus from EU-27 toward non-EU-27 members (in EUR bn)



EU recorded a trade deficit in 2022 hence the absence of data for the trade ratio at this date. Data as of August 2026. Sources: Eurostat, Allianz Research

Drones and space are the bright spot, AI and robotics are under-invested. Europe's defense technology is being rebuilt, but so far capital transmission has mostly being channeled where Europe was the weakest and political will was strongest: drones collected near half of defense-related investment in the European venture capital market (44% since 2020), and space and satellite imagery follow. In the meantime, AI-for-defense has attracted almost nothing, and robotics only a fraction of drone funding. Yet warfare is shifting toward digital and electric-powered assets. The economy runs on algorithms, data centers and power grids, which makes them primary targets, as this year's Middle East conflict showed. In this context, European governments and defense primes should (1) treat AI as a strategic asset and open procurement to outside technology firms; (2) use co-investment and guaranteed demand to channel private capital into robotics and autonomy, which should also ease the sector's labor shortages, and (3) protect data centers and grids as defense infrastructure. The US and China are investing heavily in both fields and could turn that lead into a battlefield edge. Europe should not repeat in AI the delay it has just started to correct in drones.

Figures 32 & 33: Venture capital investment into European defense firms



Data as of September 2026. Sources: Dealroom.co, Allianz Research

These assessments are, as always, subject to the disclaimer provided below.

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The statements contained herein may include prospects, statements of future expectations and other forward-looking statements that are based on management's current views and assumptions and involve known and unknown risks and uncertainties. Actual results, performance or events may differ materially from those expressed
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(v) persistency levels, (vi) particularly in the banking business, the extent of credit defaults, (vii) interest rate levels, (viii) currency exchange rates including the EUR/USD exchange rate, (ix) changes in laws and regulations, including tax regulations, (x) the impact of acquisitions, including related integration issues, and reorganization measures,
and (xi) general competitive factors, in each case on a local, regional, national and/or global basis. Many of these factors may be more likely to occur, or more pronounced, as a result of terrorist activities and their consequences.

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Allianz Research | 16 October 2026

Invest in Germany, Yes, But How?

Turning the investment gap into Europe's biggest opportunity

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In Summary

- **The first *Invest in Germany Summit* takes place in Berlin on 19 and 20 October 2026, asking why and how Germany can attract investment. The "why": a top-tier location that chronically underinvests, including from abroad.** Germany is the world's third-largest economy (~EUR4.4trn GDP), the only G7 country with a AAA rating from all three major agencies, and the third most attractive investment destination in Europe in a 2026 EY survey. It has 1,700 hidden champions in the Mittelstand and R&D at 3.1% of GDP. Foreign companies are already here with an inward FDI stock exceeding EUR1.0tn. Yet between 2019 and 2025, total gross fixed investment in Germany fell 6.4%, while it rose 6.7% in the rest of the eurozone and 20.2% in the U.S. The gap is around EUR390bn versus Europe and up to EUR730bn versus the U.S. Foreign investors are not closing it: announced greenfield investment projects fell 10% in 2025 to 548 and are 44% below 2019, the lowest since 2009. German savers face the same problem. Households and corporations save more than they invest, and the surplus goes abroad (net foreign assets of 87% of GDP) at returns about 5pp below the U.S. and close to 3pp below other European countries since 1975, even below domestic returns. If German savers earn more at home, so can international investors.
- **The problem is not a lack of capital but a lack of sufficiently attractive opportunities to deploy it, for domestic and foreign investors alike.** Net public investment averaged zero between 2002 and 2015. Years of underinvestment should have raised returns on new capital, but high energy and labor costs (compounded by the second-highest OECD tax wedge), bureaucracy (up to EUR146bn of lost output per year, per ifo) and skills shortages prevent it. Investors themselves point to Germany's integration of industry, science and research, legal certainty and skilled workforce as strengths, and to energy costs as Europe's main disadvantage as an investment location. Financing is also a weak point: corporate financing costs are higher than in France or Italy, partly due to a fragmented banking sector, and projects are often too small for institutional investors (11,000 local authorities, 800 municipal utilities).
- **The equation is changing: the fiscal shift kick-starts investment, and reforms and public risk-sharing open the door to private capital, German and international.** The debt-brake reform lifts the deficit from 2-3% to 4-5% of GDP until 2028, funding defense and infrastructure. The "Deutschlandfonds" (EUR30bn of public guarantees and equity) aims to mobilize EUR130bn of private capital by covering risks that private investors will not take alone. Foreign capital is already responding: FDI inflows rose about 50% to EUR86bn in 2025. European sources contributed more than 80% of the total and the UK was the largest single investor at 31%. Domestic savings could add to the pool: shifting 5% of household financial assets out of deposits would mobilize ~EUR450bn, repatriating 10% of net foreign assets ~EUR400bn. The "Altersvorsorgedepot" (from 1 January 2027, ~EUR150bn over five years) and the proposed "Kapitalrente" (a public fund of ~EUR560bn by 2040) would build a domestic institutional investor base, a natural co-investor for international capital. But much of the Altersvorsorgedepot may flow into global funds unless Germany becomes more attractive.

- **Germany's investment gap can therefore become one of Europe's largest investment opportunities, in four verticals: energy, digital infrastructure, transport and mobility, and defense.** In energy, needs reach ~EUR1.3trn by 2045 (about 30% of 2025 GDP) for renewables, grids, storage and hydrogen. Projects are often too small for institutional investors (11,000 local authorities, 800 Stadtwerke), so the enablers are advisory support, standardized tenders and aggregation at district and county level, and low-carbon FDI rose 25% across Europe in 2025. Digital infrastructure needs EUR275-500bn by 2030 (6-11% of GDP) for hardware, telecoms, software and data centers, and foreign capital is already committing, for example Google, Microsoft and Nvidia. The constraint is grid connection and permitting, not capital, so connection approvals should be prioritized. Transport and mobility has EUR166bn planned for 2025-29 (EUR107bn rail, EUR52bn federal roads, EUR8bn waterways), with PPP 2.0 as the enabler: performance-linked service-level agreements and long-term offtake contracts that tie returns to predictable cash flows. Defense financing is ~EUR734bn over five years, enough to meet NATO's 3.5% of GDP target for core defense by 2029, and defense FDI projects rose 84% across Europe in 2025, with simpler regulation and procurement as the enabler. Across all four, the common enablers are faster permitting and procurement, grid access, standardized structures and performance-based PPPs with long-term offtake contracts. Success would lift potential growth and ease pressure on the social state. Failure would leave Germany with higher debt and little improvement in long-term growth.

Germany's chronic investment shortage despite appealing conditions

Germany's recent economic weakness should not obscure its enduring strengths and in-principle attractiveness for investment. After several years of stagnation, the country remains Europe's largest economy, one of the world's leading industrial and exporting nations and home to globally competitive companies, world-class research institutions, deep pools of skilled labor and exceptionally strong public institutions. For long-term investors, Germany offers a rare combination of economic scale, technological capability, political stability and financial strength.

- **Scale matters: Germany is the EU's largest and the world's third-largest economy (~EUR4.4trn GDP) meaning every investment project offers access to a substantial domestic market.** Germany is also the third largest exporter, with one of the world's deepest manufacturing ecosystems, strong in machinery, chemicals, electrical equipment, vehicles pharmaceuticals, industrial automation and precision engineering, carried by a broad network of medium-sized specialist firms. The 2026 EY attractiveness survey ranks Germany as the third most attractive investment destination in Europe, with a narrowing gap towards the top spots (France and UK).
- **Its AAA rating and top institutional quality provide a stable framework for investors.** Germany is the only G7 country that enjoys a AAA rating from the top three agencies, indicative of comfortably solid public finances. It has the top Rule of Law score in the G20 and ranks among the top 20 out of 208 countries in the World Bank's various Governance Indicators, reflecting strong rule of law, effective institutions, democratic accountability and relatively low corruption. This institutional strength provides a predictable and stable framework for businesses.
- **The "Mittelstand:" 1700 hidden champions beyond the 40 global DAX companies form a uniquely strong economic ecosystem.** Around 25% of German exports originate from medium-sized companies that are niche B2B world market leaders. These hidden champions are strong innovators, filing patents at ~5x the rate of large corporates per employee. Many are privately held and often family-owned.
- **Germany is an innovation powerhouse and automation leader.** Ranked 11th out of 139 economies in the 2025 WIPO Global Innovation Index, it hosts seven of the world's leading innovation clusters and performs strongly in science, patent generation and logistics, where it ranks third globally. It is the world's fourth most automated manufacturing economy, with 449 industrial robots per 10,000 manufacturing workers (vs. a global average of 132). Its commitment to innovation is reflected in R&D spending equivalent to 3.1% of GDP, placing it 10th among roughly 80 countries tracked and ahead of the OECD average of 2.7%. Foreign

investors see this similarly: they name the close integration of industry, science and research, legal certainty and the skilled workforce as positives of Germany.[1]

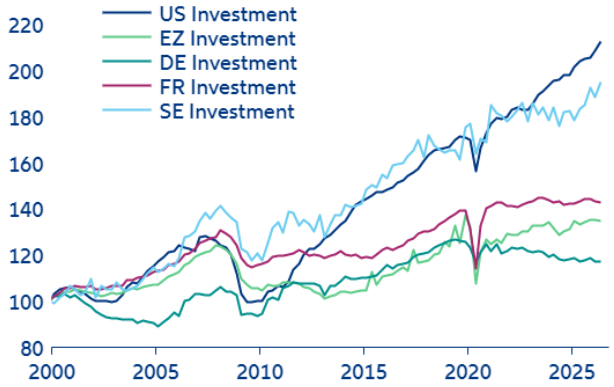
- **Human capital and scientific excellence.** German nationals have won 17 Nobel prizes in scientific fields in the last 30 years alone, most recently this year (for medicine on 5 October). Max Planck Society researchers have been involved in 31 Nobel prizes since the institution's founding. Three German universities are listed in the global top 50 on two different major international rankings: the Technical University of Munich, LMU Munich, which scored a perfect 100% on industry connections, and the University of Heidelberg. The country also has the highest share of STEM graduates in the OECD.
- **Quality of life and attractiveness for global talent.** Three German cities make the global top 10 in Mercer's most recent Quality of Living ranking (Frankfurt, Munich and Duesseldorf). Moreover, Germany is not only among the frontrunners in tackling climate change but also ranks sixth in Yale's Environmental Performance Index, reinforcing its appeal as a destination for international talent.

Despite these structural advantages, a massive investment gap has opened. A key macroeconomic fact about Germany is its chronic lack of investment, which holds back capital accumulation, growth, and productivity. Compared to the U.S., the investment gap is very large (Figure 1): while U.S. fixed investment has increased by a factor of 2 compared to the beginning of the millennium, Germany's has increased only by 20%. Even compared to its EU peers such as France, Sweden, or even the eurozone average, however, German investment lags.

What's more, German investment has declined outright since the pandemic. Between 2019 and 2025, aggregate investments in Germany declined by -6.4%, compared with +6.7% in the rest of the Eurozone and +20.2% in the U.S. which alone leaves an investment gap of around EUR390bn versus Europe or EUR730bn vs the U.S. Foreign investors are not closing this gap. The number of foreign investment projects announced in Germany fell by 10% in 2025 to 548, the lowest level since 2009.[2] The decline was smaller than in France (-17%) and the UK (-14%) but compared with 2019 Germany has lost more: -44%, against -28% in France and -34% in the UK (Figure 2). Unlike in France and the UK, the number has fallen every year since 2019.

Foreign companies are nevertheless well represented in Germany. The stock of inward FDI stood at EUR1.0tn at the end of 2024.[3] The German investment promotion agency GTAI recorded 1,564 foreign investment projects in 2025, 9.3% fewer than in 2024 but a smaller decline than in the EU (-18.1%) and worldwide (-9.5%).[4]

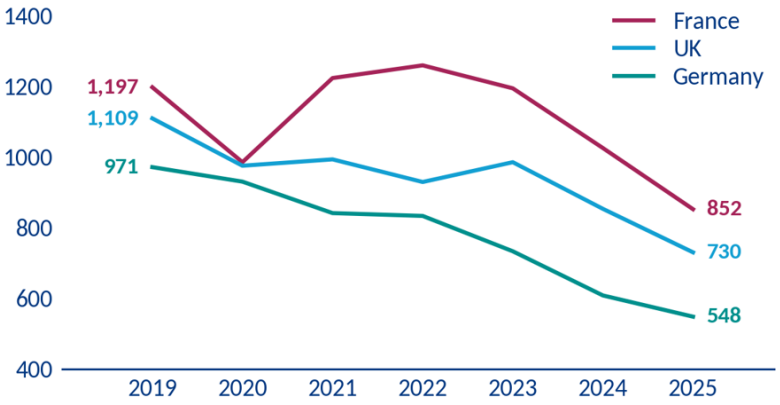
Figure 1: Gross Fixed Capital Formation (Index, 2000=100), Germany showing chronic investment underperformance especially since 2019.



Sources: LSEG Datastream, Allianz Research

[1] GTAI (2026), FDI Report 2025, press release of 21 May 2026.
[2] EY (2026), European Attractiveness Survey, June 2026, and Standort Deutschland 2026, May 2026. EY counts announced projects (new sites and expansions), not the capital invested.
[3] Bundesbank (2026), Deutschlands Direktinvestitionsbestände zum Jahresende 2024 | Deutsche Bundesbank.
[4] GTAI counts greenfield projects, expansions and relocations reported by the federal states and excludes M&A. EY identifies projects through news monitoring and applies different criteria. The two counts are therefore not comparable.

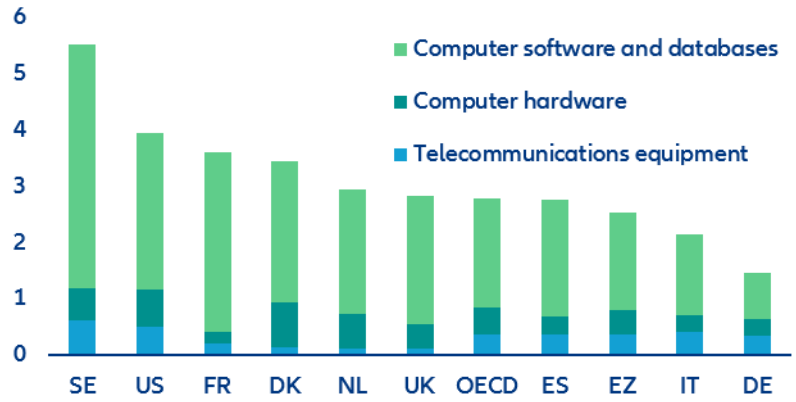
Figure 2: Foreign investment projects announced (number): Germany has fallen further than France and the UK since 2019



Sources: EY European Investment Monitor, Allianz Research

The composition of investment is skewed away from productivity-enhancing items. Germany is a laggard in capex related to information and communication technology (ICT – Figure 3), with ICT-related investment less than half the OECD average as a share of GDP. These are investment items that are crucial determinants of productivity growth.

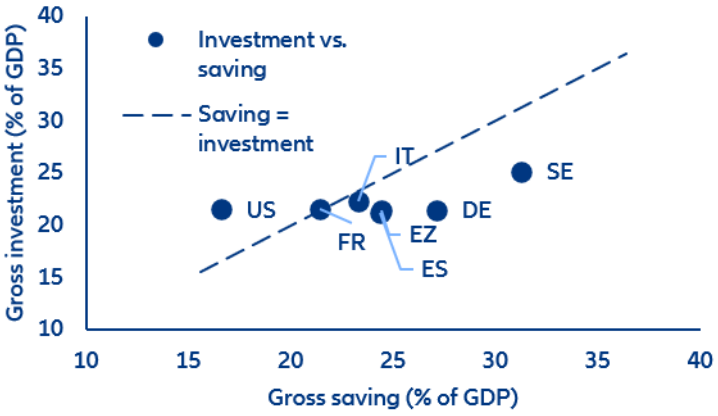
Figure 3: ICT investment by asset (2024, in % of GDP): Germany ranks low compared to peers



Sources: OECD, LSEG Datastream, own calculations, Allianz Research

External shocks don't explain investment underperformance. External shocks – such as the 2007-08 financial crisis, Covid-19, Russia's full-scale invasion of Ukraine, or the Iran war – no doubt played a role. Energy price shocks have suppressed investment in Germany's energy-intensive industrial sectors. However, given that Germany's investment underperformance is chronic, and that its peers were subject to the same shocks, these shocks only offer a partial explanation for Germany's lack of investment.

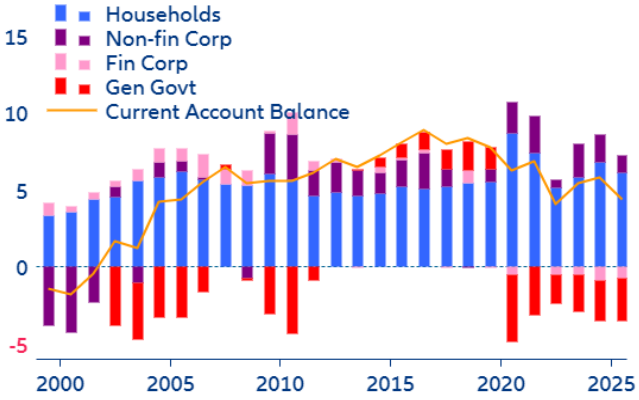
Figure 4: Gross investment versus gross saving in % of GDP (2024): Germany saves but does not invest.



Sources: LSEG Datastream, Allianz Research

Bird's eye view: plenty of saving, not enough investment. Germany's lack of investment is particularly noteworthy given the fact that the economy generates large saving flows (Figure 4). National income accounting identities tell us that the gap between saving (S) and investment (I) is an economy's current account (CA) balance: CA = S – I or, when abstracting from income flows on foreign assets, its export surplus.[5]
Because the identity holds for the economy as a whole and for each sector, we can trace the surplus to its origins by looking at the saving-investment balance of households, government, and financial and non-financial corporations (NFC), which together add up to the current account (Figure 5). It turns out that, in addition to households' persistent surplus of saving over investment, NFC have also been exhibiting saving surpluses. The government now invests more than it saves, after having made positive contributions to the CA balance over much of the 2010s. In turn, CA surpluses imply capital exports: the excess of saving over investment is simply invested abroad.

Figure 5: Saving net of investment by sector, and current account balance (% of GDP): Households have not been the only savers



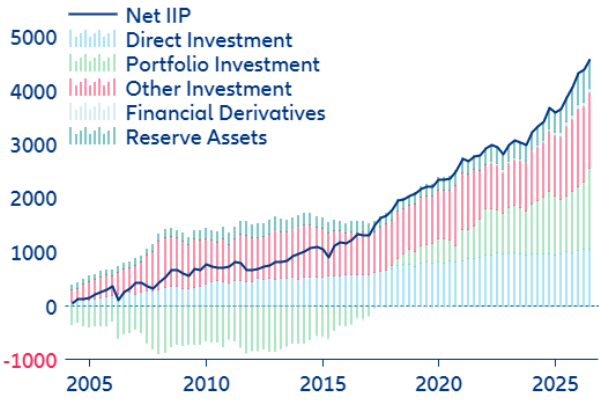
Sources: LSEG Datastream, Allianz Research

[5] Ignoring primary income on net foreign assets and international transfers, the national income identity can be written as Y = C + G + I + NX, that is, GDP equals the sum of consumption, government spending, investment, and net exports. This can be rearranged to give net exports as the difference between saving and investment NX = Y – (C + G) – I = S – I since national saving is the excess of GDP over domestic demand from consumption and government spending S = Y – (C + G). In fact, Germany's primary income balance (income earned on net foreign assets) is now almost as large as net exports. See Bundesbank (2026), Germany's balance of payments in 2025, Monthly Report, March 2026.

Large foreign assets, poor returns

Germany's net foreign assets are 87% of GDP. Germany has amassed a large amount of claims against the rest of the world: its net international investment position (NIIP) – the difference between foreign assets and foreign liabilities – is about 87% of GDP (Figure 6). From a macroeconomic perspective, capital exports can in principle be beneficial for a country if it earns higher returns abroad than at home: the proof of the pudding is in the eating.

Figure 6: Germany's Net International Investment Position (USD bn): Savings go abroad.



Sources: LSEG Datastream, Allianz Research

Returns on foreign assets: low – and inferior to domestic returns. Germany has earned a poor return on its foreign assets for decades. Since 1975, its average annual foreign returns were about 5 percentage points below those of the U.S. and close to 3 points below those of other European countries (Table 1). What's more, Germany's foreign asset returns were considerably lower than the returns on its domestic assets: domestic saving has been systematically directed to foreign assets that earn less than the investment opportunities available at home.[6]

Table 1: Returns on foreign assets 1975-2020 by country: Germany showing subdued returns on its foreign investments.

Rank	Country	Raw total returns			Exc. equity returns
		1975–2020	1999–2020	2009–2020	1999–2020
1	United States	10.48	8.03	8.91	3.79
2	Denmark	9.94	5.39	6.68	0.83
3	United Kingdom	9.79	5.40	3.99	1.41
4	Canada	9.25	5.65	9.23	1.57
5	Sweden	8.76	6.31	5.40	1.49
6	Norway	8.02	6.22	7.61	–
7	Italy	7.65	3.28	4.07	-1.60
8	Spain	7.43	1.88	2.61	-3.43
9	France	7.06	3.79	3.93	-2.15
10	Netherlands	6.63	5.02	6.10	-0.23
11	Germany	4.89	3.76	3.82	-3.16
12	Finland	4.73	4.59	4.78	0.66
13	Portugal	4.59	2.48	1.92	-1.97

Source: Hünnekes et al. (2025).

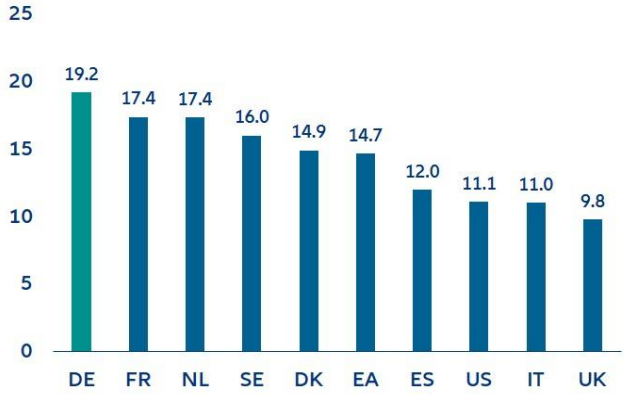
This suggests that Germany's current account surplus – or its export surplus – turns out not to be a "good deal." Instead, more investment at home would be optimal from a macroeconomic perspective. But it also begs the question: what are the reasons for Germany's excess saving?

[6] Hünnekes et al. (2025), Exportweltmeister: Germany's foreign investment returns in international comparison, Journal of International Economics, May 2025.

The multiple origins of chronic investment shortage

Households are risk-averse. Germany's high level of saving is usually attributed to prudent, highly risk-averse households. Indeed, German households' saving rate out of disposable income (Figure 7) is high in international comparison. At the same time, it is "natural" for the household sector in aggregate to feature a surplus of saving over investment. Households face an uncertain income stream but wish to smooth consumption. Consequently, they spread resources over a lifetime through saving making household surpluses a common feature of most economies.

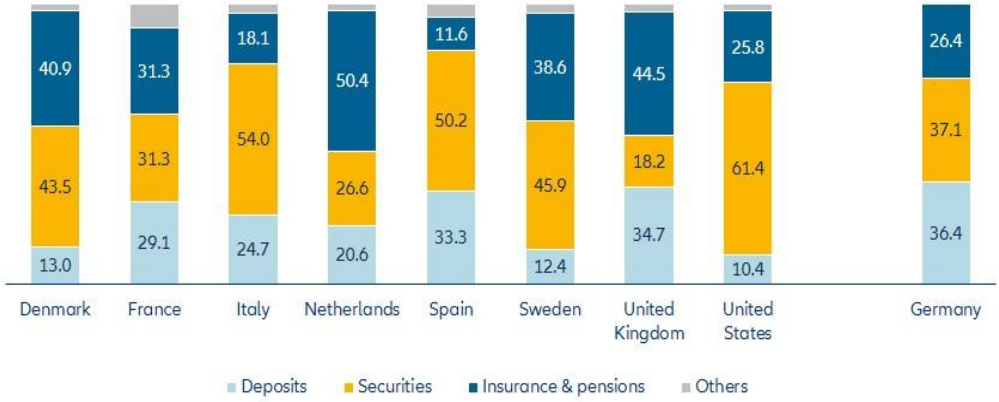
Figure 7: Household gross saving in % of disposable income (2025): German households are heavy savers.



Sources: LSEG Datastream, Allianz Research

Together with other factors such as risk aversion, the lack of a "Kapitalmarktkultur" ("capital markets culture") and financial literacy[7], the institutional setup of pensions provision affects household saving incentives substantially: The public pay-as-you-go pension system reduces the need for households to bear market risk for retirement provision. As a result, German households hold 37% of their financial assets in bank deposits (Figure 8).

Figure 8: Asset classes as % of total gross financial assets: Bank deposits still a key saving vehicle



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG Datastream, Allianz Research.

In turn, banks intermediate those savings in bank deposits into low-risk, low-return assets: corporate loans, which favor incumbent firms (due to established relationships) rather than new, innovative firms; and government bonds (due to favorable regulatory treatment of banks' holdings). As a result, savings contribute little to the creation of risk-bearing capital, and available funds for startups and scaling is scarce.

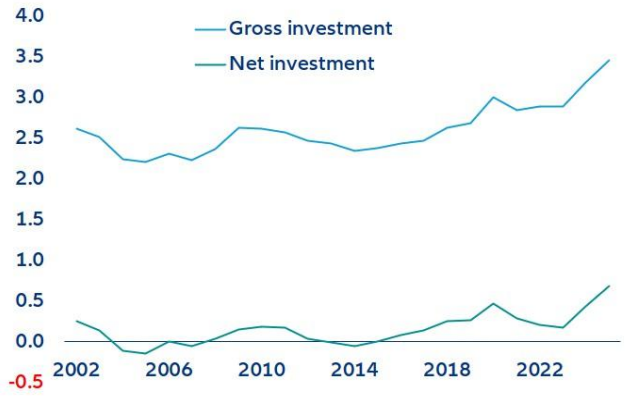
[7] Allianz Financial Literacy Report 2026, Financial Literacy Pays: Smarter Investing Goes Beyond AI.

Figure 5 suggests that, in addition to households, two more sectors have in recent years tended to have a surplus of saving over investment: the general government (federal, state, and local government together with social security funds), and non-financial corporations.

The lack of government investment contributed to a lack of demand and poor infrastructure. Government surpluses of saving over investment partly reflected a lack of public investment. Between 2002 and 2015 net government investment (gross investment less depreciation on the public capital stock) was zero, on average (Figure 9). The government barely invested enough to keep the public capital stock from shrinking.

Only since 2015 gross investment has been sufficient to keep net investment positive. At 3.5% of GDP in 2025, government gross investment is now catching up with peers. As a result of this lack of government investment, Germany's infrastructure has deteriorated, which is likely to have contributed to the lack of domestic investment by firms.[8]

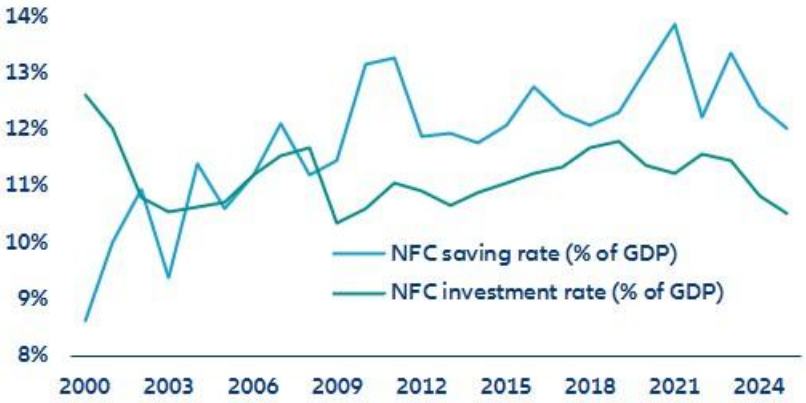
Figure 9: General government gross vs net investment in % of GDP: Improvement underway



Sources: LSEG Datastream, Allianz Research

Corporate surpluses persist. Figure 5 shows that the non-financial corporate (NFC) sector has exhibited a surplus of saving over investment since around the turn of the millennium. Corporate saving is simply retained earnings, i.e. profits kept in the firm after paying interest, taxes and dividends. These surpluses became substantial after the great financial crisis and have persisted since at macro-significant levels (on average since 2010: 1.6 % of GDP; 2025 still 1.1% of GDP). While an excess of saving over investment is "natural" for households, it is not necessarily the case for NFCs. Firms invest to earn returns and will usually borrow to invest (or issue equity). Figure 10 shows the persistent shortfall of NFC investment vs saving.

Figure 10: German non-financial corporations, gross saving vs gross investment, % of GDP: The gap persists



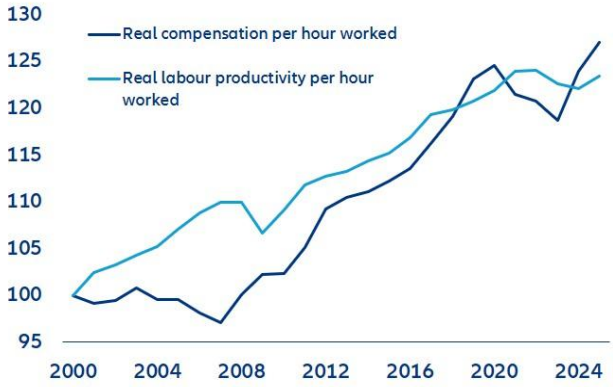
Sources: LSEG Datastream, Allianz Research

[8] In its 2026 survey, German chamber of commerce (DIHK) members cited poor infrastructure as one of the reasons for investing *abroad*. DIHK-Konjunkturumfrage 2026, Sonderauswertung Auslandsinvestitionen.

There are several reasons for the NFC surplus.

- **Wage moderation and strong external demand**. Real wages in the NFC sector have lagged productivity for nearly two decades (Figure 11). Only recently has real compensation for employees caught up. All else equal, wages lagging productivity would have boosted firms' profits. Strong external demand, if not accompanied by a commensurate increase in investment spending, will do the same. As shown in Figure 10, gross NFC saving jumped during periods of strong global demand (2009-11 and after the pandemic, 2020-22).
- **Lack of domestic demand**. Wage moderation and a lack of public investment contributed to sluggish domestic demand, in turn suppressing economic growth. One consequence was that it made investment in faster-growing overseas markets more attractive.
- **Tax incentives favoring retained earnings.** German corporate tax reforms (2001, 2008) made retaining profits more attractive than paying dividends, lowering payout rates and raising NFC gross saving.[9] These incentives matter in Germany because a large share of corporate profits are generated by privately held firms. In privately held firms, owners' personal tax incentives, rather than pure profit maximization, may shape payout decisions. As the additional saving was not absorbed by investment (Figure 10), it resulted in higher net lending.

Figure 11: Real compensation vs real value added per hour in the non-financial corporate sector (index, 2000 = 100): wage restraint has contributed to non-financial sector surpluses until recently



Sources: LSEG Datastream, Allianz Research

Economic theory suggests that years of underinvestment should raise expected returns and attract capital. In Germany, however, a range of supply-side constraints is preventing this adjustment from taking place. Energy costs remain elevated following the loss of cheap Russian pipeline gas and the shift towards more expensive LNG imports, compounded by high taxes and network charges. Businesses surveyed by EY in 2026 also see the cost of energy as Europe's main disadvantage as an investment location, although 60% of them expect Europe's attractiveness to improve over the next three years.[10] Labor costs are also burdened by Germany's exceptionally high tax wedge, the second highest in the OECD. Bureaucracy further weighs on competitiveness. According to the ifo economic research institute, excessive administrative requirements reduce annual output by up to EUR 146bn, or roughly 4% of GDP.[11] Although Germany ranks 12th out of 45 countries for overall business attractiveness, it ranks second-to-last on costs.[12] Other structural weaknesses are equally apparent. Demographic decline is reducing the supply of skilled labor, while transport, logistics and digital infrastructure bear the consequences of years of underinvestment. Financing conditions are less favorable than in France or Italy, despite lower German risk-free rates, with the fragmented banking system likely playing a role. These long-standing challenges are now being compounded by structural shocks. Competition from China has intensified to the point that Germany runs a negative trade balance with China even in capital goods, for decades its core strength. Meanwhile, parts of the automotive sector misjudged both technology and market positioning, favoring combustion engines and fuel cell technology

[9] See Dao, Mai Chi (2020): Wealth Inequality and Private Savings: The Case of Germany. IMF Working Paper 20/107.
[10] EY (2026), European Attractiveness Survey, June 2026 (500 executives surveyed between February and March 2026). The results refer to Europe as a whole.
[11] Bürokratie in Deutschland kostet jährlich 146 Milliarden Euro an Wirtschaftsleistung | Pressemitteilung | ifo Institut
[12] EconStor: Wirken die Maßnahmen der neuen Bundesregierung auf Investitionen in Deutschland? Ergebnisse einer Unternehmensbefragung

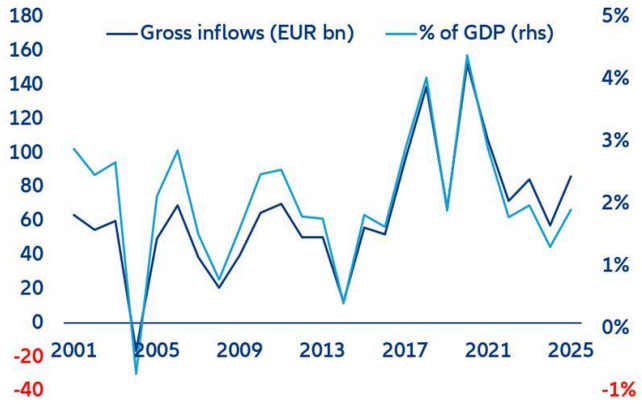
over affordable electric vehicles. As a result, the higher returns that theory predicts after prolonged underinvestment are being eroded by a combination of cost pressures, institutional inefficiencies and structural headwinds.

What needs to be done: Germany's fiscal push is a first step, but private capital needs to follow

Germany's fiscal push heralds potential investment turnaround. Yet at least some of the demand-side reasons for Germany's large surpluses of saving over investment are on the mend. The German government has put in place a large fiscal expansion centered on infrastructure capex and defense. Following the reform of its debt brake in 2025, public deficits are expected to rise from around 2-3% to 4-5% of GDP in the next years, funding hundreds of billions of euros in additional spending on infrastructure, defense, energy, climate mitigation & adaption and digitalization. The government's fiscal package thus promises to kill two birds with one stone when it comes to improving German investment perspectives. In the short run it boosts investment spending, while in the longer run it improves public infrastructure, spurring private investment demand.

Government money alone is not enough: attracting private capital is necessary. Closing Germany's investment gap will require more than public funding. The scale of the country's investment needs is such that substantial private capital must also be mobilized. Foreign capital is already responding to some extent. Based on Bundesbank data, FDI inflows rose by about 50% to around EUR86bn in 2025, after a fall of almost 32% in 2024 (Figure 12).[13] Investors from the UK raised their investment by 284% to EUR26bn and are now the largest single source (31% of the total), while U.S. investment fell by 44% to EUR11.8bn. Other EU countries contributed EUR43bn, so European investors account for more than 80% of the total.

Figure 12: Foreign direct investment inflows to Germany, EUR bn and % of GDP: Rebound in the making



Sources: LSEG Datastream, Allianz Research

Germany's challenge is not a shortage of capital but rather directing this capital towards productive investment. German households hold around EUR9trn in financial assets, a large proportion of which, by international standards, sits in cash and bank deposits (EUR3.4trn).[14]. Meanwhile, the country's net foreign asset position exceeds EUR4.0trn (87% of GDP). Unlocking even a small portion of these savings could have a transformative impact. Shifting just 5% of German households' financial assets out of deposits into more productive assets would mobilize roughly EUR450bn of investment capital. In addition, repatriating for example 10% of the country's net foreign investments would translate to EUR400bn of additional domestic capital.

Making Germany more attractive for private investment starts with raising expected returns. Years of underinvestment have already increased the potential returns on capital, as scarcity raises the marginal product of capital. But unlocking this opportunity requires reducing regulatory barriers, expanding standardized investment structures and strengthening the investment culture through tax incentives, pension and insurance reforms, public-private partnerships standards and strategic investment funds. Bottlenecks such as permitting, procurement, deal structuring and regulatory friction must be reduced. A key enabler for all relevant investment opportunities is

[13] Bundesbank (2026), German balance of payments in 2025 | Bundesbank publications.
[14] Pension funds and life insurance products account for EUR2.5trn and securities for EUR3.1trn.

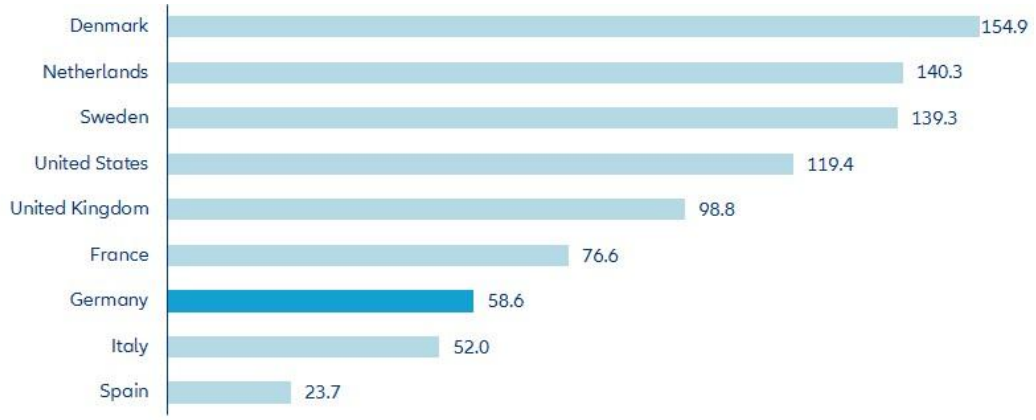
simplification: permitting and procurement procedures need to be accelerated and harmonized to reduce lead times. The rapid build-out of LNG terminals following the 2022 energy crisis proved that Germany is capable of quick infrastructure investments.

The newly set up "Deutschlandfonds," with its EUR30bn guarantees and equity targeting to mobilize EUR130bn in private capital, is an important step in the right direction as it directly targets the gap between Germany's capital-willing private investors and the risk they won't take on without a public backstop. It covers guarantees for large-scale capex in key sectors (power generation, hydrogen, automotive supply chains); a raw materials fund securing critical minerals through extraction, processing, and recycling and expanded venture financing for start-ups, scale-ups, deep tech, AI, biotech and defense.

"Water, water, everywhere, nor any drop to drink": Germany's intermediation problem. The issue of available saving versus domestic investment – or the country's current account surplus – is in large part about *where* Germany invests. A related, but separate, question is how the savings that stay domestic are used. It turns out that another factor holding back investment in Germany is the intermediation of existing savings. Germany, like many other EU countries, is particularly lacking in long-term capital due to the underdevelopment of pension funds (Figure 13), since public pay-as-you-go (PAYG) systems dominate retirement income provision.[15]

Key reform: towards a more funded retirement system. Scandinavia and the Netherlands, economies with similar "culture" to Germany, have much higher stock market capitalization as a share of GDP not least because households accumulate claims on private pensions, which in turn recycle savings into the domestic equity market (Figure 14).[16] The development of pension funds is the key reform because they are upstream of venture capital and private equity in the financing chain.

Figure 13: Insurance and pensions assets as % of nominal GDP, 2025: underdeveloped in Germany



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG Datastream, Allianz Research.

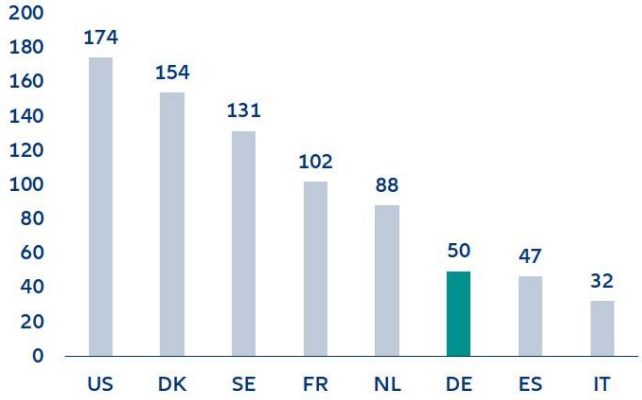
The pension commission's proposal for a funded "Kapitalrente" financed by an additional 2% contribution starting from 2028 and invested in a public fund alongside private alternatives, would be a major step in the right direction.[17] It would add a capital-funded component to the pay-as-you-go system in pillar 1 and channel household retirement saving into equity markets at scale. According to estimates, the public fund could reach around EUR560bn by 2040 (8% of GDP) and become one of the world's largest pension funds within two decades.[18] This would create a domestic institutional investor base that sits upstream from venture capital and private equity.

As an additional pillar 3 contribution to Germany's pension system, the forthcoming "Altersvorsorgedepot" can also strengthen domestic investment. This reform, which has already been passed, will replace the Riester pension from 1 January 2027. Savers will be able to invest in shares, funds and ETFs without a capital guarantee. The state will pay up to 50 cents for every euro saved, up to a total of 360 euros, and an additional 25 cents for every euro saved up to a total of 1,800 euros. This results in a maximum annual subsidy of 540 euros. It is estimated that around

[15] The Draghi report on EU competitiveness.
[16] The comparatively low capitalization of the German stock market may also be due to the aforementioned large share of privately owned firms.
[17] The commission proposes to implement the "Kapitalrente" in annual 0.5pp steps, so the full 2% contribution would only be reached in 2031.
[18] Schaffranka, Claudia and Milena Schwarz (2026): Der öffentliche Fonds der Kapitalrente: Eine Größenordnung. SAFE Policy Letter 120.

EUR150bn will be invested over five years.[19] However, much of the money is likely to flow into global funds, which have traditionally had only a small allocation to Germany. Without efforts to improve investment conditions in Germany, this could therefore further exacerbate the already high net international investment position.[20]

Figure 14: Stock market capitalization in % of nominal GDP (four-year average, 2022-2025)



Sources: LSEG Datastream, Allianz Research

How to invest in Germany: focus on key investment themes and incentives

From underinvestment to investment opportunity – why now is the right time to close Germany's up to EUR730bn investment gap. Germany's investment gap presents both a problem and an opportunity. Years of underinvestment have created enormous modernization needs and, in principle, high marginal returns to new capital. Until now, structural bottlenecks prevented investors from capturing those returns. The combination of fiscal expansion, reform and public-private risk sharing could now begin to change that equation. The key question that arises next is where and how to invest. The answer can be found in four key areas: energy, digital infrastructure, transport and mobility and defense.

Energy transition: The move towards net-zero emissions and greater geopolitical resilience will require substantial investment in renewable energy, electricity grids, storage solutions and hydrogen infrastructure. Germany will require around EUR1.3tn in investments for renewables, grid infrastructure, storage and hydrogen by 2045, which is equivalent to 30% of GDP in 2025. Financing vehicles and project pipelines are key enablers. However, with around 11,000 local authorities and 800 municipal utilities ("Stadtwerke"), individual projects are often too small to attract institutional investors. To address this, municipalities and regions should be supported through advisory services, standardized tender frameworks and training programs to facilitate the structuring of investable public-private partnerships. Greater participation by districts ("Regierungsbezirke") and counties ("Kreise") would facilitate project aggregation and create scalable investment pipelines. Foreign investors are showing interest here: according to EY, the number of low-carbon energy FDI projects in Europe rose by 25% in 2025.[21]

Digital infrastructure: Digitalization and digital infrastructure are critical drivers of productivity growth. It is estimated that a cumulative investment of between EUR275bn and 500bn will be required by 2030, equivalent to 6–11% of GDP in 2025. This includes spending on computer hardware, telecommunications equipment, software and AI-related infrastructure, such as data centers. Grid access and permitting reform are key enablers. Germany should therefore prioritize grid-connection approvals and permitting procedures for data centers and digital infrastructure, treating computing capacity with the same urgency as energy security. Multi-year connection queues have become the primary constraint on Germany's AI and digital expansion, rather than a lack of capital or demand. Foreign capital is already committing: Google plans to invest EUR5.5bn in Germany until 2029, Microsoft announced

[19] Indefi (2026): The German Pension Reform and the Shape of Things to Come
[20] In addition, the "Frühstartrente" would extend capital-funded provision to children: the state pays EUR10 monthly into a depot from age six until 18. However, the resulting macroeconomic investment volume would be lower than that of the other additional reforms. The Bundestag is set to vote on this measure on 16 October 2026.
[21] EY (2026), European Attractiveness Survey, June 2026. The figures for low-carbon energy, AI and defense refer to Europe as a whole.

EUR3.2bn in 2024 and Nvidia is part of a EUR1bn data center project with Deutsche Telekom in Munich.[22] AI-related FDI projects in Europe rose by 96% in 2025, and the number also went up in Germany although total FDI projects declined.

Transport and mobility: Modernizing transport infrastructure is another major investment priority. The Ministry of Transport plans to invest EUR166bn between 2025 and 2029, including EUR107bn for rail, EUR52bn for federal roads, and EUR8bn for waterways. A key enabler is performance-based concessions. A new generation of public-private partnerships (PPP 2.0) should be based on performance-linked service-level agreements and long-term offtake contracts that link investor returns to measurable and predictable cash flows.

Defense: German defense financing is expected to reach approximately EUR734bn over five years, enabling the country to meet NATO's target of spending 3.5% of GDP on core defense by 2029. Planned procurement includes land systems, air power, air and missile defense, long-range strike capabilities, unmanned systems, munitions, and space security assets. Foreign investors are also moving in: the number of defense FDI projects in Europe rose by 84% in 2025 to 107.[23] Only seven of them were in Germany, against 20 in the UK, 14 in France, 12 in Ukraine, 10 in Spain and nine in Poland (Figure 14). Key enabler: simplification. As in other sectors, reducing regulatory and procurement complexity will be crucial to accelerating investment and delivery.

What is at stake

Germany has a rare opportunity to transform today's fiscal stimulus into a sustained investment boom. If successful, the country could benefit significantly from a renewed capital influx. Not only would it lift growth from the demand side in the short run, it would also raise potential growth and boost long-term growth for decades. The benefits would extend beyond Germany – Europe cannot afford for its largest economy to remain its weakest link.

The gains would be economic and political. Stronger growth, functioning infrastructure and rising prosperity would help to restore confidence in institutions, strengthening the foundations of the social state and reducing some of the economic drivers behind the current political polarization. However, successful and bold reforms, as well as investors willing to support Germany's renewed momentum, are equally essential to achieving this outcome.

Failure would come at a high cost. While fiscal spending could provide a temporary boost, structural weaknesses would persist, leaving Germany with higher debt and little improvement in long-term growth. The consequences would extend beyond the economic sphere, including continued dependence on foreign energy and technology, further erosion of Europe's stability and competitiveness, and continued political polarization and populism. Germany's investment challenge is therefore about much more than just growth. It concerns the future economic and political resilience of Germany and Europe as a whole.

[22] Company announcements: Google (November 2025), Microsoft (February 2024), Deutsche Telekom and Nvidia (November 2025).
[23] EY (2026), Standort Deutschland 2026, May 2026.

These assessments are, as always, subject to the disclaimer provided below.

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The statements contained herein may include prospects, statements of future expectations and other forward-looking statements that are based on management's current views and assumptions and involve known and unknown risks and uncertainties. Actual results, performance or events may differ materially from those expressed
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Allianz Pulse 2026 on AI

The Uneasy AI Revolution: Rapid Adoption, Growing Anxiety and Europe's Preparedness Gap

14 October 2026

Allianz Research

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Executive Summary



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- **The Allianz Pulse Survey takes the temperature of European households each year on the economic, political and societal issues shaping their lives, with the 2026 edition focusing on artificial intelligence.** As AI moves into everyday life and work, the survey explores how people use the technology, what they expect from it and how prepared they feel for the changes it will bring. For its eighth edition, we surveyed a representative sample of 1,000 adults in each of Germany, France, Italy, Spain, Poland and Austria, adding the UK and US for the first time. This provides a transatlantic perspective on how people are experiencing and anticipating the AI transition.

- **Europe is embracing AI, but adoption is less advanced and less work related than in the US, with large differences within Europe.** Across all eight countries surveyed, 48% of respondents use AI at least weekly, with the US and Spain leading at around 55%, while Germany, France and Austria remain in the low 40s. The generational divide is particularly striking: 77% of Gen Z use AI weekly, compared with just 23% of Boomers. Moreover, adoption has yet to translate fully into workplace use: among AI users, 53% use it mainly for private purposes, 20% mainly for work or study and 27% across both contexts. Just under half therefore use AI at least partly for work or study, with the share highest in the US (52%), the UK (51%) and Spain (49%), but only 37% in Germany. Germany stands out as the country where AI adoption is most concentrated in private life, while Spain shows that high AI adoption and workplace use are not uniquely American.

- **Europeans see the benefits of AI for themselves, but are considerably more skeptical about what it means for the economy and jobs, especially compared with Americans.** Net sentiment towards AI is -34% overall, meaning negative views exceed positive views by 34pp. It deteriorates to -43% for the economic impact and -67% for jobs. The views about the job impact of AI are deeply negative, even as positive productivity expectations exceed negative expectations by 30% across all respondents, while 35% expect little or no impact. The US provides a clear contrast on employment: its jobs sentiment stands at -44%, still negative but considerably less so than the survey average. Within Europe, the picture varies strongly: Austria (-81%) and France (-75%) are the most pessimistic about the AI impact on jobs, while Spain combines high AI adoption with less negative attitudes towards AI's expected job impact (-66%). Across countries, young, urban and high-income respondents are the demographic groups most positive about AI. More broadly, the observed AI skepticism is closely associated with an overall weak confidence in economic progress: respondents with negative views of AI also tend to hold gloomier views of both the economy and the future.

- **As AI adoption spreads, concerns about its impact on jobs are intensifying, even though most people expect task transformation rather than outright job destruction.** Among countries surveyed in both years, net sentiment on AI's impact on jobs fell by around 12pp, from -55% in 2025 to -67% in 2026. The deterioration was particularly pronounced in Europe: Austria's jobs balance fell by around 19pps, while Germany and France also recorded double digit declines. Yet this is not primarily a story of expected mass unemployment. Only 7% expect their job to disappear entirely, while 21% expect significant parts to be replaced and 26% expect AI mainly to augment their work. First-hand experience changes expectations substantially: 41% of workplace AI users anticipate augmentation, compared with only 11% of non-users, although they are also more likely to expect task replacement (40% versus 17%). Exposure appears to make both the risks and opportunities more tangible, particularly the potential for AI to support rather than replace workers.

- **Europe risks entering the AI transition with too little investment in workers, while training continues to favor those already ahead.** Only 17% of all employed respondents across countries have received AI training at work, compared with 30% in the US. The lack of training opportunities is a major bottleneck: 44% report that their employer offers no AI training at all. The European range is wide, with participation falling to just 10% in Poland, while training is also significantly more common among tertiary educated workers. This suggests that access to training risks reinforcing existing divides in skills and opportunity. The transatlantic contrast is particularly concerning: The US combines more intensive AI use with greater employer-led preparation, while parts of Europe combine limited workplace adoption with stronger fears of labor-market disruption.

- **People fear that AI will widen inequality and want stronger safeguards against its risks.** Across the entire sample, 37% expect AI to increase inequality, 34% think it will stay the same, compared with only 9% who expect a reduction. Austria records the strongest expectation of widening inequality, while Poland is the least concerned, though the balance is positive everywhere. People worry less about what AI might become than about harms it already causes: misinformation (25%), data privacy (21%) and job losses (17%) top the list, ahead of loss of control over advanced AI (16%). The net support for stronger regulation, calculated as the share of respondents in favor minus the share opposed, increased by 17pp, from +61% in 2025 to +78% in 2026. This does not signal outright resistance to AI: Spain combines high adoption with strong support for regulation, showing that enthusiasm for the technology and demand for safeguards can coexist.

- **For Europe, the central challenge is therefore to accelerate productive AI adoption while ensuring that its benefits are broadly shared.** The survey points to five priorities. First, move AI from private experimentation into productive workplace use by lowering implementation costs, especially for SMEs. Second, close the training gap through employer-led, occupation-specific learning. Third, shift labor-market policy from protecting existing jobs to supporting transitions into new tasks and roles. Fourth, make sure the productivity dividend is broadly shared through skills, wider household participation in capital markets and tax systems that adapt to shifts in income from labor to capital. Fifth, strengthen trust through targeted, proportionate regulation addressing misinformation, data misuse and labor-market risks without stifling innovation. Ultimately, success will be measured by AI's ability to deliver broadly shared productivity gains, stronger employability and greater confidence in economic progress.



Adoption: Broad but shallow and still mostly private

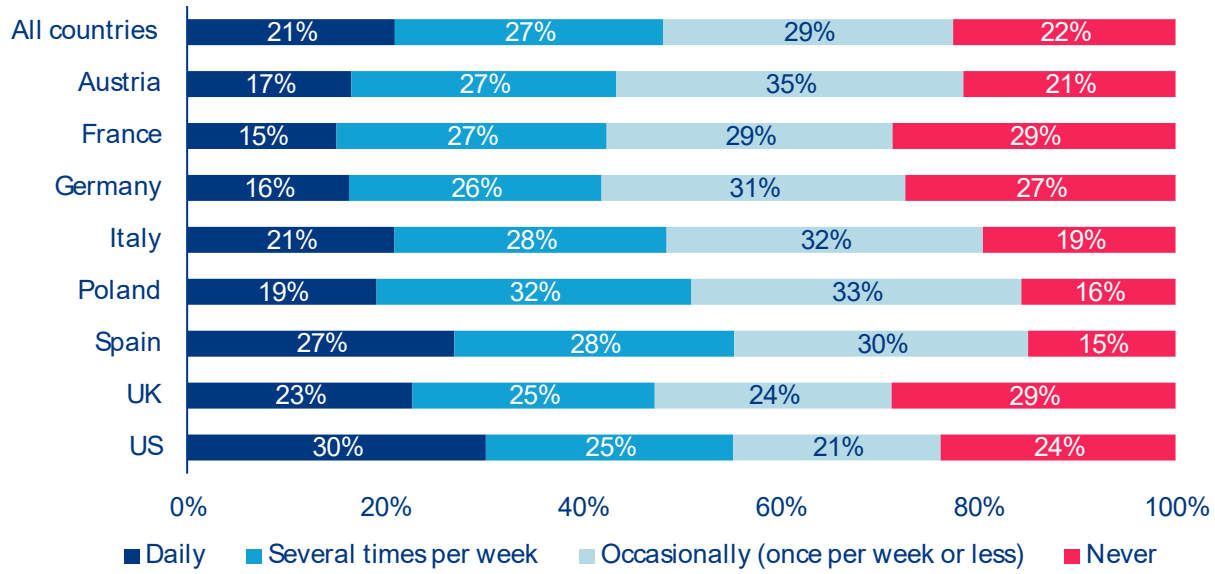
AI adoption is unfolding at historically unprecedented speed, but usage intensity remains uneven. Generative AI has reached mass adoption faster than earlier general-purpose technologies such as the personal computer or the internet, and our survey shows that more than three-quarters of respondents have already used AI tools. Yet only 21% use them daily and 22% have never used them at all (Figure 1). Weekly use reaches 48% across the sample, led by the US and Spain, at around 55%, while France, Germany and Austria remain in the low 40s. The transatlantic difference lies mainly in intensity rather than reach: the share that has never used AI is similar in Europe and the US, but daily use is materially higher in the US, at 30% compared with around 20% in Europe. Spain shows that high engagement is not uniquely American.

The largest divides are within societies rather than across the Atlantic. More than three-quarters, or 77%, of Gen Z use AI at least weekly, more than three times the 23% share among Boomers (Figure 2). Millennials are closest to Gen Z in AI adoption (65% weekly users), while Gen X (43%) occupy the middle ground. Large gaps also run through income, education and geography: 59% of high-income respondents use AI weekly compared with 40% of low-income respondents, while usage rises from 40% among the primary-educated to 58% among those with tertiary education. Urban respondents are also substantially more engaged than rural ones, at 57% versus 34%. The gender gap in weekly AI use is evident but smaller than other gaps: Weekly adoption is higher among men than women, at 51% versus 45%. Overall, AI use is already widespread, but the intensity and economic relevance of that use differs sharply across demographic groups.

AI is still used more in private life than at work. Among users, 53% employ AI primarily for private purposes, compared with 20% who use it mainly for work or study and 27% who use it for both (Figure 3). The private-use share ranges from 48% in the US to 63% in Germany, while exclusive work or study use varies only from 14% in Germany to 23% in France. Combining those who use AI mainly for work or study with those who use it across both professional and private contexts, just under half of users employ AI at least partly for work or study. The share is highest in the US (52%), the UK (51%) and Spain (49%), compared with only 37% in Germany. Germany therefore stands out as the clearest case where AI adoption remains concentrated in private life. The US and UK, by contrast, have the highest shares of users spanning both professional and private contexts, at 33% and 31%, respectively, suggesting somewhat deeper integration of AI across different parts of everyday life.

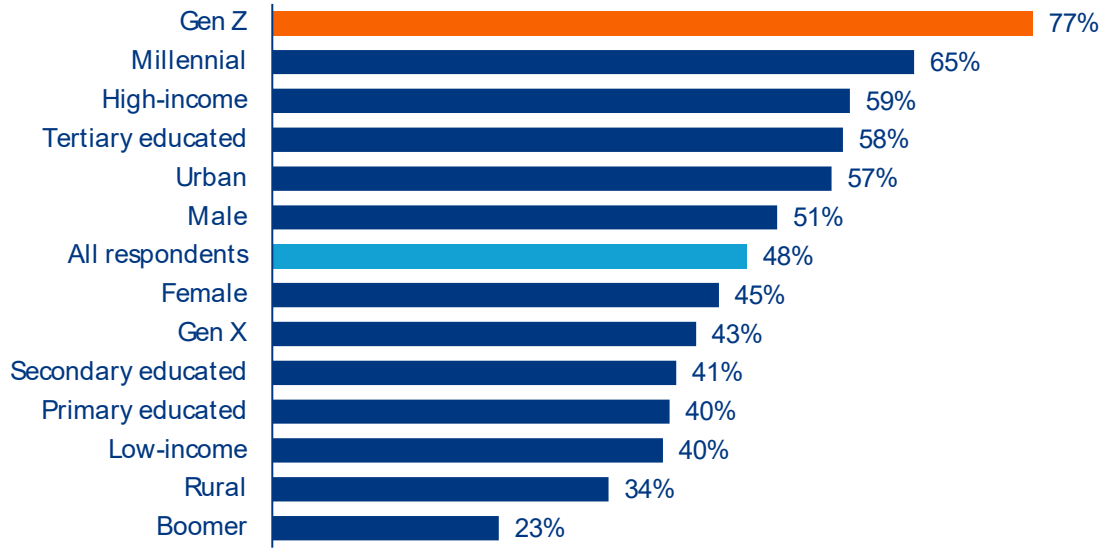
Age matters considerably more than country for how AI is used. Almost four in five Boomers (78%) use AI mainly privately, compared with only 8% mainly for work, although this partly reflects the fact that many in this age group are already entering or in retirement. Among Gen Z, the split is almost perfectly balanced: 35% use it mainly for work or study, 35% mainly privately and 30% for both. Millennials occupy the middle ground here, with 44% using AI mainly privately, 22% mainly for work or study and 34% for both. Notably, the gender gap in how AI is used is surprisingly small: men and women use AI across private and professional purposes in a similar way, even though weekly adoption remains somewhat higher among men than women, at 51% versus 45%.

Figure 1 : Broad but shallow AI adoption.
Frequency of AI use, share of respondents, in %



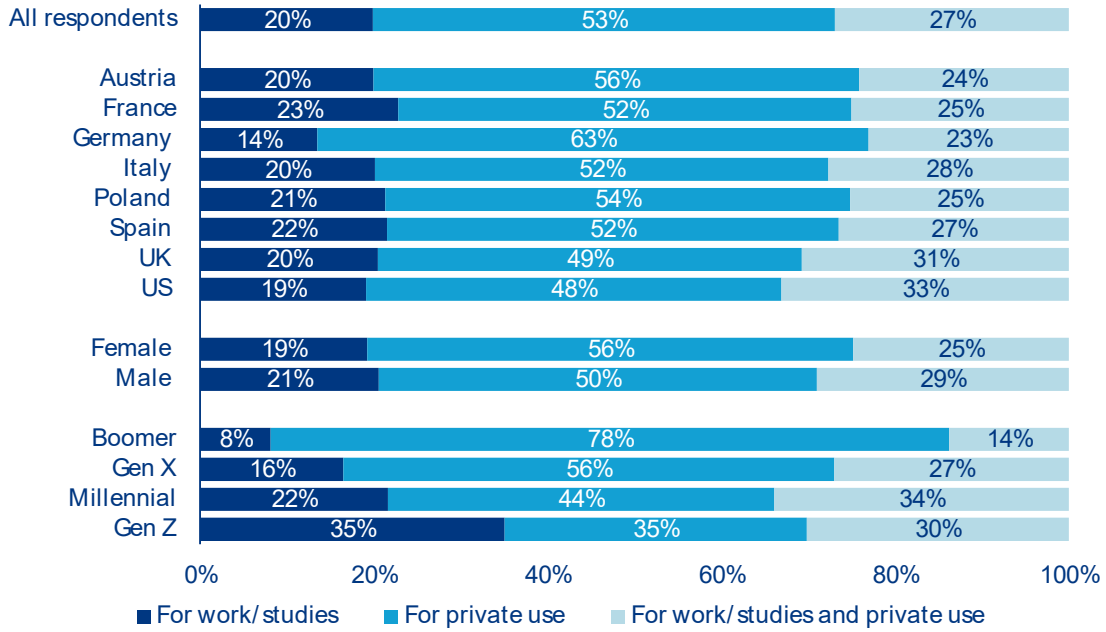
Source: Allianz Pulse 2026, Allianz Research.

Figure 2: Gen Z uses AI three times as often as Boomers.
Share using AI at least weekly, share of respondents, by group, in %



Source: Allianz Pulse 2026, Allianz Research.

Figure 3: Private rather than for work and a generational divide.
Main context of AI use, share of respondents who are AI users, in %



Source: Allianz Pulse 2026, Allianz Research.

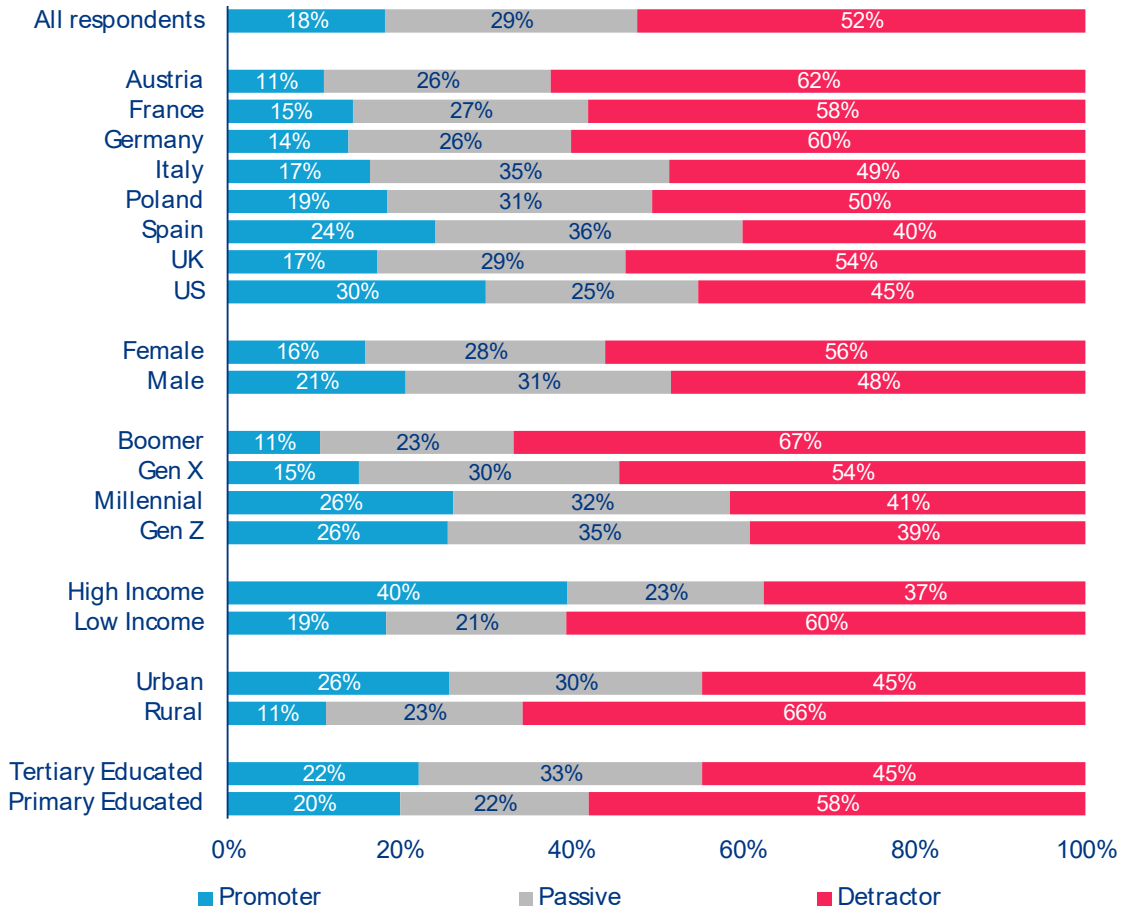


Attitudes: the wider the lens, the darker the view

AI is already widely used, but most people view the new technology with anxiety rather than enthusiasm (Figure 4). To capture respondents' overall attitude towards AI, we asked them to rate their general views about the technology on a scale from 0 (very negative) to 10 (very positive). Using the established net-promoter-score metric, we classify respondents into detractors (scores 0-6), passives (scores 7-8) and promoters (scores 9-10). Across all respondents in the eight countries surveyed, 52% classify as AI detractors, compared with just 18% promoters, while 29% fall in between as passives. In every country surveyed, the share of detractors far exceeds the share of promoters, underscoring people's high levels of uncertainty and anxiety around AI. Spain stands out as the country with the lowest share of AI detractors at 40% and the second-highest share of promotors at 24%. The most positive, or least negative, AI attitudes are found in the US with the highest promoter share at 30%. At the other end, the two countries with the most negative views about AI are Germany and Austria with only 14% and 11% promoters but 62% and 60% detractors, respectively.

The divide in AI attitudes is just as striking across demographic groups, pointing to a broader gap in who feels comfortable with the AI transition. Promoters are disproportionately young, urban and high-income. Almost 40% of high-income respondents are promoters, more than twice the share among low-income respondents (19%), while only 37% of the high-income group are detractors compared with 60% of the low-income group. Age shows an even sharper divide, with two-thirds of Boomers classified as detractors compared with 39% of Gen Z. Geography matters too: 66% of rural respondents are detractors, compared with 45% of urban respondents. Education, however, tells a more nuanced story. Tertiary-educated respondents are less likely to reject AI outright than those with only primary education, but they are not much more likely to embrace it: promoter shares are 22% and 20%, respectively. That may reflect the double-edged nature of AI for knowledge workers. They are better placed to use the technology, but many also work in occupations where tasks are especially exposed to the technology.

Figure 4: AI enthusiasm remains the minority view.
AI attitudes by country and demographic group, in % of respondents



Note: Respondents rated their overall attitude towards AI on a scale from 0 (very negative) to 10 (very positive). Detractors, passives and promoters follow the classification used throughout the report.
Source: Allianz Pulse 2026, Allianz Research.

The central finding is a striking gradient in AI attitudes, which become steadily more negative as the lens widens from the individual to the economy and the labor market. Having established who falls into the promoter, passive and detractor camps, we use the same classification to compare attitudes across different dimensions of AI (Figure 5). For each question, net sentiment is the share of promoters minus the share of detractors; passives therefore do not affect the balance. On this measure, sentiment towards AI in general stands at -34% across the sample, underscoring the dominant share of detractors. When we widen the lens to AI's effect on the economy, net sentiment falls to -43%. Widen it once more to AI's effect on jobs and it drops to a stark -67%, the most negative reading in the entire survey. The latter number means that the 75% of respondents with negative assessments outnumber the 8% of respondents with positive ones by 67pp. This gradient shows that people are relaxed about the tool in their own hands but fearful of it in the labor market. No single country or demographic group escapes this pattern.

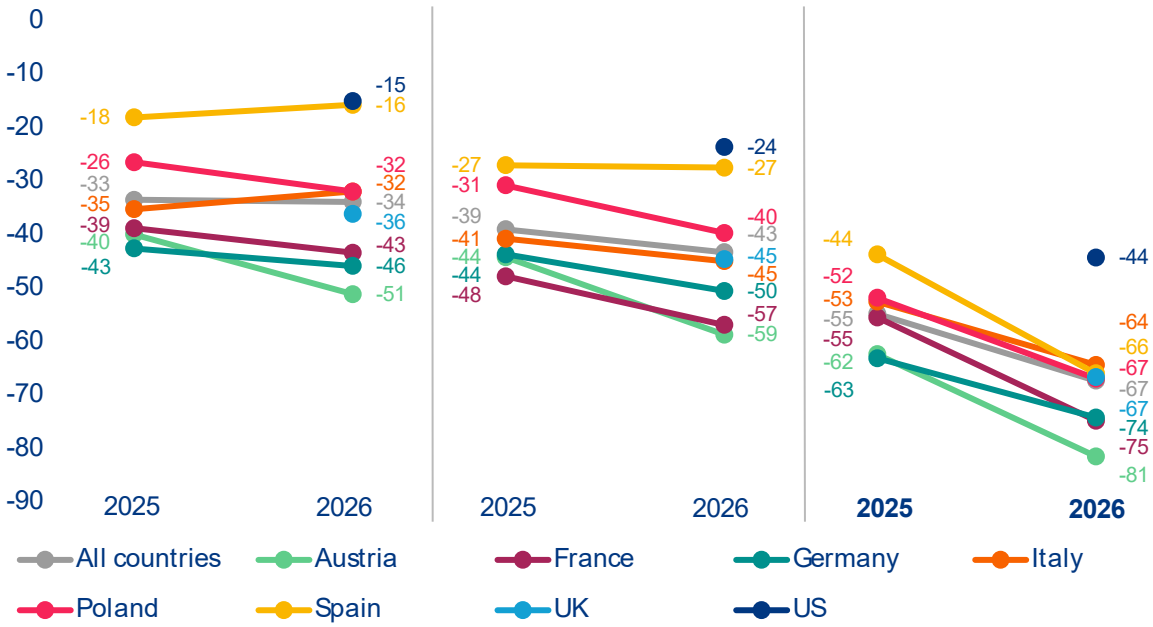
Across countries, the same downward gradient holds, but the intensity of AI skepticism varies sharply: the US is the most positive, Austria and France are the most negative, while Spain combines high overall enthusiasm with pronounced concern about jobs. Respondents from the US have consistently the mildest view on AI across general attitude, impact on the economy and jobs. In particular, the US reading of a net AI sentiment on jobs of -44%, stemming from 20% promoters and 64% detractors is the highest in the sample, although it is still deeply negative. On the other end of the spectrum, Austria is the most skeptical throughout, with net sentiment on AI's impact on jobs falling to -81%, followed closely by France at -75%. Spain provides perhaps

the most revealing contrast: it is the most enthusiastic European country towards AI in general, yet records the steepest deterioration when the lens shifts to jobs. High engagement with AI therefore does not remove concerns about labor-market disruption.

As AI adoption accelerates, public sentiment is moving in the opposite direction: attitudes towards the technology have deteriorated across the board over the past year. Comparing responses with 2025, sentiment towards AI in general has edged lower, views of its economic impact have become more negative and concerns about jobs have intensified most sharply. The net balance on employment plunged by 12 pp, from -55% to -67%, with Austria recording a particularly steep decline of around 19pp and Germany and France also seeing double-digit drops. The bottom line: the more widespread AI becomes, the more uneasy people feel about its consequences. And these concerns may have deepened further, as the survey predates the latest public debate around advanced AI and its safety risks.

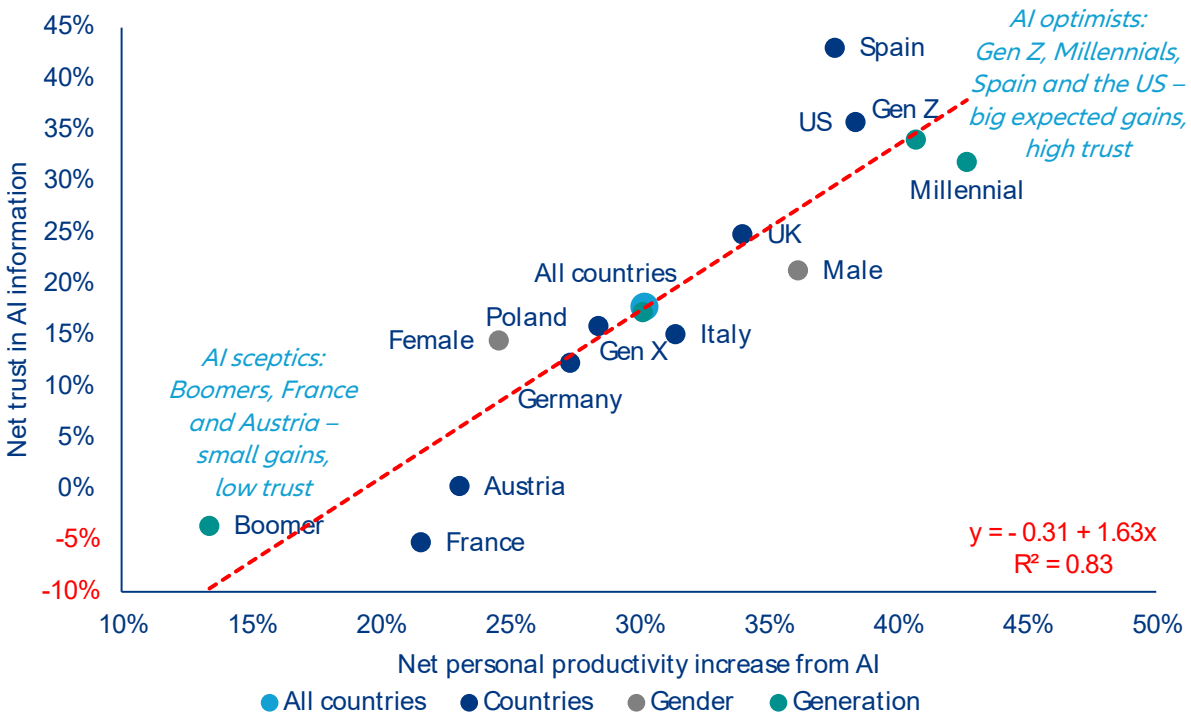
The one bright spot is the personal frame, where more people expect AI to help rather than to harm them, and productivity and trust move together (Figure 6). More respondents expect AI to raise their own productivity rather than to lower it, for a net of +30%. A slim majority trust the information AI provides, for a net of +18%. Trust and expected productivity move closely together across countries and demographic groups. France sits at the skeptical end, with net distrust of AI information at -5%, alongside Austria at close to zero and Boomers at -4%. At the other end are Spain (+43%), the US (+36%) and younger generations.

Figure 5: The wider the lens, the darker the view, and every frame has worsened.
Net AI sentiment for AI in general, its economic impact and its labor-market impact, 2025 versus 2026, in %



Note: The AI sentiment questions asked respondents to rate their attitudes on a scale from 0 (very negative) to 10 (very positive), following a net promoter score logic. Net sentiment is the share of promoters minus the share of detractors. The UK and US are observed in 2026 only.
Source: Allianz Pulse 2026, Allianz Research.

Figure 6: Trust and expected productivity move together.
Net trust in AI information and net expected effect on personal productivity, share of respondents, in %



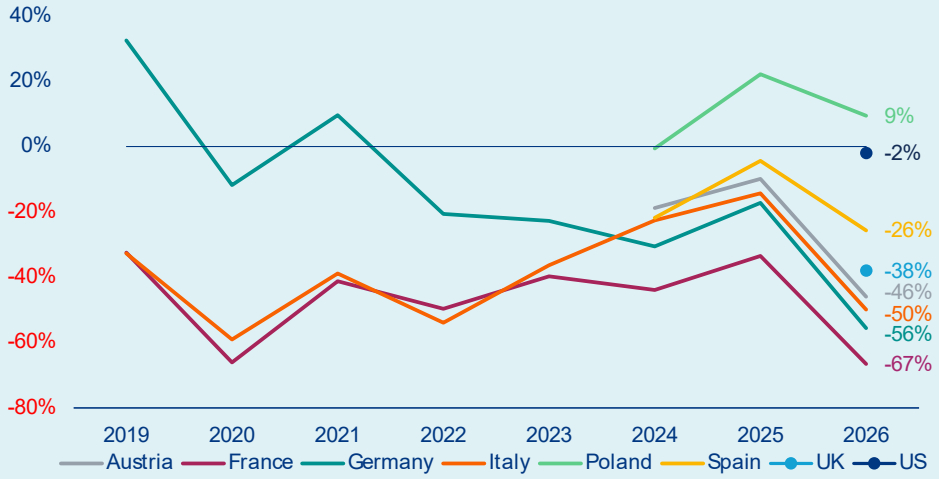
Note: Net values are the share positive minus the share negative.
Source: Allianz Pulse 2026, Allianz Research.

Box 1: Is AI adding to the economic confidence crisis?

Every year, the Allianz Pulse tracks how households view the economy and their own prospects. In 2026, economic confidence fell back toward pandemic-era lows, raising a new question: Could growing fears about AI be adding to pessimism about both the near-term economic outlook and future generations' prospects for prosperity? As AI becomes part of everyday life and work, its potential to transform jobs, incomes and living standards adds a new dimension to how people assess their economic future.

Economic sentiment has deteriorated sharply across most countries. Since 2019, the Allianz Pulse has tracked assessments of current economic conditions and future prospects. Our economic sentiment indicator averages the net balances of positive minus negative responses to both questions. In 2026, it stands at -67% in France, -56% in Germany, -50% in Italy and -46% in Austria (Figure 7). Germany recorded the sharpest reversal, falling from -17% in 2025 to -56%, below even its reading during the Covid pandemic. Poland remains the only positive outlier at +9%, while the UK (-38%) reflects the subdued mood across Western Europe. The US, included for the first time, is close to neutral at -2%.

Figure 7: Economic confidence falls towards pandemic-era lows as AI adoption accelerates.
Net economic sentiment by country, 2019-2026, in %



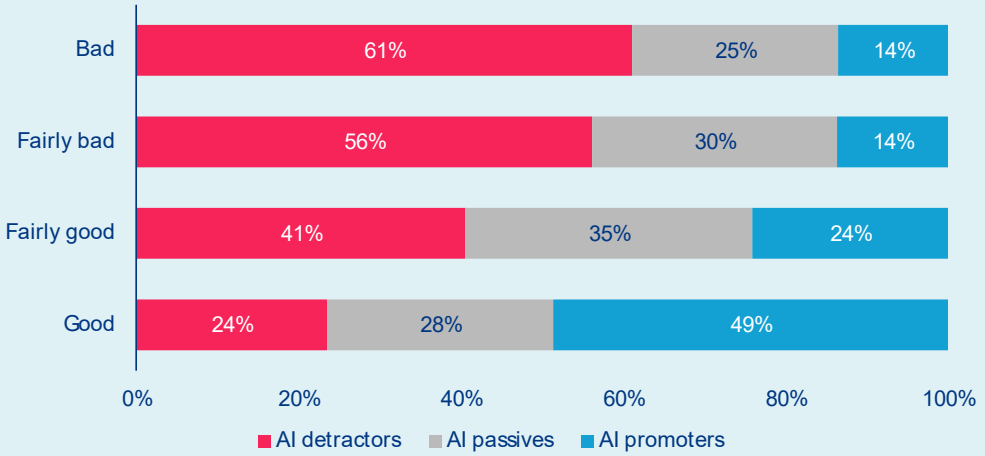
Note: Net sentiment is the average of the net balances for the current economic situation and future prospects, each defined as the share rating the economy good minus the share rating it bad. Austria, Poland and Spain enter the series in 2024; the UK and US in 2026.
Source: Allianz Pulse 2026, Allianz Research.

Economic pessimism and AI skepticism are closely intertwined. Among respondents who assess the economy as "bad", 61% have negative views about AI and only 14% are positive about it. Among those who see the economy as "good", the picture is almost reversed: Just 24% are AI detractors, while 49% are promoters (Figure 8). The relationship is gradual: Moving from a "fairly bad" to a "fairly good" assessment reduces the detractor share from 56% to 41% and raises the promoter share from 14% to 24%. However, the direction of the relationship remains unclear. Economic pessimism may fuel AI skepticism, concerns about AI may weigh on confidence, or both may reflect broader anxieties about the future.

The relationship holds across countries, but its strength varies considerably. It is particularly pronounced in the US, where the share of AI detractors falls from 62% among respondents who rate the economy as bad to just 12% among those who rate it as good, while the promoter share rises from 19% to 68%. The UK and Germany show similarly steep

gradients, although the most economically optimistic groups are small and should be interpreted with caution. Spain stands out in the opposite direction: AI attitudes vary much less with economic confidence, and even respondents who assess the economy negatively remain comparatively receptive to the technology. The relationship between economic confidence and AI sentiment is therefore far from uniform across countries.

Figure 8: The better the view of the economy, the more AI promoters.
AI attitudes by assessment of the national economy, in %.



Note: Respondents are grouped according to their assessment of the current national economic situation as bad, fairly bad, fairly good or good. AI attitudes are classified as detractors, passives and promoters based on respondents' overall assessment of AI.
Source: Allianz Pulse 2026, Allianz Research.

Beyond the immediate economic outlook, confidence in generational progress is also fading. Only 18% of respondents expect the next generation to be better off than today, while 50% expect it to be worse off, resulting in a net balance of -32%. Pessimism increases with age: The balance stands at -14% among Gen Z but falls to -43% among Boomers. The generation whose future is at stake is thus substantially more optimistic than older cohorts. The US stands out: Expectations for the next generation are close to neutral overall, and young Americans are the only group in the survey that expects future generations to be better off.

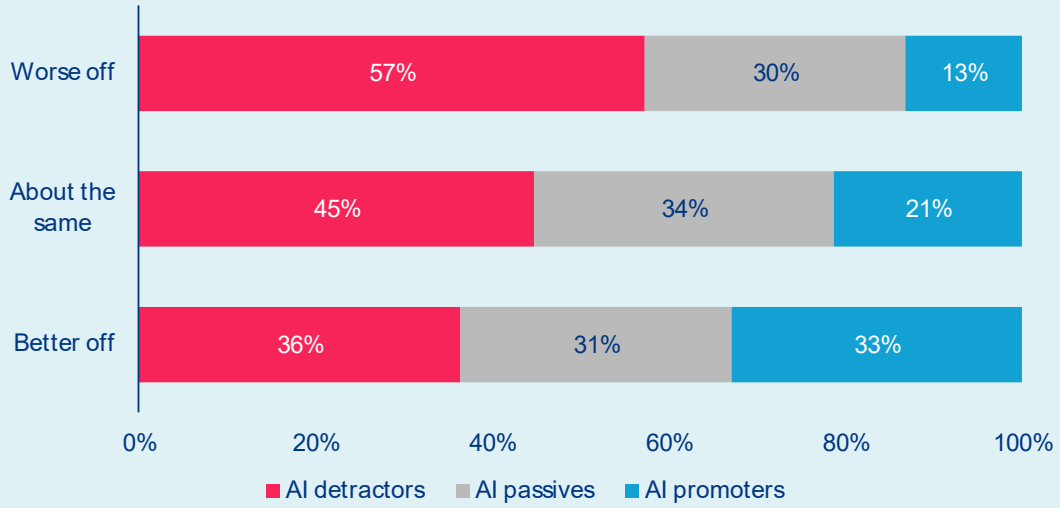
Doubts about generational progress go hand in hand with more negative views of AI. Only 18% of respondents expect the next generation to be better off than today, while half expect it to be worse off. Among respondents who expect the next generation to be worse off, 57% are AI detractors and only 13% promoters. Among those who expect an improvement, detractors and promoters are almost evenly matched, at 36% and 33%, respectively (Figure 9). This translates into a roughly 40pp difference in net AI sentiment, from -44% among generational pessimists to close to neutral (-4%) among optimists. The relationship holds across countries, although national differences remain significant. Among those expecting generational progress, net AI sentiment is positive in the US (+34%), the UK (+23%) and Spain (+3%), but remains negative in Germany, France and Austria.

The US offers a glimpse of how attitudes might evolve once the economic benefits of AI become more tangible
AI-related investment, including information-processing equipment, software, R&D and data centers, accounted for an estimated 39% of US real GDP growth in the first three quarters of 2025[1]. At the same time, rising equity valuations have boosted household wealth, with AI enthusiasm playing an important role. This wealth channel is particularly

[1] The Federal Reserve Bank of St. Louis estimates that investment in information-processing equipment, software, R&D and data centers contributed 0.97pp to US real GDP growth in the first three quarters of 2025, equivalent to 39% of total growth. See: https://www.stlouisfed.org/on-the-economy/2026/jan/tracking-ai-contribution-gdp-growth

strong in the US, where households hold a much larger share of their financial assets in securities than their European counterparts. Americans are therefore experiencing AI not only as a potential source of labor-market disruption but also as an investment and wealth boom[2]. This may help explain why both economic sentiment and AI attitudes are less negative in the US, although the benefits remain unevenly distributed. The central challenge is to ensure that AI strengthens confidence in economic progress rather than becoming another source of insecurity. This will depend not only on delivering productivity gains but also on making their benefits visible, tangible and broadly shared.

Figure 9: AI optimism goes hand in hand with faith in generational progress.
AI attitudes by expectations for the next generation, in %



Note: Respondents are grouped according to whether they expect the next generation to be better off, about the same or worse off. AI attitudes are classified as detractors, passives and promoters based on respondents' overall assessment of AI.
Source: Allianz Pulse 2026, Allianz Research.

[2] Global financial assets increased by 8.6% in 2025, with valuation gains accounting for roughly 80% of the increase. See: Allianz Global Wealth Report 2026, https://www.allianz.com/en/economic_research/insights/publications/global-wealth-report-2026.html



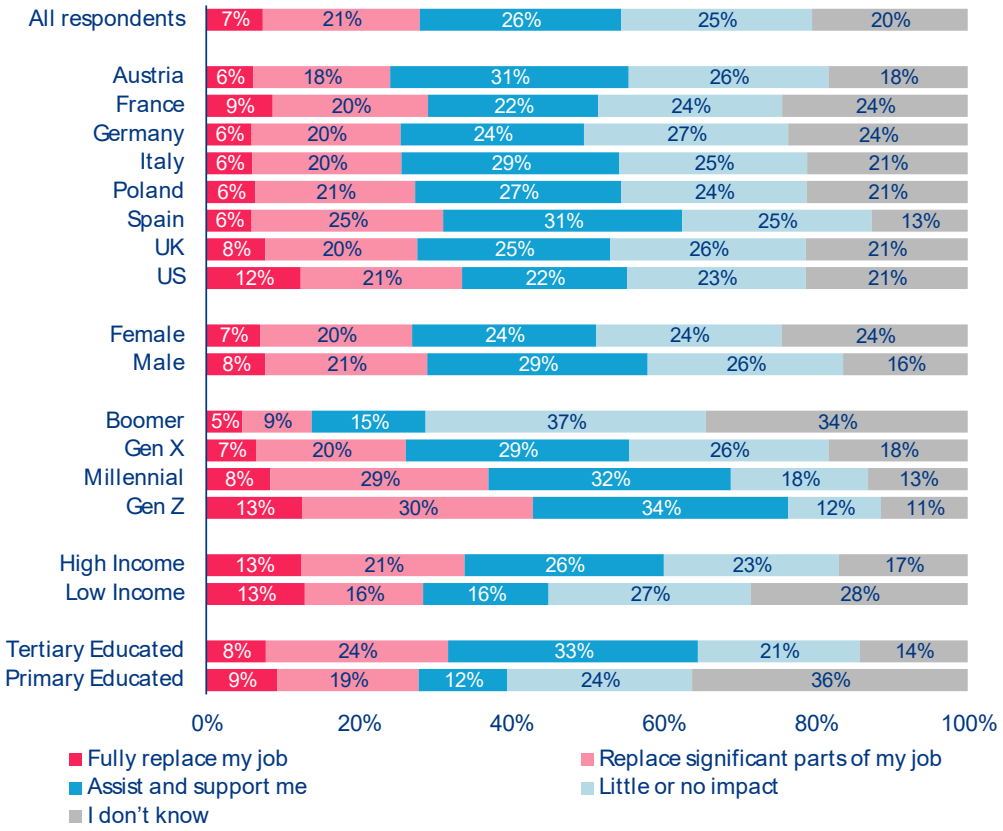
Jobs: rising concern, but task disruption rather than job destruction

People are deeply pessimistic about AI's impact on jobs in general, yet relatively few expect their own job to disappear. The bigger concern is how tasks will change and who will be able to adapt (Figure 10). Net sentiment towards AI's impact on jobs stands at -67%, the most negative reading on AI attitudes in the survey. However, only 7% of respondents expect AI to replace their own job entirely within the next five years. A further 21% expect significant parts of their work to be replaced, while 26% expect AI mainly to assist and augment what they do. Another 25% foresee little or no impact, while 20% do not know. The apparent paradox between very negative views of AI's overall impact on employment and relatively limited fears of personal job loss can therefore be reconciled: people expect AI to reshape tasks and job content even if they do not expect mass unemployment (see our forecast on the macroeconomic and labor market impact of AI in Box 2).

Across countries, the main difference is not whether people expect change, but whether they see AI primarily as a substitute, a complement or an unknown. The US records the highest expectation of outright displacement: 12% expect their job to disappear entirely, almost twice the European average, and another 21% expect significant parts to be replaced. Spain also anticipates substantial change, with 25% expecting significant task replacement, but this is matched by the highest share expecting AI to assist their work (31%, alongside Austria) and the lowest level of uncertainty in the sample at just 13%. Austria similarly leans towards augmentation, with 31% expecting AI to assist and support them. France and Germany, by contrast, stand out less for replacement fears than for uncertainty: around one in four respondents do not know how AI will affect their job. These differences suggest that labor-market anxiety has different forms across countries: substitution fears are more pronounced in the US, expectations of task reconfiguration are strongest in Spain, while parts of Europe remain unsure about what the transition will mean in practice.

Expectations of both augmentation and automation due to AI are highest among younger and highly-educated respondents, the same groups that are also more exposed to the technology in their daily lives and work. Some 43% of Gen Z expect AI to replace their job either entirely or in significant part, compared with just 14% of Boomers. At the same time, 34% of Gen Z expect AI mainly to assist them at work, more than twice the share among Boomers (15%), while only 11% say they do not know what AI will mean for their job, compared with 34% of Boomers. A similar pattern emerges by education. Almost one-third of tertiary-educated respondents expect full or significant replacement (32%), compared with 28% among those with primary education, but they are also almost three times as likely to expect augmentation (33% versus 12%) and far less likely to be uncertain (14% versus 36%). Income differences point in the same direction: high-income respondents are somewhat more likely than low-income respondents to expect full or significant replacement (34% versus 29%), but also more likely to expect AI to assist them (26% versus 17%), while uncertainty is much higher among low-income respondents (29% versus 17%). The divide is therefore not simply between groups that expect disruption and those that do not: the groups most exposed to AI tend to expect more change in both directions, while less exposed groups are much more uncertain about what the technology will mean for them.

Figure 10 : More expect disruption than outright replacement, but a fifth simply do not know.
Expected effect of AI on own job in five years, share of respondents, in %



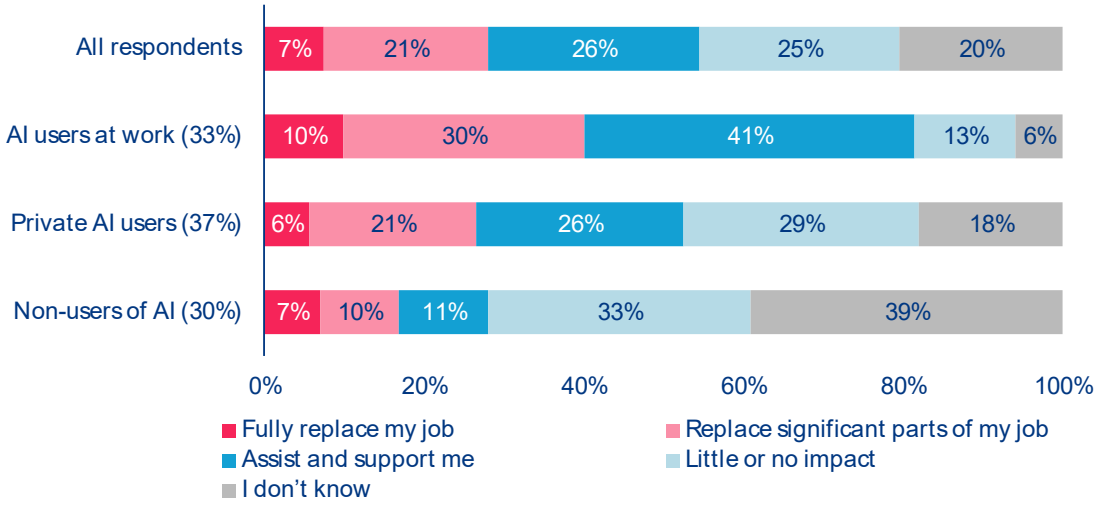
Source: Allianz Pulse 2026, Allianz Research.

To assess whether direct exposure to AI changes how people expect it to affect their jobs, we split respondents into three mutually exclusive groups according to how they currently use the technology. Around one-third already use AI at work (33%), comprising both those who use it mainly at work and equally at work and at home, while 37% use it only privately and 30% do not use AI at all. We then compare expectations for AI's impact on their own job across these three groups, using the full sample as a benchmark. This allows us to distinguish whether greater exposure is associated primarily with fears of replacement, expectations of augmentation or simply a clearer view of how work is likely to change.

The more people use AI at work, the more job transformation they expect, but exposure raises expectations of augmentation even more strongly than fears of replacement (Figure 11). Among AI users at work, 40% expect AI to replace their job entirely or take over significant parts of it, compared with just 17% of non-users. However, the gap is even larger on the positive side: 41% of workplace users expect AI mainly to assist and support them, almost four times the 11% share among non-users. This asymmetry fits with our earlier finding that people who already use AI tend to view the technology more positively. Exposure appears to make both the disruptive and complementary potential of AI more tangible, but it is especially the expected upside that is missing among non-users.

The other striking gradient is uncertainty, which falls sharply as exposure to AI increases. Only 11% expect augmentation, while 33% foresee little or no impact and another 39% simply do not know what AI will mean for their job. Together, almost three-quarters of non-users therefore either expect no meaningful effect or cannot yet assess one, compared with just 19% of workplace users. Private-only users again occupy the middle ground: 27% expect full or significant replacement, 26% augmentation, 30% little or no impact and 18% remain uncertain. The gradient suggests that direct experience shifts perceptions away from indifference and uncertainty towards a much more concrete view of AI as both a source of task substitution and a tool for productive support. AI users have thus a much clearer view of how the technology could change their work, seeing both greater disruption and substantially greater potential for augmentation.

Figure 11: AI users at work see AI mainly as an assistant but also fear most for their job.
Expected effect of AI on own job in five years by type of AI users, share of respondents, in %



Note: Groups based on "In which context do you mainly use AI tools?": AI users at work = mainly for work/studies or equally for work/studies and private purposes; private AI users = mainly for private purposes; non-users = do not use AI yet (incl. those planning to) or do not plan to use it. The shares of the groups are given in parentheses.
Source: Allianz Pulse 2026, Allianz Research.

Box 2: AI and the labor market: Disruption first, productivity gains later

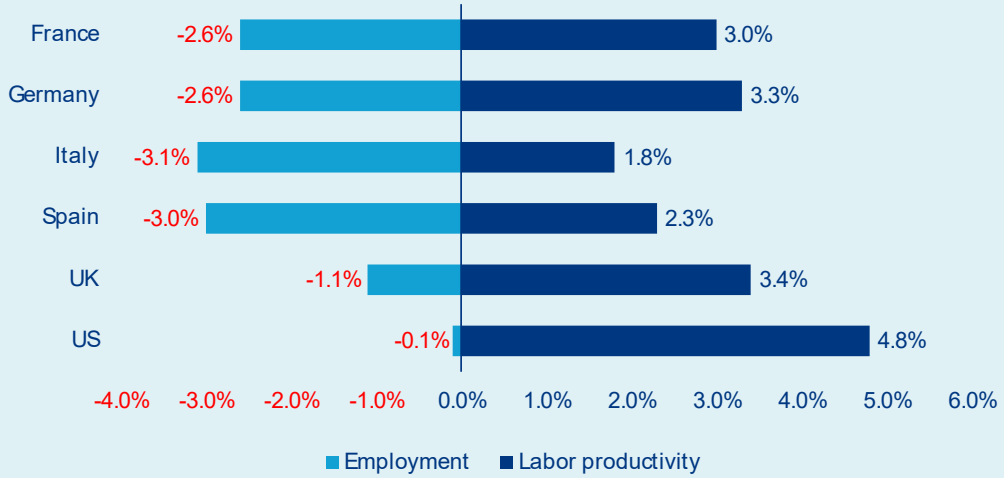
AI is likely to reshape far more jobs than it destroys, but the scale of labor-market adjustment will still be substantial. Our estimates suggest that AI could affect 23% of jobs across the major advanced economies over the next one to three years[3]. The estimate is built bottom-up from more than 800 occupations, which we classify according to four possible AI impacts: no exposure, automation, augmentation or reorganization. We aggregate these occupation-level effects into sectoral AI-exposure scores and then to the country level, taking into account sectoral employment shares as well as structural factors such as AI adoption and preparedness, labor-market regulation and unit labor costs. Job reorganization is the largest channel, accounting for 10% of jobs, as workers remain in their roles but AI takes over or changes some of their tasks. A further 8% of jobs face a higher risk of automation, while 5% could benefit from augmentation. Exposure across countries differs markedly, largely because of differences in their sectoral composition as well as structural factors, such as labor market regulations and the institutional context. In the US, where finance, ICT and other knowledge-intensive services account for a larger share of employment, 29% of jobs could be affected, compared with 15% across the major European economies. Within Europe, the share ranges from 18% in the UK and 16% in Germany to 14% in France, 12% in Spain and just 9% in Italy. The US therefore faces greater near-term disruption, but is also better-positioned to capture the productivity and employment gains from AI.

The first effects are likely to appear in hiring and job composition rather than in a sudden rise in aggregate unemployment. Early evidence already points in this direction: more AI-intensive sectors in the Eurozone have seen weaker employment growth since late 2022, while younger and less-experienced white-collar workers in routine cognitive occupations appear particularly exposed. AI may therefore initially show up through fewer entry-level positions, slower hiring and weaker wage growth in exposed occupations rather than large-scale layoffs. The main medium-term risk is a transition gap: firms can reorganize and automate tasks faster than workers can move into newly created roles. Around 25mn jobs across the US and the major European economies are estimated to be subject to automation risk, while new AI-related employment will only partly offset displacement in the near and medium term.

Over the longer term, we expect both substantial productivity gains and a moderately negative impact on employment, but the gains are likely to be larger in the US than in Europe (Figure 12). Our ten-year estimates assume that the AI transition follows a so-called J-curve, with investments and costs upfront, while the gains will only be realized later[4]. AI-related investment already adds around 0.4pp to US GDP growth in 2026, but the immediate productivity gains are limited as they get absorbed by reorganization costs and labor-market adjustment. By 2030, US GDP is projected to grow +0.6% faster annually, while employment will be 1.5% lower relative to a world without AI. Thereafter, the productivity dividend becomes more visible: by 2036, cumulative labor productivity is around +4.8% above the no-AI baseline in the US, while the employment effect largely unwinds to -0.1%, equivalent to roughly -170,000 jobs. In Europe, productivity gains are more muted and employment effects more persistent: employment remains below the no-AI baseline across the major economies, reaching around -2.9% in Spain (-650,000 jobs) and -3.1% in Italy (-740,000 jobs), while Italy records the smallest productivity gain at around +1.8%. Germany and France also remain below baseline on employment, although by less than Spain and Italy. However, these employment losses will unfold against a rapidly shrinking workforce in the ageing European societies: by 2036, labor supply is set to decline by 5.6mn workers in Germany, 4.2mn in Italy and 2.3mn in Spain. Europe therefore faces a double labor-market challenge from demographic change and AI. The silver lining is that AI may partly compensate for a shrinking workforce in aggregate, but not one-for-one, because AI-related displacement will not necessarily occur in the same occupations, sectors and regions where labor shortages emerge. Overall, the US combines the highest near-term AI exposure with the smallest long-run employment loss, reflecting faster adoption, stronger investment and more effective reallocation. Europe, by contrast, faces a more persistent employment drag and smaller productivity gains, but part of the AI-related displacement could help cushion the effects of ageing.

[3] See: Allianz Research (2026), "Happy Labor Day? How geopolitics, immigration and AI will reshape work," 30 April 2026,
[4] See: Allianz Research (2026), "Half-Time Outlook 2026-27: AI holds the score, growth slows to +2.5%", 8 July 2026,

Figure 12: More productivity, but also labor-market adjustment.
Cumulative 10-year impact of AI on employment and productivity relative to no-AI baseline, in %



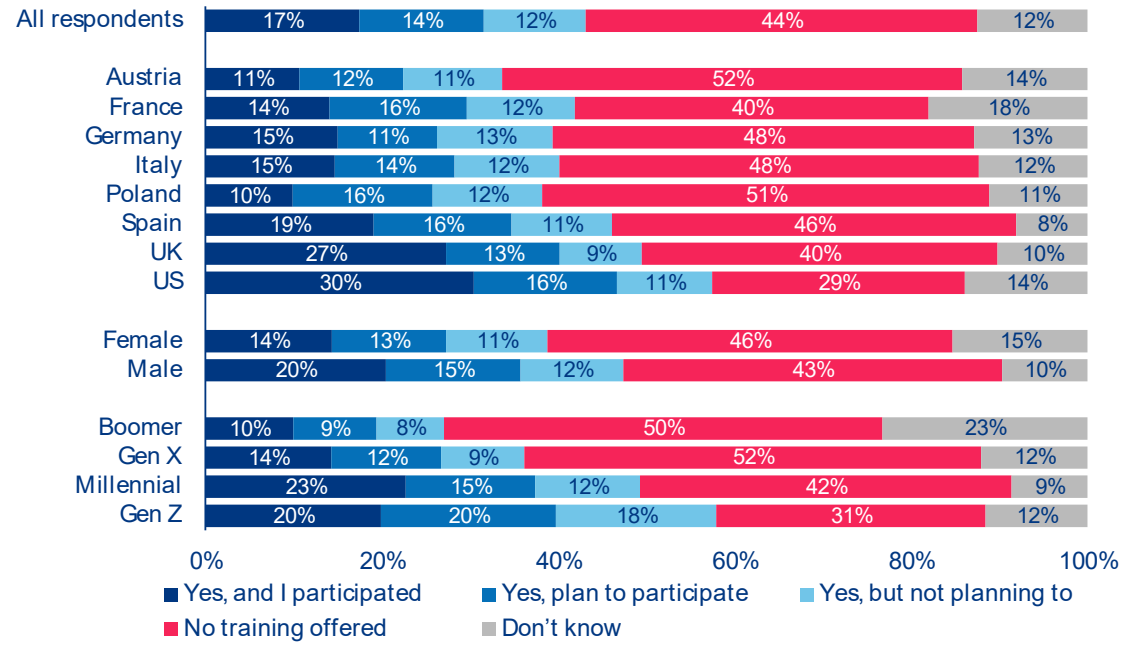
Sources: LSEG Datastream, Bloomberg, Allianz Research.

Preparedness: so far training reaches mainly those already ahead

The preparedness gap is starkest in training: adaptation is reaching those already ahead faster than those most in need of it. Among employed respondents, only 17% have received AI training at work, while 44% say their employer offers none (Figure 13). Participation reaches 30% among employed Americans but just 10% among Poles, and is markedly higher for men than women, at 21% against 14%. The education gradient is steeper still, with tertiary-educated employees roughly three times as likely to have received training as the secondary-educated. The generational pattern is more nuanced: Millennials, rather than Gen Z, record the highest training participation, promoter share and productivity expectations, while Gen Z is more likely to be offered training but decline it. The result is a preparedness gap between anticipated disruption and actual investment in adaptation. Left unchecked, AI diffusion risks reinforcing existing advantages rather than broadening opportunity.

Two demographic patterns sharpen that preparedness challenge. The first is that the gender divide is often one of uncertainty rather than outright opinion. Across multiple questions, women are substantially more likely than men to answer "don't know", with the gap reaching 25% versus 14% on AI's effect on inequality and 28% versus 20% on whether their own job will change. Women are therefore not consistently more hostile to AI; they are less certain about its implications. The second is a recurring U-shape by financial strain. Both the financially comfortable and the most strained tend to be more engaged and more polarized than those in the middle, whether in their overall attitudes, expected job disruption or willingness to retrain. Even among respondents who find it very easy to make ends meet, a majority still see AI as negative for jobs. Labor-market anxiety is therefore not confined to the economically vulnerable.

Figure 13 : The training gap, participation in employer AI training among the employed. Share of respondents, in %



Note: Employed respondents only, rescaled to exclude those not in work.
Source: Allianz Pulse 2026, Allianz Research.

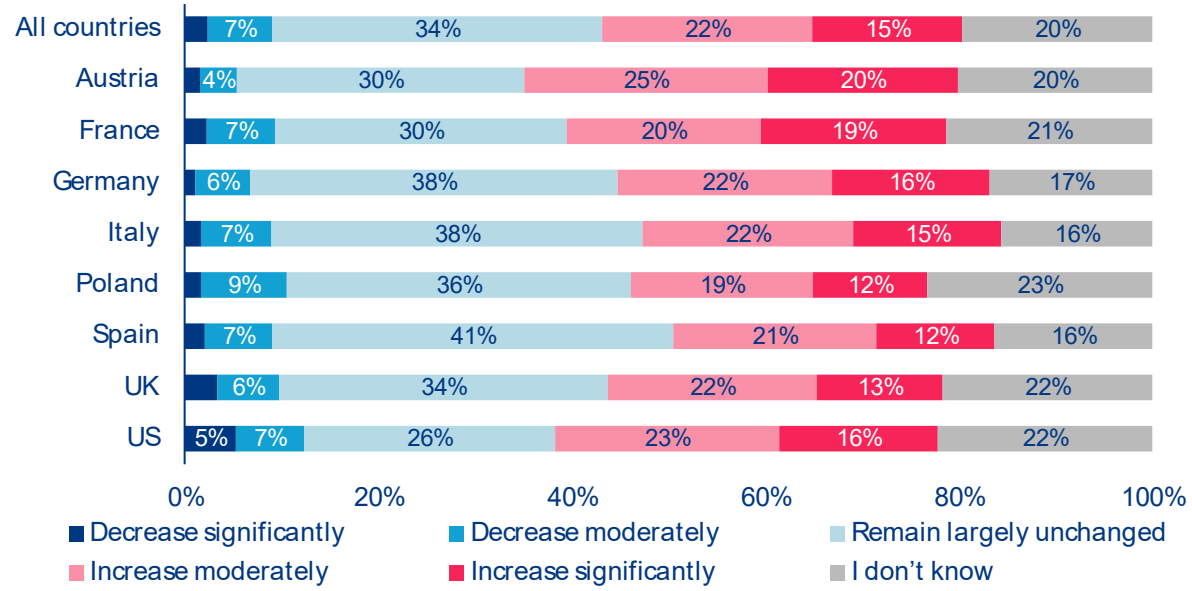


Inequality, misinformation and privacy concerns: people's worries culminate in a call for stricter regulation

Beyond their own jobs, people expect AI to widen the gap between winners and losers (Figure 14). Across the sample, 37% expect AI to increase inequality in their country, against just 9% who expect it to narrow, for a net of +28%. This concern is shared across all countries, from Austria (+40%) to Poland (+20%). The fear is not simply that AI will replace jobs, but that its benefits will accrue to some while others bear the costs. Together with widespread concerns about labor-market disruption, these findings point to a broader anxiety about who will benefit from the AI revolution. The challenge is therefore not only to unlock AI's productivity potential but also to ensure that its gains are widely shared.

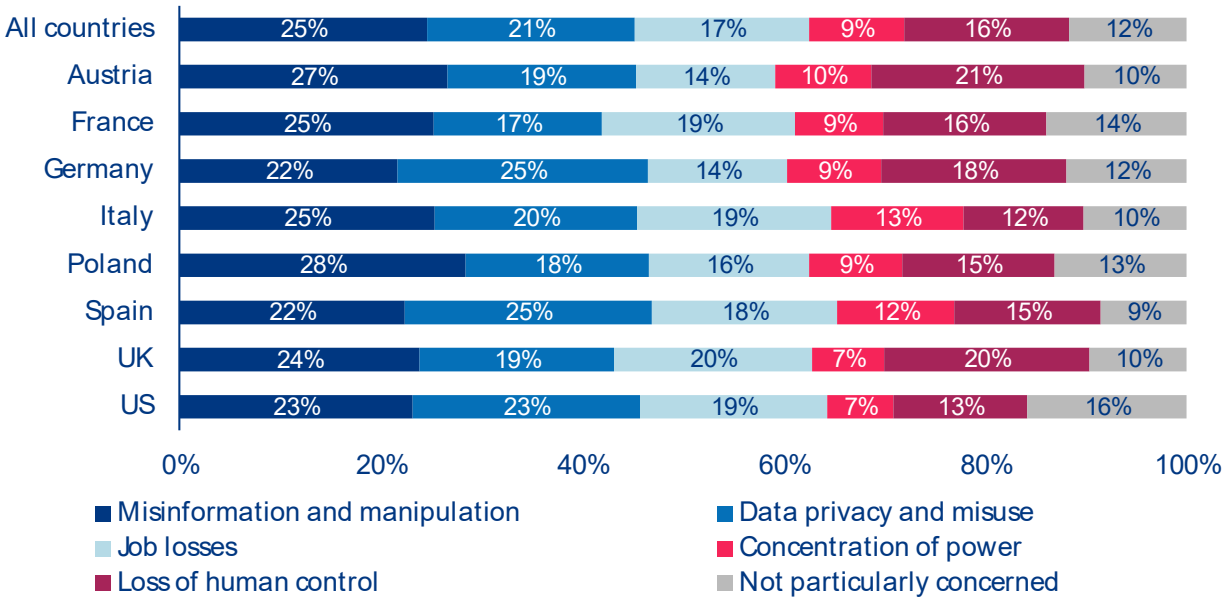
For most people, AI's biggest risks are not hypothetical future scenarios but immediate threats to information, privacy and jobs. Misinformation and information manipulation top the list of concerns, cited by 25% of respondents, followed by data privacy and misuse of personal information (21%) and job losses (17%) (Figure 15). The pattern is remarkably consistent across countries, from Austria to the US. The loss of human control over advanced AI systems, a prominent concern in the AI-safety debate, ranks fourth at 16%, while the concentration of power among large technology companies is cited by 9%, with particularly limited concern in the US, home to the leading AI developers. Only 12% of respondents say they have no concerns about AI at all. The message is clear: People are worried less about what AI might become than about the harm it can already cause.

Figure 14 : A clear expectation that AI will widen inequality.
Expected effect of AI on inequality, share of respondents, in %,



Source: Allianz Pulse 2026, Allianz Research.

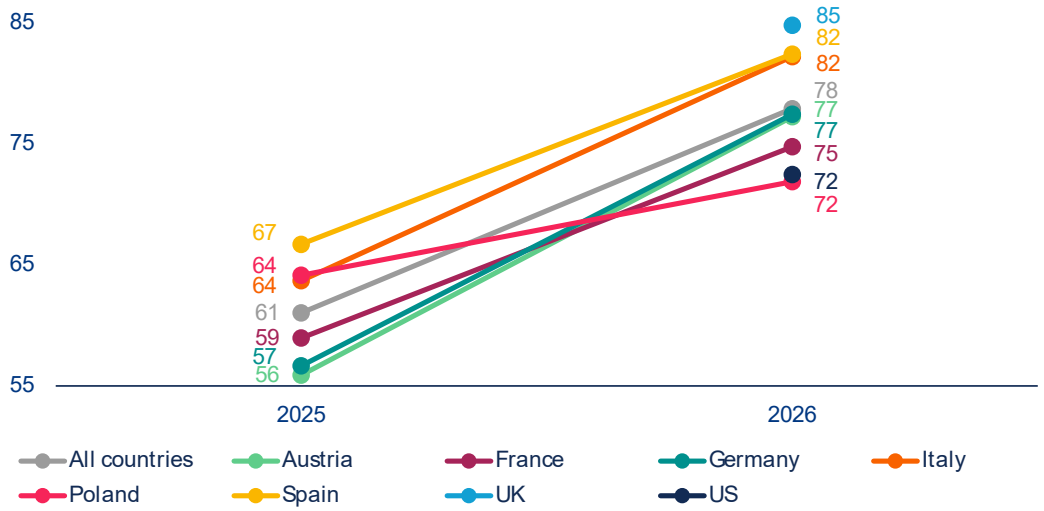
Figure 15 : Misinformation and privacy top the worry list, not loss of control.
Main concern about AI, by country, share of respondents, in %



Source: Allianz Pulse 2026, Allianz Research.

Faced with these risks, the public is sending policymakers an increasingly clear message: AI needs stronger guardrails. Across the sample, the net regulation score – the share favoring strict or some regulation minus those opposing regulation – has risen to 78%, up from 61% in 2025 (Figure 16). Support is strongest in the UK (85%) and Spain (82%) but exceeds 70% in every surveyed country, while only around 5% favor no regulation. Crucially, demand for safeguards is not confined to AI skeptics: Even respondents who expect AI to improve their own productivity want stronger oversight. People appear willing to embrace AI's benefits, but not to accept its risks unchecked. The survey also predates the recent wave of high-profile AI-related cybersecurity incidents, which could further heighten public attention to safety and accountability[5].

Figure 16 : An overwhelming and growing call for stricter AI regulation.
Net regulation score by country, 2025 versus 2026, in %



Note: Net regulation is the share wanting strict or some regulation minus the share wanting none. The UK and US are observed in 2026 only.

[5] See: Financial Times (2026), "Hugging Face attack is a wake-up call about the risks of AI", 3 September 2026.

Governments have taken significantly different approaches on AI regulation, with the US and the EU representing contrasting models (Table 1). The US has no comprehensive federal AI law, relying on a patchwork of state-level legislation and existing sectoral rules, alongside federal efforts to limit divergent state requirements. California has emerged as a leading state regulator, introducing requirements addressing transparency, safety and specific uses of AI. The UK also relies largely on existing sectoral and cross-cutting legislation, with additional measures under consideration where gaps emerge. The EU, by contrast, has established a comprehensive, risk-based framework through its AI Act. In force since 2024, its obligations are being phased in through 2028, with member states responsible for much of the national enforcement framework. Italy has also introduced supplementary national legislation, including criminal provisions[6]. Outside the EU, public demand for regulation thus runs well ahead of the rules in place.

The policy challenge is not simply to regulate more, but to regulate what matters without stifling innovation. Too little regulation can leave firms with weak incentives to account for safety risks and other harms, while allowing concentration in areas such as hardware and data to entrench incumbents. Too much or poorly designed regulation can raise the cost of experimentation, slow AI adoption and investment and weigh disproportionately on smaller firms, which are less able to absorb compliance costs[7]. The objective for policymakers should therefore be to address harmful externalities and preserve trust and competition while keeping barriers to experimentation and diffusion as low as possible. As public demand for regulation rises, getting this balance right will become increasingly important.

Table 1 : Key AI regulation across the EU, UK and US

Country	Key regulation	Type and scope	Details	Status
European Union	EU AI Act (Reg. 2024/1689), amended by the Digital AI Omnibus (Reg. 2026/1744) + GDPR for personal data. *National layer: Italy adds stricter national rules (Law 132/2025) on top.*	Binding, horizontal, risk-based framework	EU-wide rules that scale with risk: bans on prohibited practices, strict requirements for high-risk AI, transparency duties for generative AI and deepfakes, and obligations for general-purpose AI (GPAI) model providers.	In force, phased: bans and GPAI rules apply; transparency since Aug 2026; high-risk rules from Dec 2027 (stand-alone) / Aug 2028 (in products).
United Kingdom	No dedicated AI law. UK GDPR + Data (Use and Access) Act 2025 (automated decision-making rules)	Sectoral/regulator-led	AI is covered by existing law: data protection, consumer, equality, competition, online safety and sector rules, enforced by regulators as ICO, FCA, Ofcom	No AI bill planned. Bill announced May 2026 to allow AI test sandboxes (temporary rule relaxation). Automated decision-making rules in force since Feb 2026.
United States	No federal AI law. Existing federal law (FTC Act, sector rules) + state AI laws. Dec 2025 executive order (EO 14365) pushes to challenge state laws	Fragmented federal/state	FTC and sector regulators apply existing law. States are adding their own AI rules, while the federal government tries to limit them through the DOJ AI Litigation Task Force and by asking Congress for a single national standard.	Fragmented and evolving. No federal preemption yet. 29 Sep 2026: six frontier AI firms signed a voluntary, non-binding safety accord. Several state frontier-AI and automated decision-making laws take effect 1 Jan 2027.

Sources: national governments as of 7 October 2026, Allianz Research.

[6] Italy's Law 132/2025 made it the first EU member state to enact a standalone national AI law, introducing new criminal offences for deepfakes and AI misuse. In June 2026, two implementing decrees further operationalized the framework, covering enforcement, sanctions, and liability.
[7] See: Bruegel, June 2026, "The right balance: how to fix European Union artificial intelligence regulation" ; Brookings, September 2024, "Balancing market innovation incentives and regulation in AI: Challenges and opportunities"

Policy priorities: adopting AI better, not just faster

For Europe, the central challenge is not simply to accelerate AI adoption, but to turn widespread experimentation into productive, inclusive and trusted use Curiosity is not the main constraint: Europeans have embraced AI almost as widely as Americans, but the technology has made fewer inroads into the workplace, and workers are less prepared to use it effectively. The priority is therefore to remove the barriers that prevent AI from translating into productivity gains and broader economic benefits. This requires action on five fronts:

1. Move AI from private experimentation into productive workplace use. General-purpose technologies like AI generate productivity gains only after firms make large complementary investments. These investments show up as costs today, dragging down earnings and productivity in the short run, the so-called productivity J-curve. Because the costs are immediate while the benefits are delayed, private investment may fall short, in particular for SMEs, which face disproportionately high costs for the same implementation effort[8]. Europe should reduce these costs that are holding back implementation, especially for SMEs, through accelerated depreciation or temporary tax credits for identifiable complementary investments such as software integration, data infrastructure, cybersecurity and process redesign. Public support should be tied to actual deployment in business processes and, where possible, measurable productivity or efficiency gains rather than generic AI subscriptions.

2. Close the training gap by starting with employers. This is primarily a provision problem: many workers receive no offer of AI training, while most of those offered it take it up or plan to do so. Employer-led training should therefore be supported through training tax credits, public co-financing and individual learning accounts, with a focus on occupation-specific skills and groups currently least served including women, mid-career workers, the secondary-educated and employees in smaller firms. Europe already has useful instruments: Germany's "Qualifizierungschancengesetz" subsidizes training costs and, in some cases, wage costs for employees affected by technological change, while the EU encourages member states to develop individual learning accounts that give workers portable training entitlements. Where firms receive public support for major AI investments, this could be linked to a workforce-training plan.

3. Shift labor-market policy from protecting jobs to supporting transitions. Because AI is likely to change tasks and occupations more extensively than it eliminates jobs outright, governments need to identify adjustment pressures before they translate into unemployment. Combining occupation-level AI-exposure indicators with vacancy, wage and skill-demand data can help identify vulnerable workers and emerging employment opportunities. Workers in exposed occupations should have access to retraining while still employed, stronger job-matching services, mobility grants and temporary wage insurance where moving into a new role initially means lower pay. Such measures must go beyond traditional active labor-market programs, whose short-term effects are often limited and vary considerably across program types and participants. Better targeting is crucial:

[8] For productivity discussion, see: Brynjolfsson, Rock & Syverson 2021. „The Productivity J-Curve: How Intangibles Complement General Purpose Technologies," American Economic Journal: Macroeconomics. For SMEs discussion, see: OECD 2025, "AI adoption by small and medium-sized enterprises",

programs that invest in human capital accumulation, such as classroom-based vocational training and on-the-job traineeships, show large gains, in particular for the long-term unemployed, whose skills have eroded during extended periods out of work, and for women[9]. Recent evidence confirms that well-designed interventions do indeed deliver: cost-benefit analyses show that such training schemes can be highly cost effective, and programs combining part-time work placements with training and short-term community work placements for the unemployed produce lasting earnings gains for participants[10]. The key lesson is therefore to replace broad, expensive programs with measures that are tightly linked to real-time labor-market signals.

4. Make sure the productivity dividend is broadly shared. AI is likely to raise productivity but could also shift national income from labor to capital, and if automation outruns capital accumulation, wages could fall even while output rises[11]. Policy should therefore address both labor income and household wealth. On the income side, broader access to skills can help translate productivity gains into better employment prospects and wages. . On the asset side, funded pensions, employee share plans and wider household capital-market participation can help more people benefit directly from AI-driven returns, particularly in Europe, where equity ownership is heavily concentrated among wealthier households[12]. At the same time, the tax system should avoid unnecessarily favoring capital over labor and adapt if a larger share of income shifts toward capital and economic rents. Europe is particularly exposed here, as its tax systems rely more heavily on labor income taxes and social contributions than the US, potentially putting greater pressure on public finances if the labor share of income declines[13].

5. Strengthen trust by targeting the risks people actually identify. Misinformation, data misuse and labor-market disruption point to different policy needs, so regulation should be targeted rather than generic: provenance and disclosure standards for synthetic content, clear rules and effective enforcement for data use, and human oversight and appeal rights for high-impact AI decisions. Rules should be credible and proportionate: safeguards that build trust can support adoption, while complex or inconsistent requirements can slow diffusion, especially for smaller firms. EU-wide templates, sector-specific guidance and regulatory sandboxes can help make implementation more predictable without weakening protections.

[9] See: Card D., Kluve J., Weber A., 2018. "What works? A Meta Analysis of Recent Active Labor Market Program Evaluations", Journal of the European Economic Association.
[10] See evidence on Slovenia active labor market policies: OECD, 2026. "The wide-ranging effects of active labour market policies in Slovenia: Lessons learnt and implications for other countries" ; and evidence on the effectiveness of Ireland's Community Employment and Tús schemes: OECD, 2024: "Impact Evaluation of Ireland's Active Labour Market Policies",
[11] Korinek & Suh, 2024. Scenarios for the transition to AGI, NBER WP 32255.
[12] See: ECB, 15 September 2026. "Why Europeans save differently, and how to put those savings to work"
[13] The Economist, 29 September 2026. "How the AI boom could worsen the rich world's fiscal crunch"

Appendix:
Survey summary statistics

The survey queried more than 8,000 respondents across eight countries: Austria, France, Germany, Italy, Poland, Spain, the United Kingdom and the United States. It was conducted as a web-based survey between 22 April and 25 May 2026. Overall responsibility lies with Allianz Research, Allianz Investment Management SE. Sample planning and fieldwork were carried out by Qualtrics.

Respondents were selected using representative quota sampling. Qualtrics was given quotas specifying how many people to survey in each country and which selection criteria to apply, with quotas set in line with official statistics for gender and age groups. A comparison with official statistics confirms that the resulting sample broadly corresponds to the population aged 18 and over in each of the eight countries.

Appendix Table 1: Sample statistics

	Total	Austria	France	Germany	Italy	Poland	Spain	UK	USA
Number of respondents	8048	1006	1006	1006	1006	1006	1006	1006	1006
Gender, in % of respondents									
Female	50.6%	50.0%	51.4%	49.9%	50.7%	50.9%	50.4%	50.9%	51.0%
Male	49.2%	50.0%	48.2%	49.9%	49.1%	49.0%	49.4%	48.9%	48.9%
Age groups, in % of respondents									
Gen Z	15.5%	15.4%	16.1%	13.6%	13.1%	15.2%	14.3%	16.9%	19.6%
Millennial	25.9%	26.8%	24.8%	25.8%	21.9%	27.0%	24.5%	28.3%	27.8%
Gen X	31.5%	34.1%	30.2%	26.2%	35.8%	33.6%	41.1%	25.0%	25.6%
Boomer	27.2%	23.7%	28.9%	34.3%	29.3%	24.3%	20.2%	29.8%	27.0%
Education, in % of respondents									
Primary (less than high school)	4.8%	2.2%	3.7%	2.6%	14.1%	4.0%	2.8%	2.0%	7.2%
Secondary (high school)	52.5%	75.2%	47.9%	69.2%	52.5%	55.2%	36.0%	43.6%	40.1%
Tertiary (university or comparable)	42.7%	22.6%	48.4%	28.2%	33.4%	40.9%	61.2%	54.4%	52.8%

Generation definition	Birth years
Gen Alpha*	2013 - 2031
Gen Z	1997 - 2012
Millennial	1981 - 1996
Gen X	1965 - 1980
Boomer	1946 - 1964
Silent**	1928 - 1945

* Not part of the survey sample.
** Not mentioned in the analysis as it was a very small portion of respondents.


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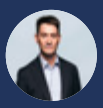
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Allianz Research | 9 October 2026

Toasted, not burnt: France's bond sell-off and the road to the 2027 election

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In Summary

- **France is the hardest hit in the global bond sell-off, mostly due to its own fiscal and political weakness**. Since the Hormuz crisis began, 10-year OAT yields have risen 150bps (US +115bps, Italy +132bps, Germany +83bps) as the prolonged energy crisis exacerbates fiscal concerns in a politically fragile environment. France' fiscal deficits have remained above 5% of GDP for four consecutive years. Debt has risen from 98% of GDP in 2019 to over 119% in Q2 2026, and the 2026 deficit is now expected at -5.4% against a -5% initial target.
- **A "short Europe" trade amplifies the move and spreads it to the rest of the Eurozone while the ECB looks the other way**. Foreign banks and non-banks hold 36% of OATs and Japanese investors about 5% (EUR137bn), exposing France to the repatriation trade and price-sensitive investors. Speculative shorts, hedge-fund asset-swap unwinds and thin liquidity feed a negative loop, with market depth more than 50% below normal and the OAT spread over Bunds peaking at 150bps. The speed reflects a positioning shock, not a pure repricing of fundamentals. Long-term investors are sitting out ahead of the elections, given budget uncertainty and the sensitivity of OATs to political fragility. Spanish and Italian spreads are about 20bps wider, bank CDS are widening and French and Italian three-month bills are converging toward the ECB's marginal lending rate. Fragmentation is far from 2012 or 2020 levels, but the ingredients are in place. The ECB has not yet intervened and may limit itself to verbal intervention, while continuing QT and pushing through two more hikes (+50bps).
- **Baseline: A watered-down budget, but the fiscal arithmetic stays heavy for France**. We expect GDP growth of +0.5% in 2026 and +0.9% in 2027. The Assembly votes on the budget on 20 and 27 October, and we expect a budget by year-end through ordinances or Article 49.3, keeping the 2027 deficit at -5.3% of GDP. This should contain fiscal slippage and stabilize financial conditions, with OAT spreads in the 120-150bps range. Higher rates (+100bps) will feed through over the next three to six months, adding EUR25bn (0.8% of GDP) in gross interest expenses for households, non-financial firms and the government combined. The debt-stabilizing deficit is -2.7% of GDP, which requires savings of more than EUR80bn, plus EUR15-20bn a year to stop social and interest spending from widening the deficit. This takes credible fiscal measures (better tax mix, higher retirement age) and growth-enhancing reforms.
- **Adverse scenarios: France-centered crisis or Eurozone crisis?** The Middle East situation is far from contained; oil prices could stay above USD100/bbl for another six months, leading to a further global bond sell-off hitting France the hardest, tightening financial conditions and jeopardizing deficit reduction. Domestically, opposition parties could take down the government or slippage surprises resurface despite a passed budget, tightening conditions in the same way. In this context, GDP would stall at +0.0% in 2027 and spreads reach 150-175bps. The ECB would talk up and potentially launch repo intervention. In our view, it would take a substantial Eurozone-wide contraction (France -0.5% in 2027; Eurozone -0.2%; OAT spreads at 175-200bps) for the ECB to tweak or stop QT, launch open market and repo intervention and stabilize funding markets (as OATs and BTPs make up 50% of euro repo collateral).
- **Looking ahead, the 2027 elections are the next test, and TPI is a late and uncertain backstop**. With the presidential election on 18 April and 2 May 2027 (legislative elections likely to follow), we see four scenarios: i) a President with an absolute majority and allies, who delivers fiscal consolidation; ii) a President short of a majority who seeks alliances (our baseline, with the 2028 deficit at -4.9% and spreads above 100bps); iii) a President short of a majority without alliances and iv) a political and fiscal crisis, for instance from unfunded tax cuts or spending hikes, with spreads above 200bps and widespread contagion. Only in this last scenario would the ECB activate the Transmission Protection Instrument (TPI). The risk is a lack of political will rather than of instruments, and redenomination risk is the tail case.

France is the country most affected in the global bond sell-off

Since the start of the Hormuz crisis, yields on 10-year French government bonds (OAT) have risen by 150bps (vs 115bps for the US, 132bps for Italy and 83bps for Germany), the highest jump among developed economies. The feedback loop between rising oil prices and interest rate expectations has met structurally vulnerable public finances whose credibility has been increasingly undermined by growing political fragility since the 2024 dissolution of the National Assembly. France's debt-to-GDP ratio has surged from 98% in 2019 to over 119% in Q2 2026, with over 121% of GDP expected in 2027 (vs 83% to 87% in the Eurozone). Meanwhile, the weakening economy (+0.5% GDP growth expected this year) is leading to a fourth consecutive year of fiscal slippage: The government now expects a deficit of -5.4% of GDP against the -5.1% targeted in the 2026 Budget. With Moody's upcoming review on 23 October, France is now at risk of losing its AA rating (currently Aa3 by Moody's vs A+ by S&P and Fitch Ratings, i.e. already one notch below); current pricing, if sustained, would even imply a BBB rating.

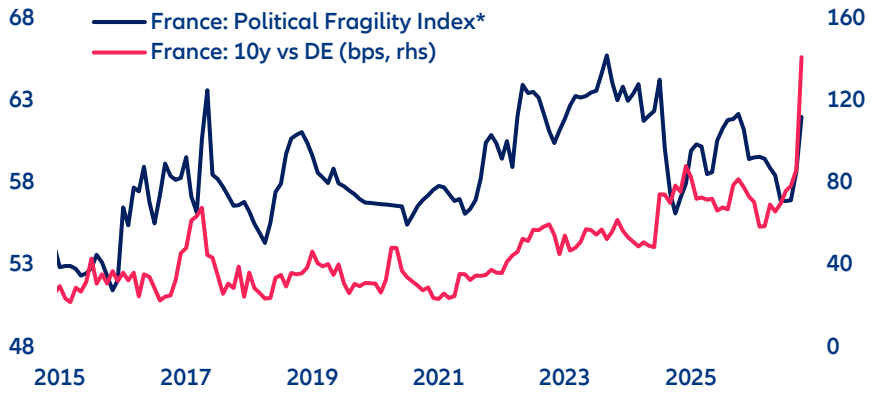
Table 1: Macroeconomic and fiscal forecasts for France in 2027

	Government	Allianz Research
Real GDP growth (%)	1.0	0.9
Inflation (CPI. %)	1.8	2.2
Public balance (% GDP)	-5.0	-5.3
Primary balance (% GDP)	-2.1	-2.5
Debt service costs (% GDP)	2.9	2.8
Public debt (% GDP)	121.7	121.8

Sources: French government, Allianz Research

France is the first victim of the Japanese repatriation trade. More than other European sovereigns, France's investor base is exposed to price-sensitive players. The most volatile group, foreign banks and non-banks, holds 36% of French government bonds. Domestic banks and non-banks, whose holdings fluctuate less, account for 32%, while non-price sensitive investors (domestic and foreign central banks) make up only 32%. Other European countries have either a stronger anchor in the domestic market (Italy with 66% vs 47% for France) or with foreign central banks (Germany with 26% vs 16% for France as Bunds as the primary FX reserve vehicle). Among foreign holders, Japanese investors play a significant role, holding around 5% of outstanding French government bonds (~EUR137bn). As interest rates rise in Japan, these positions become less attractive relative to domestic holdings. At best they are no longer rolled over, at worst they are actively liquidated. In the recent bond sell-off France became the first victim of the Japanese repatriation trade, even though it plays only a minor role compared with the US as an overweight in Japanese investors' benchmark allocations .

Figure 1: France's risk premium is very sensitive to changes in political fragility

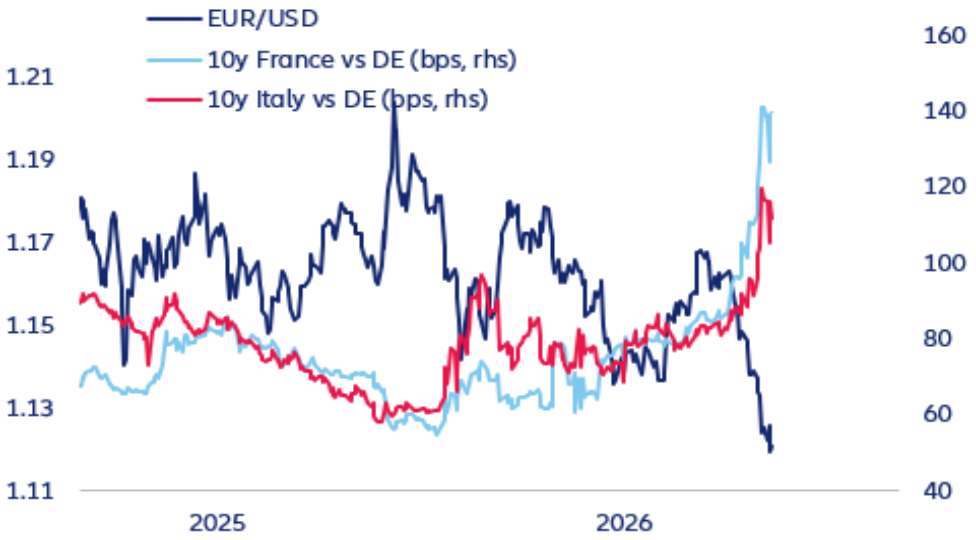


**Note: The Political Fragility Index is created by Allianz Research as a weekly, poll-based index on a 0–100 scale (higher = more fragile), built from smoothed (Kalman filtered) poll-of-polls vote shares. Find more in our publication here.*

Sources: LSEG Datastream, Allianz Research

Fiscal concerns, political fragility and investor base have created the vulnerability; sentiment and positioning determine the market reaction. A "short Europe" trade has built up for some time in markets and France is identified as the most vulnerable link (Figure 2). A negative feedback loop is now at work. A bearish narrative around political fragility and fiscal risk is amplified by very large speculative short positions, sales from Japanese institutional investors, hedge fund unwinding asset swap positions and a limited presence of buyers, with market depth more than 50% below normal. In such conditions, even small trades can move prices sharply. OAT yields have spiked rapidly, with the 10-year spread vs the Bund widening to a peak 150bps, rising twice as fast as during the Eurozone crisis. Realized OAT spread volatility has jumped to the 90th percentile. These market dynamics point to massive repositioning rather than a repricing of fundamentals. But as long as a stabilizing force of buyers is missing, this volatility can persist.

Figure 2: A Short Europe trade has built up with pressure on EGB spreads and EUR-USD



Sources: LSEG Datastream, Allianz Research

As contagion has switched sides, the European Government Bond (EGB) market could move from country-specific fragility to general fragmentation. The OAT sell-off has already spilled over to other EGBs. Unlike 15 years ago, when France fell victim to contagion from the periphery, it is now the other way round. Spanish and Italian bond yields rose significantly, while German yields fell. Their 10-year spreads versus the Bund widened by around 20bps. This decoupling within the EGB space is accompanied by widening bank CDS spreads, especially in France. Meanwhile, Euro funding market is under elevated stress. French and Italian three-month bills are converging toward the ECB's Marginal Lending Facility rate, the effective ceiling for Eurozone money-market rates. A break above the MLF would signal a disruption in funding markets. The ingredients for a broader fragmentation of monetary conditions are thus in place, even if the current magnitude remains far from those of 2012 or 2020. However, monetary transmission is also a function of time: If these stretched conditions persist for an extended period, an intervention of the ECB will be more likely, especially if we see a persistent decoupling of yield movements between core and periphery that can feed fears of redenomination risk.

What's next?

The 2027 budget bill is facing stiff opposition at the National Assembly, putting the planned deficit reduction in jeopardy. Presented to the cabinet on 1 October, the draft budget (PLF) and the social security finance bill (PLFSS) for 2027 target a public deficit of -5.0% of GDP, down from -5.4% in 2026. The budget is essentially about preventing the deficit from getting worse rather than a fiscal adjustment. The government has announced EUR43bn of new fiscal-measures (1.4% of GDP), split between EUR25bn (58%) in spending restraint (including slowing spending compared to expected trends such as healthcare spending, central government cuts, social spending restraint, local authorities cuts) and EUR18bn (42%) in new revenues.

First, opposition parties are already pushing back against most of the big revenue raisers measures, including the

cut to the tax allowance on pensioners' income (EUR1.4bn), the taxation of sick leave (0.5bn) and cutbacks on funding to local governments (EUR2.5bn). Second, the persistence of elevated energy prices and tighter financial conditions could pressure GDP growth next year, denting expected government receipts. The government expects GDP growth at +1% in 2027, while we expect +0.9% but with increasing downside risks. The next key milestones to watch will be 20th and 27 October when the National Assembly votes on the Draft budget part I (revenues) and the Social Security finance bill (Figure 3). The debt stabilizing fiscal deficit stands at -2.7% of GDP, half of today's level, which entails an improvement of the public deficit of EUR83bn from 2027 on top of around EUR15-20bn of additional savings to find each year just to prevent the deficit from rising (to contain rising social security and interest spending).

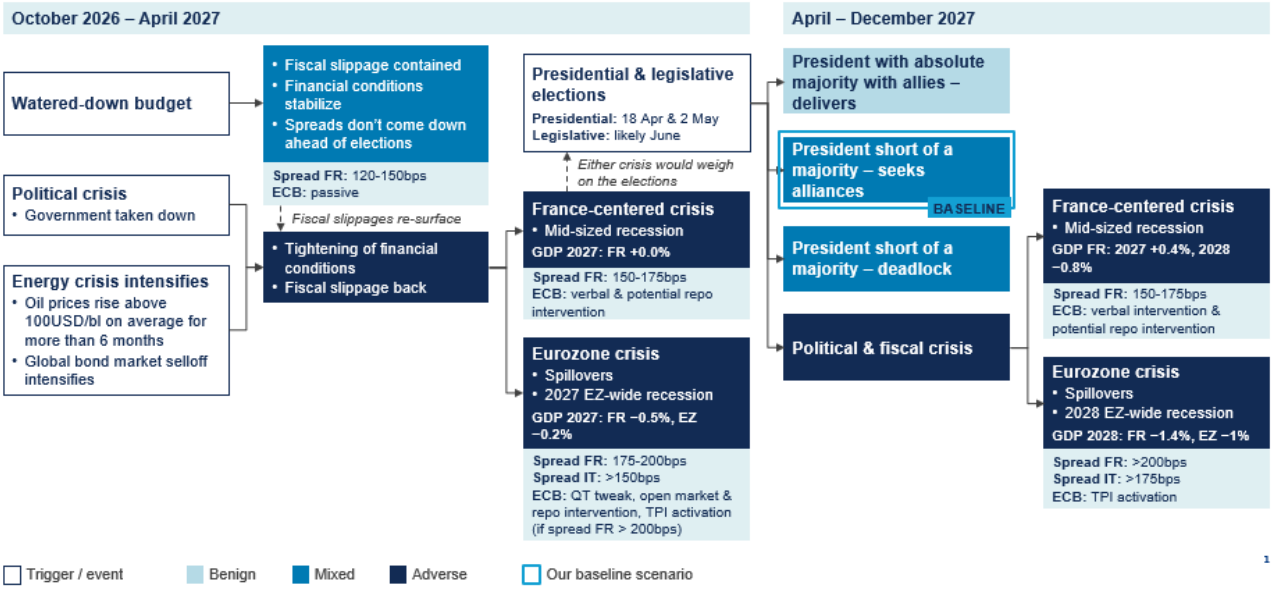
Figure 3: France's key political & budget milestones



Note: legislative elections are not yet scheduled – the National Assembly's term runs to 2029 unless the next president dissolves it. Sources: LOLF art. 45, Constitution art. 47, Assemblée nationale budget calendar of 15 Jul 2026, rating agencies, Allianz Research

We lay out different scenarios of what could happen between now and the elections (Figure 4). Starting in the short-term, we envisage three broad possibilities: i) a watered-down budget passed before year-end which plans a stabilization or a slight improvement of the deficit, ii) a political crisis with opposition parties taking down the government and iii) a re-intensification of the energy crisis.

Figure 4: Economic, political and market scenarios October 2026-April 2027



Source: Allianz Research

In our baseline scenario, we expect the French government will manage to pass a watered-down budget while the energy crisis eases, allowing the deficit to remain in check in 2027 (-5.3% of GDP) Opposition parties do not

have an incentive to soften their stance with the Presidential elections approaching on 18 April and 2 May 2027. But they also do not have an incentive to create a political crisis by taking down the government. Notably, the National Rally (Rassemblement National, RN) has expressed a preference for implementing a budget rather than relying on the ''Special Law'' mechanism that was used in early 2025 and early 2026 In this environment, we expect the government to manage to pass a mini budget, by year-end, of limited fiscal effort just to keep the deficit in check (at -5.3% of GDP), either through executive ordinances – a budgetary mechanism never previously utilized under the Fifth Republic – or by triggering Article 49.3.

In this baseline scenario, OAT spreads should enter a phase of stabilization but contagion risk remains. After the clean-up of derivative positions, we see 10-year OAT spreads trading in a pre-election range of 120-150bps. But the evolution of the French spread will not be isolated, with the potential to trigger a renewed contagion move. The French budget and election situation feeds the "short Europe trade", and this negative sentiment dominates country-specific fundamentals. We also do not believe that stabilizing the French situation alone will be enough to bring the EGB market back into a convergence trade. Now that dislocations have emerged, EGB spreads are likely to become the new playground for speculative (leveraged) players looking to exploit them. With this comes elevated rates and FX volatility and the risk of money market stress. We expect the ECB in this case to limit itself first to verbal intervention like a change in wording from "monitoring" to "ready to act" or "disorderly market dynamics". We see the tipping point at a 10-year OAT spread above 150bps.

In a more adverse scenario where the energy crisis does not ease and/or France slips into another political crisis, a crisis emerges, either France-centered, or with spillovers and contagion to other Eurozone countries. Under a scenario of renewed tensions in energy markets, the global markets selloff would intensify. Financial conditions would tighten more in France, weakening the economy and putting in jeopardy the deficit reduction. Alternatively, the government could be taken down in Parliament, triggering a grave political crisis and leading to tighter financial conditions. Even under our baseline scenario of a watered-down budget, fiscal slippages could re-emerge – for example if the economy is weaker than expected, or if the fiscal adjustment falls short of what is planned (e.g. if revenue-raising measures disappoint). Additionally, under a Special Law, the risk of wider deficit could increase if continued through the presidential elections in 2027, which could lead to France-centered crisis or a Eurozone crisis if tightening financial conditions in France spill over to other Eurozone countries. In a France-centered crisis we would expect the French economy to enter a mid-sized recession as tighter financial conditions would weigh on domestic demand (see next section), with GDP at +0.0% in 2027. In a Eurozone crisis, we would expect French GDP to contract -0.5% and the whole Eurozone economy -0.2%.

In this adverse scenario, we could see the 10-year OAT spread rising to 175-200bps. This would create widespread contagion in the EGB market and in the banking sector. In this case, it will clearly be up to the ECB not to let the situation escalate into a euro crisis 2.0. Unlike in the euro crisis, when the escalation was fueled by a lack of instruments while the political will was there, this time the deployment of the instruments (TPI, OMT) could fail due to a lack of political will and institutional inertia. It would be particularly precarious if markets began to price redenomination risk, i.e. the possibility of a country leaving the Eurozone. But we see this scenario as a tail risk. If the EGB and money markets move towards general fragmentation, we expect the ECB to set operational steps (QT tweak, temporary operations) at OAT spreads around 175bps, but only alongside broader contagion with BTP spreads around 150bps and Spain and Portugal widening together. For France, a QT tweak would represent a relief of EUR4.8bn on average per month, equivalent to around 20% of monthly issuances since June. But the problem is that "Europe short traders" can also do this math and adjust accordingly. At this point the ECB would not only operate in the secondary bond market but also need to stabilize funding markets as in French OAT and Italian BTP represent 50% of the EUR repo market collateral. The TPI activation would be late in the process and require OAT spread around 200bps with widespread and persistent contagion.

In 2027, the presidential (and likely legislative) elections could re-escalate economic and market pressures. We envisage four scenarios, which we detail more in Figure 5. In a nutshell, under our baseline assumptions, the

newly elected President will not secure an absolute majority when she or he provokes legislative elections. Nevertheless, the President will have the strongest group at the National Assembly and will benefit from strong popular support. In this environment, we would expect the President to negotiate with some opposition parties to pass a budget putting the deficit on a downward trajectory. Nevertheless, deficit reduction will be limited (-4.9% GDP deficit expected in 2028) amid strong aversion for rapid fiscal tightening in Parliament and public opinion. The 10-year spread will likely remain above 100bps. In an adverse scenario of political and fiscal crisis, for instance triggered by the enactment of tax cuts and/or spending hikes not credibly funded, a France-centered or Eurozone crisis scenario would re-emerge. In the latter case, the ECB would likely intervene with the TPI with French spreads breaking 200bps and Italian spreads above 175bps.

Figure 5: Economic, political and market scenarios after April 2027

Baseline

*The color coding of the titles represents the potential market scenarios corresponding to each political outcome			President with absolute majority with allies – delivers (10%)		President short of a majority – seeks alliances (40%)		President short of a majority – deadlock (30%)		Political & fiscal crisis (20%)	
Politics			• Centrist or moderate left president delivers its pledges • RN is business friendly and delivers credible savings measures to reduce the deficit		• Centrist or moderate left President gets implicit or explicit support from moderate parties to pass some fiscal consolidation measures; • RN gets implicit or explicit support from some right-wing MPs to pass some fiscal consolidation measures		President does not find enough support in Parliament to pass significant consolidation measures Focus centers on cutbacks to central government spending and a few negotiated measures (eg targeted tax hikes) Special Law or Ordinances likely		• President with or close to majority: government passes populist measures not credibly funded • President without majority: deadlock between government/Parliament worsens	
Fiscal policy and economy			Sizeable fiscal tightening (1% GDP); GDP growth hit initially on tight policy & protests. Loosening financial conditions offset partially hit to activity		Moderate fiscal tightening of 0.3-0.6% GDP in 2027-2028; GDP growth soft, political uncertainty retreats a bit		Government struggles to limit the rise of the deficit; Tighter financial conditions induce the government and Parliament to increase fiscal effort in 2028 (close to 1% GDP)		Government does not pass fiscal consolidation measures ; financial conditions tighten sharply, forcing the government to embark on sharp fiscal austerity in 2028 (1.7% GDP)	
Economic indicators	Unit	2026	2027	2028	2027	2028	2027	2028	2027	2028
GDP growth	%	0.5	0.6	0.8	0.9	1.1	0.7	0.2	0.4	-0.8
Inflation	%	2.2	2.0	1.2	2.2	1.3	2.0	0.9	1.7	0.2
Fiscal deficit	% of GDP	-5.3	-4.7	-4.2	-5.2	-4.9	-5.6	-5.7	-6.4	-6.7

Source: Allianz Research

In the short term, a significant easing of global yields and elevated French spreads hinges on three factors: 1) a substantial easing of the energy crisis, which would reduce inflationary pressures, limiting or even ending further central bank hikes. 2) Strong and credible fiscal-consolidation measures passed by decree, though this remains unlikely before the presidential election. One option used previously is reducing healthcare spending, but the amount of savings is limited to EUR5-10bn (Table 2). 3) A cooling US economy could moderate the global bond sell off, though this too seems less likely before 2027.

Table 2: Measures the French government can implement by decrees to bypass parliamentary vote

Measure	Can government act without new parliamentary vote?
Cancel already authorized State spending	Yes
Freeze/cancel some budgetary appropriations	Yes
Adjust medicine reimbursement within regulatory powers	Yes
Adjust healthcare tariffs/payment parameters	Yes, within statutory framework
Tighten implementation of existing social schemes	Often yes
Change parameters of social contribution rebates	Sometimes yes
Abolish/reduce a statutory benefit	Generally, no
Permanently change tax rates	No
Fundamentally redesign social-contribution exemptions	Generally, requires legislation
Change the ONDAM target itself	Generally, Parliament/LFSS

Sources: French government, various, Allianz Research

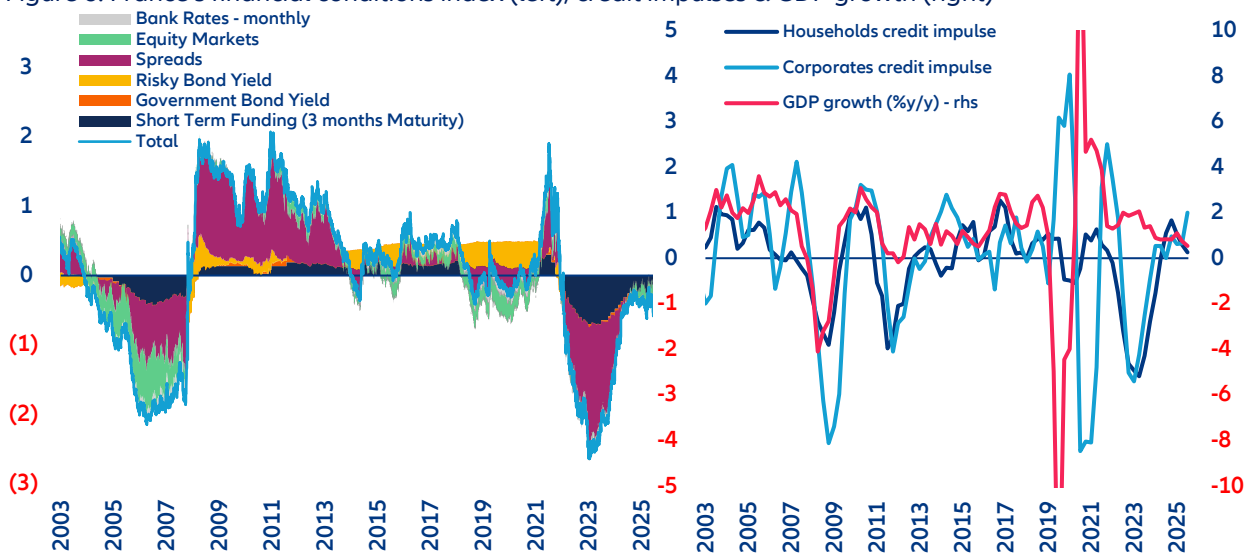
In the longer-term, only a sizeable fiscal-consolidation program can ease French spreads sustainably. Ideally, a combination of the following would have the most benefits:

Credible fiscal adjustment (the least growth-hurting). On the revenue side, fiscal consolidation should rely on a more efficient tax mix to limit negative growth effects. An increase of VAT rates would bring large receipts without hurting potential growth. Freezing income-tax thresholds should be preferred to increase social contributions to limit the negative impact on labor demand and labor supply amid already high labor taxation in France. Some inefficient and costly tax rebates and loopholes could also be cut down. But most of the fiscal adjustment should be operated through expenditure cuts. An increase of the effective age of retirement – for instance through a rise in the number of years of contribution – would bring substantial savings and increase tax receipts. Substantial savings could also be enacted on public agencies and local governments' administrative costs. In parallel, the government could launch a comprehensive spending review to improve efficiency of public expenditure, benchmarking what has been done in the past in countries such as Canada and Sweden.
Growth-enhancing reforms. The government could implement structural reforms which will likely support growth in the medium-term, reducing the need for further painful fiscal adjustment later on. A pension reform would not only bring higher receipts and increase savings; it would also stimulate labor supply and potential growth[1]. Other growth-enhancing measures include a revamp of school education methods, scaling back excessive regulation, incentivizing higher-skilled education and hiring through a reform of the taxation system.

The trickle-down effect of tighter financial conditions

The ongoing bond market problem could increasingly become an economic problem through tighter financial and credit conditions, but the economy has buffers to sustain a short-term financial shock. Higher sovereign interest rates have started to filter through on to consumer, mortgage and corporate funding costs, and the pass-through will continue through 2027. This will tighten the credit and financial cycle, through higher borrowing costs on new lending, higher refinancing bills and tighter access to credit, and ultimately weaken consumer and investment spending. Our BIS-built Financial condition index (FCI) for France shows that overall financial conditions have tightened sharply recently, but from a relatively loose level (Figure 6, left). They are now close to their long-term historical averages. Besides, the credit impulse for households and corporations remains supportive to date (Figure 6, right). During the Eurozone crisis of 2011-13, the credit impulse turned sharply negative but GDP growth held up. While the latest ECB Bank Lending Survey (BLS) points to the credit impulses weakening in the next couple of quarters, this does not necessarily mean that GDP growth will weaken sharply. The French economy has buffers to withstand a negative finance shock, provided it does not last too long and does not get worse. In particular, households have high savings and corporates' cash reserves have been rebuilt recently, though many firms struggle with elevated bankruptcies.

Figure 6: France's financial conditions index (left); credit impulses & GDP growth (right)



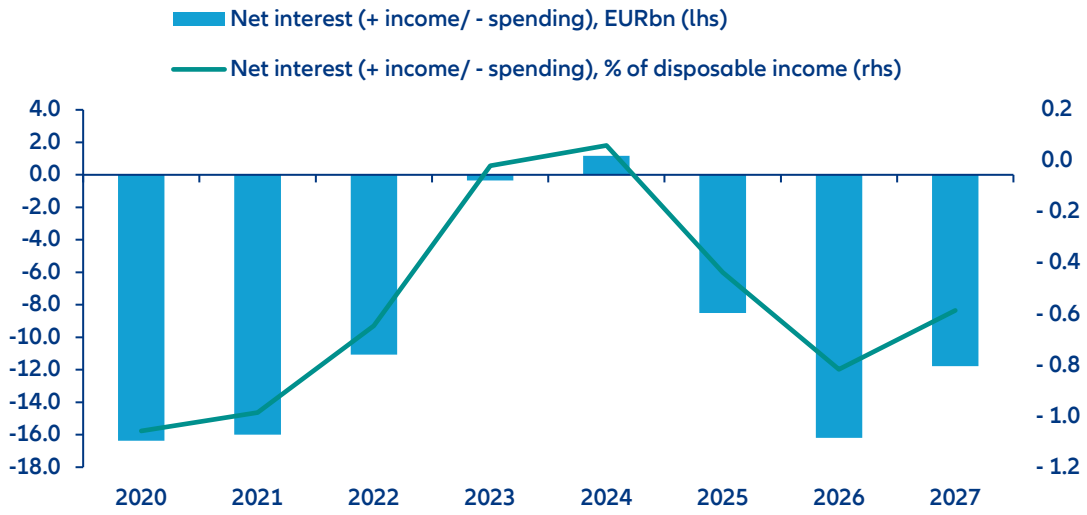
Sources: LSEG Datastream, BIS, Allianz Research
Note: last data point in the FCI is 5th October 2026.

A rise of +100bps of interest rates mean EUR25bn (0.8% of GDP) in additional gross interest expenses for the French households, non-financial corporates and the government. We find that a +100bps increase in interest

[1] *The employment rate of senior people (aged 55+) has increased substantially following the 2023 pension reform, highlighting the growth-benefit of such reforms.*

rates would almost double households' net interest income in 2026 to -EUR16.3bn from -EUR8.5bn in 2025, or the equivalent of 0.8% of disposable income (see Figure 5). Contrary to US or UK households, French households tend to lose when interest rates increase. We calculate that the interest earned on assets would reach EUR24.5bn while the interest paid would rise to EUR40.7bn.

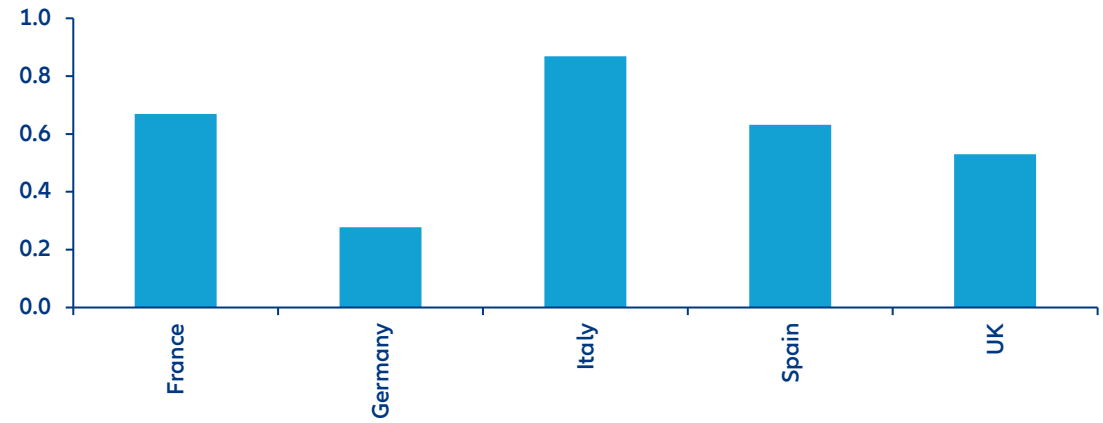
Figure 7: Impact of a +100bps shock on interest rates for French households



Sources: LSEG Datastream, Allianz Research

For French non-financial companies, around 50.6% of debt is due to reset or mature within the next 12 months, well below the level in Italy, Spain, the UK and the US, where 78 to 90% is due for refinancing. However, France starts from the largest corporate debt stock in Europe in this sample, at around EUR2.27trn. This means that even with a lower refinancing share, around EUR1.15trn of debt still needs to be repriced within a year, more than in Germany, Italy or Spain. In addition, the pressure is amplified by the starting level of borrowing costs. French corporates already face an effective interest rate of 6.1%, the highest among the European peers shown here. Under a +100bps interest-rate shock, the effective pass-through would amount to roughly +89bps, adding around EUR10bn to annual interest expenses. Relative to gross operating surplus, this represents an additional burden of about 2.1% of GOS, the highest impact across similar peers, and could shave roughly -0.7pp off gross margins (see Figure 6). For the French government, a +100bps increase in the weighted average interest rates would mean +0.3% of GDP in 2027 (EUR11.7bn) and +0.7% of GDP by 2035. Indeed, France has a rather long average maturity of its debt (>8.5 years) which protects it from very high volatility on its interest expenses.

Figure 8: Impact of a +100bps shock on French non-financial corporates margins, pp of gross value added



Sources: LSEG Datastream, Allianz Research

These assessments are, as always, subject to the disclaimer provided below.

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(v) persistency levels, (vi) particularly in the banking business, the extent of credit defaults, (vii) interest rate levels, (viii) currency exchange rates including the EUR/USD exchange rate, (ix) changes in laws and regulations, including tax regulations, (x) the impact of acquisitions, including related integration issues, and reorganization measures,
and (xi) general competitive factors, in each case on a local, regional, national and/or global basis. Many of these factors may be more likely to occur, or more pronounced, as a result of terrorist activities and their consequences.

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Allianz Research | 8 October 2026

From legacy capital to smart bets : Europe's path to a competitive auto industry

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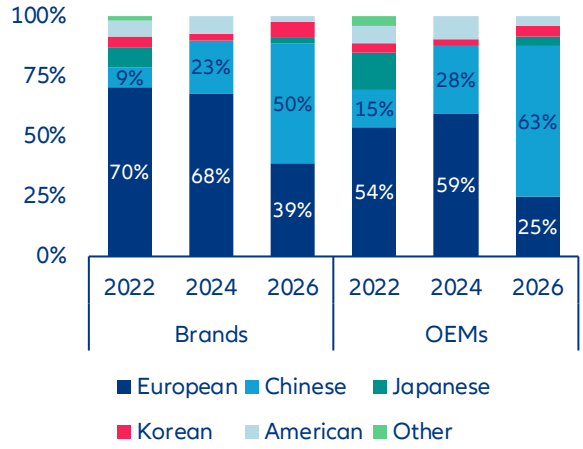
In Summary

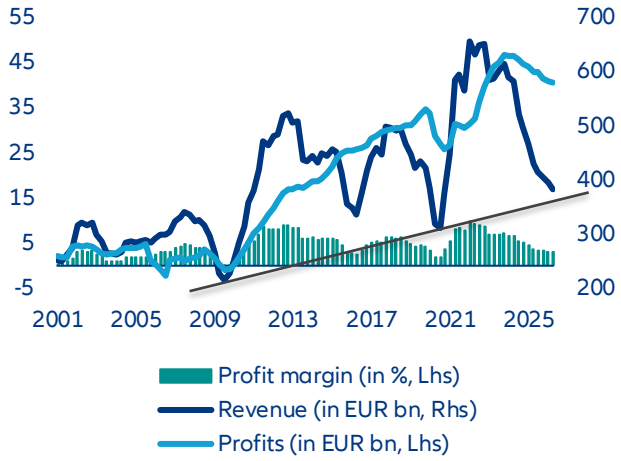
- **Chinese brands will dominate the Paris auto show next week. They represent 50% of exhibitors versus just 23% in 2024, a visible sign of a deeper, structural shift already reshaping the market.** China holds 10% of European registrations, 16% in battery electric vehicles (BEV) and 26% in plug-in hybrid electric vehicles (PHEV). This comes as Europe's auto market defies a sluggish growth outlook, up +5% YTD through August, suggesting structural change rather than a cyclical blip. Low-carbon demand leads the charge: BEV sales are up nearly +45% YTD, reaching parity with petrol-powered engines (22%), amid energy volatility, EV cost compression and targeted subsidies for low incomes.
- **A deeper rift is opening between political ambition and industrial execution, and it risks setting a technology trap.** Easing targets now breeds complacency precisely when the shift to low-carbon production needs to accelerate. Europe is poised to soften carbon penalties and cut the 2035 zero-emission target to 90%, relieving Original Equipment Manufacturers (OEMs) who underinvested rather than forcing them to catch up. Support was needed to share the burden, but without a binding roadmap, automakers will simply buy time, falling further behind Chinese rivals. Demand itself is uneven: BEVs are today the second biggest segment in France and Germany (30 and 26%), yet lag below 10% in Italy, Spain or even in the key but less accessible US market, exposing a dangerous short-term versus long-term arbitrage.
- **Added-value erosion of EUR3bn by 2030 must be urgently contained.** The shift in dominant technology and rising competition from China have eroded the big three German carmakers' market share materially in core markets – down 10pps in Europe and 7pps in China since 2021. In Europe, where manufacturing costs are less competitive, domestic added-value per vehicle in H1 2026 was 30-45% lower than in 2021/2022 while in China that decline has been smaller, less than 20% over the same period. A further realistic 3pps market share slide in both markets by 2030 would translate into a EUR3bn added-value deterioration for German OEMs, equivalent to 4pps of EBITDA margin.
- **Whoever secures reliable, cost-competitive battery production will shape the next decade of automotive competitiveness.** Vehicle value is migrating from the factory floor to the software stack: Engine and chassis once represented 35–45% of an internal combustion engine (ICE) car's value, but battery and software now account for 50–60% of a BEV's. "Made-in-Europe" content requirements would preserve some manufacturing jobs, but at a steep cost: ~EUR2,000 per vehicle (+5% retail price), coverage of only ~50% of domestic battery demand by 2035 and a wider technology gap with global peers. They would do little to reduce sovereign risk either: over 70% of European-based battery technology will be held by Asian firms, according to the current pipeline. The more achievable path is to grow Europe's footprint in capital-light, high-value segments (design and IP), capturing added value without the capital risk of manufacturing.
- **Europe should pursue smart partnerships over full sovereignty, anchoring Asian battery and chip production on European soil, pooling procurement and R&D and consolidating onto fewer EV platforms under strict capital discipline.** Diversifying further into into defense looks relevant it has strong public funding but is running out of capacity. The long-term bets worth making are solid-state batteries, recycling, proprietary chip design, local AI infrastructure and autonomous trucking and logistics, where Europe can differentiate without competing head on against entrenched US and Chinese leaders.

A legacy capital mindset behind a structural crisis

The 2026 Paris auto show is emblematic of the changing global order in the automotive industry. European brands account for just 40% of exhibitors in this year's edition of the flagship industry event, to be held from 12-18 October, down from 68% compared to 2022 and 2024. This pullback reflects intense cost-cutting measures amid a severe profitability crisis, with manufacturers engaging in tactical arbitrage. Meanwhile, Chinese players are seizing the opportunity and confirming their strong interest in the European market: Chinese brands surged from 9% to 50% of exhibitors at the event, and Chinese OEMs from 15% to a dominant 63% by 2026, using this prime European stage to attract new audiences and accelerate their continental expansion. This highlights the rebalancing of power within the automotive industry, where dynamic and innovative new competitors are openly contesting the long-held dominance of Europe's established giants. While this is not the industry's first downturn, this time the weakness is structural rather than cyclical, and its root is identifiable: a legacy capital mindset that, for two decades, funded the defense of mature ICE assets and short-term margins instead of the electric, digital and industrial bets that would determine the next cycle. The technology lag, the China shock and the brand erosion are best read not as separate failures but as symptoms of that same underlying capital allocation culture.

Figures 1 & 2 : Breakdown of attendees of Paris auto show by origin of OEMS and brands / 12-month trailing revenue, profits and margin rate from largest German automakers



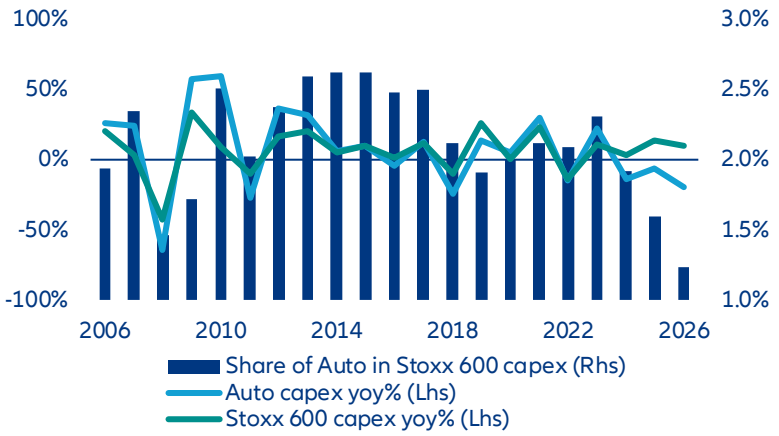


Sources: Salon de l'Auto notice, LSEG Datastream, Allianz Research

A legacy capital mindset: capital defended the past, chased the quarter and bet small when it finally moved. European automakers' balance sheets tell the story of a capital culture built for a different era. For years, capital was steered to sustain and optimize mature ICE platforms and defend near-term margins – the sunk-cost logic of an incumbent reluctant to cannibalize its own cash cow – rather than to pre-fund the electric and digital transition while there was still runway to do it gradually. When bets were finally placed, they were sized and governed like legacy capex, not like venture-style industrial transitions: The ill-fated decision to internalize middleware software development, a domain far removed from automakers' core competencies, burned time and money for negligible results, while billions in diesel-related penalties and surging impairment charges drained cash reserves that could instead have funded the transition of ICE plants to EV production lines, scaled battery gigafactories or fueled critical R&D. Historically, the auto sector led capex growth during expansion years but proved more vulnerable in downturns. Yet today's situation is uniquely alarming: The broader economic cycle remains steady while auto capex is collapsing (-20%, its strongest contraction since 2018) even as non-auto European blue-chip capex expands by +10%. That is short-termism showing up directly in the numbers: capital retreating precisely when software-defined vehicles, AI-powered autonomous systems and the early diffusion of robotaxis are reshaping the industry's competitive frontier. Having already missed the EV wave and fallen behind in the software revolution, European carmakers cannot afford to sit out the autonomous race. Yet the pause on Level 3 development is another example of risk-averse, low-conviction capital deployment at exactly the wrong moment. In this industry, moats and

technology edges erode fast. Today's investments are tomorrow's profits, and a mindset built to defend yesterday's assets has left financial leeway too thin to allow another misjudgment.

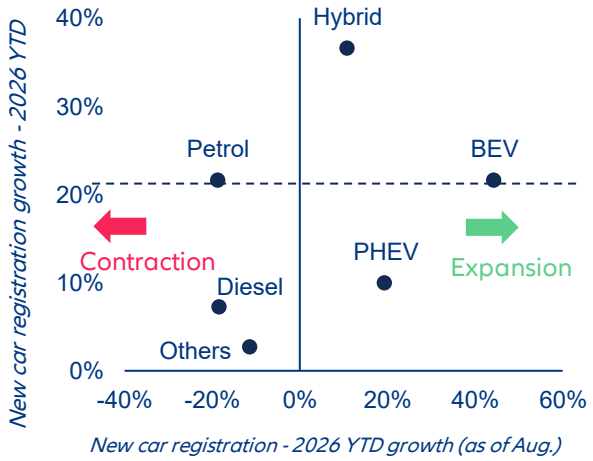
Figure 3 : Evolution of capex from European automakers vs. Stoxx 600 benchmark (annual growth & share)

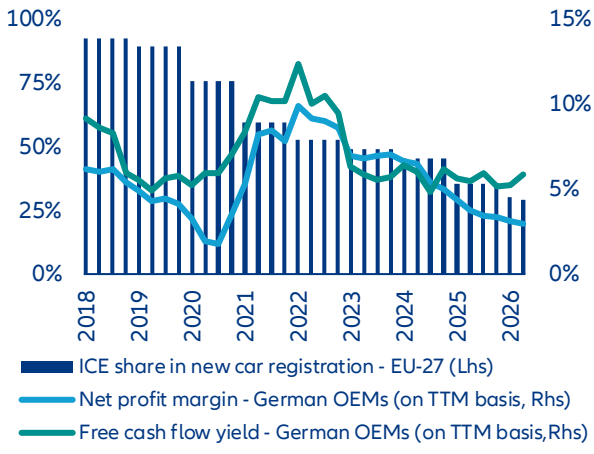


Sources: LSEG Datastream, Allianz Research

The second structural weakness is a late EV transition. European OEMs didn't just misjudge the pace of electrification, they kept capital deployed to defend ICE production and margins for as long as the balance sheet allowed, leaving too little invested when the pivot could no longer be delayed. Electrification diffused faster than they bet on: BEVs now account for over 20% of EU registrations (on par with ICE this year) and nearly 50% in China, the fastest-growing segment on both continents, and European carmakers are scrambling to catch up. The late pivot from ICE to EV and hybrid production is now compressing costs into a brutal timeframe: what could have been a gradual, capital-light transition is instead an expensive, chaotic restructuring. German OEM margins have collapsed from 13% in 2022 to roughly 4% today. BEV profitability remains structurally lower than ICE, while Chinese competitors deliver advanced technology at aggressive price points. The same mindset shows up in how setbacks were funded: Diesel-gate alone cost Volkswagen over USD34bn, capital that was unavailable to fund a decade of electrification R&D instead. The traditional European advantage – a deep, local supplier ecosystem built on mechanical engineering – is eroding fast as EV supply chains shift toward Asian battery and component makers. European OEMs may have caught up on sales volumes at home, but their cost structures remain bloated, their margins thin and their competitive moat narrower by the quarter.

Figures 4 & 5 : 2026 car registration and market share per powertrain technology / ICE market share in new car registration in EU-27 vs. margin rate and free cash flow yield from top German OEMs

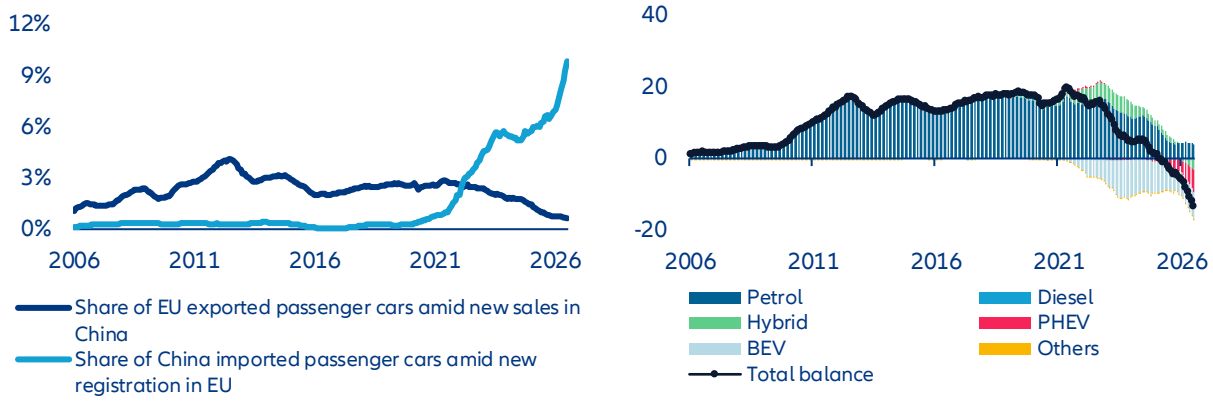




Sources: ACEA, LSEG Datastream, Allianz Research

The third structural weakness is competition from China: the price of capital that protected margins instead of market share. Over the past decade, China was the biggest and most profitable market for German OEMs, accounting for over 30% of group revenue, and capital allocation treated that profit pool as something to protect rather than a market worth fighting for with scale. That era is over as the balance of power has been fully disrupted by the rise of local players that quickly absorbed foreign brands' market share. The miscalculation was strategic as much as financial: European OEMs underestimated Beijing's electrification ambition and the speed at which domestic, and in some cases less-experienced, firms would scale, while committing far less capital to matching that scale than the threat warranted. Competition has been exported over the past years, with Chinese brands redirecting overcapacity mainly towards Europe as high tariffs have almost entirely closed access to the US market. Their EU market share surged from about 2% to nearly 10% by mid-2026, totaling over 1mn cars sold on the continent for the first time. EU tariffs of up to 35% barely slowed them: Chinese OEMs pivoted to hybrids and PHEVs, offered advanced tech at aggressive prices and adopted European-style design. The trade picture tells the rest. Europe's historical automotive surplus with China, once peaking near EUR20bn, has flipped into an unprecedented deficit. EU auto exports to China halved in two years. In the opposite direction, Chinese EV and hybrid exports to the EU doubled to USD14.2bn in H1 2026 alone, with hybrid shipments surging +206%. The deficit is no longer just about BEVs; it spans hybrids, PHEVs and components, reflecting the broader penetration of Chinese brands while the European footprint in China fades. There is no reason to believe this wave will recede in the near future as OEMs intensify relocation of some production capacities in Europe to dodge any trade barrier threat. In the meantime, much improvement has been made on the after-sales networks and client relationships that remained one of the last Achilles' heels of Chinese firms in Europe, and the value proposition is perfectly adapted to European customer demand: a good-looking and affordable advanced technology which is precisely the segment European capital under-invested in.

Figures 6 & 7 : Share of imported Chinese brands in Europe vs. exported European brands in China / trade balance between EU-27 and China per powertrain breakdown (in EUR bn)

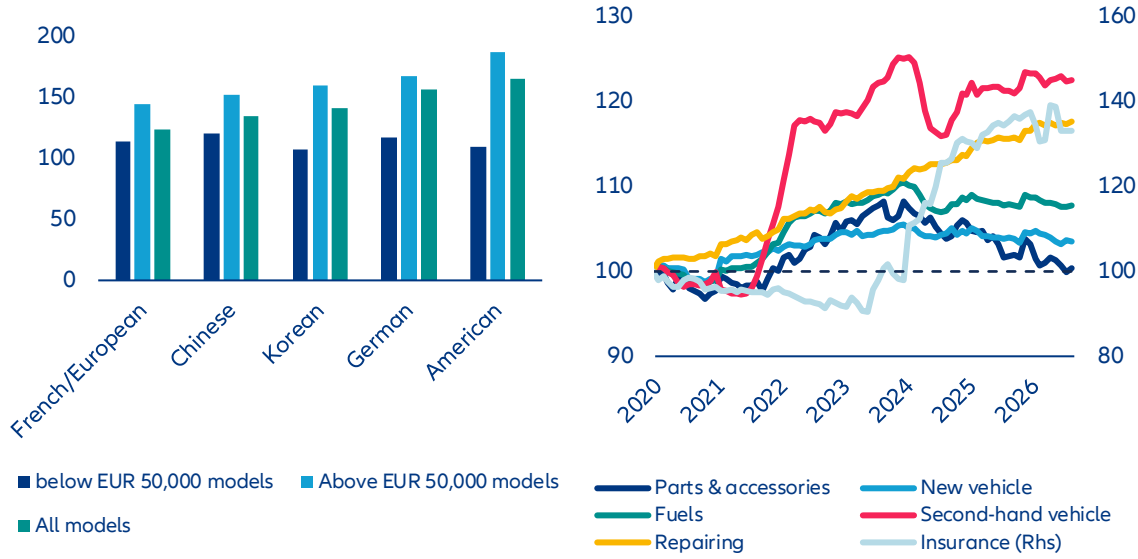


Sources: Eurostat, CAAM, Allianz Research

The fourth structural weakness: Brand power fades once the capital behind the premium stops compounding. The aura of German automotive excellence, built on decades of engineering prestige and glossy design, was itself a form of capital, accumulated through sustained investment in mechanical engineering. It is cracking now that the industry pivots toward electrification and digitalization. The core value in a 2026 vehicle now sits in software-defined solutions and battery systems, both firmly controlled by Asian firms, leaving European carmakers defending a premium price tag no longer backed by technological superiority. Competitors, notably Chinese brands, deliver a sharper performance-to-price ratio, while consumer price sensitivity has surged since the 2022 energy crisis as car-related costs (i.e. insurance, energy and maintenance) skyrocketed by 20-30% over the core inflation rate since 2020. The 2026 EV boom cannot be decoupled from volatile energy prices and aggressive price compression driven by fiercer competition and widening supply. This mirrors the broader luxury backlash: heritage alone no longer justifies the invoice when the capital that built it was never reinvested in the technology that now defines the category. Meanwhile, Europe's most popular segment (i.e. sedans and hatchbacks below EUR50,000) carries a 3 to 5% better price-to-range ratio than Chinese BEV models currently sold in Europe yet low export value as different consumer tastes and cheaper local alternatives in emerging markets cap revenue upside. Brand awareness, once the

industry's most durable moat and the clearest return on decades of engineering capital, fades into irrelevance as competitive advantage shifts from mechanical prowess to digital intelligence, demanding reinvention of where capital goes, not incremental adjustment.

Figure 8 & 9: Ranking of BEV retail price to distance ratio per brand origins and models price range (in EUR/km) / consumer price evolution of car-related costs vs. core HCIP index in Germany (rebased to 100 on 1/1/2020)



Sources: EV database.org, Agence fédérale de statistiques en Allemagne, Allianz Research

Not a premium purchase anymore? EV adoption is increasingly breaking the psychological glass ceiling that has long confined electric cars to an affluent, early-adopter customer base. The shift from broad-based subsidies towards targeted support is making EVs more accessible to mainstream households, while falling vehicle prices and improving total cost of ownership are progressively chasing away the perception of EVs as a premium goods. This virtuous circle is particularly important for the fleet market: As companies increasingly electrify their fleets, a growing volume of relatively young EVs will enter the second-hand market, expanding choice and bringing prices within reach of a much broader consumer base. This lifts one of the main structural barriers to adoption so far: the limited maturity of the used-EV market and the sharp depreciation suffered by first-generation models, which made residual values difficult to predict and leasing costs comparatively high. Energy-price volatility is another factor that adds up this year and strengthens the economic case.

Table 1: Most recent EV subsidy scheme for retail market

Market	Main retail support in force	Targeting / key conditions
France	~€3,100–€5,700 CEE support, potentially up to €7,700 for eligible high-mileage households; social leasing <€200/month	Income-targeted; high-mileage scheme targets middle-income workers driving ≥12,000 km/year
Germany	€1,500–€6,000 purchase/lease subsidy	New 2026 scheme explicitly targets lower/middle-income households and families; income and family size determine amount
UK	£1,500–£3,750 Electric Car Grant	Available at point of sale; BEV price capped generally at £37k, with sustainability criteria
Spain	€4,500–€7,000 for BEVs depending on scrappage	BEV price capped at €45k excl. VAT (€53k for 8/9-seat BEVs)
Portugal	€4,000 for individuals; €5,000 for eligible social/public organisations	BEV price capped at €38.5k (or €55k for >5 seats) / 2026 allocation was limited
Croatia	€7,000-€9,000 purchase subsidy	BEV price capped at €62,500 ex. VAT (vs. €50,000 before) / Limited to a total budget of €45mn

Sources: National government, Allianz Research

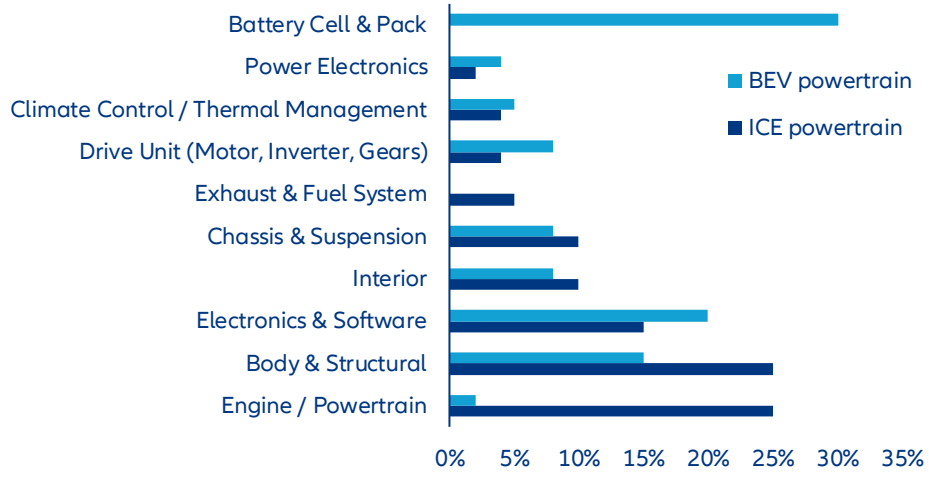
Four industrial equations and the capital choices that solve them

Solving the battery puzzle

A must-have to support ongoing fleet electrification. As the automotive industry undergoes its most profound transformation in a century, batteries have become the undisputed centerpiece of the electric vehicle. Representing 30–35% of a BEV's total value, no other single component carries as much influence on vehicle cost, range, performance and, ultimately, consumer adoption. This makes battery supply not just a procurement question but a strategic one – for OEMs, for governments and for Europe's industrial base at large. With BEV penetration rates climbing steadily to come close to a 100% share by 2035, the volume of cells required is set to grow exponentially. Whoever secures reliable, cost-competitive access to battery production will shape the next decade of automotive competitiveness. For Europe, carmakers cannot continue depending on external suppliers for such a critical components. This is one of the keys to solving the profitability gap.

The added-value of European-sold vehicles has depreciated by 30-45% since 2021/2022 period. Looking at the top three German carmakers' balance sheets and the annual evolution of car sales per market over the past years, we find that added-value per vehicle in H1 2026 declined by around -30% and -45% Europe since 2021/2022 period, while in China current added-value declined by -20% since the 2022 peak but is today almost equivalent to 2021 level. Over this period we can observe a sharp decline of German OEM market share by 10% in Europe and 7% in China as the technology shift and consumer demand change reframe the market structure. Based on our calculations, we then estimate that a market share decline of 50bps in China and Europe, which would mean an annual deterioration of added-value by EUR480mn. A realistic continuous slide based on actual momentum by -3% market share in each market by 2030 would then account for a loss of around EUR3bn of added-value, or 4% of annualized 2026 EBITDA.

Figure 10: Breakdown of added-value of car components per powertrain models



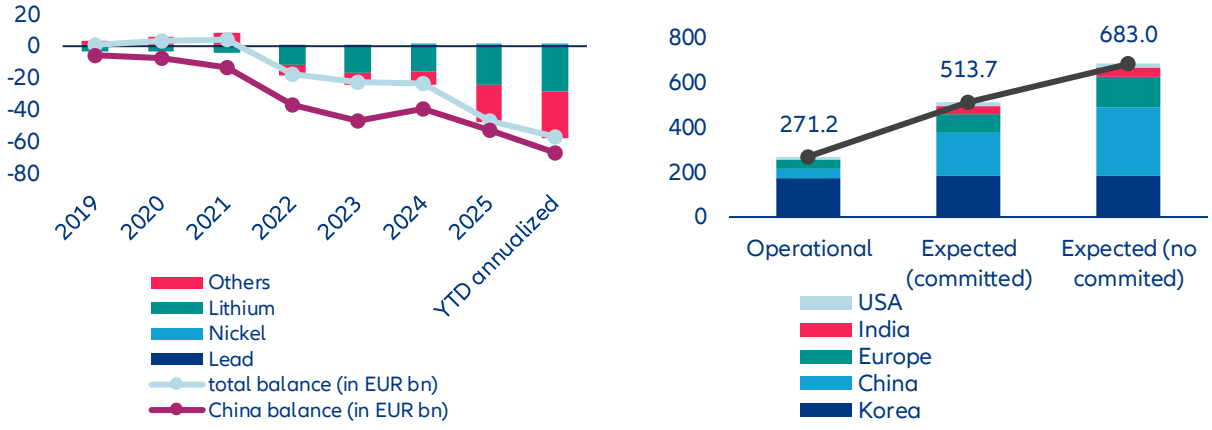
Source: Allianz Research

Self-autonomous production is not for today but can be considered tomorrow. The bloc has built enough pack-assembly capacity to match domestic BEV and PHEV demand, yet production remains overwhelmingly foreign-controlled: South Korean manufacturers alone operate roughly 65% of installed capacity, concentrated in heavier, shorter-lived nickel-ion chemistry (NMC). However, European production is less competitive compared to Asian peers, and notably China. Due to a poor resource base in lithium, cobalt and rare earths, a drastic labor cost differential (roughly 1 per 5) and initially weak domestic demand, European-branded cell production was recording thin-razor margins. Several projects collapsed under scale constraints even as order books were full. On this basis, there was not much choice other than imports of foreign technology, hence a widening trade deficit in a strategic inputs that has sharply intensified over the past quarter as BEV demand in Europe increased massively. On batteries, the EU recorded a record high deficit last year of EUR47bn, which should be broken again this year based on current trends (EUR57bn as of July on an annualized basis).

Chasing full supply-chain autonomy now is the wrong fight: Europe arrived too late and has too little runway to out-scale Chinese lithium-ion economics. Policy should pivot from building a sovereign chain to securing one, using instruments like the EU's localization rules (IAA-style content requirements) to anchor foreign capital and technology on European soil. Importing South Korean and, selectively, Chinese lithium-ion know-how is not capitulation; it preserves jobs, de-risks logistics and buys time, while accepting that near-term competitiveness in conventional cells is structurally out of reach. It seems to be the path picked by European automakers as we have seen over the past month a multiplication of greenfield investment into European battery capacity from Chinese firms. Based on current public announcements, China's pipeline expects an increase of capacity of roughly 150 GW by 2030, multiplying the country's market share by more than three from 15% to 37% (and even 45% when including no-committed options).

Europe should not confound industry support with sovereignty protection. On 7 October, Germany and France agreed to push for a further easing of the EU's 2035 car CO_2 targets – seeking an 80% reduction rather than the Commission's already softened 90% proposal – in exchange for "Buy European" local-content requirements on batteries sold in Europe. This deal comes alongside the EU's new EUR1.5bn Battery Booster Facility, designed to help European cell manufacturers ramp up production. Yet the two measures risk working at cross-purposes. Relaxing emission standards would inevitably slow EV adoption, shrinking the very demand that European battery makers need to achieve the scale economies required to compete. Europe's battery landscape remains overwhelmingly dominated by Asian players: current greenfield investment pipelines suggest South Korean and Chinese suppliers will command at least 70% of European market share by 2030–2035, leaving homegrown firms with a modest 15–20%. By diluting the regulatory signal that underpins EV uptake, the Franco-German compromise may shield legacy automotive jobs in the short term, but it risks starving Europe's fledgling battery industry of the volumes essential to close the cost gap with entrenched Asian competitors – ultimately deepening, rather than reducing, the continent's technological dependence.

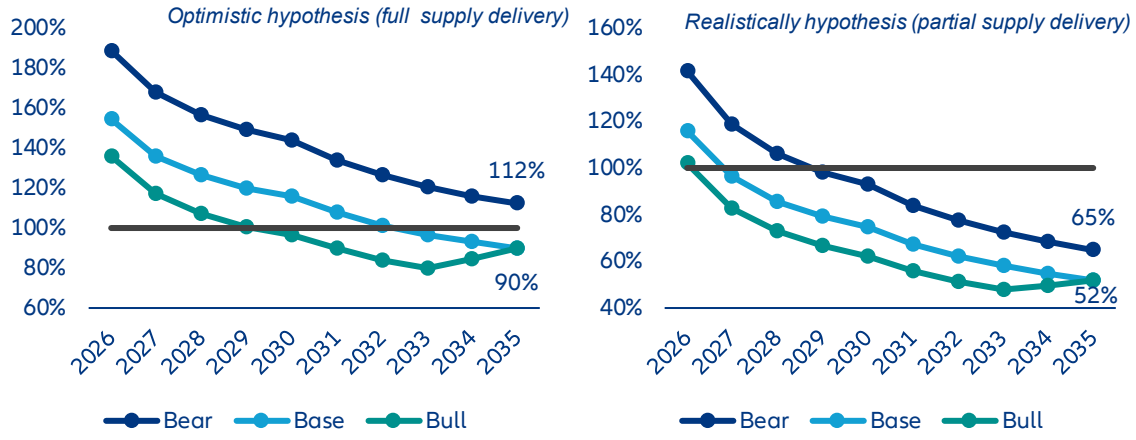
Figures 11 & 12: EU-27 annual trade balance on cell battery per category breakdown, global and China (in EUR bn) / European capacity of car battery pack, current and expected, per origin of manufacturer (in GW)



Sources: Eurostat, Corporate public information, Allianz Research

Regulation is a necessary defensive step but not the ultimate solution. The economics are blunt: we estimate Made-in-Europe content requirements add roughly EUR2,000, or about a 5% mark-up, to a battery pack's final price – a premium consumers absorb at precisely the moment BEV-ICE cost parity is meant to narrow, and when energy-price volatility and tighter credit are already denting appetite for large purchases. The passing-through strategy is not timely and could be unfruitful as it could grip the scale-up pattern on demand. A quick look at domestic battery capacity pipeline in Europe backs up our point. Even under the most optimistic scenario (i.e. every announced and pipeline project realized, every factory running at full nameplate utilization), European cell capacity will not cover all retail demand. In a more realistic approach – a path toward a BEV share at or near 100% by 2035 – we calculate that European capacity would cover barely half of retail demand by 2035. That is meaningful progress, but it is not self-sufficiency, and it leaves no realistic path to excluding Chinese technology without rationing consumer choice or inviting retaliation. The honest conclusion: sovereignty is worth pursuing, but only paced to what capacity actually allows. Europe cannot build from zero to one hundred, and has no time to try. The better bet is to use today's dependence as a bridge by protecting jobs and the ecosystem while demand scales and direct policy not at refighting yesterday's lithium-ion battle, but at owning the chemistries, solid-state and beyond that will define the next one.

Figures 13 & 14 : Share of absorption of made-in Europe car battery production (ex. export) based on EU-27 BEV demand



Bear scenario = 80% BEV share by 2035, Base scenario = 100% share by 2035, Bull scenario = 100% share by 2033. Battery capacity projections based on committed and non-committed investment announcement made by manufacturers. Sources: Allianz Research

Not doomsday, but the path forward is narrow. Europe cannot afford to treat batteries as a secondary concern: EV traction is set to intensify under current mandates, and carbon-neutrality commitments are too consequential to let such a critical technology layer remain overwhelmingly dependent on foreign supply. But the response has to be realistic. Weaker cash reserves, thinner market support and tightening lending conditions are real investment constraints for European OEMs, and attempting to build a fully sovereign, vertically integrated battery industry from scratch is neither financially viable nor strategically sound, especially when domestic players cannot yet match the cost or technology benchmarks set by Asian champions; carrying that burden alone would divert capital from areas where Europe can genuinely differentiate. A EUR1bn battery factory inaugurated in Germany in early October shows what a realistic middle path looks like: While cells continue to be sourced from China, the factory's true added value lies in its operational verticality (i.e. a full-stack deployment spanning R&D, design, battery pack manufacturing and recycling). It demonstrates how supply-chain dependencies can be mitigated, even if fully eliminating them remains realistically unachievable.

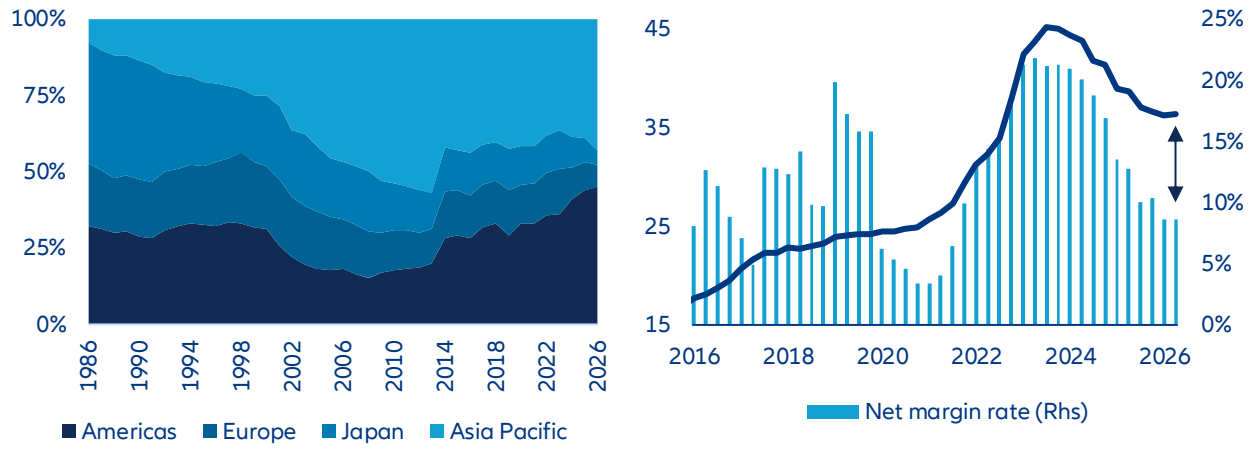
In the short run, the sector should embrace smart partnerships, and turn recycling into a domestic feedstock. Strategic alliances with leading South Korean and Chinese cell manufacturers should be actively pursued but provided production is anchored on European soil to secure local employment, build industrial know-how and reduce supply-chain disruption risks. This should be alongside a pan-European procurement or spending-pooling mechanism that consolidates bargaining power and lowers unit costs without resorting to protectionism. In parallel, battery recycling should be scaled into a genuine domestic feedstock: recovery of lithium, cobalt and nickel from end-of-life packs is costly today, but as cell volumes scale with BEV penetration, unit economics should improve sharply, reducing reliance on imported raw inputs without requiring Europe to out-build Asian cell economics.

In the longer run, bet on solid-state, the next chemistry generation. China's lead there remains unsettled even as it targets the technology in its latest five-year plan. Lithium is finite while Europe holds meaningful sodium reserves, and performance-per-lifespan economics should eventually undercut today's chemistries. This is the one battery front where Europe can compete on a reset map rather than catch up on an existing one.

Balance the software vs hardware

From engine to code line, the control center has shifted away. Europe has no choice but to take into consideration the new paradigm that is expected to intensify under a broader adoption of AI-empowered solutions and accelerated development of autonomous mobility tools. Though the leaders of automotive chips are mostly located in Europe, European-made production dramatically declined in 40 years, down from 20% to hardly more than 5% this year. And Europe does not produce or design the leading-edge chips used for AI development (frontier model, robotics, software). The sharp decline in revenue and margins (slashed by 2.5x from its 2023 peak of over 20%) of Europe's leading auto chipmakers is as much evidence of weak European industrial demand as of late deployment of domestic production supporting both AI-powered and autonomous mobility solutions. Today, European carmakers prefer using US technology and hardware due to their high-performance computing capacities. With Level 2+ autonomous features already accounting for roughly a third of new registrations this year, and forecast to surpass 70% by 2035, it is an addressable market of almost between 585-650mn of vehicles over the 2026-2035 period. If Europe's chip champions remain anchored to legacy power and analog niches while the car becomes a rolling data center, the continent risks permanent relegation in the technology race that will define the next decade of mobility.

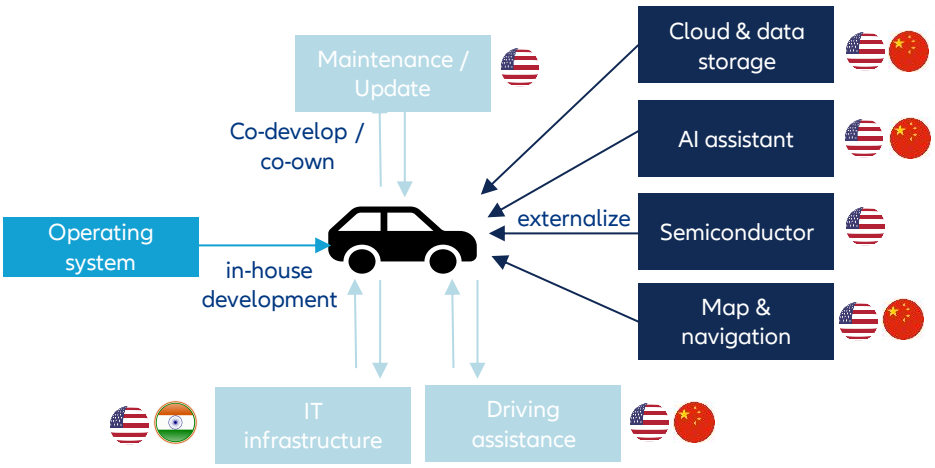
Figures 15 & 16 : Semiconductor sales per region / revenue and profit margin from top three European leaders into auto-specific chip



Sources: SEMI, LSEG Datastream, Allianz Research

Europe's software blind spot: the hidden dependency behind next-generation autonomous cars. Even the most advanced European car models, featuring L2+ driving assistance, AI-powered cockpits and cloud-connected services, rest on a technology stack overwhelmingly controlled by non-European players. As the architecture map of a leading European vehicle platform reveals, the critical layers, from semiconductors to AI assistants to cloud & data storage and mapping are sourced almost entirely from US and, for local market variants, Chinese providers. This is a structural exposure. Semiconductors represent the sharpest vulnerability, where Europe faces a persistent technology gap with US leaders like NVIDIA and Qualcomm, and no credible short-term substitute exists at the performance frontier required for autonomous driving compute. Yet the picture is not entirely bleak. European OEMs have strategically retained in-house control over the operating system ensuring sovereignty over the core software layer that orchestrates all other functions. Co-development models on driving assistance stacks allow European players to maintain architectural oversight and avoid full dependency on licensed black-box solutions. IT infrastructure is similarly co-owned rather than fully externalized. On AI assistance, emerging European alternatives such as Mistral offer a credible path to reduce reliance on US hyperscalers. The imperative is clear: Europe cannot eliminate its dependency overnight, but it can, and must, deepen internal OS mastery, expand co-development leverage, nurture homegrown AI capabilities and treat semiconductor sovereignty as a decade-long strategic investment rather than a problem to be solved quarterly.

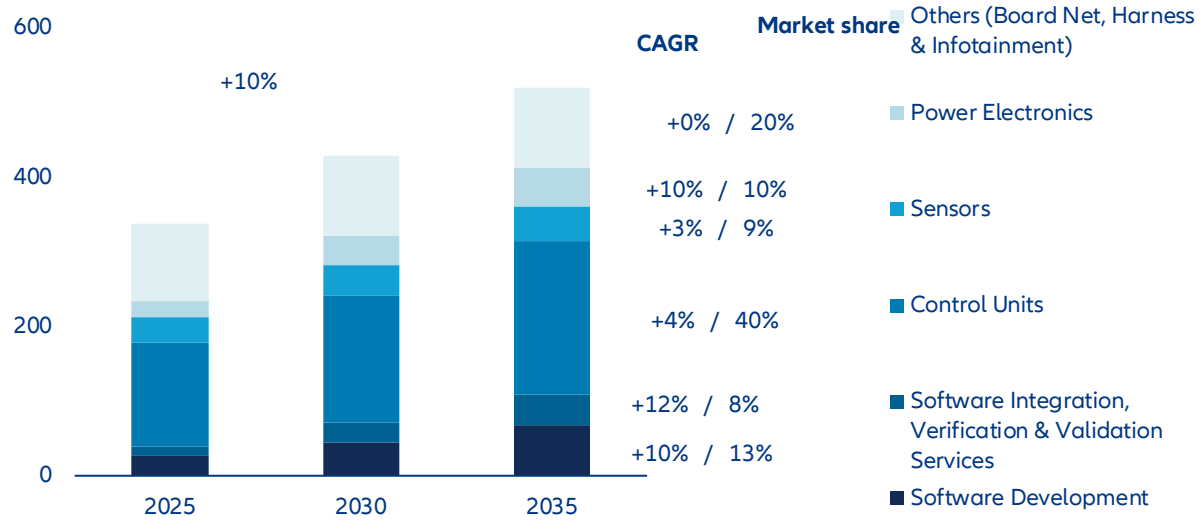
Figure 17 : Current software and hardware infrastructure of most-advanced European L2+ car model



Sources: Corporate public information, Allianz Research

Software as a driver of revenue migration from mechanical to data-centered operations. The end-to-end car software market is set to grow from roughly USD340bn in 2025 to USD520bn by 2035, a sustained +10% CAGR, with the fastest growth concentrated in AI-driven and automation segments (i.e. software verification and validation services and software development itself), outpacing hardware segments like control units or sensors. The value chain is migrating from mechanical engineering to code, and with it comes a new revenue layer already visible in the market: over-the-air conduct and performance features (heated seats, horsepower monitoring, acceleration boost), advanced automated driving assistance (FSD) and usage-based insurance and predictive-maintenance services built on vehicle telemetry. These models convert a one-off hardware sale into recurring, higher-margin revenue, improving cash-flow visibility well beyond unit sales. The diversification approach made by the US manufacturer Tesla could be an example as the services segment accounted for 16% of its total revenue (vs. 6% in 2022) and offset a part of the decline of cash flow generated by the direct sales of cars that account for roughly 70% of its revenue against 85% at its peak in 2022.

Figure 18: Estimation of end-to-end car software market by 2035 (in USD bn)



Sources: McKInsey, Allianz Research

Connected service value is locked up into recurrence: a 8% additional revenue share to not overlook. A simple simulation illustrates the point: assuming 1mn vehicles sold per year over a decade, a EUR50/month subscription plan with consumer adoption gradually rising from 33% to 50%, cumulative recurring revenue reaches approximately EUR3bn by year 10, translating into a roughly 70% CAGR from a modest ~EUR200mn base in year one. In context, that terminal run-rate would represent around 8% of the average 2025 annual revenue of top European carmakers, making it a meaningful diversification channel rather than a rounding error. Crucially, software-driven services carry structurally higher margins than vehicle manufacturing, and the EUR50 price point is conservative, as advanced features such as autonomous driving upgrades, predictive maintenance or in-car digital ecosystems mature, willingness to pay should rise in tandem. Once retention loops are proven and the service portfolio deepens, this segment has the potential to evolve from a supplementary income stream into a core profit engine as the business model is fully optimized.

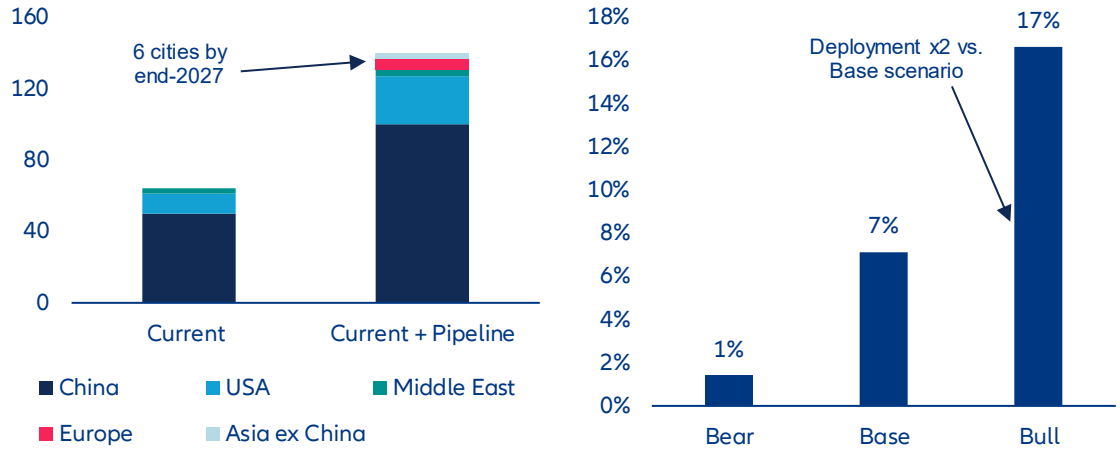
In the short run, firms should secure a foothold in assembly, and stop duplicating R&D. Full onshoring is neither realistic nor necessary: Building domestic chip assembly and packaging capacity, even on licensed foreign technology, as the battery segment demonstrates, is vastly preferable to total dependence on Asian production, provided a recalibrated public-private financing mix and faster infrastructure permitting remove the region's self-inflicted red-tape deterrent. The same logic applies to R&D: high competition should not preclude partnership in non-core, pre-competitive domains. VW's Cariad experience, billions spent with limited scale, is a cautionary tale worth internalizing; Pooling R&D capital across OEMs to explore frontier technologies where no single player holds a decisive lead, then differentiating at the product and service layer, is a model already emerging in Japan that Europe should engage with, provided governance structures ensure ecosystem-wide benefit.

Going forward, European automakers should own the chip IP, and treat software as the real upside. Europe won't close the semiconductor manufacturing gap, but it doesn't need to: Much like the GPU/CPU ecosystem where value accrues to designers rather than fabs alone, Europe should channel its engineering depth and thriving SME-AI ecosystem into proprietary, industry-specific chip design, particularly for next-generation autonomous vehicle architectures as the intellectual property moat matters more than the production line. The same shift in where value sits applies to software: the revenue and margin potential of data-driven services and physical-AI applications in vehicles is still largely unsized, yet the digitalization of cars is an irreversible trend. Capturing that value requires reducing strategic dependence on US and Chinese hyperscalers, prioritizing local cloud and AI infrastructure would unlock economic returns while materially lowering disruption risk.

Getting ready for autonomous mobility

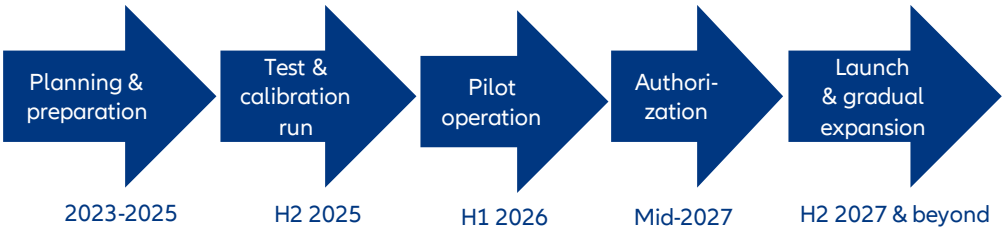
Robotaxis are arriving in Europe, but regulatory gates are opening gradually. Berlin's autonomous bus pilot alone spans a 2023-2027 runway from planning to launch, with authorization landing only mid-2027, while China and the US have already built a 100+ city blueprint to borrow from. The bigger brake may be cultural: European approval of autonomous vehicles sits near 33%, against roughly 60% in China. That gap is narrowing, but slowly, and 2027-2028 will stay experimental rather than commercial. Even generously scaled, Europe's robotaxi fleet reaches only 300-600k vehicles by 2035, half the US, a third of China's, and capturing at best 17% of global volume in a bull case, 7% in base. Europe's approval architecture is consumer-protection-first, business-case second, and it shows in the timeline. Each extra approval layer compresses the payback window on capex-heavy hardware, and that asymmetry is precisely what deters a European manufacturing play: no domestic tech champion exists, entry costs are steep and the regulatory calendar guarantees Europe will always scale second.

Figures 19 & 20 : Current and expected deployment of robotaxi services in city, per region breakdown / projections of European share of robotaxi distribution by 2035 (in volume)



Sources: Corporate public filings, BCG, Counterpoint, Allianz Research

Figure 21: Timeline of adoption process of autonomous bus service project* in Berlin

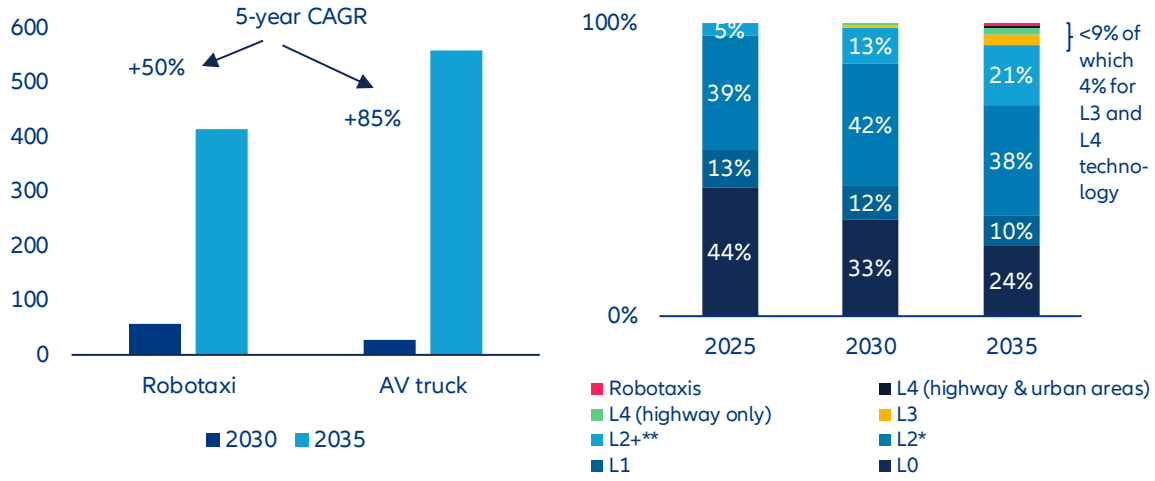


**VW ID. Buzz AD shuttles equipped with Level-4 autonomous driving technology. Sources: Mobilityportal.EU, Allianz Research*

Robotaxis are the headline, but not the biggest or the smartest door into autonomy. Autonomous trucking is set to scale faster and bigger than robotaxis, a projected five-year CAGR of roughly +85% versus +50% for robotaxis, with the truck segment reaching close to USD550bn by 2035 against robotaxi's USD420bn, while L3/L4 technology is still expected to represent under 9% of new car registrations that same year. That's a small, capital-intensive, already-concentrated market: China and the US dominate deployment and the upfront fleet, and software costs are steep. A European OEM entering now would be underwriting high risk for thin, late-mover reward. The smarter play is backing adoption, not owning it, by partnering with established tech providers to secure distribution rights and data access across a market that will fragment into multiple channels (freight, transit, passenger) rather than building proprietary stacks from scratch. Robotaxis' real value to Europe are as a technology bridge: the same sensing and routing layers proven there translate directly into autonomous public transport, which aligns far better

with the continent's own agenda (i.e. decarbonizing cities, easing urban congestion and extending mobility services to an aging population etc.). Partnership is how Europe can capture the technology without paying the first-mover bill.

Figure 22 & 23: Estimated global market size of robotaxis and autonomous trucks (in USD bn) / estimated market share of new global car registration per autonomous technology level breakdown



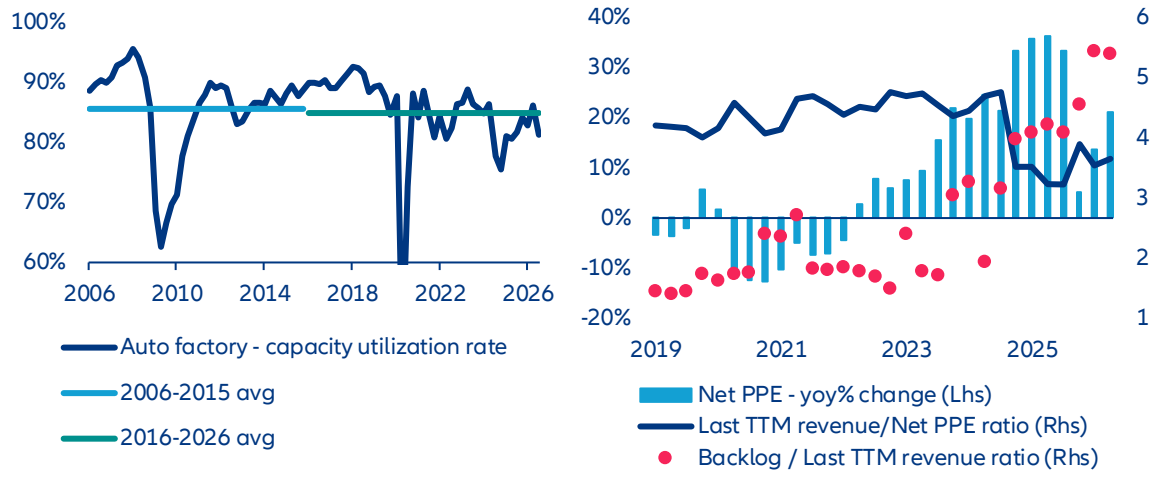
Sources: Goldman Sachs, WEF, Allianz Research

Firms should invest for the next decade, not the next earnings call. Short-termism is the enemy of disruptive technology: Autonomous mobility demands heavy upfront capital with payback horizons that don't fit a quarterly mindset. The temptation is to chase whichever segment looks hottest today and retreat at the first cost overrun, exactly the pattern that made Cariad expensive and robotaxi economics forbidding. The discipline needed is the opposite: identify which autonomous layers compound in value over 10 years, commit capital in stages tied to proof points and resist the urge to fund flashy pilots that don't scale into durable operational channels.

A tactical and timely shift toward defense

Defense diversification is the elephant in the piece, but not yet plainly assumed by carmakers. Defense diversification remains the unspoken opportunity for European carmakers, but the window to act is narrowing. As EU defense budgets surpass 2% of GDP, with frontrunners like Poland exceeding 4%, automakers are quietly exploring adjacencies in the defense sector. The industrial logic is compelling: Advanced mechanical engineering, scalable manufacturing capacity, and overlapping supply chains position them naturally to address surging demand for unarmored vehicles, armored platforms and UAV components. These are precisely categories where volumes have accelerated sharply since the onset of the Russia-Ukraine conflict. Historically, European automakers have pivoted to defense production during periods of geopolitical stress, making this convergence neither new nor far-fetched. The timing is uniquely favorable: defense primes face capacity bottlenecks despite record backlogs and are integrating AI-driven autonomous systems, while automakers urgently need to absorb excess capacity and amortize R&D in autonomous driving. On paper, this is a textbook win-win. Yet tangible P&L impact remains absent. Carmakers should move beyond exploratory postures, through joint ventures, dedicated defense units or co-development programs in order to capture a share of the unprecedented public funding flowing into European defense. This is not about abandoning core business; it is about extending industrial horizons where growth is most visible today.

Figures 24 & 25: German automotive factory, capacity utilization rate / European defense companies: backlog, revenue and plant & equipment value increase



Sources: LSEG Datastream, German federal office of statistics, Allianz Research

Capital discipline and capacity management are key

The constraint is behavioral, not financial. Auto capex is collapsing (-20%, the sharpest contraction since 2018) even as non-auto European blue-chip capex expands by +10%, and European auto assembly plants ran near only 60% utilization in 2023, a fixed-cost drag with no revenue offset. The sector isn't short of cash or ambition, as Cariad, battery megafactories and robotaxi flirtations all show; it is short of a filter for where that capital and capacity should go. Closing this equation means fixing the allocation process itself, not raising more money.

Cut platform complexity, and make discipline the filter. European automakers are still running bloated multi-platform ICE/hybrid/EV lineups that dilute scale economies on all three; with BEVs on track to dominate European registrations within the decade, the rational move is to consolidate platforms now rather than stagger the transition. Fewer, better-scaled EV architectures beat a wide portfolio hedging against a shift that's already underway. That same discipline needs to extend to capital allocation more broadly: harder capital-allocation frameworks, with kill-criteria on projects before launch, smaller bets sized to realistic market share rather than blue-sky TAM and a bias toward partnership over proprietary build where the technology isn't core (software OS, autonomous stacks, battery chemistry).

Stop absorbing idle capacity, redeploy it into defense. Rather than mothball or subsidize underutilized plants, diversify output toward adjacent, high-demand sectors. Defense is the clearest fit, given sustained European rearmament budgets and long-dated procurement commitments. Precision manufacturing, electronics and systems-integration skills transfer directly, turning spare capacity into a second, less cyclical revenue stream rather than dead weight on the balance sheet.

Table 2 : Summary of strategic options for European auto

Batteries: anchor foreign cell production on EU soil + pool EU procurement	Short run	Partnership / sourcing	Medium	High	Positive
Chips: secure assembly & packaging foothold (not full fab)	Medium run	Onshoring on licensed tech	Medium	Medium	Positive
Batteries: scale recycling into domestic feedstock	Medium run	Import substitution	Medium	Medium	Positive
Cross-OEM R&D: pool pre-competitive spend	Short run	Cost / risk-sharing partnership	Low	High	Neutral
Fleet strategy: consolidate EV platforms	Short run	Portfolio rationalization	Low	High	Negative
Capital allocation: kill-criteria & smaller, disciplined bets	Short run	Governance / process change	Low	High	Neutral
Batteries: solid-state chemistry	Long run	New product / technology bet	High	Low-medium	Positive (long run)
Chips: own IP, design-centric model	Long run	New business model (IP)	Low	Medium	Positive
Software: local cloud/AI infra, monetize as recurring revenue	Medium run	New revenue / cash management efficiency	Low	Medium	Neutral
Capacity: diversify idle plants into defense manufacturing	Short run	New customer / cost optimization	Low	High	Positive
Autonomous mobility	Long run	Staged venture-style investment	High	Medium	Positive (long run), uncertain near-term

Source: Allianz Research

These assessments are, as always, subject to the disclaimer provided below.

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and (xi) general competitive factors, in each case on a local, regional, national and/or global basis. Many of these factors may be more likely to occur, or more pronounced, as a result of terrorist activities and their consequences.

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A double-edged code: How AI is reshaping the global wealth landscape

Allianz Global Wealth Report 2026

29 September 2026



Allianz Research

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Global wealth: a record on paper, less so in real terms

Global financial assets expanded to a record EUR268.4trn in 2025, expanding +8.6% from the previous year, despite a challenging geopolitical and economic backdrop. Global wealth creation ran on autopilot, driven by markets, which accounted for 4 out of 5 euros of additional wealth, while fresh savings fell by -5.4% to EUR4.1trn. Yet the record looks less impressive after inflation: nominal financial assets have increased by almost 50% since 2019, but real growth amounts to just 23%, leaving purchasing power only 5% above its 2021 level.

Portfolios set the tone

Portfolio composition increasingly determines who captures the gains from wealth creation. In 2025, securities grew by +12.4%, more than twice as fast as deposits (+5.7%) or insurance and pensions (+5.0%), pushing their share of global financial assets to a record 46.9%. North America's securities-heavy portfolios, with an allocation of 60.7%, helped the region generate 51.4% of the global increase. Its real financial assets are now 21% above 2019 levels. Western Europe, by contrast, has barely recovered its purchasing power, with a real increase of just 0.5%. Over the past decade, valuation gains accounted for 71% of North American financial-asset growth, against 36% in Western Europe. As a result US financial assets grew 3.1pp faster than Europe's, despite Europeans' greater savings effort relative to existing assets, indicating that saving more does not necessarily mean accumulating more wealth.

Asset growth surpasses debt

Assets raced ahead of debt, strengthening household balance sheets. Global household liabilities increased by +3.4% to EUR56.9trn, considerably slower than financial assets. The household-debt ratio fell to 60.9% of GDP, almost 13pps below its 2009 peak, reflecting both restrained borrowing and growth in nominal economic activity. Net financial assets consequently rose by +10.1% to EUR211.5trn. Debt can also impact the wealth rankings: while Swiss households remain the wealthiest in the world in terms of gross financial assets per capita, the US is ahead of Switzerland in net financial assets per capita, as Swiss household debt per person is more than twice the American level.

Catch-up pace slowing

Globalization has changed the geography of wealth, but poorer economies are losing catch-up speed. The ratio of average net financial assets per capita in advanced economies to emerging markets fell from 62 in 2005 to 21 in 2015, but only to 17 by 2025. Emerging markets nevertheless now account for 61.9% of the global middle-wealth class and 32.1% of the high-wealth class, compared with less than 2% of the latter in 2005. So, while wealth has become far more geographically diverse, the momentum of catch-up itself has faded. Trade fragmentation, weaker cross-border investment and reorganized supply chains are making convergence harder. Digital services and the green transition could open new opportunities, but seizing them will depend on access to capital, technology and skills; assets that are themselves unequally distributed.

Stubborn inequality

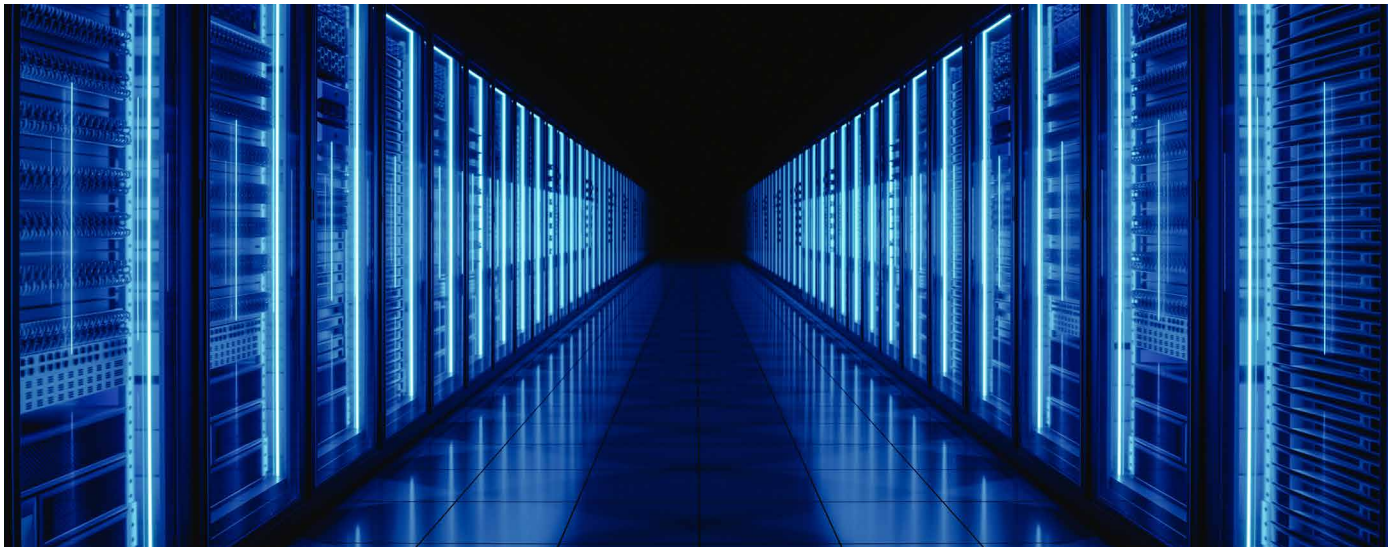
Global wealth concentration has eased, but national wealth inequality has barely moved in two decades. The richest 10% still own 85.4% of global net financial assets. This is down from 91.5% in 2005, but at the current pace of improvement it would take almost another eight decades for global concentration to approach the levels observed within individual countries. Meanwhile, the bottom half of the world's population covered by this report, almost 3bn people, collectively holds virtually no net financial assets. Within borders, distribution has proved almost immovable: the share held by the top-decile averaged 60.9% in 2025, against 60.4% in 2005, and the average-to-median ratio barely moved from 3.11 to 3.12. Still, ownership patterns are not fate. Some countries demonstrate that improvement is possible: the Netherlands reduced its top-decile share by 2.4pps to 56.1%, while Ireland's average-to-median ratio fell from 4.87 to 3.42. These exceptions have not, however, translated into a broader reduction in national wealth inequality.

AI growing the gap

AI could put an end to the calm on the distributional front by shifting more value creation from labor towards capital, in turn widening the divide between earners and owners. Allianz Research estimates that AI could affect almost 1 in 4 jobs across major economies over the next three years, mainly through reorganization. Displacement could temporarily outpace job creation as firms deploy technology faster than workers can retrain. If productivity gains flow mainly into profits rather than wages, asset owners could capture disproportionate benefits. Policy must therefore support worker adjustment, avoid tax incentives that favor replacing labor and broaden participation in capital returns. Otherwise, AI could create substantial wealth while concentrating its rewards and spreading disruption, putting social cohesion under pressure.

AI promise and risk

The outlook for global wealth remains solid, but AI now carries both the upside and the risk that will shape it. Global financial assets are expected to grow by around +9% in 2026, once again well above the long-term rate of +6.0%. Further gains increasingly depend on corporate earnings delivering on elevated expectations, particularly around AI. Stronger productivity and profits could sustain the rally. If expectations have run ahead of economic reality, however, the resulting correction could reach far beyond technology stocks. In a downside scenario in which earnings disappoint and expectations prove too optimistic, a 25% correction in the S&P 500 could wipe around USD27trn from US household wealth, equivalent to almost 14% of total net worth, with weaker confidence and spending pushing the US economy into recession. In the medium term, AI should remain an important driver of global wealth but the path will be more volatile. Fragmentation, persistent inflation and elevated public debt will constrain returns, while the scale and timing of AI-related productivity gains remain uncertain. Annual financial-asset growth is therefore expected to settle at around +5–6% over the medium term. AI offers substantial upside, but translating its technological promise into durable and broadly shared wealth will take time.



Financial assets: 2025 sets a fresh record

Despite a sharp rise in trade-policy uncertainty and persistent geopolitical tensions, 2025 saw another year of resilient global growth. Sweeping US tariff announcements in April triggered market turbulence and disrupted trade, yet the US economy remained comparatively robust, supported by household consumption and a powerful AI-related investment boom. Europe continued to wrestle with structural weakness, even as Germany returned to marginal growth after two years of recession. In China, weak domestic demand and the prolonged property-sector adjustment remained the main constraints.

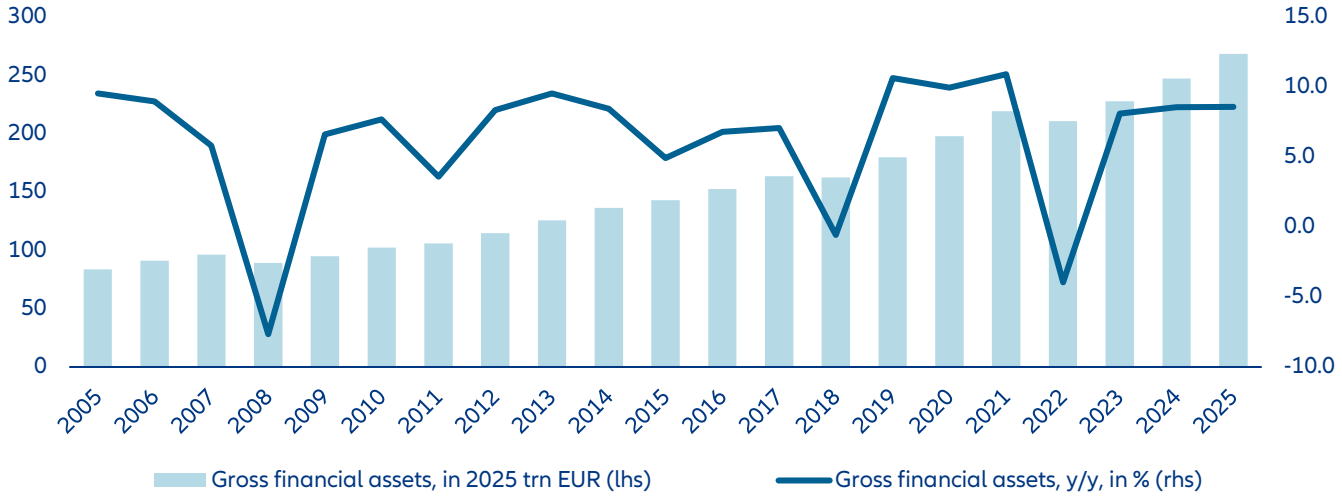
Inflation continued to ease, although at markedly different speeds across regions, and with US inflation still above target. This gave central banks room to loosen policy: the European Central Bank (ECB) reduced its deposit rate by 100bps to 2.0%, while the US Federal Reserve (Fed) waited until September before cutting by a cumulative 75bps to 3.50–3.75%. Long-term interest rates remained elevated, however, as investors demanded compensation for persistent inflation risks, large fiscal deficits and rising public debt.

Financial markets ultimately looked through the turbulence and recorded another strong year. After the sharp sell-off around the April tariff announcements, easing trade tensions, lower policy rates and continued enthusiasm for artificial intelligence (AI) drove a strong recovery. US equities remained powered by AI-related investment and earnings expectations, while European markets benefited from a rotation into previously underperforming countries and sectors. Overall, global equity markets therefore ended 2025 with substantial gains extending the strong performance of the previous two years.

Against this backdrop, private households' global financial assets continued to grow at a remarkably dynamic pace, with an increase of +8.6% in 2025, in line with the previous year, reaching a record EUR268.4trn (Figure 1). Relative to global economic activity, financial assets stood at 288% of GDP at the end of 2025 but remained below their 2021 peak of 306%.

Adjusted for inflation, the picture is considerably less impressive: while in nominal terms global financial assets grew by almost 50% since 2019, real financial assets grew just 23%, and as of end-2025 register only 5% above their 2021 level. Part of this year's headline record therefore reflects rising prices rather than genuine new wealth.

Figure 1: A fresh record high
Gross financial assets, in 2025 EUR trn and annual change in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

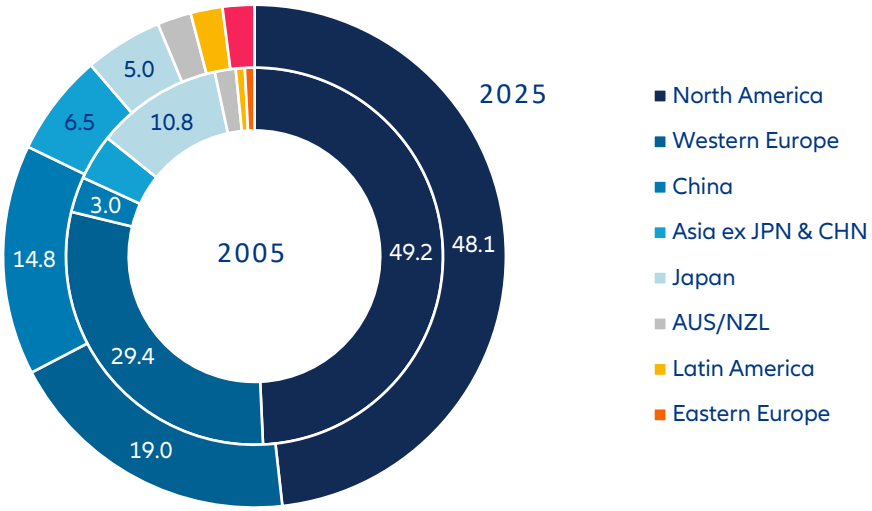
A comparison with pre-Covid real-terms also exposes a stark regional divide: as of end-2025 Western Europe's real financial assets were only 0.5% above their 2019 level, effectively experiencing six years without a meaningful net gain in real terms. Over the same period, real financial assets in China rose by 70%, in Asia excluding Japan and China by 40%, in North America by 21% and in Japan by 13%. Western Europe was therefore not merely the slowest-growing region, it was the only one to experience virtual stagnation.

The US remains on top

The enormous stock of global financial assets held by private households is not distributed evenly across the world. In fact, it is heavily concentrated in North America (Figure 2),[1] which alone accounts for roughly half of all private financial assets worldwide. Remarkably, its share has changed little over the past two decades, despite China's spectacular rise from 3% in 2005 to almost 15% in 2025. China's gains came largely at the expense of the other advanced wealth centers: Western Europe's share fell by more than 10pps to 19%, while Japan's more than halved to 5%.

[1] North America is largely synonymous with the US in terms of financial assets: Canada accounted for less than 6% of the region's total in 2025. The US alone held 45.3% of global financial assets, compared with 46.7% in 2005.

Figure 2: Rich, richer, North America
Gross financial assets, regional split 2005 and 2025, in 2025 EUR, in %



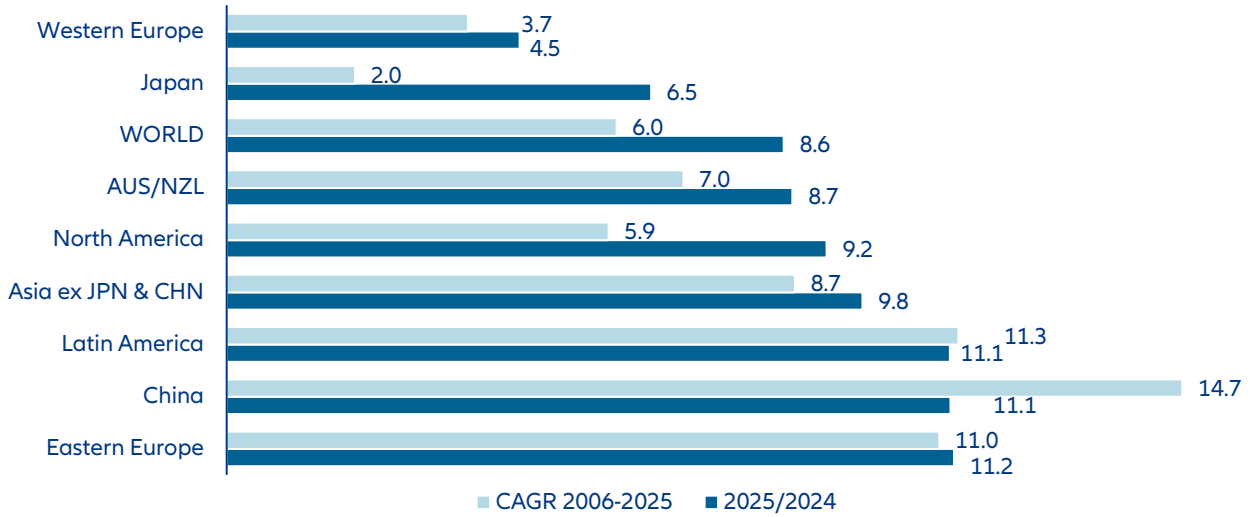
Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

North America's resilience reflects a powerful combination of scale and performance. Its financial assets grew by an average of 5.9% annually between 2006 and 2025, broadly in line with the global rate of 6.0%. Western Europe and Japan achieved only 3.7% and 2.0%, respectively, falling short of global growth by 2.3pps and 4.0pps per year.

In 2025, North American financial assets accelerated by 9.2%, outperforming the global rate of 8.6% (Figure 3). Emerging markets grew even faster, led by Eastern Europe, China and Latin America, all at around 11%. Western Europe lagged markedly at 4.5%, while Japan recorded growth of 6.5%.

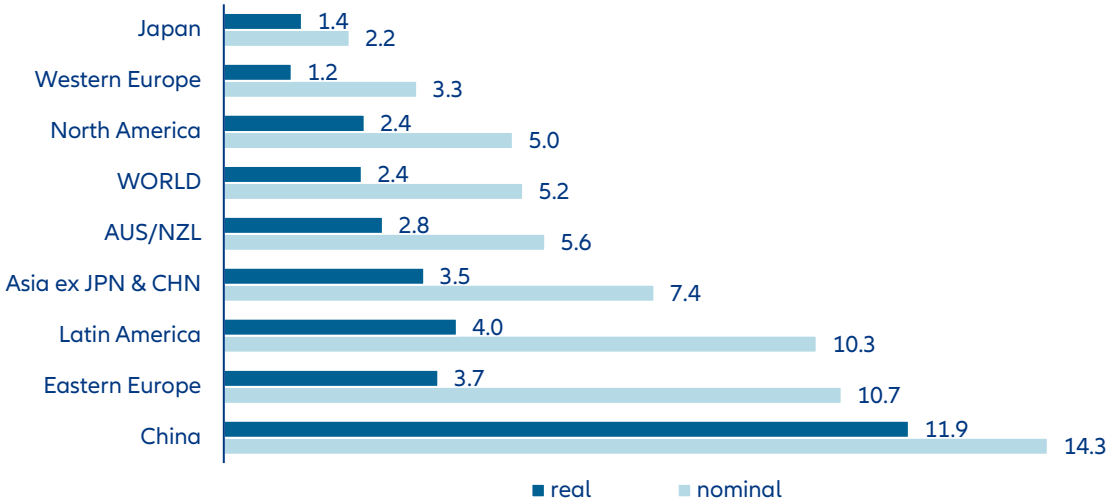
Adjusting for inflation and population growth does not fundamentally change the long-term picture: North American financial wealth has kept pace with global growth. Population growth alone accounts for only part of the story – per-capita wealth creation runs 0.8pps below the aggregate global rate in most regions, North America included. The exception is Japan, where a shrinking population actually lifts per-capita growth above the headline figure (Figure 4).

Figure 3: American wealth engine keeps running
Gross financial assets, CAGR* 2006-2025 and growth 2025/2024, in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research
*CAGR: Compound annual growth rate

Figure 4: Inflation cuts wealth in half
Gross financial assets per capita, nominal and real CAGR 2006-2025, in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

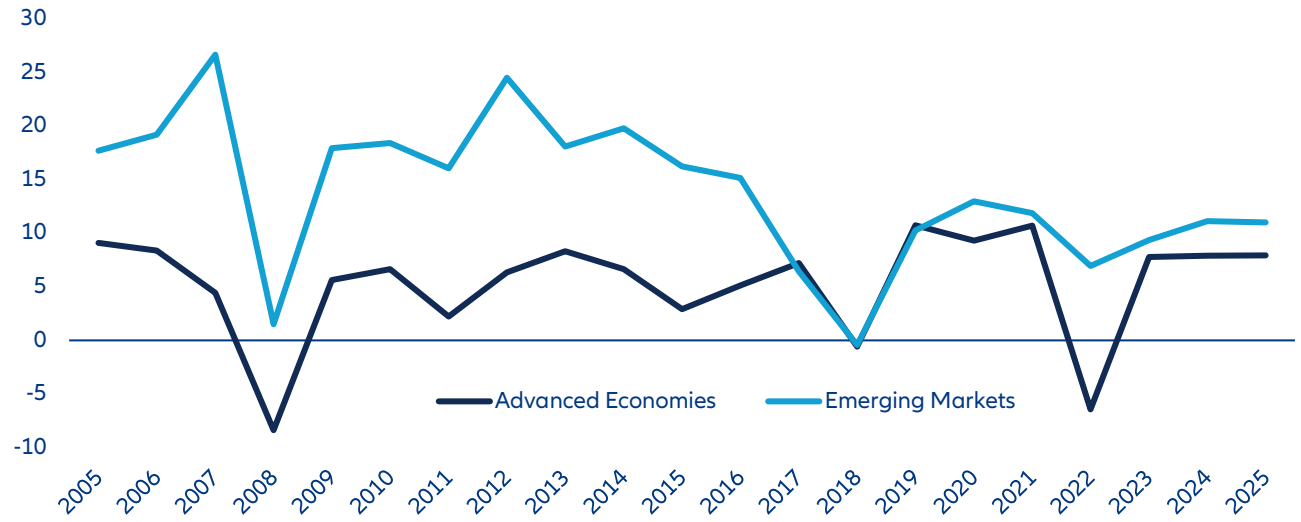
Inflation, by contrast, has a much larger effect than population growth: it erases more than half of nominal growth globally in real terms. North America is no exception, with real per-capita wealth growing at 2.4% a year against a nominal 5.0%. That 2.4% real rate, however, is exactly in line with the global average and comfortably ahead of Western Europe's 1.2% – only Japan and China erode less to inflation than North America does, and even Japan's real per-capita growth (1.4%) is just narrowly quicker than Western Europe's, not America's. Compounded over two decades, this leaves the purchasing power of North American financial assets up by a factor of 1.6 – matching the global multiple, and ahead of the 1.3x recorded in both Western Europe and Japan. China remains the one region genuinely out of reach on this measure, with real per-capita wealth compounding at an astounding 11.9% a year and purchasing power up almost tenfold over the same 20 years.

Thanks to its enormous asset base, North America remains the main driver of global financial wealth growth in nominal terms, real and per-capita adjustments notwithstanding. It generated 51.4% of the worldwide increase in financial assets in 2025. Over the past two decades, it accounted for 47.5% of the total increase, compared with 20.1% for China and 14.3% for Western Europe. In global wealth creation, the US remains clearly in the driver's seat.

North America's recent outperformance in household financial-asset growth is a relatively new phenomenon. In the years following the global financial crisis, US financial assets frequently grew more slowly than the global average. The shift began around 2017, when escalating US–China trade tensions heralded the end of ever-deeper globalization and the increasingly seamless integration of emerging economies into the global division of labor.

This changing environment is also visible in the narrowing growth gap between emerging and advanced economies (Figure 5). In the decade leading up to 2017, emerging-market financial assets on average grew more than 13pps faster per year. In 2024–2025, their advantage was only around 3pps. Emerging markets are still growing faster, but no longer fast enough to sustain the rapid convergence of the early 2000s. In an increasingly fragmented global economy, the closing of the global wealth gap has clearly lost momentum.

Figure 5: A narrowing growth gap
Gross financial assets in 2025 EUR, annual change in %

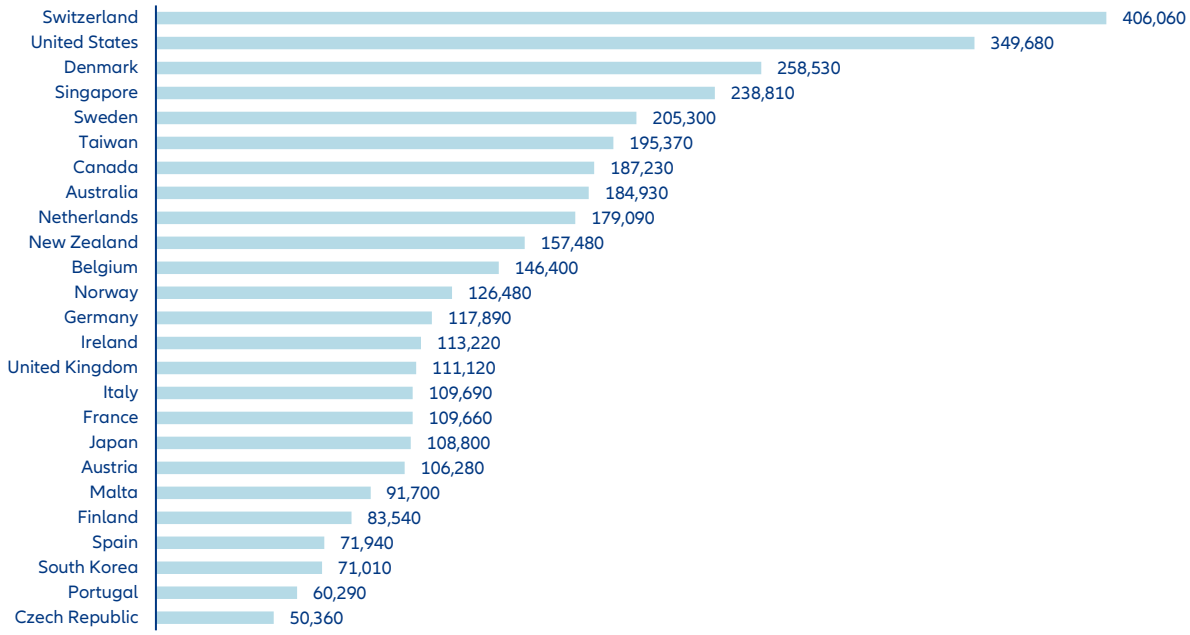


Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

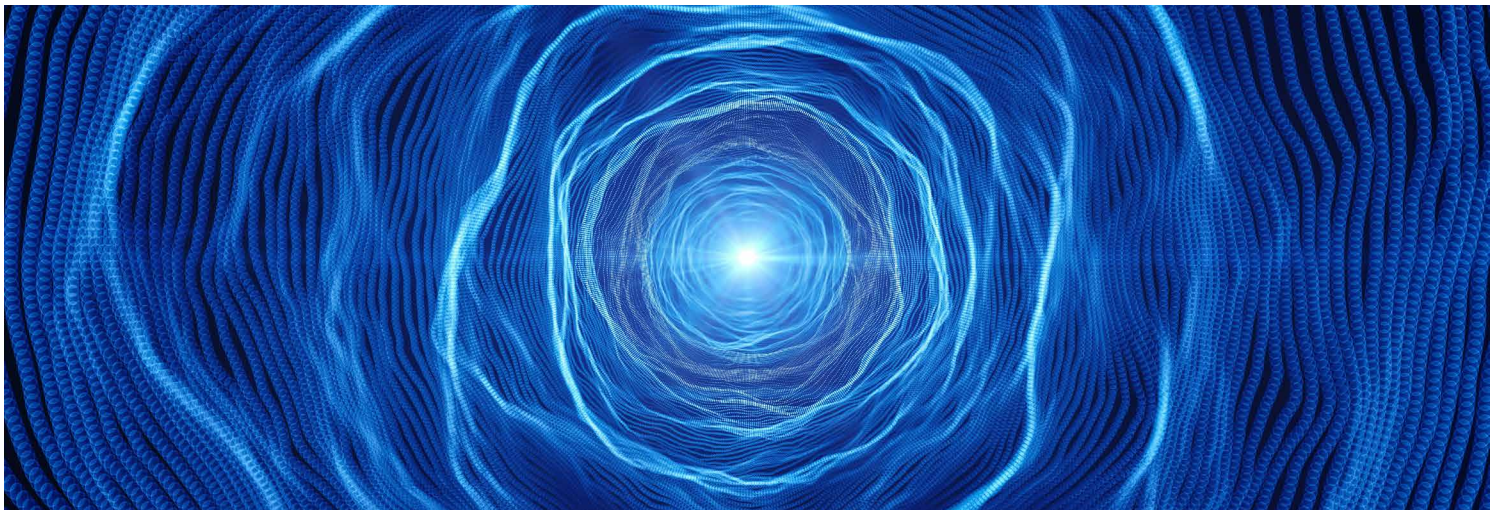
American supremacy is also reflected in per capita gross financial assets, at least when looking at averages: in fact, only Switzerland ranks ahead of the US. All other countries follow at a considerable distance (Figure 6). While the two top spots have remained unchanged for years, there has been some movement among the top ten. Two decades ago, Sweden, Taiwan, Australia and New Zealand were not yet part of this illustrious circle, which at that time included Belgium, the UK, Italy and Japan.

The Netherlands remains the highest-ranked Eurozone country, but is only ninth, down from fourth place in 2005. Germany's ranking remained unchanged from last year at 13th, but it has improved by six places since 2015 – partly reflecting a significant data revision. Among the other Eurozone countries, only Ireland, Malta, Croatia and the Baltic states also improved their rankings over this period. And China? It now ranks 32nd, up eight places from 2005.

Figure 6: The top 25
Gross financial assets per capita, in 2025 EUR



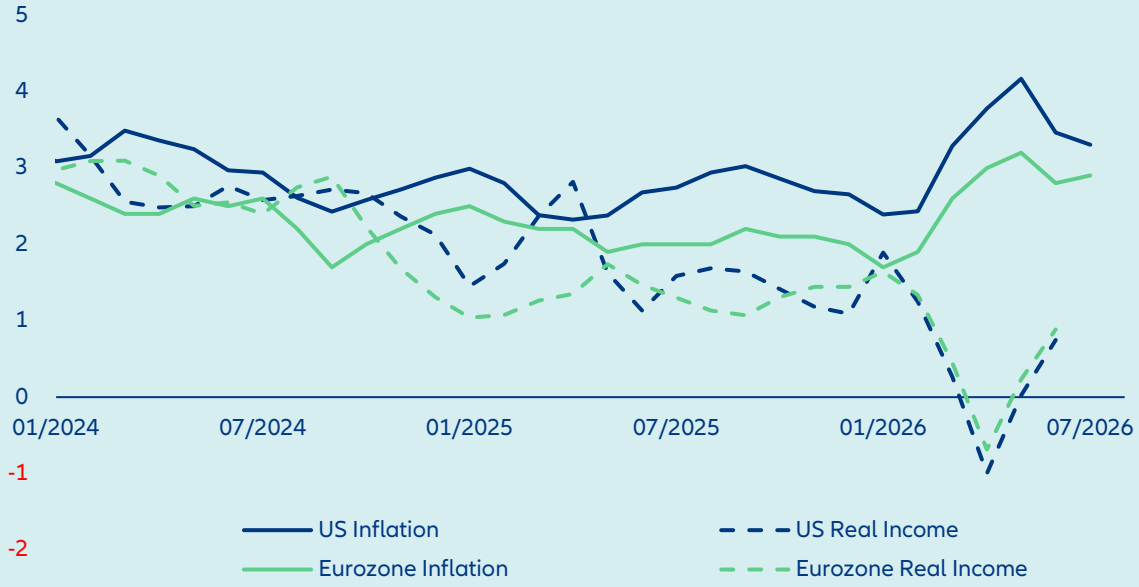
Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research



Box 1: The affordability hangover – The lasting and renewed scars of the inflation shock

Inflation may be well below its post-pandemic peak, but the affordability crisis has not gone away. In the US, 47%[2] of registered voters cite the cost of living as the single most important factor in deciding their 2026 midterm vote – a sign that lower headline inflation has yet to translate into a sustained recovery in household purchasing power.
In fact, the recovery in purchasing power has gone into reverse. After the post-Covid inflation shock, wage growth had again overtaken inflation, allowing real incomes to recover in both the US and Europe. But in 2026, renewed energy-price pressures and sticky services inflation have reversed part of that improvement: inflation has risen to around 3.4% in the US and 3.3% in Europe and could be pushed higher by the energy-price shock triggered by the war in the Middle East. With nominal labor-income growth failing to keep pace, real labor-income growth has turned negative again for the first time since the post-pandemic inflation shock.

Figure 7: Inflation and real labor-income growth, US and Eurozone, 2021-2026, in %



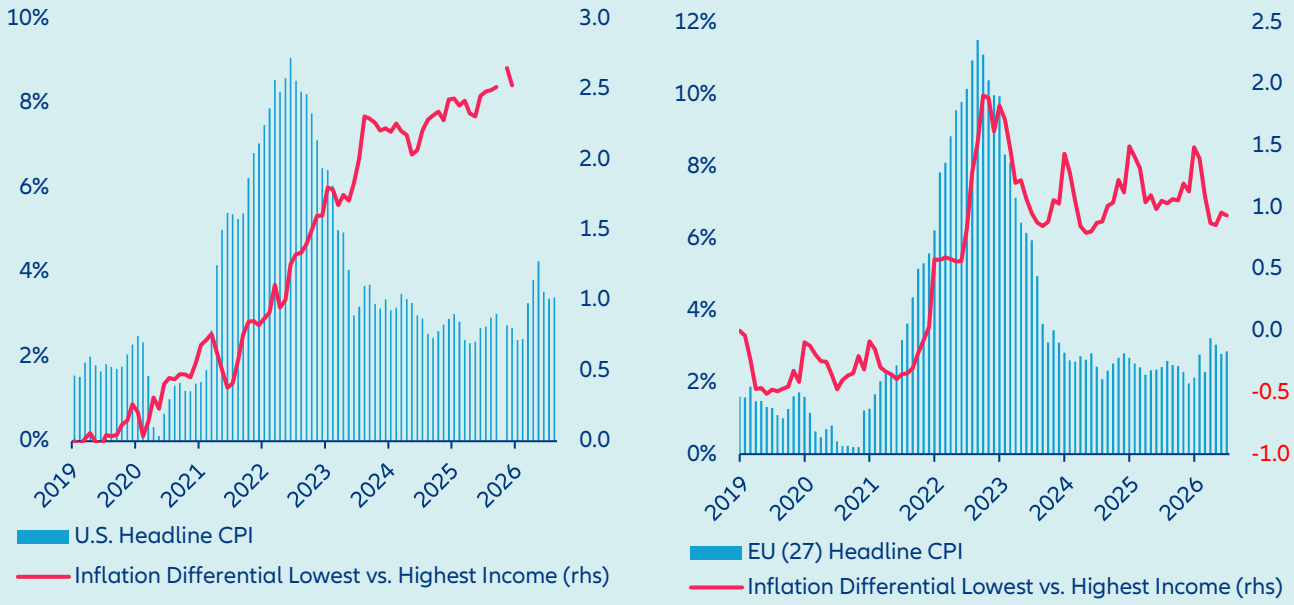
Sources: LSEG Datastream, Allianz Research

[2] See: Ipsos (2026), "Cost of living remains top of mind for voters heading into 2026 midterms"

The squeeze is also highly unequal. Lower-income households spend a higher share of their budgets on necessities and therefore have less room to adjust. In Europe, food, housing and energy absorb around 61% of disposable income for those in the bottom income quintile, compared with 45% for the top. In the US, lower-income households devote around 6pps more of their spending to essential goods. As a result, differences in consumption baskets can translate into an effective inflation rate around 1-2pps higher for poorer households.

The cumulative price shock continues to bite as lower inflation rates do not undo earlier price increases: US food prices, for example, remain around 36% above 2019 levels. For households already spending most of their income on essentials, this makes it harder to recover the purchasing power lost during the inflation shock.

Figure 8: Headline inflation and cumulative distributional inflation gap between highest- and lowest-income quintiles, US and Europe, in % and pp



Sources: BLS, Eurostat, Allianz Research

The affordability hangover can extend from household budgets to the ballot box. Historical evidence across 365 elections in 18 advanced economies since 1948 finds that a 10pp positive inflation surprise is associated with a 15% increase in the vote share of extremist, anti-system and populist parties, with the effect particularly pronounced when real wages fall.[3] Inflation does not determine voting behavior, but sharp and unexpected losses of purchasing power can amplify political discontent.

Bringing inflation down is therefore not the same as restoring affordability. Broad price subsidies can provide quick relief but are costly, often poorly targeted and can weaken incentives to adjust consumption. Support should instead focus on households most exposed to essential-price shocks, for example through targeted transfers or tax relief, while structural policies tackle the underlying drivers of living costs – particularly housing supply, energy costs and competition in essential services. Wage and benefit systems should meanwhile avoid turning temporary price shocks into persistent inflation.

The longer-term challenge is to protect households' capacity to save. When essentials absorb more income, saving is often the adjustment margin, turning today's affordability squeeze into tomorrow's wealth gap. Strengthening access to long-term saving, funded pensions and financial participation can help prevent an inflation shock from leaving a lasting scar on household wealth.

[3] See: Federle, J., Mohr, C. and Schularick, M. (2024), "Inflation Surprises and Election Outcomes," CEPR Discussion Paper No. 19741.

Markets do the heavy lifting

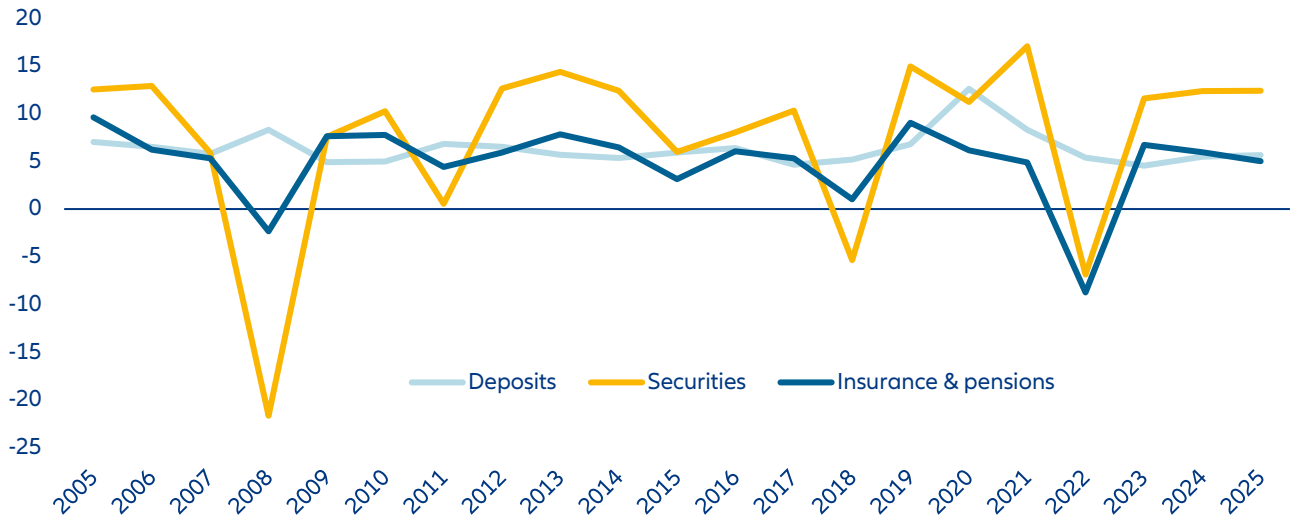
Financial wealth grows through two channels: households add new savings, and market movements change the value of existing portfolios. The second channel works primarily through securities, especially equities. Portfolio composition therefore determines how strongly households benefit from rising markets.

In 2025, securities, including shares, bonds and investment funds, rose by +12.4%, compared with +5.7% for bank deposits and +5.0% for insurance and pension assets (Figure 9). Securities thus led the three major asset classes for the third consecutive year.

With the sustained stock-market boom delivering substantial gains, the past three years have been exceptionally rewarding for invested savers. Between 2023 and 2025, securities grew by an average of +12.1% annually, more than twice as fast as deposits (+5.2%) and insurance and pension assets (+5.9%). Their growth advantage persists over the long term, although it is less pronounced because capital markets also experience periodic reversals.

Over the past 20 years, securities grew by an average of +6.9% annually, compared with +6.0% for total financial assets. The message is clear: capital-market participation is increasingly decisive for long-term wealth accumulation.

Figure 9: Securities set the pace for a third consecutive year
Gross financial assets in 2025 EUR, annual change in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Securities are by far the dominant asset class. At the end of 2025, they accounted for a record 46.9% of global financial assets. Despite periodic stock-market setbacks, the long-term trend has been clear: overall holdings of shares, investment funds and other securities increased by 7.4pps compared with 2005. Conversely, the share of insurance and pension assets declined by a similar amount to a record low of 24.8%. Bank deposits meanwhile increased their share slightly to 26.0% (Figure 10).

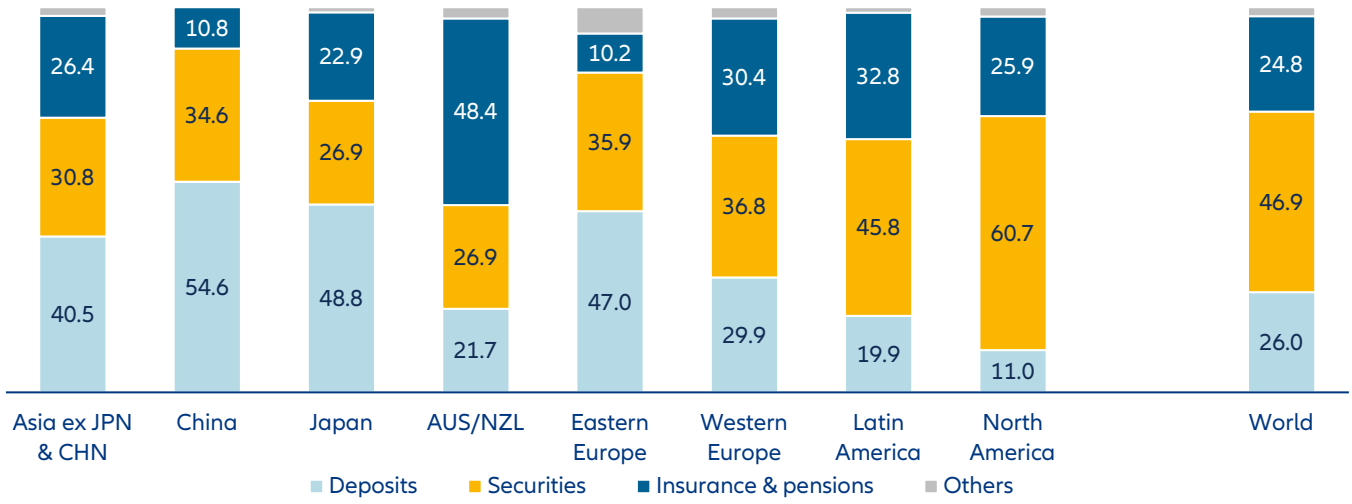
These global figures mask large differences between countries and regions, and thus the extent to which savers benefit from rising securities prices. North American savers have the greatest capital-market exposure, with securities accounting for 60.7% of their portfolios. In the US, the share is even higher, at 61.4%. This was not always the case: following the global financial crisis, North America's securities share fell below 46%.

Securities also play a disproportionately large role in Latin America, accounting for 45.8% of financial assets. These holdings, however, are more likely to include unlisted equity than in North America. Brazil stands out, with a securities share of 62.1%. In Asia, by contrast, bank deposits generally play a much larger role: they account for 54.6% of financial assets in China and 48.8% in Japan. However, there are important exceptions. In Australia, many savers participate indirectly in capital markets through superannuation funds, with insurance and pension assets accounting for 54.6% of household portfolios.

Western Europe, meanwhile, is characterized by a more balanced portfolio structure, with securities significantly less important than in North America. Here, too, national differences are substantial: securities account for 54.0% of financial assets in Italy, while insurance and pension assets dominate in the Netherlands, with a share of 50.4%.

These different portfolio structures demonstrate the wide variation in savings behavior around the world. They also help explain why North American savers have increased their financial assets broadly in line with global developments in recent years, unlike their Japanese and European counterparts. Despite North America's already very high level of wealth, its greater exposure to capital markets has supported continued growth. Portfolio structure is therefore not merely a reflection of savings preferences, rather it is an increasingly important determinant of wealth creation.

Figure 10: Different portfolios, different fortunes.
Gross financial assets, by asset class in 2025 EUR, in % of total gross financial assets



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Savings losing steam

Savers added less new money in 2025, but markets more than compensated: 4 out of every 5 euros of additional financial wealth came from valuation gains rather than fresh savings.

In 2025, new savings declined by -5.4% to EUR4.1trn (Figure 11). While this was well below the peaks of the exceptional years 2020 and 2021, it was still 56% higher than in 2015. Developments diverged markedly across regions. New savings in North America fell by -17.5%, largely because US purchases of securities, insurance and pension products declined. Nevertheless, the region still mobilized EUR1.8trn and accounted for around 45% of total new savings. By contrast, new savings increased by +34.6% in Japan, +22.2% in Australia and +13.3% in the eurozone. Overall these flows explain only around one-fifth of the increase in global assets, with valuation gains generating the remaining four-fifths.

Another striking feature was the continued recovery in bank deposits. The savings pool shrank, but the appetite for liquidity grew: almost one-third of fresh savings flowed into bank deposits. Inflows had virtually dried up in 2023, primarily because American savers withdrew more than EUR500bn and shifted funds into higher-yielding assets. After recovering in 2024, global deposit inflows increased by a further +18.1% to EUR1.3trn in 2025. As a result, deposits attracted 31.7% of new savings, up from 25.4% in the previous year.

While this is significantly higher than in the previous two years, it is still significantly lower than in the pre-pandemic years, when this figure averaged over 40%. The "rediscovery" of bank deposits is therefore likely due more to falling interest rates making the opportunity cost of leaving money in a current account lower, rather than due to their attractiveness. This is also evident in Japan, where the delayed interest rate turnaround caused the proportion of savings in bank deposits to fall to a historic low of 25%. The recovery was particularly pronounced in the US, where deposit inflows more than tripled to EUR321bn. Japan moved in the opposite direction: although deposit inflows increased slightly in absolute terms, their share of new savings fell from 28.4% to 23.4%.

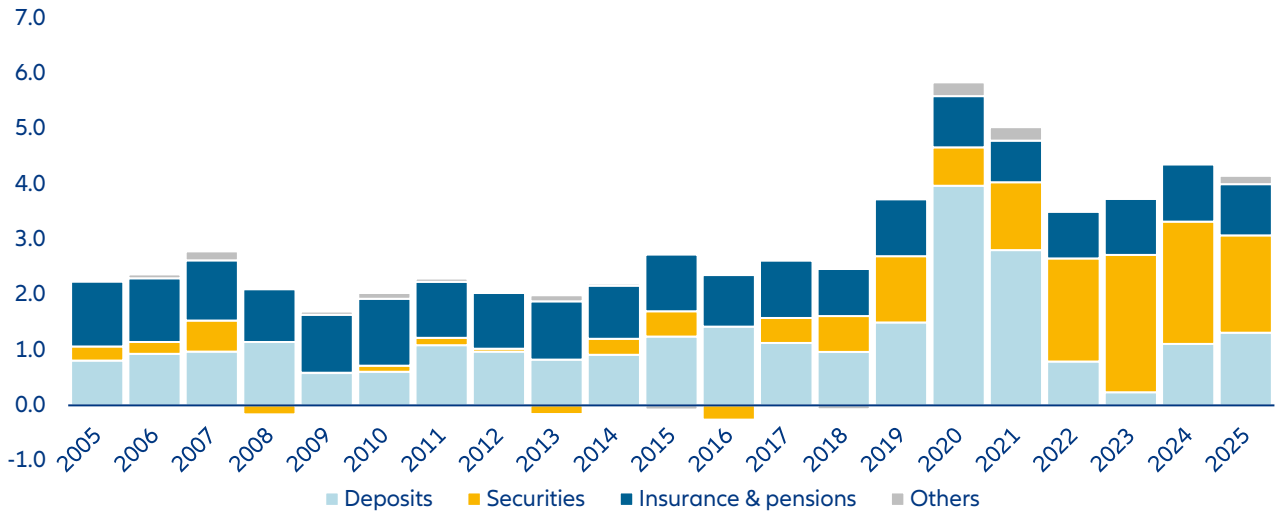
Securities suffered another setback after the exceptional inflows of previous years. Net purchases fell by -20.5% to EUR1.8trn in 2025, following a decline of -10.9% in 2024. Even so, securities remained the preferred destination for new savings, accounting for 42.4% of total flows – a historically high level – more than any other asset class.

North American savers continued to dominate securities purchases, but their share fell from almost three-quarters in 2024 to around two-thirds in 2025. The US alone accounted for 59% of global purchases. The cooling of securities flows was therefore largely an American phenomenon: North American purchases declined by -29.4% to EUR1.2trn, while inflows remained broadly stable in Western Europe at EUR333bn and increased in Japan to EUR79bn. Eastern Europe also recorded a strong increase, albeit from a much lower base. Global appetite for securities therefore did not disappear; it became less concentrated in the US.

Preferences within the securities category shifted again: households were net sellers of bonds and other debt securities, with global outflows of EUR63bn compared with purchases of EUR183bn in 2024. This reversal was driven by American savers, who sold EUR145bn after the bond-buying boom of 2022 and 2023. Italian and Japanese households remained the largest net buyers among the countries covered, purchasing EUR24bn and EUR31bn, respectively. However, their paths diverged: Japanese purchases edged up from EUR29bn in 2024, while Italian purchases more than halved from EUR55bn. Shares meanwhile remained in strong demand. Global purchases reached EUR830bn in 2025, down by -11.3% from the previous year but still the fourth-highest amount on record. Once again, the US was the decisive force, accounting for EUR814bn and therefore virtually all global net purchases. Elsewhere, activity was broadly balanced: Western European purchases were close to zero, while Japanese savers remained net sellers. Investment funds attracted EUR954bn, a decline of -11.1% but still the third-highest amount on record. Unlike direct share purchases, fund inflows were more broadly distributed: Western European purchases rose by +10.7% to a record EUR298bn, while North American inflows fell by -25.0% to EUR500bn. The continued popularity of Exchange Traded Funds (ETFs) is likely to have supported these flows.

Inflows into insurance and pension assets declined by -10.1% to EUR928bn, accounting for only 22.4% of new savings. However, the global decline was entirely driven by North America, where inflows fell by -40.8% to EUR269bn. Western European inflows meanwhile increased by +25.4% to EUR417bn, while Japan recorded an even stronger recovery, with inflows rising by +151.9% to EUR49bn, albeit from a low base. Nevertheless, the long-term trend remains clear: during the decade before the pandemic, insurance and pensions attracted an average of 44% of new savings – almost twice their share in 2025.

Figure 11: Securities still lead, deposits gain ground
Flow of funds by asset class, in 2025 EUR trn



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

North American savers continue to show a clear preference for securities. In 2025, they directed 63% of fresh savings into securities, compared with just 26% in Western Europe (Figure 12). This greater capital-market exposure has amplified the effect of their savings, which becomes visible over the course of ten years.

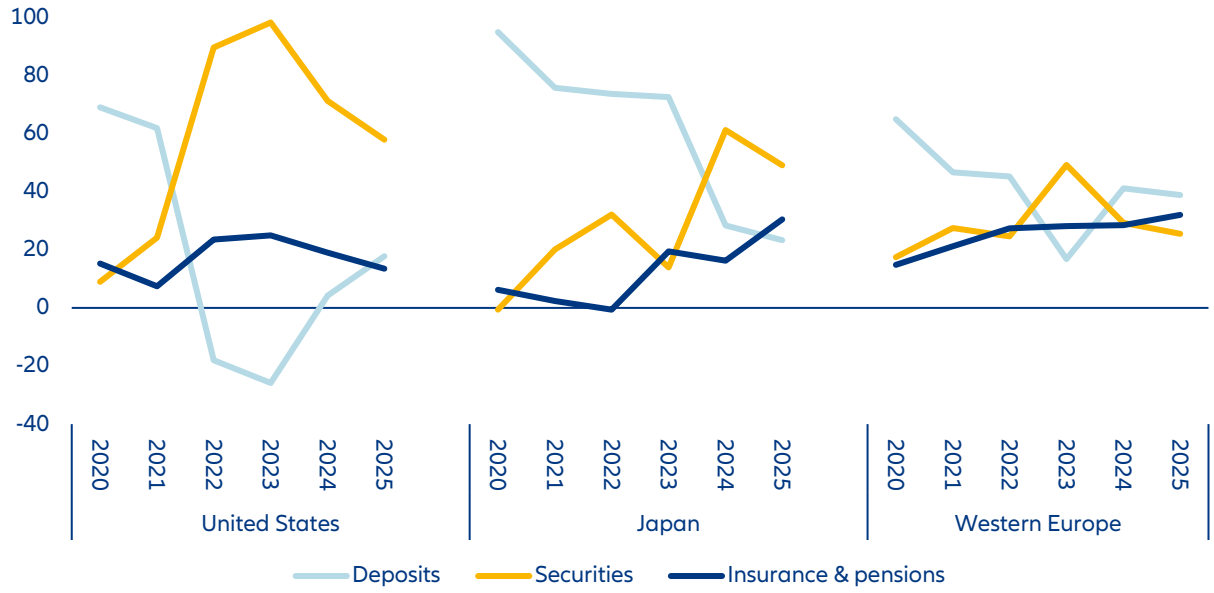
Within this time period, North American financial assets grew by an average of +6.9% annually, compared with +3.9% in Western Europe. This happened although Western European households added fresh savings equivalent to an average of 2.4% of their existing financial assets each year, while North Americans added just 2.1%.

The decisive difference, however, stems from contributions generated by valuation gains: they generated 71% of the increase in North American financial assets, but only 36% in Western Europe. In other words, North American portfolios made each euro of fresh savings work harder.

Germany provides an instructive example. Its financial assets grew by a relatively strong +6.0% annually over the past decade, but this required fresh savings equivalent to 3.9% of existing assets each year – almost twice the North American rate. Valuation gains accounted for only 33% of German asset growth, less than half the North American share. Germany achieved similar growth through much greater savings efforts; North America benefited from a substantially stronger market multiplier.

For Europe, the conclusion is straightforward: its households do not suffer from a lack of savings, but from a weaker transmission of savings into wealth creation. Greater capital-market participation could raise long-term returns without requiring households to save more. The question is therefore not only how much Europeans save, but how effectively their savings are put to work.

Figure 12: Making savings work harder
Flows by asset class and countries/regions, in 2025 EUR, as % of total flows



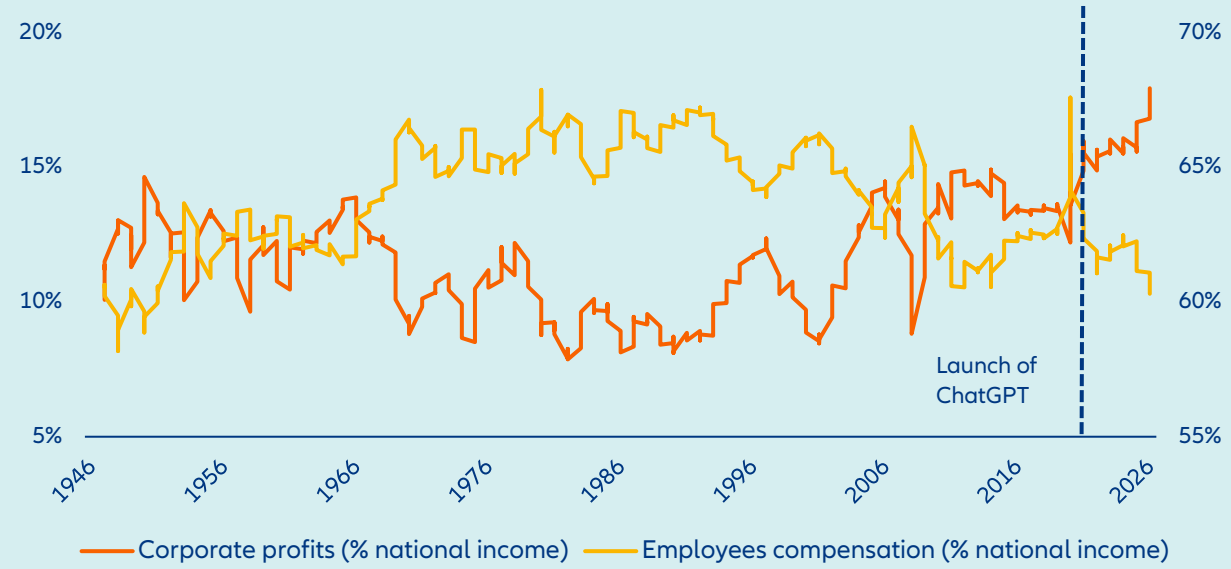
Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Box 2: Who will capture the AI wealth dividend?

Artificial intelligence could transform both the pace and distribution of wealth creation, potentially weakening the traditional link between working, earning and accumulation. Developing AI models and building out computing, data and energy infrastructure require large upfront investments, while successful applications can be replicated at low marginal cost. This favors scale and allows output to grow without a corresponding increase in employment. AI could also make workers more productive and efficient, raise wages and lower prices. How widely these gains are shared will depend on policy choices that shape competition, workers' bargaining power and access to capital ownership.

The shift in value creation from labor towards capital is not new, but AI could accelerate it sharply. Recent US data show the distributional landscape into which AI is arriving. Pre-tax corporate profits reached an annualized USD4.8trn in the second quarter of 2026, equivalent to 18% of national income and the highest share since the aftermath of WWII (figure 13). Meanwhile employee compensation fell to 60%, its lowest share since the 1950s. Inflation, outsourcing and cyclical factors also matter, so these developments cannot be attributed primarily to AI, but they reveal an existing shift towards capital that AI could amplify if productivity gains accrue mainly through margins, rather than wages.

Figure 13: Profits gain, labor loses ground
US corporate profits and employee compensation, as % of national income



Source: U.S. Bureau of Economic Analysis via FRED

For most households, labor income remains the first rung on the wealth ladder. Wages provide the means to save, while ownership of productive assets adds access to investment income and compounding returns. If AI strengthens capital returns while weakening earnings prospects for some workers, that ladder could become harder to climb. In the US, the top 10% own around 87% of corporate equities and mutual-fund shares. AI could therefore generate strong aggregate wealth growth without a similarly broad improvement in household prosperity. AI's labor-market impact is likely to be substantial but uneven and remains subject to high uncertainty. According to our own Allianz Research forecasts AI will affect 1 in 4 jobs across major economies over the next three years, reorganization is expected to dominate, affecting 10% of jobs, compared with augmentation of 5% and displacement of 8%. This corresponds to 52.5mn jobs in the US and 21.8mn across major European economies including Germany, France, Italy, Spain and the UK. New occupations should offset some losses, but probably not immediately: firms can deploy technology faster than workers can retrain or move between occupations. This transition gap could temporarily leave displacement running ahead of job creation.

AI could also reshape wealth differences between countries. It can make expertise cheaper and more widely available, potentially delivering large productivity gains where skilled labor is scarce. Countries need not produce frontier AI to benefit from adopting it. However, ownership of models, platforms, semiconductors and infrastructure is concentrated, so part of the income generated by successful adoption may flow to foreign technology owners. Economies combining widespread adoption with ownership of the underlying technologies and businesses, like the US, are better placed to capture both productivity gains and investment income. However households can also participate through diversified investments in foreign companies, meaning that national technological leadership is not the only route to sharing in AI-driven returns.

Policy must address both sides of the transition: protecting labor income and widening participation in capital returns. Three priorities stand out. First, education and retraining should focus on skills that complement AI, supported portable benefits, wage insurance and occupational mobility. This can help shorten the gap between displaced work and new opportunities. Second, tax systems should not unnecessarily favor machines over workers. Labor is subject to income taxes and social contributions, while automated production may face a lighter effective burden. For example, a tax on AI tokens treating computational output as a proxy for machine labor could moderate excessively rapid substitution and protect the tax base as value creation shifts towards capital. Recycling the proceeds into training, wage insurance or general revenues could also broaden participation in AI-driven gains. Third, policy should broaden access to capital returns through wider pension coverage, matched long-term savings, employee profit-sharing and collective investment vehicles. Governments could also establish citizen wealth funds financed from AI-related revenues that invest in productive assets on behalf of the population. Stronger financial literacy would help households take greater responsibility for their financial futures and make informed decisions about saving, investment and risk. Together, these measures would create a lasting and more widely shared claim on technological progress.

If AI shifts value creation further towards capital, wider ownership will become increasingly important to translating technological progress into broadly shared wealth. Broad participation in the gains will be essential not only for prosperity, but also for social cohesion and continued public support for technological progress. An AI transformation that concentrates rewards while spreading disruption would ultimately prove economically and politically unsustainable.

Outlook

Global financial assets are on course for another strong year in 2026. Financial markets have so far proven remarkably resilient, supported by continued enthusiasm around AI and solid corporate earnings. Given the central role of securities in household portfolios, these gains should once again provide the main impetus for wealth growth. We expect global financial assets to increase by around +9% in 2026, above the +8.6% recorded in 2025 and once again well above their long-term growth rate of +6.0%.

Markets, rather than fresh savings, are likely to do most of the work. Higher energy prices following the outbreak of war in the Middle East are squeezing real disposable incomes and households' capacity to save. Elevated uncertainty may encourage precautionary saving, partly offsetting this pressure, but additional funds are likely to favor liquid deposits over longer-term investments. Fresh savings should therefore provide only limited additional momentum, while renewed inflation means that gains in purchasing power are likely to remain well below nominal wealth growth.

The economic backdrop leaves little room for complacency. AI-related investment provides an important growth impulse, but geopolitical conflict, trade fragmentation and higher energy costs weigh on the wider economy. With no swift resolution of the conflict in the Middle East in sight, renewed inflationary pressures at a minimum will keep monetary policy restrictive and most likely prompt further tightening into 2027. With economic growth moderate and interest rates elevated, further asset-price gains increasingly depend on corporate earnings delivering on already high expectations.

This is where AI becomes both the main upside and the main risk to the wealth outlook. If today's enormous investment in computing capacity, infrastructure and applications translates into stronger productivity and profits, the rally may have further to run. But markets may also have priced in some of tomorrow's gains too early. In a downside scenario, in which earnings disappoint and expectations prove too optimistic, a 25% correction in the S&P 500 could wipe around USD27trn from US household wealth, equivalent to almost 14%

of total net worth. The resulting hit to confidence and consumption, combined with weaker AI investment, could push the US economy into recession (see Box 3: *US households on the front line of an AI stock-market correction*).

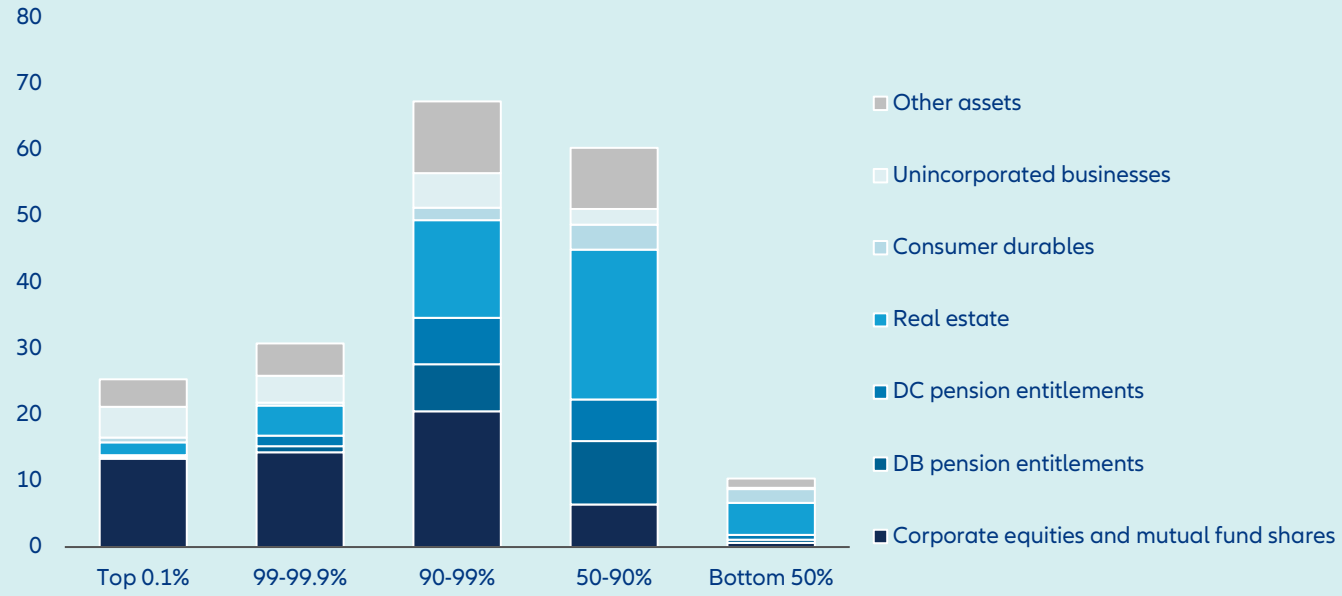
Over the medium term, AI should remain an important driver of global wealth creation, but the path is likely to become more volatile. Productivity gains could lift growth, corporate profits and asset returns, while AI may also trigger a notable shift in economic rewards from labor towards capital (see Box 2: *Who will capture the AI wealth dividend?*). How widely this wealth dividend is shared will depend not only on which countries and companies develop and adopt AI, but also on who owns the productive assets and on policy choices affecting workers' participation in the gains. At the same time, the structural headwinds are unlikely to disappear. Economic fragmentation, lingering inflation, elevated public debt and unpredictable policymaking will constrain returns and increase volatility. We therefore expect global financial assets to grow by around +5-6% annually over the next few years. AI offers substantial upside, but translating its technological promise into durable and broadly shared wealth will take time.

Box 3: US households on the front line of an AI stock-market correction

US households profited strongly from the AI-fueled stock market rally, thanks to their significant exposure to equities. But this may prove to be a vulnerability should markets correct. The S&P500 increased by around 95% between the end of 2022 and Q2 2026 with the six hyperscaler stocks[4] driving 43% of the rise. With US households' significant exposure to equities – 34.0% of their financial savings are held in corporate equities, 23.3% in pension funds (defined benefits and defined contribution entitlements) and 9.4% in mutual fund shares – their gross financial assets grew by 42.0% or just under USD45.4trn, and total US household net wealth by 36.9% during the same period. But this notable exposure – a combined 66.6% of financial savings, around 7pps above the long-term average, and almost 28ppt higher than in Europe – is a double-edged sword. When markets rally, consumers feel more confident and are likely to increase spending. The AI-induced equities rally of the past four years was likely a key driver of the resilience in US consumption growth in that time period. But when markets correct, consumers are likely to tighten their belts. The resulting retreat in spending can topple the US economy as household consumption is typically the most important driver of US GDP growth. The increasingly unbalanced, K-shaped structure of the US economy is adding to economic fragility while leaving the broader economy more exposed to shocks and bouts of heightened volatility. According to the latest available figures, the majority of the asset classes mentioned above is concentrated among the top 10% of US households: collectively, they own 87.3% of the total private wealth invested in corporate equities and mutual fund shares (Figure 14).

[4] Apple, Microsoft, Google, Nvidia, Meta, Amazon

Figure 14: Assets by wealth percentile groups, 2026Q1 , in USD trn

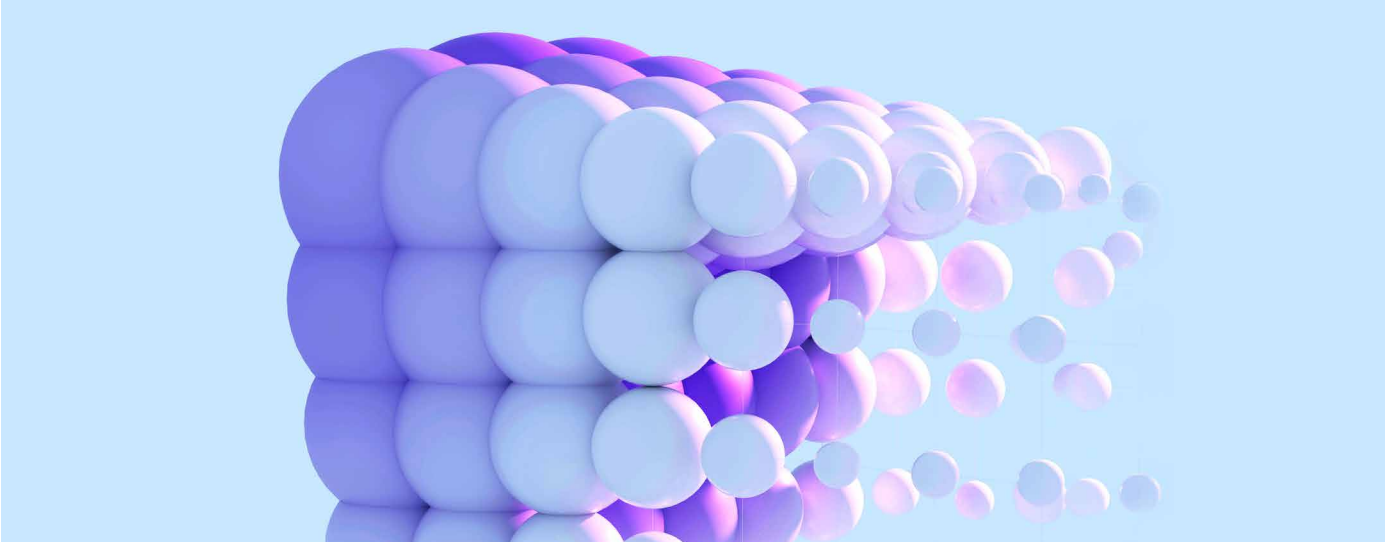


Sources: The Federal Reserve, Allianz Research

In addition, more than half (55.6%) of total defined contribution pension entitlements are held by the richest 10% of households. Overall, the top wealth decile holds 68.0% of total net household wealth. Moreover, US GDP growth has been increasingly powered by high-income consumers and the dominance of mega-cap corporations, leaving fewer households and sectors carrying a disproportionate share of economic momentum. This concentration also creates fragility as momentum rests on markets and affluent consumers, while lower-income households and smaller firms lack meaningful buffers. Any significant market downturn could rapidly erode high-income consumption and corporate confidence, amplifying negative economic outcomes.

If the AI equity bubble bursts, it would weigh on US economic growth and heighten recession risks. To gauge the economic and wealth impact we run two scenarios. While overall we do not dismiss the profound impact that AI will have on economies, the real risk is that markets may have priced in decades of growth overnight, leaving valuations vulnerable if adoption proves slower than expected. So in a first scenario an earnings miss triggers a correction to the tune of 15% in the S&P500. Given that the set-back will not be triggered by fundamental concerns about the viability of the AI business case, but rather exuberant expectations, it would be followed by a swift V-shaped recovery completed over a time horizon of six to nine months. Such a correction would lead to a 5.8% drop in total US household net wealth. The overall drag on annual GDP would tally up to -0.6pp.

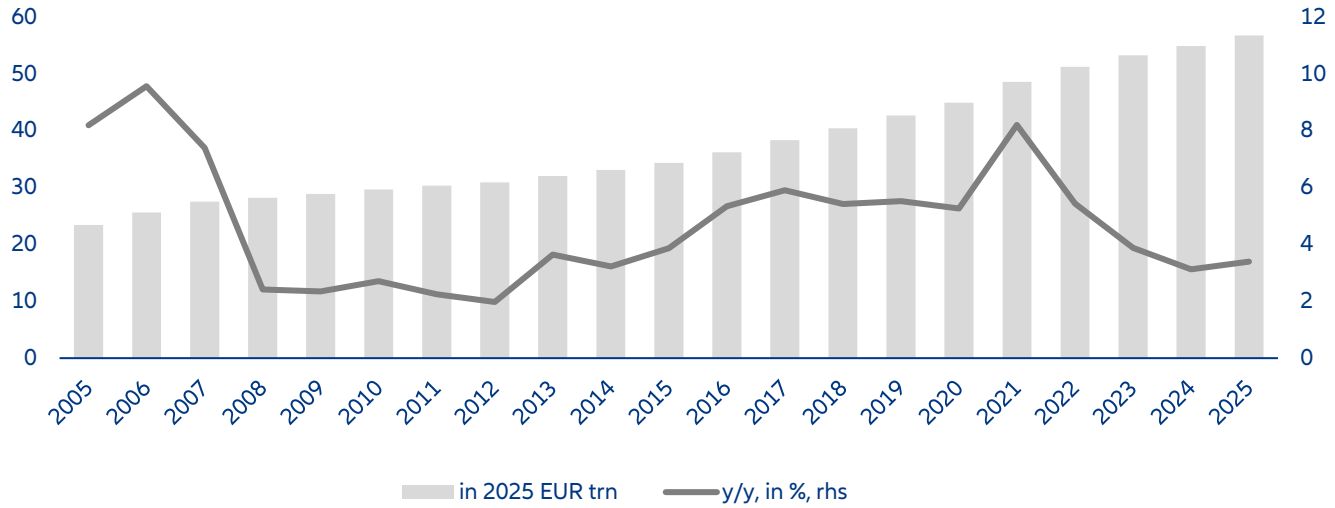
In a downside scenario, more fundamental concerns about the AI business case trigger a -25% S&P500 correction eliminating USD27trn in household wealth. The equivalent -14% drop in total net worth leads to a prolonged period of weaker confidence and spending. The resulting erosion in wealth and sentiment, together with a collapse in AI investment, pushes the US economy into a recession despite substantial monetary easing. With equity markets taking up to two years to recover in this scenario, the drag on economic activity would be substantial: US GDP growth in 2027 would be -2.0pps lower relative to the baseline. The most severe impact would be visible in investment, as the bubble would also trigger an abrupt reversal in total business investment. Household consumption would be severely affected because of weak sentiment and negative wealth effects inducing households to hold back spending.



Liabilities: Borrowing remains subdued

The monetary-easing cycle that began in 2024 failed to produce a meaningful recovery in household borrowing. Global household-debt growth edged up from +3.1% in 2024 to +3.4% in 2025, but remained well below its long-term average of +4.5%. This muted response is not particularly surprising: long-term interest rates did not follow policy rates down to the same extent, leaving mortgages and other long-term loans relatively expensive. Overall, global household liabilities reached a new record of EUR56.9trn at the end of 2025 (Figure 15).

Figure 15: Rate cuts fail to revive borrowing
Global private liabilities, in 2025 EUR trn and annual change, in %

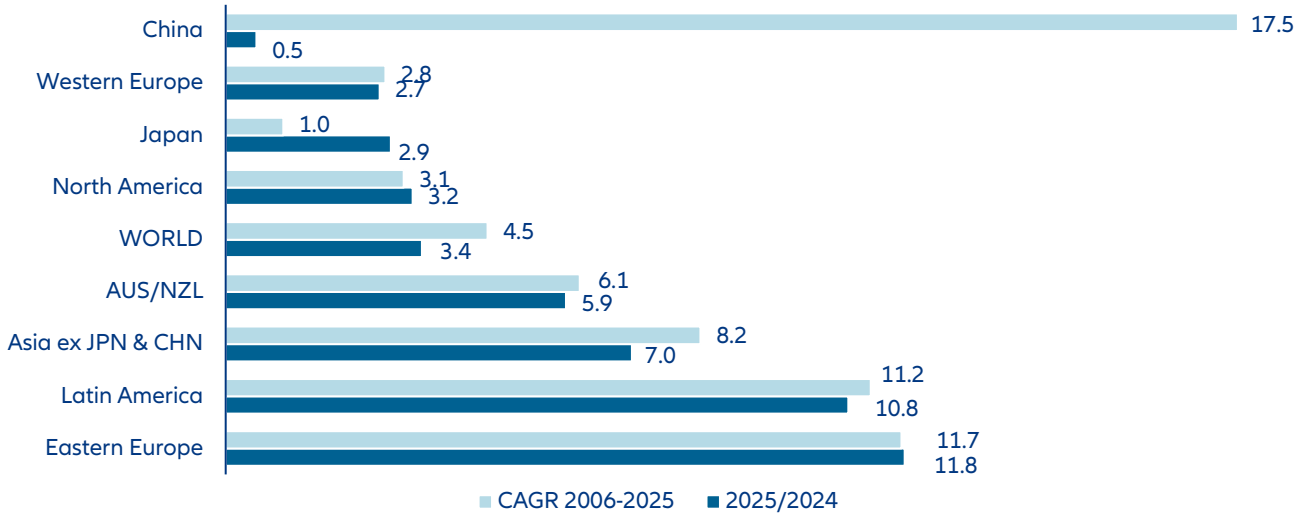


Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Debt growth in 2025 remained highly uneven. The strongest increases were concentrated in emerging markets. Liabilities rose by +11.8% in Eastern Europe and +10.8% in Latin America, while Asia excluding China and Japan recorded growth of +7.0%. While household debt growth in advanced economies remained moderate compared with emerging markets, it accelerated noticeably across most regions in 2025: In Western Europe, debt growth nearly doubled from +1.4% in 2024 to +2.7% in 2025, while North America recorded an acceleration from +2.0% to +3.2%. Australia and New Zealand followed at +5.9%. Japan and China stood out in opposite directions. Japanese household liabilities increased by +2.9%. Excluding the pandemic-distorted year 2020 (+3.8%), this was the strongest rise this century – another sign that Japan may finally be leaving its long deflationary period behind. China, meanwhile, moved sharply in the opposite direction. After expanding by an average of +17.5% annually over the past two decades, household liabilities grew by only +0.5% in 2025 (Figure 16). The debt engine that powered much of China's past growth has effectively stalled as the prolonged property downturn weighs on housing demand and consumer confidence. What began as a cyclical slowdown increasingly points to a broader shift away from debt-driven expansion and towards balance-sheet caution.

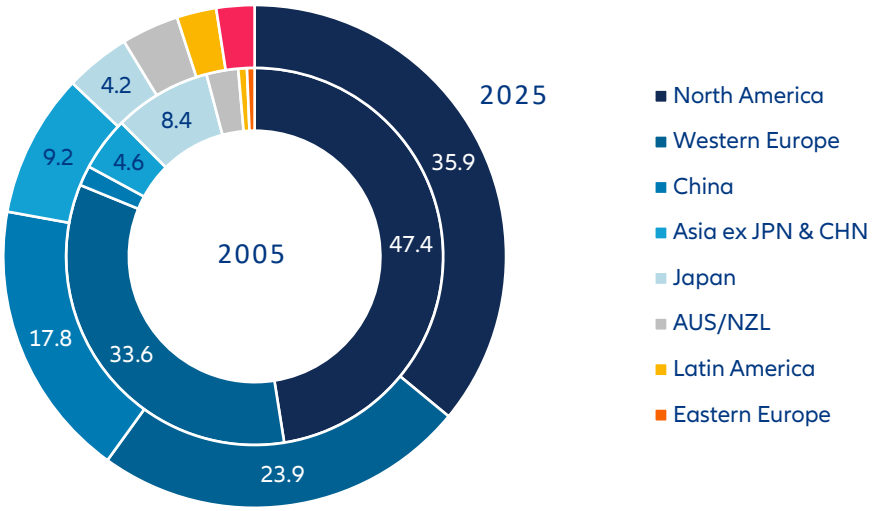
Significant shifts in the global debt map have been caused by the very different long-term growth rates of private debt (Figure 17). North America's share of worldwide household debt has fallen from 47.4% in 2005 to 35.9% in 2025. Meanwhile Western Europe's share declined from 33.6% to 23.9% and Japan's halved from 8.4% to 4.2%. Together, these three traditional debt centers accounted for only 64% of global liabilities in 2025, compared with almost 90% two decades earlier. The opposite trend is evident in Asia, particularly China, whose share of global debt has surged from 1.7% to 18.3%, despite its current weak performance. Chinese households alone now account for almost 60% of all private debt in Asia (including Japan). Although China's near-stagnant borrowing now marks a sharp break with its past expansion, the long-term debt story is therefore one of migration from West to East.

Figure 16: The price of higher interest rates
Increase of private debt by countries/regions, in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Figure 17: The debt map shifts east
Private liabilities, regional split 2005 and 2025, in 2025 EUR, in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

The monetary-easing cycle that began in 2024 failed to produce a meaningful recovery in household borrowing. Global household-debt growth edged up from +3.1% in 2024 to +3.4% in 2025, but remained well below its long-term average of +4.5%. This muted response is not particularly surprising: long-term interest rates did not follow policy rates down to the same extent, leaving mortgages and other long-term loans relatively expensive. Overall, global household liabilities reached a new record of EUR56.9trn at the end of 2025 (Figure 15).

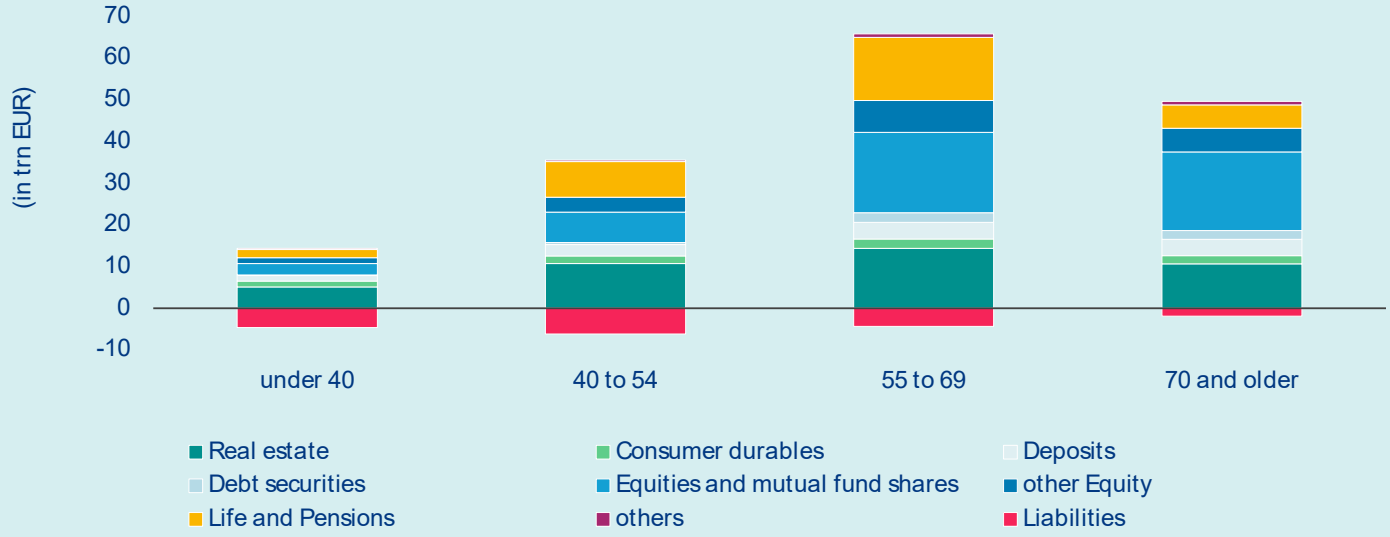
Box 4: Selfish retirees, overburdened youngsters?

The debate about the financial burden demographic change will impose on younger generations is often strikingly one-sided. Much attention is rightly paid to the rising cost of public pensions, health and long-term care systems as populations age. But there is another side to the intergenerational balance sheet that receives far less attention: over the coming decades, younger generations will also inherit an exceptionally large stock of private wealth that has been accumulated by today's older generations.

In the USA, households close to or already in retirement held around 86% of total gross financial assets and 80% of net financial assets[5] in 2025. Total net financial assets of the 55–69 and 70+ age groups amounted to around EUR80trn, equivalent to 305% of US GDP. Including real estate and durable consumer goods, their total net assets reached around EUR109trn. The wealthiest age group was the 55–69 cohort, with gross financial assets of EUR49.2trn and real estate and durable consumer goods worth EUR16.6trn. This was followed by households aged 70 and older, whose combined financial and real assets amounted EUR49.6trn (Figure 18).

[5] See: Board of Governors of the Federal Reserve System (2026): DFA: Distributional Financial Account. Distribution of Household Wealth in the U.S. since 1989, https://www.federalreserve.gov/releases/z1/dataviz/dfa/distribute/table/

Figure 18: Private households financial and real assets, USA, in trillion EUR



Source: Board of Governors of the Federal Reserve System

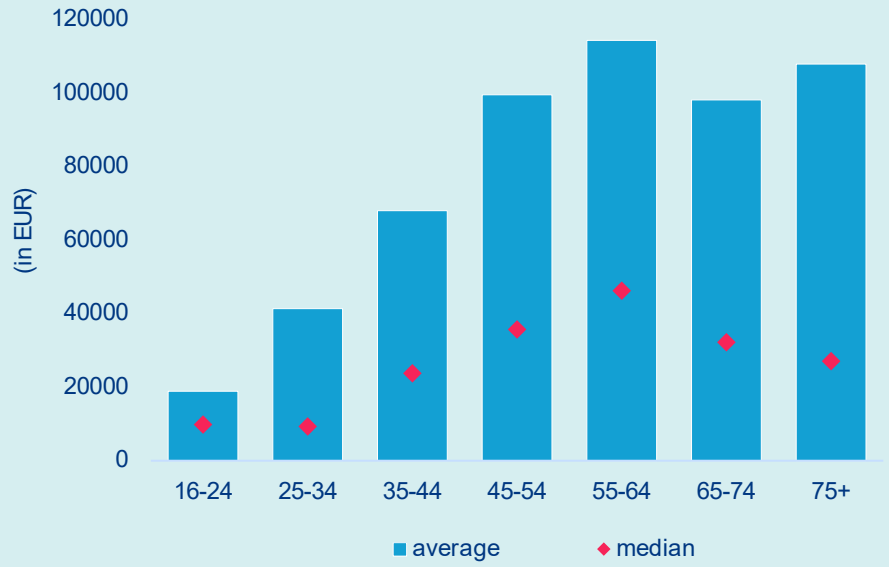
For Germany, the financial wealth of households aged 55 and older can only be estimated approximately on the basis of household surveys. According to the latest Panel on Household Finances (PHF) survey, published by the Bundesbank[6], mean gross wealth reached around EUR114,400 for households whose reference person was aged 55–64, EUR98,200 for those aged 65–74 and EUR107,900 for those aged 75 and older. The comparatively lower figure for the 65–74 age group may partly reflect the weaker labor-market experience of cohorts born between 1950 and 1958, who were exposed to high unemployment and subdued real wage growth during important parts of their working lives. Combining these wealth estimates with the number of households in each age group reported in the Mikrozensus[7], we estimate that the cohorts aged 55 and older hold around 60% of the private households' gross financial assets, which would correspond to around EUR 6.1trn in 2025 (see Figure 19).

Including real estate, average household net wealth in Germany stood at EUR324,000 in 2023, slightly above the euro-area average of EUR312,000[8]. Wealth peaked among households whose reference person was aged 55–64, at EUR440,100 on average. It remained high among those aged 65–74, at EUR411,400, before declining to EUR343,700 for households aged 75 and older. By contrast, households headed by someone aged 16–34 held average net wealth of just EUR106,900.

These differences largely reflect the typical lifecycle of wealth accumulation. Households build up assets during their working lives and, on average, begin to draw them down in retirement. The same pattern can be observed across most EU countries, although the pace of decumulation in old age differs markedly depending on the generosity and financing structure of public pension systems (Figure 20).

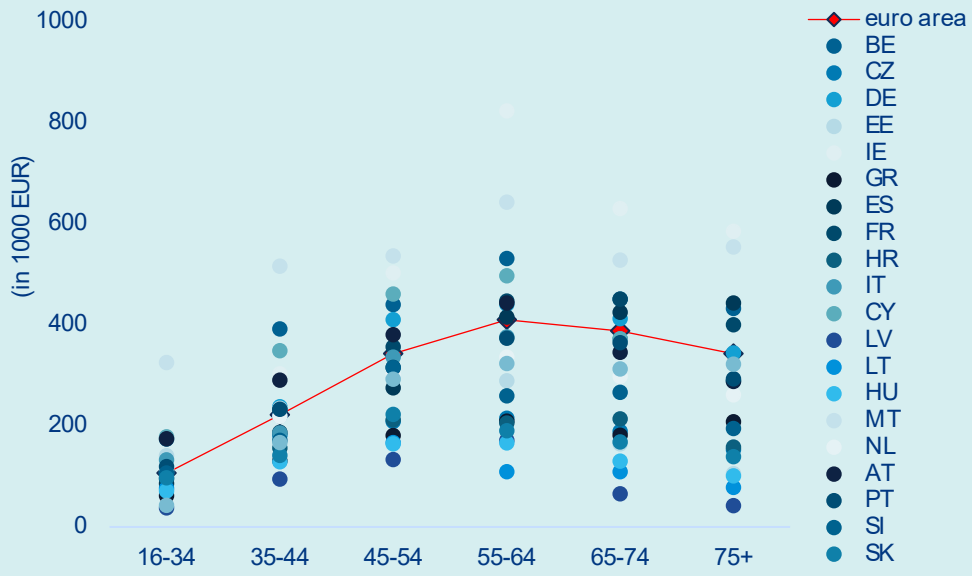
[6] See Deutsche Bundesbank (2025): Vermögen und Finanzen privater Haushalte in Deutschland: Ergebnisse der Vermögensbefragung 2023, in: Monatsbericht der Deutschen Bundesbank, April 2025, no. 4, vol. 77, p. 31-80 and Tabellenanhang.
[7] See Statistisches Bundesamt (2026): Mikrozensus – Haushalte und Familien. Endergebnisse 2024, tab. 12211-05.
[8] See ECB (2026): The Household Finance and Consumption Survey. Wave 2023, Statistical Tables, Table A4 Net wealth, means – breakdowns, https://www.ecb.europa.eu/stats/ecb_surveys/hfcs/html/index.en.html

Figure 19: Gross financial assets per household, Germany, by age of reference person (in EUR)



Source: Deutsche Bundesbank

Figure 20: Net wealth, mean, EU 27, by age of reference person (in 1000 EUR)



Source: Deutsche Bundesbank

These figures should nevertheless be interpreted with caution. Household wealth surveys tend to understate financial assets, while the very wealthiest households are often underrepresented. In Germany, for example, the PHF survey puts average gross financial assets at EUR87,400 per household, compared with EUR117,890 based on the aggregate household balance sheet. Survey-based estimates of future inheritances should therefore be regarded as indicative rather than precise.

Moreover, the wealth that younger generations may inherit over the coming decades represents an upper bound rather than a guaranteed transfer. Wealth is distributed very unevenly: in Germany, the richest 10% own 53.7% of total net wealth[9]. DIW estimates suggest that around EUR400bn is inherited or gifted each year, with roughly half of these transfers accruing to the wealthiest 10% of beneficiaries[10]. At the same time, rising health and long-term care costs, together with less generous pension systems, are likely to absorb a growing share of household wealth before it can be transferred. The coming inheritance wave will therefore be substantial, but highly uneven, and could reinforce existing wealth inequalities within younger generations.

The same applies in the US. Consider a single retiree who wants to withdraw an average of EUR2,000 per month to cover living, health and care costs. Assuming average inflation of 3.0%, an annual return of 5.0% and a retirement period of 17.4 years – the average remaining life expectancy of a 70-year-old woman according to the latest UN population statistics – the required savings at age 70 would amount to around EUR368,700. This is equivalent to roughly 46% of the calculated average net wealth of EUR802,800 for the 70+ age group. A substantial share of accumulated wealth therefore needs to remain available to finance retirement itself rather than being passed on.

Combined with the highly unequal distribution of US household wealth, this helps explain why estimates of the "Great Wealth Transfer" vary so widely, from around USD36trn to more than USD100trn over the coming decades.[11] Headline asset stocks therefore provide only a rough indication of the wealth that will ultimately be transferred to younger generations.

Nevertheless, the broader conclusion remains: the intergenerational debate should consider both sides of the ledger. Younger generations will face rising public-sector burdens as societies age, but they will also receive one of the largest private wealth transfers in history. Neither offsets the other. But discussing future pension, health and long-term care liabilities without considering the parallel transfer of private assets gives an incomplete picture of the economic relationship between generations.

[9] SECB (2026), ebd., table J4 Net wealth inequality indicators.
[10] The DIW estimated in 2021 that EUR400bn per year could be inherited to the younger generation, of which 50% of are transferred to the wealthiest 10 percent. See Baresel, Kira et al. (2021). Hälfte aller Erbschaften und Schenkungen geht an die reichsten zehn Prozent aller Begünstigten, https://www.diw.de/de/diw_01.c.809832.de/publikationen/wochenberichte/2021_05_1/haelfte_aller_erbschaften_und_schenkungen_geht_an_die_reichsten_zehn_prozent_aller_beguenstigten.html
[11] See for example Frank, Robert (2026): How big is the great wealth transfer? It could be over $100 trillion or $36 trillion, CNBC, published July, 17, 2026, https://www.cnbc.com/2026/07/17/great-wealth-transfer-estimates.html

Households deleverage – governments do not
The global household-debt ratio fell to 60.9% of GDP in 2025, almost 10pps below its 2005 level and nearly 13pps below its 2009 peak (Figure 21). This does not mean that households stopped borrowing: liabilities continued to increase, but more slowly than nominal economic output. Nevertheless, the contrast with the public sector is striking. While government debt has continued to rise, households have spent much of the past decade strengthening their balance sheets.

But deleveraging was far from universal. Since 2005, the debt ratio has fallen by 20.4pps in North America and by 6.3pps in Western Europe, while Japan's ratio has remained broadly stable. Australia and New Zealand stand apart from this trend: their combined ratio rose by 12.2pps to 113.8%, although it remains below its 2020 peak. The decline in the global ratio therefore conceals a significant shift in the geography of household debt, from the traditional advanced economies towards emerging markets, albeit with important exceptions.

China recorded by far the largest increase. Its household-debt ratio rose by 42.1pps to 59.4% of GDP between 2005 and 2025, reflecting the extraordinary credit and property boom of the intervening years. However, the ratio has barely changed since 2020, underlining how abruptly that boom has ended. China's household-debt ratio is now only around 10pps below that of the US, but the two countries have followed opposite paths: American households have deleveraged substantially, while China has moved from rapid debt accumulation to balance-sheet caution.

Elsewhere in the emerging world, the increase was less dramatic. Since 2005, the household-debt ratio has risen by 10.7pps in Latin America to 27.8% and by 6.1pps in Eastern Europe to 21.8%. Both remain moderate by international standards. Asia excluding Japan and China also appears relatively stable, with its aggregate ratio rising by only 2.2pps to 55.1%. But this regional average is deceptive. It partly reflects the growing weight of poorer, less-indebted economies and substantial deleveraging in Singapore, where the ratio fell by 26.4pps to 51.6%.

At the country level, the fault lines cut across the advanced and emerging-market divide. Switzerland and Australia recorded debt ratios of 125.1% and 119.4% of GDP, respectively, while Canada stood at 103.3% and the Netherlands at 97.2%. Several Asian economies also carry substantial household-debt burdens: Taiwan and South Korea recorded ratios of around 92%, while Thailand and Malaysia stood at approximately 87% and 85%, respectively. These levels are comparable with those recorded in several Western economies before the global financial crisis. In 2006, household debt stood at 98.4% of GDP in the US, 84.2% in Spain and 95.0% in Ireland. High leverage does not in itself signal an imminent crisis, but it makes households and consumption more vulnerable to income, interest-rate and housing-market shocks. The decisive dividing line is therefore not between advanced and emerging markets, but between housing and financial systems that rely heavily on household leverage and those that do not.

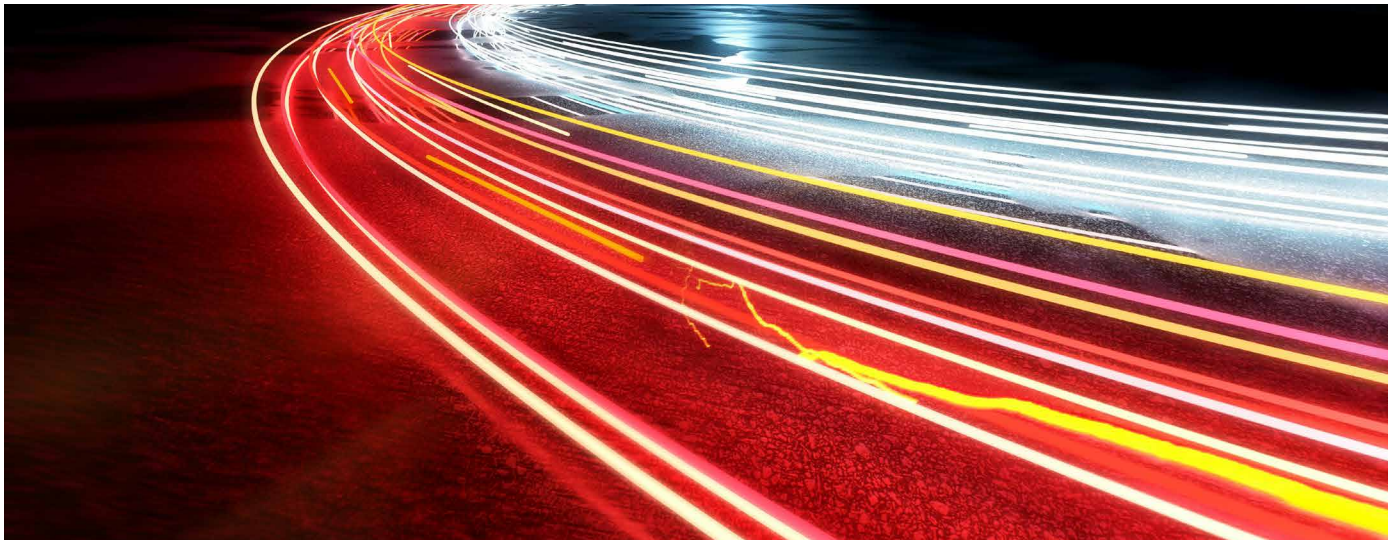
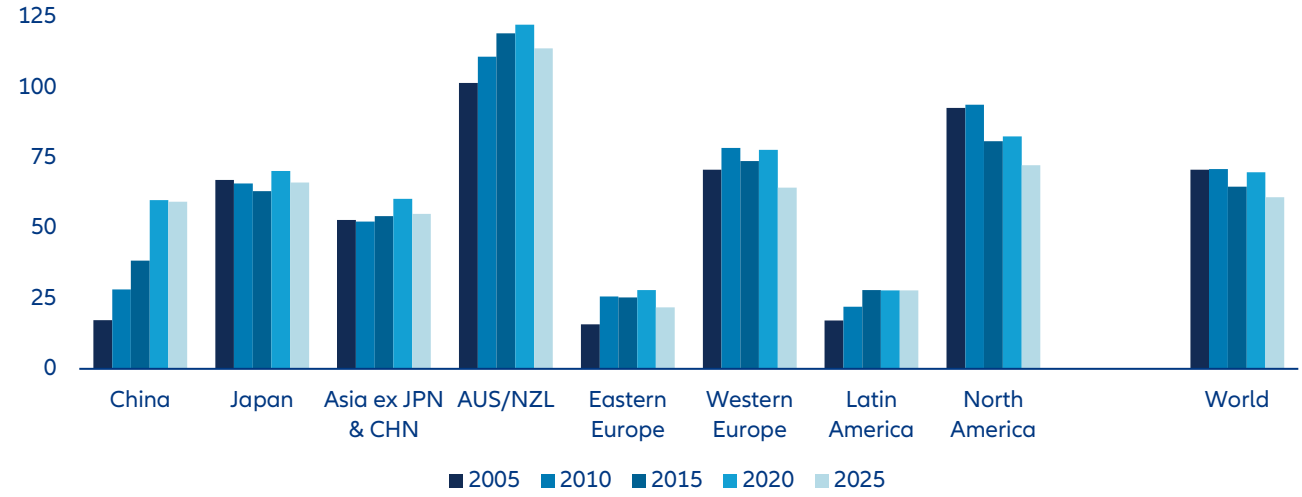


Figure 21: Global deleveraging
Private liabilities as % of nominal GDP, by countries/regions



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Strong asset growth and subdued borrowing pushed global net financial assets (financial assets minus liabilities) up by +10.1% in 2025, broadly matching the previous year's +10.2%. They reached a record EUR211.5trn, almost twice their 2015 level and more than tripling their value in 2005.

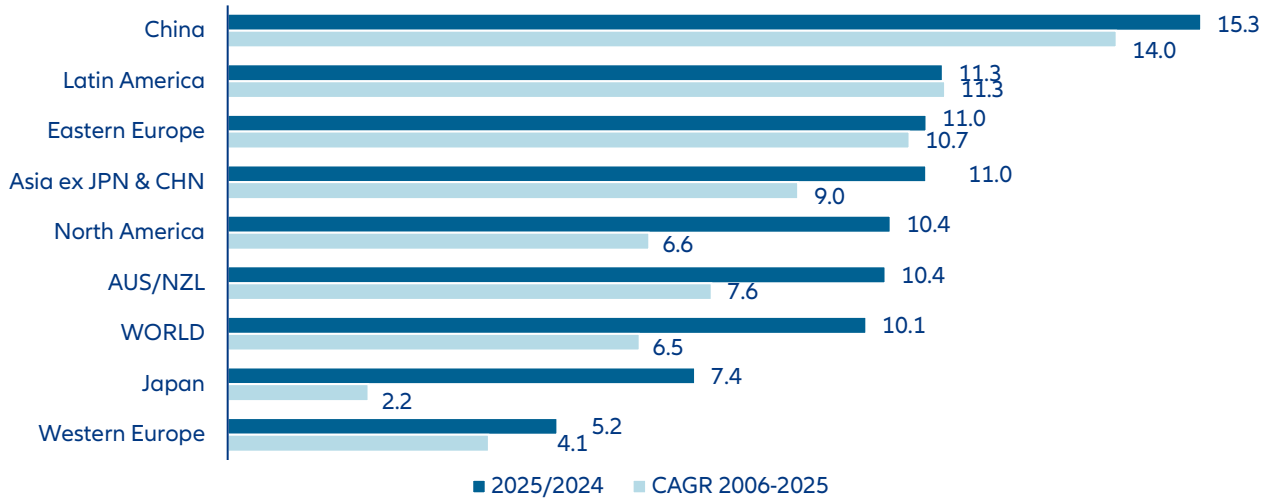
China recorded the strongest increase in net financial wealth at +15.3%, reflecting the combination of strong asset growth and the near-standstill in household debt. Latin America followed at +11.3%, while Eastern Europe and Asia excluding China and Japan both recorded growth of +11.0%. North America and Australia and New Zealand also achieved double-digit increases of +10.4% each. Japan recorded a strong +7.4%, while Western Europe again brought up the rear at +5.2%. Growth exceeded its 20-year average in almost every region (Figure 22). Latin America was the only exception, although its +11.3% increase was broadly in line with its long-term rate.

The figures reveal a less visible source of wealth creation. Weak credit growth may constrain housing activity and household investment, but it also strengthens private balance sheets when financial assets continue to expand. In 2025, this deleveraging dividend lifted global net financial wealth faster than gross financial wealth. It also reinforced North America's dominant position: the region held 51.3% of global net financial assets, compared with 48.1% of gross financial assets. Low leverage relative to its enormous asset base gives North America an additional wealth advantage.

Adjusted for population growth and inflation, China remains the undisputed long-term leader (Figure 23). Real net financial assets per capita have increased more than sevenfold over the past two decades. No other region comes close. Even the other emerging-market regions recorded little more than a doubling. Among advanced markets, Western Europe continued to lag behind Japan, highlighting how weak asset growth, rather than debt accumulation, has constrained European wealth creation.

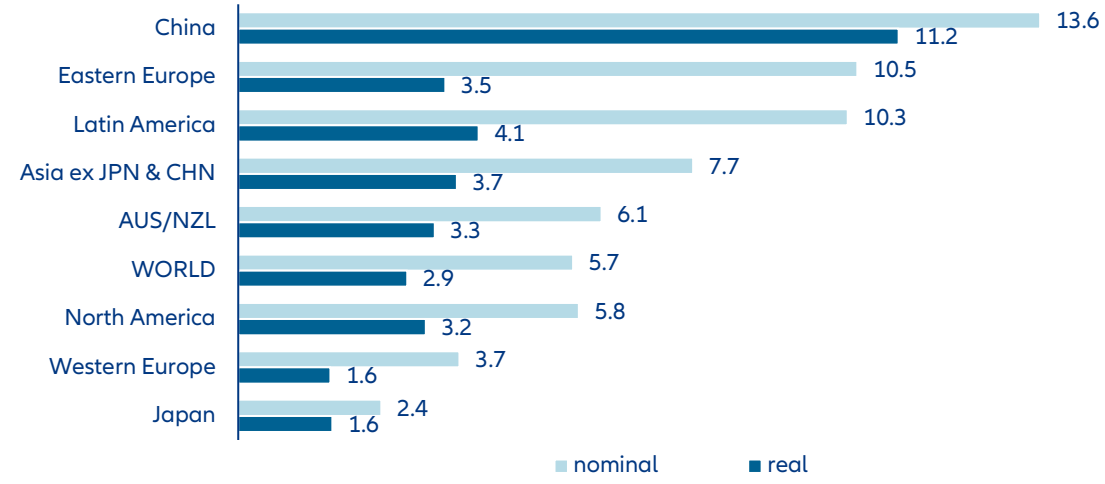
Comparing gross and net financial assets adds another dimension. In China, net financial assets grew around 0.7pps more slowly per year than gross financial assets over the past two decades, reflecting the rapid accumulation of household debt. A smaller gap is also visible in Eastern Europe. However, this is not a universal emerging-market pattern: in Latin America and the rest of Asia, gross and net wealth developed at broadly similar rates. In the advanced economies, the relationship is reversed. As household debt generally grew more slowly than assets, net financial wealth outpaced gross wealth. The difference was particularly pronounced in North America, where net financial assets grew around 0.7pps faster per year.

Figure 22: Net wealth posts another double-digit gain
Net financial assets, CAGR 2006-2025 and growth 2025/2024, in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Figure 23: China remains on top – by a wide margin
Net financial assets per capita, nominal and real CAGR 2006-2025, in %

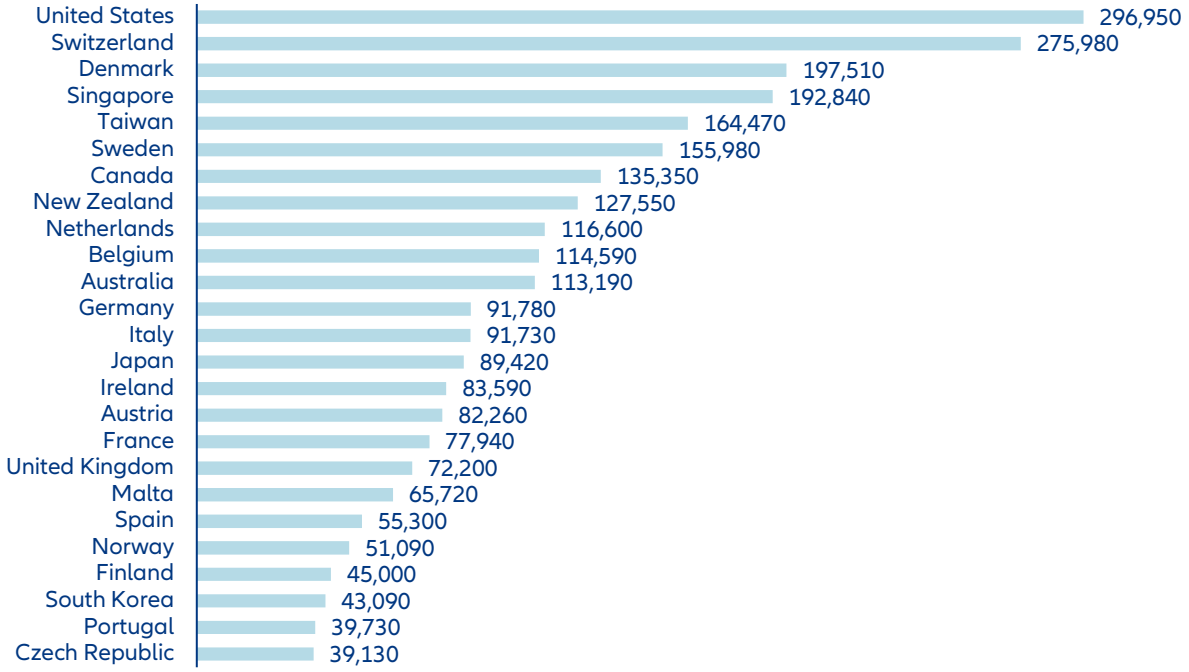


Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

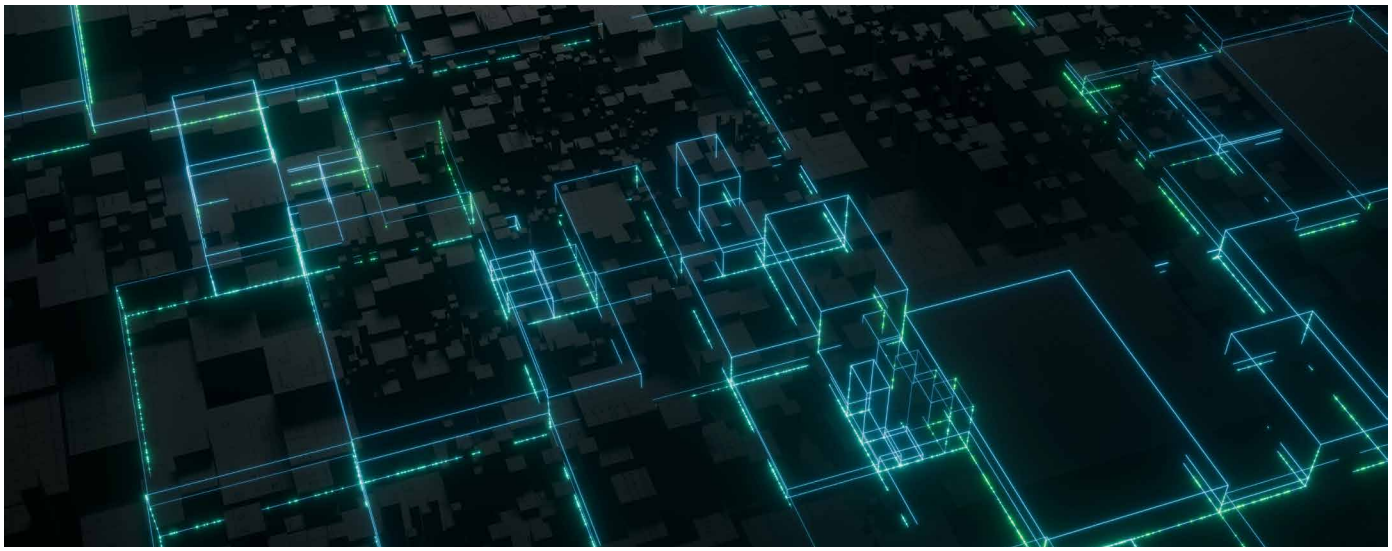
Examining the 25 richest countries by net financial assets per capita at the end of 2025 reveals how significantly debt can alter the ranking (Figure 24). Most notably, the US ranks ahead of Switzerland to claim first place. Although Switzerland remains ahead in gross financial assets, its household liabilities of around EUR130,080 per capita are more than twice the US figure of EUR52,730.

Taiwan and Sweden exchange fifth and sixth places. Australia falls from eighth place in the gross ranking to eleventh in the net ranking, while Ireland slips from 14th to 15th, the UK from 15th to 18th and Norway from 12th to 22nd. By contrast, Germany rises from 13th to 12th, Italy from 16th to 13th, Japan from 18th to 14th and Spain from 22nd to 21st. The Netherlands remains ninth in both rankings. The comparison makes clear that gross wealth tells only half the story: what ultimately matters is how much remains after debt.

Figure 24: Debt changes the picture
Net financial assets per capita, in 2025 EUR



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research



Real estate: A hesitant recovery

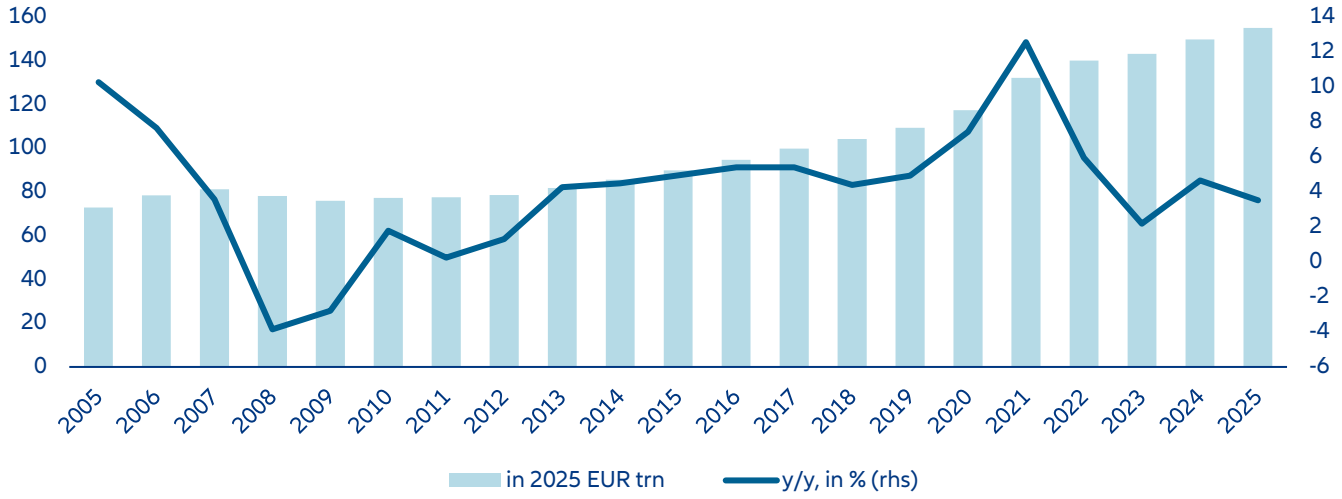
After a temporary acceleration to +4.7% in 2024, growth in global real estate assets[12] slowed again to +3.5% in 2025. Apart from 2023, growth was weaker only in the aftermath of the global financial crisis in 2012. Persistently high construction costs and elevated mortgage rates continued to weigh on affordability, transactions and new development. Overall, the value of real estate assets in the countries covered by the report reached EUR155.0trn (Figure 25)

Regional developments varied widely (Figure 26). Eastern Europe recorded the strongest increase at +10.6%, followed by Australia and New Zealand at +8.5%. Both comfortably exceeded their long-term growth rates despite the pressure from higher financing costs. Japan also stood out: real-estate assets increased by +5.0%, compared with a long-term average of just +0.7%. Together with the recent acceleration in household borrowing, this provides further evidence that Japan may finally be leaving its long deflationary period behind.

Western Europe recorded growth of +4.1%, slightly above its long-term average of +3.5%. North America meanwhile was the clear exception: growth slowed sharply from +4.9% in 2024 to just +1.8% in 2025, less than half its long-term rate of +3.9%. The global slowdown was therefore driven primarily by the largest housing market.

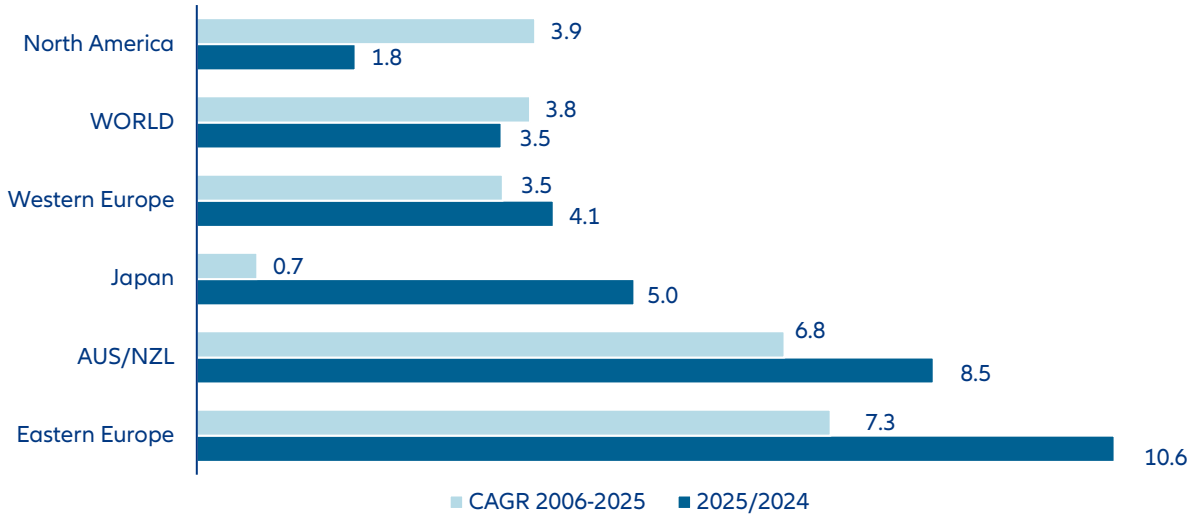
[12] Owing to limited data availability, the analysis only covers about half of the countries included in the financial assets survey. The regions of Asia and Latin America are therefore not represented. For Western Europe, data for Greece, Portugal, Malta and Ireland are missing. The aggregate for Eastern Europe does not include Croatia, Kazakhstan, Latvia, Romania, Russia, Serbia and Türkiye.

Figure 25: Running out of steam
Real estate assets, in 2025 EUR trn and annual change in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, OECD, Allianz Research

Figure 26: Housing markets move at different speeds
Real estate assets, CAGR* 2006-2025 and growth 2025/2024, in %

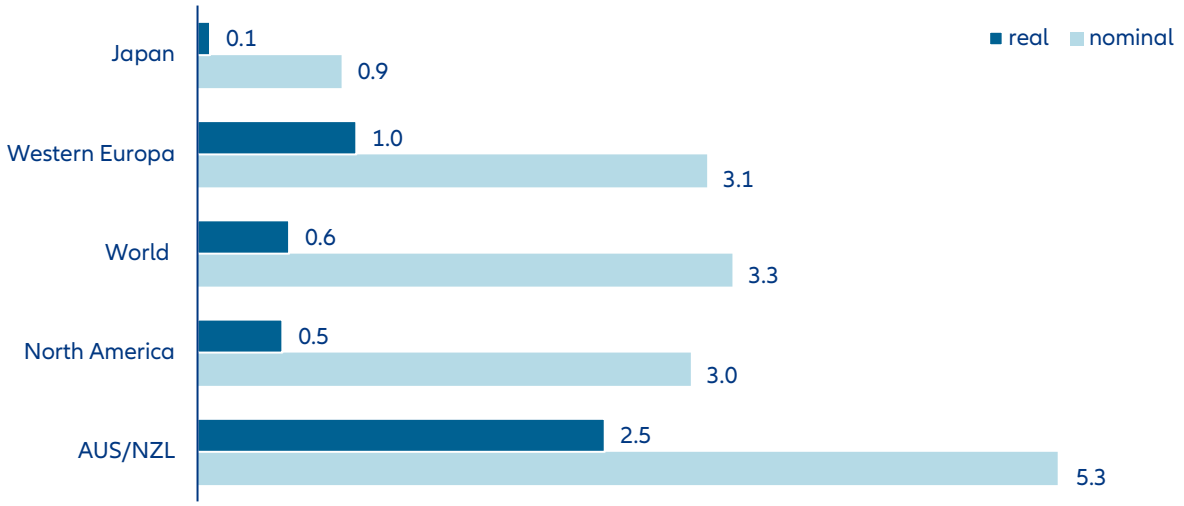


Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

As with financial assets, a clearer picture emerges when real-estate wealth is measured per capita and adjusted for inflation (Figure 27). The long shadow of Japan's property crash remains visible: over the past two decades, real-estate wealth per capita was essentially flat in real terms, despite the recent recovery.
Real gains were positive in Australia and New Zealand, North America and Western Europe, but generally modest. Compared with financial assets, the gap was particularly pronounced in North America, where real financial assets per capita grew around 2pps faster per year, and in Japan, where the gap was around 1.3pps. In Australia and New Zealand and Western Europe, by contrast, the difference was only around 0.2pps annually. Property may provide stability, housing services and diversification, but capital appreciation alone has generally been a weaker engine of wealth creation than participation in financial markets.

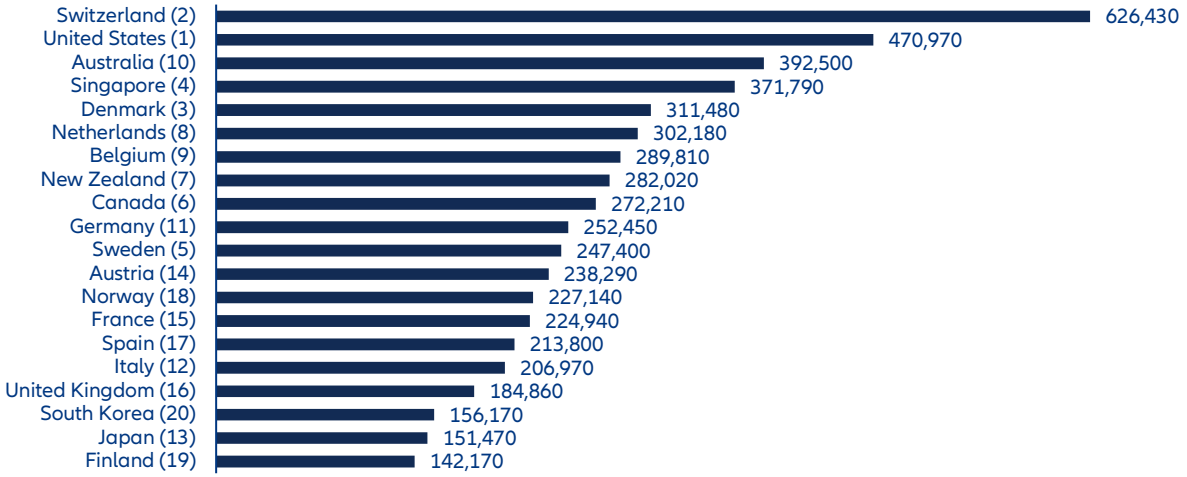
The country ranking of real estate assets nevertheless shows how strongly housing can reshape the overall picture. Switzerland had the highest real-estate assets per capita at EUR350,450, followed by Australia at EUR279,310 with the US taking the 7th spot at EUR174,030. But what does the ranking look like when net financial assets and real estate assets are presented together? Figure 28 provides the answer. Switzerland overtakes the US and claims first place, with combined wealth of around EUR626,430 per capita. Australia meanwhile is the biggest beneficiary, climbing seven places from tenth in the adjusted net-financial-assets ranking to third once property is included. Sweden and Japan each fall six places, while Italy drops four. Germany moves up one position to tenth. These shifts expose two very different models of household wealth: some countries build wealth predominantly through financial markets, while others hold a much larger share in bricks and mortar.

Figure 27: Real estate's modest real returns
Real estate assets per capita, nominal and real CAGR 2006-2025, in %



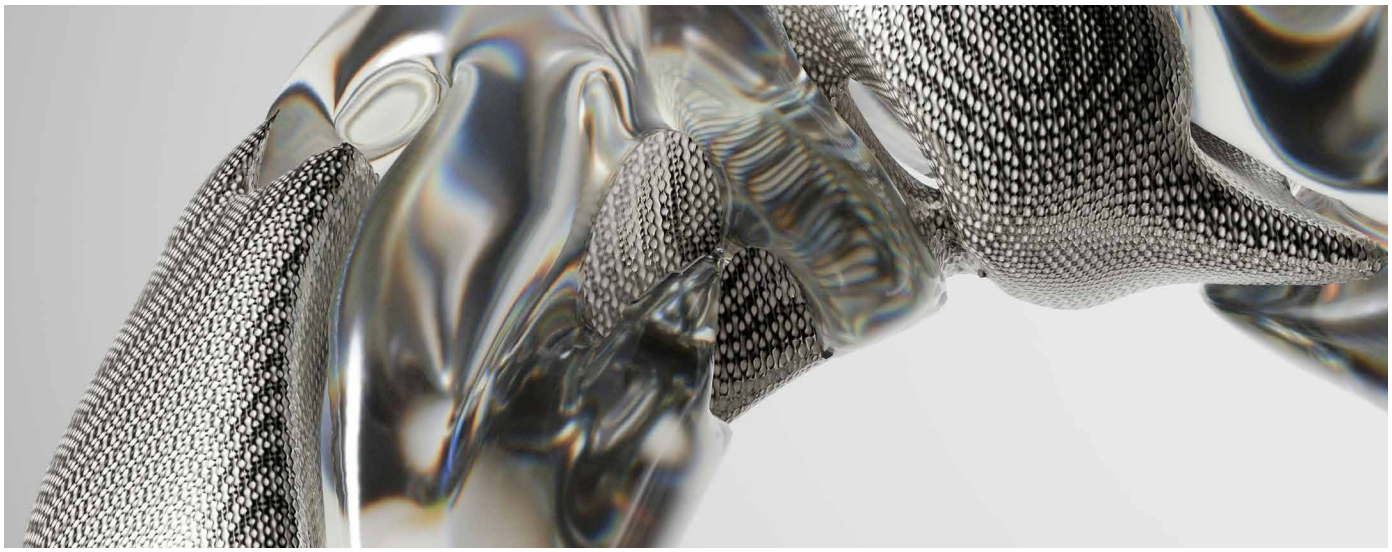
Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, OECD, Allianz Research

Figure 28: Real estate puts Switzerland back on top
Net financial and real estate assets per capita, in 2025 EUR



In brackets: Rank by net financial assets per capita (adjusted for the missing Top20 markets Taiwan, Malta, and Ireland).
Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, OECD, LSEG, Allianz Research





Distribution: New wealth, old divides

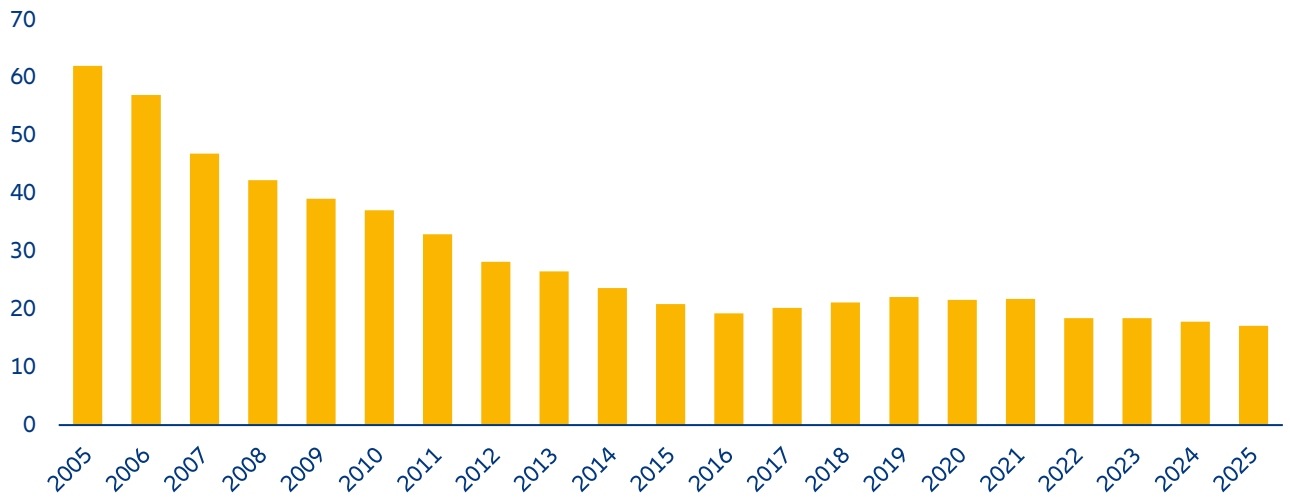
International: Catch-up loses momentum
For many years, global wealth development was characterized by convergence, as emerging markets gradually closed the gap with richer economies. That process has not ended, but it has slowed dramatically. The ratio of average net financial assets per capita in advanced economies to those in emerging markets fell from 62 in 2005 to 21 in 2015. This means that, on average, the net financial assets of richer countries were "only" 21 times higher than those of poorer countries in 2015. Over the following decade, however, it declined by less than four points to 17 in 2025 (Figure 29).

Convergence reversed from 2017. After narrowing rapidly for more than a decade, the wealth gap widened again between 2017 and 2021. Convergence resumed in 2022, but at a much slower pace: the ratio has fallen from 18.5 to 17.2 in the past three years. The global wealth gap is still closing, but has slowed to a crawl.

Declaring the end of globalization would be premature, but its character has clearly changed. Geopolitical tensions, weaker cross-border investment and the reorganization of supply chains are eroding some of the advantages that emerging markets derived from ever-deeper global integration. At the same time, the green transition and AI could create new opportunities by increasing demand for critical resources, energy infrastructure, data services and digitally delivered work. Whether emerging economies can seize these opportunities will depend on their access to technology, capital and skills. For now, these transformations are unfolding in a more fragmented world, creating a less favorable environment for poorer countries to catch up.

Against this backdrop, the global wealth middle class comprised around 866mn people in 2025.[13] Although its size changed little compared with the previous year, its long-term expansion remains impressive: membership has increased by 81% since 2005. More importantly, its center of gravity has shifted. Emerging markets accounted for 61.9% of its members in 2025, up from 43.6% two decades earlier, with China alone representing slightly more than half of the emerging-market middle class.

Figure 29: Convergence slows to a crawl
Net financial assets per capita, ratio between advanced and emerging markets



Sources: Eurostat, ECB, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, World Inequality Database, Allianz Research

The transformation is even more striking among the wealthy. The global high-wealth class grew by 37% to around 584mn people between 2005 and 2025. Emerging markets accounted for 32.1% of this group, compared with less than 2% in 2005. This expansion came entirely from emerging markets, while the number of high-wealth individuals in advanced economies declined slightly. China played the dominant role, accounting for more than three-quarters of the emerging-market total.

Emerging economies also generated most of the growth in the global middle class. Taken together, they accounted for more than 90% of the increase in the middle and high-wealth classes over the past two decades. The global wealth landscape has therefore become far more diverse, even though the gap in average wealth between advanced and emerging markets remains wide.

The global low-wealth class grew by around 7% to 4.3bn people, while the population covered by the analysis increased by almost 17%. Its share of the total population consequently fell from 81.7% in 2005 to 74.8% in 2025. Emerging markets still accounted for 92.0% of this group, slightly below their 92.9% share two decades earlier. However, the number of low-wealth individuals in advanced economies increased by around 21% to 346mn. The global shift towards higher wealth classes is therefore unmistakable, but it has by no means benefited everyone.

The emergence of a larger and more geographically diverse high-wealth class does not change the fact that financial wealth remains extremely concentrated at the global level. This becomes clear when the population of the countries covered by the report is divided into deciles according to net financial assets.

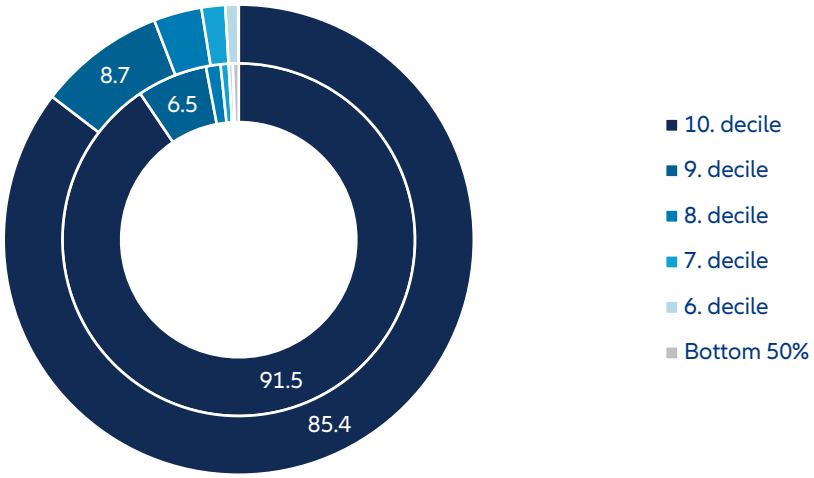
In 2025, the richest 10%, with average net financial assets of approximately EUR312,590, owned 85.4% of global net financial wealth. Their share has declined from 91.5% in 2005, but remains far above the average national top-decile share of 60.9% (Figure 30). At the pace of improvement recorded over the past two decades, it would take almost another eight decades for global concentration to approach the level currently observed within the countries.

[13] The classification in wealth classes is based on worldwide average net financial assets per capita, which stood at EUR36,690 in 2025. The global wealth middle class („middle wealth", MW) includes all individuals with net financial assets of between 30% and 180% of the global average. This means that for 2025, the rounded asset thresholds for the global wealth middle class are EUR11,000 and EUR66,000. The „low wealth" (LW) category, on the other hand, includes those individuals with net financial assets that are below a EUR11,000 threshold, while the term „high wealth" (HW) applies to those with net financial assets of more than EUR66,000 (for details on how the asset thresholds are set, see Appendix A).

The gap between the richest decile and everyone else is enormous. The second-richest decile owned just 8.7% of global net financial assets, with an average of around EUR34,060 per person. The richest tenth therefore held nine times as much wealth per person as the group immediately below it.

The bottom half of the population covered by the report, comprising almost 3bn people, held virtually nothing. Its combined share of global net financial assets was approximately zero. The bottom decile had negative net financial assets of around EUR2,680 per person, as liabilities exceeded financial assets. Even in the two deciles around the middle of the global distribution, average net financial assets amounted to only approximately EUR3,170 and EUR1,810 per person. Global wealth has become more geographically diverse, but it has hardly become broadly distributed.

Figure 30: Global wealth concentration
Net financial assets, share by decile, 2005 and 2025, in 2025 EUR, in %

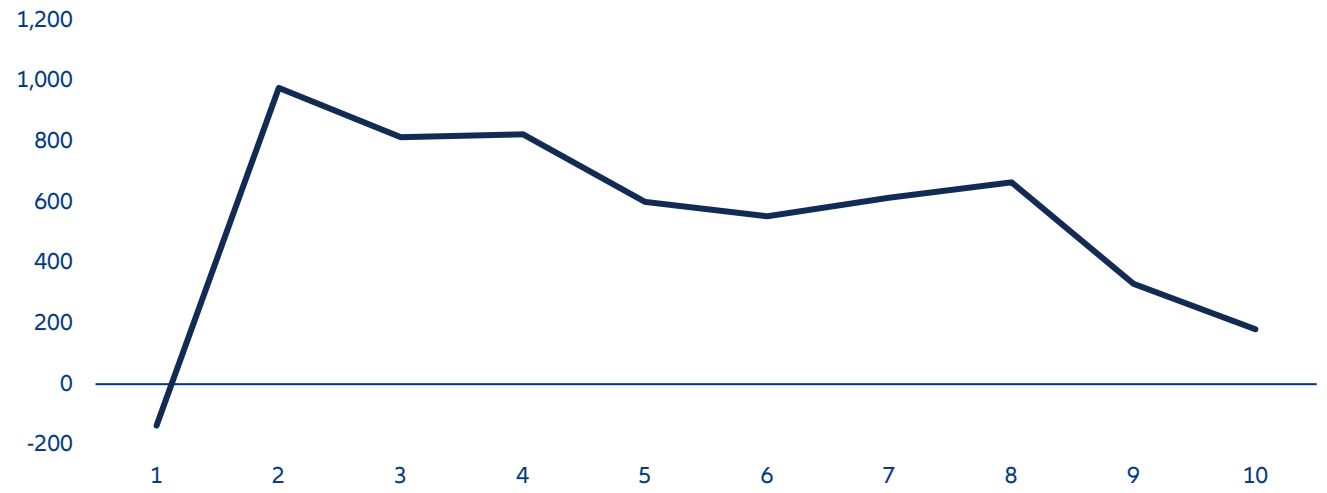


Sources: Eurostat, ECB, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, World Inequality Database, Allianz Research

High global wealth concentration is also reflected in the wide gap between median and average net financial assets. In 2025, global median net financial wealth stood at approximately EUR2,490 per capita, while the average was almost 15 times as high at EUR36,690. The gap, however, has narrowed substantially over time: in 2005, the average was almost 33 times the median. The typical person has therefore gained ground relative to the global average, but the average remains a poor representation of ordinary wealth.

At first glance, the much faster growth of average net wealth in most lower deciles appears encouraging (Figure 31). However, these high growth rates largely reflect extremely low starting points. Even large percentage increases translate into modest absolute gains, while the richest groups continue to accumulate much larger sums. A more equal global distribution of wealth therefore remains a distant prospect.

Figure 31: Catching up?
Growth of average net financial assets per capita per decile, 2025/2005, in %



Sources: Eurostat, ECB, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, World Inequality Database, Allianz Research

National: More wealth, same divide

Net financial wealth is distributed less unevenly within countries than across the world. In 2025, the richest 10% owned an average of 60.9% of national net financial assets across the 57 countries examined, using an unweighted average, compared with 85.4% at the global level. The gap between average and median wealth was also considerably smaller: the national average-to-median ratio was 3.12, again measured as an unweighted average.

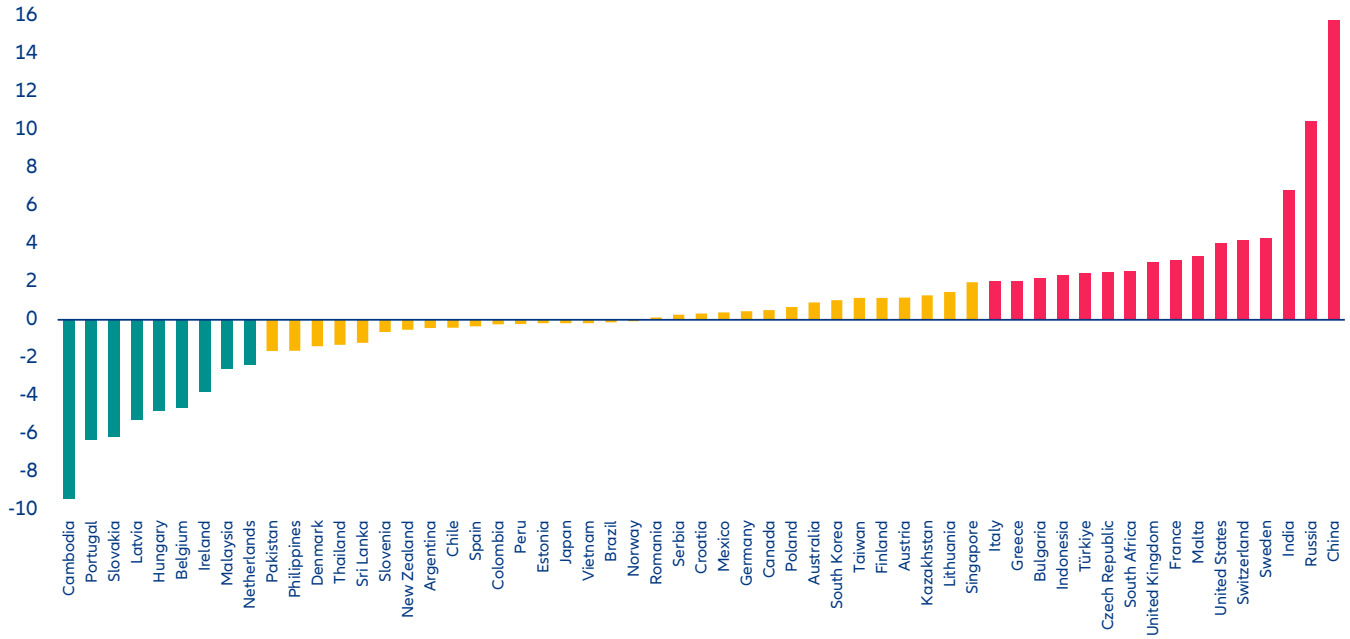
When it comes to inequality, however, the national picture is particularly disappointing. Despite being a major political issue for years, there has been virtually no progress towards more even wealth distribution. In 2005, the richest 10% held an average of 60.4% of national wealth, while the average-to-median ratio stood at 3.11. Two decades later, both measures are almost unchanged. Wealth has grown substantially, but its distribution within individual countries has remained remarkably resistant to change.

This overall stability conceals sharper shifts at the country level. In 32 of the 57 countries examined, the share of the richest 10% changed by less than 2pps between 2005 and 2025 (Figure 32). Where larger shifts occurred, however, the balance was clearly tilted towards greater inequality, with deterioration almost twice as likely as improvement. Wealth concentration increased in 16 countries and declined in only nine. Among those recording an improvement, Cambodia saw the largest decline in the top-decile share, followed by Portugal and Slovakia. Latvia, Hungary, Belgium, Ireland, Malaysia and the Netherlands also registered meaningful decreases. Different starting points were at work. Portugal, Latvia and Ireland moved down from relatively high levels of concentration, while Slovakia, Hungary and the Netherlands improved from already more balanced positions. In the Netherlands, the richest 10% saw their share fall by 2.4pps to 56.1%.

At the other end of the spectrum, China recorded by far the largest increase in concentration. The share of the richest 10% rose by 15.7pps between 2005 and 2025 to 68.0%, well above the average national share of 60.9%. This accompanied the enormous economic and social transformation of the past two decades, which created not only broad-based wealth but also a substantial private upper class. China illustrates the difficulty of combining rapid wealth creation with an equally rapid diffusion of its benefits. After all, it was the unbridled growth of the „wild" 2000s, when the private sector was subject to few restrictions, that primarily caused inequality to rise. In sharp contrast, in the last five years, the concentration of wealth has remained unchanged.

China was not alone. The top-decile share increased by 10.5pps in Russia and by 6.8pps in India, where rising wealth concentration is a "side effect" of rapid growth. Concentration also rose in several advanced economies. In the US, the richest 10% increased their share by 4.0pps to 68.2%, one of the highest levels among advanced markets and with no improvement in sight. Sweden and Switzerland also recorded increases of more than 4pps. France saw a smaller rise of 3.1pps, although its top-decile share of 54.8% remained below Germany's 59.5%. Rising concentration is therefore not confined to emerging economies, nor does rapid development inevitably produce it.

Figure 32: Old divides, new extremes
Share of top 10% in total net financial assets, change between 2005 and 2025, in pp



Sources: Eurostat, ECB, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, World Inequality Database, Allianz Research

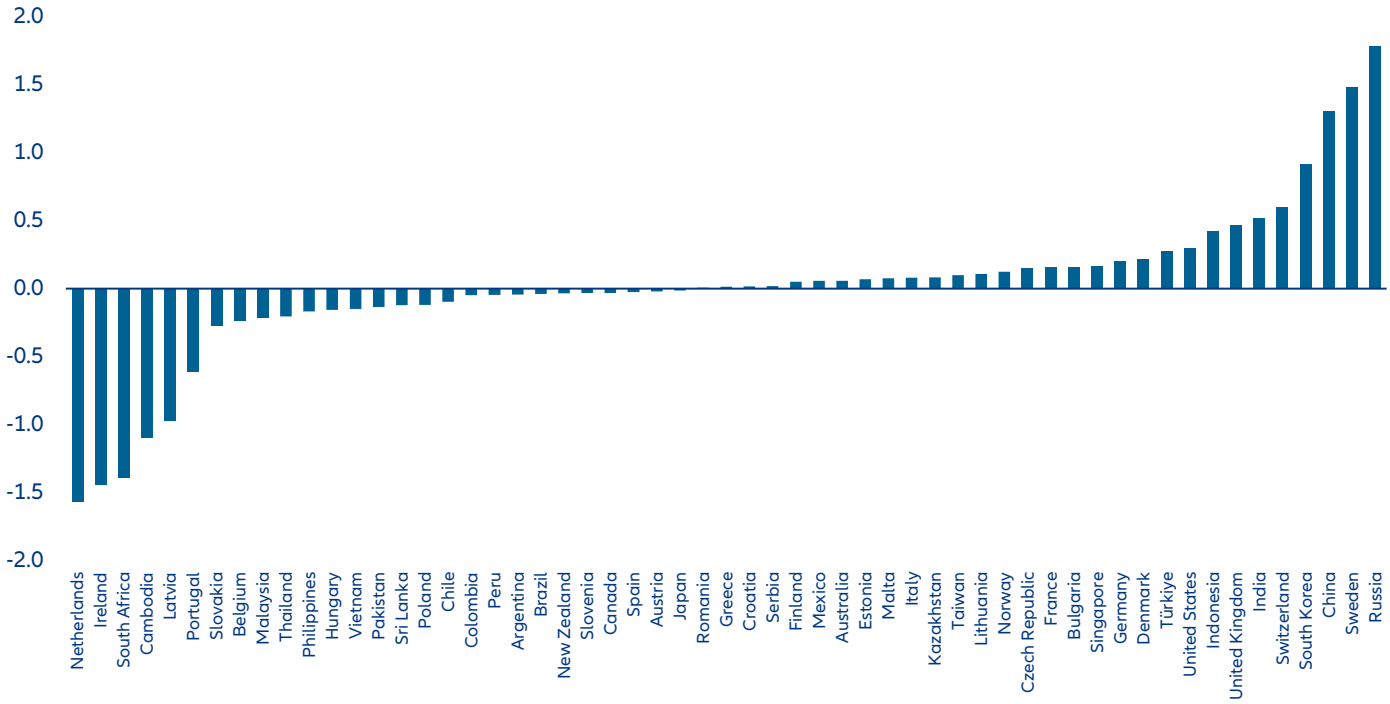
The ratio of average to median wealth provides an important cross-check: it shows whether rising average wealth is also reflected in the position of the typical household. Across the 57 countries examined, the average ratio remained virtually unchanged, rising from 3.11 in 2005 to 3.12 in 2025. This confirms the broader picture of persistent national wealth inequality.

The strongest improvements occurred in the Netherlands, where the ratio fell from 4.04 to 2.48, and Ireland, where it declined from 4.87 to 3.42. In both countries, the narrowing gap indicates that the middle of the distribution gained ground relative to average wealth.

The largest deteriorations were recorded in Russia, Sweden and China. Russia's ratio rose from 2.99 to 4.77, while Sweden's increased from 3.77 to 5.25. In China, it climbed from 2.03 to 3.33. Median Chinese net financial wealth increased substantially, but average wealth grew faster. China thus illustrates a central tension of rapid wealth creation: prosperity can spread while inequality rises at the same time.

More broadly, the limited movement in both distribution measures across most countries suggests that wealth inequality is deeply entrenched. Two decades of economic growth, crises and political attention have barely altered the underlying distribution.

Figure 33: The middle struggles to gain ground
Ratio between mean and median net financial assets, change between 2005 and 2025, in points



Sources: Eurostat, ECB, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, World Inequality Database, Allianz Research



Appendices

Appendix A: Methodological comments

General assumptions

The Allianz Global Wealth Report analyses gross financial assets held by households, i.e. cash and bank deposits, receivables from insurance companies and pension institutions, securities (shares, bonds and investment funds) and other receivables, as well as household liabilities. Net financial assets are defined as gross financial assets minus liabilities. Real estate is excluded from this measure and analyzed separately where data are available. The report is based on data from 57 countries. This group of countries covers 91% of global GDP and 72% of the global population. In 43 countries, we had access to statistics from the macroeconomic financial accounts. In the other countries, we were able to estimate the volume of total financial assets based on information from household surveys, bank statistics, statistics on assets held in equities and bonds and technical reserves.

To eliminate exchange-rate distortions over time, financial assets and liabilities denominated in national currencies are converted into euros using exchange rates at the end of 2025. Unless explicitly described as real, these values are not adjusted for inflation. The closing date for data to be included in the report is 31 July.

Statistical distinctions

The process associated with the introduction of the European System of Accounts 2010 (ESA 2010) in September 2014 involved updating and harmonizing the guidelines governing the preparation of many macroeconomic statistics. The new requirements also apply to the macroeconomic financial accounts. One change relates to private households: under the ESVG 2010 regulations, the two sectors „Private households" and „Non-profit institutions serving households" are now reported separately. This also has implications for the Allianz Global Wealth Report, which takes data from the macroeconomic financial accounts as a basis where available. For many countries, however – particularly those outside of the EU – there is no separate data available for these sectors in general. So in order to ensure global comparability, this publication analyzes both sectors together under the heading „private households".

Determination of wealth bands for global wealth classes

Lower wealth threshold: There is a close link between financial assets and the incomes of private households. According to Davies et al. (2009) , private individuals with below-average income tend to have no assets at all, or only very few. It is only when individuals move into middle and higher income groups that they start to accumulate substantial assets. We have applied this link to our analysis. Countries in the upper-middle income bracket (based on the World Bank's country classification system) therefore form the group in which the average household assets first reach a meaningful level. This value marks the lower threshold for the global middle wealth class.

In terms of income, households with incomes that correspond to between 75% and 150% of average net income are generally considered to constitute the middle class. According to Davies et al., households with income corresponding to 75% of the average income have assets that correspond to 30% of the average assets. As far as the upper threshold is concerned, 150% of average income corresponds to 180% of average assets. Consequently, we have set the threshold values for the wealth middle class at 30% and 180% of average net financial assets per capital. In 2025, average net financial assets per capita in the countries covered stood at approximately EUR36,690. Applying these percentages gives the rounded thresholds used in the workbook: EUR11,000 and EUR66,000. Individuals with net financial assets between these thresholds belong to the global middle-wealth class. Those below the lower threshold belong to the low-wealth class, while those above the upper threshold belong to the high-wealth class.

[14] Davies, James B. et al. (2009), The level and distribution of global household wealth, NBER working paper 15508.

Appendix B1: Gross financial assets and liabilities by country, 2025

	Gross financial assets				Liabilities			
	in EUR bn	yoy in %	EUR per capita	as % of GDP	in EUR bn	yoy in %	EUR per capita	as % of GDP
Argentina	89	44.6	1,950	18.0	33	90.1	730	6.7
Australia	4,988	9.6	184,930	307.8	1,935	6.0	71,740	119.4
Austria	969	5.0	106,280	188.6	219	0.9	24,020	42.6
Belgium	1,721	4.2	146,400	268.2	374	3.7	31,810	58.3
Brazil	2,555	8.6	12,010	129.1	740	11.6	3,480	37.4
Bulgaria	137	10.0	20,330	117.7	37	18.1	5,550	32.1
Cambodia	43	12.3	2,400	99.8	12	2.2	670	27.9
Canada	7,513	9.0	187,230	372.9	2,082	4.4	51,880	103.3
Chile	541	9.9	27,230	169.4	148	6.8	7,470	46.5
China	39,610	11.1	27,970	231.9	10,147	0.5	7,170	59.4
Colombia	393	2.7	7,360	94.1	125	7.1	2,340	30.0
Croatia	119	9.2	30,860	126.5	31	12.4	8,150	33.4
Czech Republic	534	7.8	50,360	151.7	119	6.6	11,230	33.8
Denmark	1,552	2.9	258,530	379.1	366	3.0	61,020	89.5
Estonia	63	7.2	46,770	151.1	18	8.3	13,740	44.4
Finland	470	8.6	83,540	167.4	217	-0.6	38,540	77.2
France	7,309	3.1	109,660	245.0	2,114	0.5	31,720	70.9
Germany	9,912	4.9	117,890	221.7	2,195	1.9	26,110	49.1
Greece	402	14.7	40,440	161.8	114	2.9	11,470	45.9
Hungary	320	9.2	33,220	142.1	50	12.8	5,170	22.1
India	4,719	9.0	3,220	143.8	1,434	14.3	980	43.7
Indonesia	580	6.7	2,030	47.7	214	3.1	750	17.6
Ireland	601	7.9	113,220	94.5	157	13.7	29,630	24.7
Vietnam	489	30.5	4,810	117.5	203	4.4	2,000	48.9
Italy	6,488	7.4	109,690	287.3	1,062	2.2	17,960	47.0
Japan	13,393	6.5	108,800	371.5	2,386	2.9	19,380	66.2
Kazakhstan	101	14.7	4,860	38.3	56	19.8	2,680	21.1
Latvia	51	9.1	27,330	117.7	10	8.8	5,370	23.1
Lithuania	90	7.3	31,850	107.2	27	10.0	9,410	31.7
Malaysia	769	6.2	21,370	181.2	360	5.6	10,010	84.8
Malta	50	6.3	91,700	203.5	14	10.6	25,980	57.7
Mexico	1,789	16.5	13,560	107.1	350	8.3	2,650	21.0
Netherlands	3,286	-2.3	179,090	278.5	1,147	4.5	62,490	97.2
New Zealand	827	3.4	157,480	379.6	157	4.7	29,930	72.1
Norway	711	8.4	126,480	152.7	424	4.8	75,400	91.0
Pakistan	135	5.5	530	38.9	9	12.1	30	2.5
Peru	126	6.6	3,630	41.0	46	6.9	1,340	15.1
Philippines	371	14.2	3,170	91.4	133	22.8	1,140	32.7
Poland	943	14.0	24,730	102.3	209	4.1	5,490	22.7
Portugal	628	6.5	60,290	204.7	214	7.7	20,565	69.8
Romania	269	5.4	14,200	71.6	66	5.3	3,490	17.6
Russia	2,023	6.0	14,050	88.0	523	8.9	3,630	22.8
Serbia	31	8.0	4,680	35.3	17	19.5	2,470	18.7
Singapore	1,402	9.1	238,810	268.2	270	7.4	45,970	51.6
Slovakia	128	9.2	23,330	93.4	65	8.1	11,940	47.8
Slovenia	95	8.6	44,700	134.3	20	7.1	9,380	28.2
South Africa	997	19.9	15,400	253.9	162	5.2	2,500	41.3
South Korea	3,669	13.7	71,010	233.1	1,443	3.1	27,920	91.6
Spain	3,445	9.6	71,940	204.4	797	4.6	16,630	47.3
Sri Lanka	56	11.0	2,390	64.3	9	16.7	370	9.9
Sweden	2,188	5.6	205,300	360.5	526	2.3	49,320	86.6
Switzerland	3,641	4.0	406,060	390.5	1,166	3.1	130,080	125.1
Taiwan	4,515	8.7	195,370	580.6	714	6.3	30,900	91.8
Thailand	808	-0.1	11,280	157.6	444	0.0	6,200	86.7
Türkiye	541	45.1	6,170	43.3	140	50.0	1,600	11.2
United Kingdom	7,728	2.8	111,120	222.1	2,706	3.1	38,910	77.8
United States	121,434	9.2	349,680	463.5	18,312	3.1	52,730	69.9

Appendix B2: Net financial assets by country, 2025

	Net financial assets			Top 10% share	GDP
	in EUR bn	yoy in %	EUR per capita	in %	EUR per capita
Argentina	56	26.5	1,220	60.0	10,840
Australia	3,053	12.1	113,190	57.7	60,080
Austria	750	6.3	82,260	64.1	56,350
Belgium	1,347	4.4	114,590	55.5	54,590
Brazil	1,815	7.4	8,530	71.9	9,300
Bulgaria	99	7.3	14,790	59.6	17,280
Cambodia	31	16.8	1,730	59.8	2,410
Canada	5,431	10.9	135,350	59.8	50,210
Chile	392	11.2	19,750	72.0	16,070
China	29,463	15.3	20,810	68.0	12,060
Colombia	268	0.8	5,020	71.9	7,820
Croatia	87	8.0	22,710	57.0	24,400
Czech Republic	415	8.2	39,130	58.7	33,190
Denmark	1,186	2.9	197,510	50.3	68,200
Estonia	44	6.7	33,030	68.0	30,960
Finland	253	18.0	45,000	58.9	49,890
France	5,195	4.2	77,940	54.8	44,760
Germany	7,717	5.8	91,780	59.5	53,170
Greece	288	20.1	28,970	46.9	24,990
Hungary	270	8.6	28,050	49.9	23,370
India	3,285	6.8	2,240	65.0	2,240
Indonesia	366	8.9	1,280	60.4	4,260
Ireland	444	6.0	83,590	66.3	119,800
Vietnam	286	58.7	2,810	59.3	4,090
Italy	5,426	8.5	91,730	60.6	38,180
Japan	11,008	7.4	89,420	59.1	29,290
Kazakhstan	45	9.0	2,180	59.9	12,700
Latvia	41	9.1	21,960	60.6	23,210
Lithuania	64	6.2	22,440	58.9	29,700
Malaysia	409	6.7	11,370	59.8	11,800
Malta	36	4.7	65,720	42.6	45,060
Mexico	1,439	18.7	10,900	72.1	12,650
Netherlands	2,139	-5.6	116,600	56.1	64,300
New Zealand	670	3.1	127,550	57.1	41,490
Norway	287	14.2	51,090	52.7	82,830
Pakistan	126	5.1	490	58.5	1,360
Peru	79	6.5	2,290	71.3	8,870
Philippines	238	9.9	2,040	60.7	3,470
Poland	734	17.2	19,240	61.7	24,180
Portugal	414	5.9	39,729	57.4	29,460
Romania	202	5.4	10,710	58.6	19,830
Russia	1,499	5.0	10,410	76.0	15,960
Serbia	15	-2.5	2,200	58.2	13,240
Singapore	1,132	9.5	192,840	61.4	89,040
Slovakia	62	10.4	11,390	44.5	24,980
Slovenia	75	9.1	35,320	49.0	33,290
South Africa	835	23.3	12,890	85.7	6,060
South Korea	2,226	21.8	43,090	66.4	30,470
Spain	2,648	11.1	55,300	53.5	35,200
Sri Lanka	47	10.0	2,020	61.3	3,721
Sweden	1,662	6.7	155,980	68.2	56,940
Switzerland	2,475	4.5	275,980	62.8	103,970
Taiwan	3,801	9.1	164,470	61.8	33,650
Thailand	364	-0.4	5,080	66.0	7,160
Türkiye	400	43.5	4,570	65.6	14,240
United Kingdom	5,022	2.6	72,200	57.1	50,020
United States	103,122	10.4	296,950	68.2	75,440

Appendix C: Global ranking 2025

	... by net financial assets per capita, in EUR			... by gross financial assets per capita, in EUR	
1	United States	296,950	1	Switzerland	406,060
2	Switzerland	275,980	2	United States	349,680
3	Denmark	197,510	3	Denmark	258,530
4	Singapore	192,840	4	Singapore	238,810
5	Taiwan	164,470	5	Sweden	205,300
6	Sweden	155,980	6	Taiwan	195,370
7	Canada	135,350	7	Canada	187,230
8	New Zealand	127,550	8	Australia	184,930
9	Netherlands	116,600	9	Netherlands	179,090
10	Belgium	114,590	10	New Zealand	157,480
11	Australia	113,190	11	Belgium	146,400
12	Germany	91,780	12	Norway	126,480
13	Italy	91,730	13	Germany	117,890
14	Japan	89,420	14	Ireland	113,220
15	Ireland	83,590	15	United Kingdom	111,120
16	Austria	82,260	16	Italy	109,690
17	France	77,940	17	France	109,660
18	United Kingdom	72,200	18	Japan	108,800
19	Malta	65,720	19	Austria	106,280
20	Spain	55,300	20	Malta	91,700
21	Norway	51,090	21	Finland	83,540
22	Finland	45,000	22	Spain	71,940
23	South Korea	43,090	23	South Korea	71,010
24	Portugal	39,729	24	Portugal	60,290
25	Czech Republic	39,130	25	Czech Republic	50,360
26	Slovenia	35,320	26	Estonia	46,770
27	Estonia	33,030	27	Slovenia	44,700
28	Greece	28,970	28	Greece	40,440
29	Hungary	28,050	29	Hungary	33,220
30	Croatia	22,710	30	Lithuania	31,850
31	Lithuania	22,440	31	Croatia	30,860
32	Latvia	21,960	32	China	27,970
33	China	20,810	33	Latvia	27,330
34	Chile	19,750	34	Chile	27,230
35	Poland	19,240	35	Poland	24,730
36	Bulgaria	14,790	36	Slovakia	23,330
37	South Africa	12,890	37	Malaysia	21,370
38	Slovakia	11,390	38	Bulgaria	20,330
39	Malaysia	11,370	39	South Africa	15,400
40	Mexico	10,900	40	Romania	14,200
41	Romania	10,710	41	Russia	14,050
42	Russia	10,410	42	Mexico	13,560
43	Brazil	8,530	43	Brazil	12,010
44	Thailand	5,080	44	Thailand	11,280
45	Colombia	5,020	45	Colombia	7,360
46	Türkiye	4,570	46	Türkiye	6,170
47	Vietnam	2,810	47	Kazakhstan	4,860
48	Peru	2,290	48	Vietnam	4,810
49	India	2,240	49	Serbia	4,680
50	Serbia	2,200	50	Peru	3,630
51	Kazakhstan	2,180	51	India	3,220
52	Philippines	2,040	52	Philippines	3,170
53	Sri Lanka	2,020	53	Cambodia	2,400
54	Cambodia	1,730	54	Sri Lanka	2,390
55	Indonesia	1,280	55	Indonesia	2,030
56	Argentina	1,220	56	Argentina	1,950
57	Pakistan	490	57	Pakistan	530


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28 September 2026

Allianz Research

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- **Summer brought little of the calm markets had priced in before it began.** Three tensions we had been tracking escalated through the season, surfacing as fresh flashpoints by early September: a fresh energy shock out of the Middle East, a bond sell-off that has spread from the US to Japan to Europe (and drawn erratic policy responses from central banks and governments alike) and renewed doubts about the AI boom – talk of chip and power shortages, bubble concerns and underwhelming returns on frontier-model spend.

- **But none of this has yet broken the real economy.** Q2 growth surprised to the upside, carried by net exports and Germany's stimulus in Europe, and by robust AI-related investment in the US and Asia. Forward-looking indicators such as European manufacturing PMIs at four-year highs and strong US Q3 nowcasts show little sign of deterioration, albeit with marked divergence across sectors.

- **The Great Unwind: the case for an orderly path forward.** Our baseline continues to be that these three tension points will ease rather than escalate, but that call rests on specific mechanisms. In the report we also model three downside scenarios and their economic and capital market impacts, each based on a disorderly release of the tensions.
    - **The energy shock risk.** We expect the conflict to stay contained and that rerouting, demand destruction and alternative supply do the job energy markets need them to do, easing prices and letting the inflation shock fade. This rests on the assumption that the Saudi pipeline outage does not extend past a month. If the outage runs longer, the shortfall could exceed 8Mb/d and Brent could stay near USD100/bbl, turning what is now a contained shock into a stagflationary shock.
    - **The bond sell-off risk. We assume inflation moderates without meaningful second-round wage effects, and that sovereign markets can absorb elevated issuance without a disorderly rise in risk premia.** The assumption doing the real work here is political: the US midterms don't produce further fiscal slippage or erratic policy interventions and European elections (France, Italy) do not add fiscal uncertainty. Note that the real rate component of the US 10 treasury rates has increased by a full percentage point this past year confirming that bond markets also price more AI growth. In the downside, self-reinforcing yield–fiscal loop can take hold and force central banks to stabilize bond markets.
    - **The AI capex cycle risk.** We think that AI capex decelerates slightly to peak at USD1trn in 2028, with value creation shifting from infrastructure build-out toward adoption and productivity. This rests on the assumption that infrastructure and power bottlenecks stay manageable, financing conditions don't tighten sharply and AI earnings keep validating the spend. A sharper investment retrenchment, given how much of US and Asian growth and equity performance now runs through AI, could spill from technology into corporate investment and trade, and from wealth effects into consumption.

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- **Our scenario in numbers: Global GDP growth slows from +3.0% in 2025 to +2.6% in 2026, recovers to +2.8% in 2027, and eases again to +2.6% in 2028.** US growth moderates from +2.1% (2026) to +1.8% (2028); the Eurozone recovers from +1.0% to +1.3%; Asia stays the main engine at around +4.4%. We forecast Brent to average 87 USD/bbl in Q4 2026 before easing to 76 USD/bbl on average in 2027 as Gulf export flows gradually normalize both in and around Hormuz but refined-product markets are running out of buffers, and prices should remain elevated for the next few quarters. European gas prices should stay elevated through year-end, with TTF averaging around EUR65/MWh in Q4 2026, before easing to about EUR36/MWh in 2027. Inflation stays 1–2pps above target in Europe and the US until H2 2027, which is why we still expect one more Fed hike to 4.00–4.25% and two more ECB hikes to 3.00% by year-end, with cutting cycles starting only once inflation is back at target – earliest end-2027 – and terminal rates of 3.50% (Fed) and 2.25% (ECB) reached in 2028.

- **What it means for markets. We see bond yields dropping when markets start pricing in our central bank scenario of a lower terminal rate in both Europe and the US.** The 10y Bund is expected to gradually drop from current levels to 3.3% at the end of 2026 and further to 3.0% in 2028 (US 10y from 4.7% end of 2026 to 4.3% in 2028). Credit spreads will slightly widen from current low levels given strong supply from the technology sector. Equity markets will finish the year with double digits again but decelerate to high single digits in 2027 and 2028, with valuations normalizing to historic levels (S&P500 2026-2028: 14%, 8%, 8%, Eurostoxx: 15%, 9%, 8% total return). The euro will gain gradually against the dollar, reaching 1.18 in 2028 as policy uncertainty and a weaker economy in the US will weigh on the greenback. Private markets are entering a more selective phase: Private equity faces a record ~13,300-company exit backlog, while infrastructure benefits from the AI buildout, with data-center investment expected at USD 5–7trn this decade.



Global outlook:

It may get better if three assumptions hold

The summer turned three risks we had been monitoring into part of our base case: a fresh energy shock out of the Middle East, a bond sell-off that has spread from the US to Japan to Europe and renewed doubts about the AI boom. Yet the real economy has not broken. Q2 growth surprised to the upside on net exports, Germany's stimulus and robust AI-related investment, and forward-looking indicators show limited sign of deterioration so far, even as bond markets tell a more troubled story, with yields at multi-year highs and equities still reading the growth story rather than the bond one. In our baseline scenario, global growth slows from +3.0% in 2025 to +2.6% in 2026, recovers to +2.8% in 2027 as the chokepoints fade and eases back to +2.6% in 2028 as that support wanes. Within this, the US moderates from +2.1% to +1.8%, the Eurozone recovers from +1.0% to +1.3%, and Asia remains the main growth engine throughout at around +4.4%. This path holds only as long as the three chokepoints unwind rather than escalate, and each rests on a specific, breakable assumption. On energy, we assume the conflict stays contained and that rerouting, demand destruction and alternative supply let prices ease, contingent on the Saudi pipeline outage not extending past a month; a longer outage could push the shortfall above 8Mb/d and Brent back near USD100/bbl, turning a contained shock into a stagflationary one. On bonds, we assume inflation moderates without a wage spiral and that sovereign markets absorb elevated issuance without disorderly repricing, a call that rests on European elections (France, Italy) and the US midterms not adding fresh fiscal uncertainty; if that gives way, a self-reinforcing yield-fiscal loop could force central banks to choose between fighting inflation and stabilizing bond markets. On AI, we assume capex keeps supporting growth while decelerating, peaking above USD1trn in 2028, contingent on power and infrastructure bottlenecks staying manageable and earnings continuing to validate the spend; an investment retrenchment here would spill from technology into corporate investment, consumption and trade more broadly. Growth, inflation and rates in our baseline hold only as long as these three assumptions hold too.

Table 1: Real GDP growth forecasts, %

Growth (yearly %)	2023	2024	2025	2026f	2027f	2028f
Global	**2.8**	**2.9**	**3.0**	**2.6**	**2.8**	**2.6**
USA	**2.9**	**2.8**	**2.1**	**2.1**	**2.0**	**1.8**
Latin America	**2.0**	**1.8**	**2.4**	**2.2**	**2.6**	**2.5**
Brazil	3.3	3.0	2.6	2.0	2.2	2.3
UK	**0.3**	**1.0**	**1.3**	**1.3**	**1.2**	**1.2**
Eurozone	**0.5**	**1.1**	**1.3**	**1.0**	**1.3**	**1.3**
Eurozone excl. Ireland	**0.7**	**1.0**	**1.1**	**1.3**	**1.2**	***1.3***
Germany	-0.8	0.0	0.3	1.0	1.2	1.1
France	1.8	1.4	0.9	0.5	0.9	1.1
Italy	1.0	0.6	0.7	0.9	0.8	0.8
Spain	2.5	3.5	2.8	2.5	1.8	1.6
Central and Eastern Europe	**1.3**	**2.3**	**2.3**	**2.1**	**2.4**	**2.7**
Poland	0.2	3.1	3.6	3.6	2.8	2.9
Russia	3.9	4.9	1.1	0.5	1.8	0.8
Türkiye	5.0	3.5	3.6	2.7	3.6	2.8
Asia-Pacific	**4.2**	**4.0**	**4.3**	**4.4**	**4.1**	**4.0**
China	5.5	5.0	5.1	4.7	4.5	4.3
Japan	0.9	0.1	1.2	0.9	1.1	1.0
India	7.1	7.2	7.5	7.5	7.1	6.8
Middle East	**2.0**	**2.5**	**3.2**	**-1.4**	**6.2**	**3.9**
Saudi Arabia	0.5	2.6	4.6	-2.0	7.1	5.0
Africa	**2.8**	**3.5**	**4.5**	**4.0**	**3.9**	**3.8**
South Africa	0.8	0.5	1.1	1.0	1.2	1.5

Sources: National, Allianz Research

If our assumptions do not hold, we will stumble into one or several downside scenarios ranging from stagflation to demand-side deflationary recessions. Table 2 sets out what happens if our assumptions on chokepoints break. Should Middle East de-escalation fail, the shock persists rather than fades: oil stays above USD100/bbl into 2027 and the picture turns stagflationary, with US and Eurozone growth undershooting the baseline. The Eurozone would see a recession, while inflation runs hotter and keeps rising through 2027, forcing the Fed and ECB to hike further to 5.00% and 4.00%, respectively. Long yields spike first before reversing sharply lower once the growth damage bites, and risk assets sell off hard through 2026 – equities barely positive, credit and sovereign spreads wider, private equity, private debt and real estate all negative – ahead of a partial rebound in 2027. An AI bubble burst plays out in the opposite direction: the shock is disinflationary, US growth stalls towards zero by 2027 and the Fed and ECB slash rates to just 0.50%, pulling long yields and oil sharply lower. Equities fall hardest in the US, given its greater AI concentration, while the damage is most acute in the areas most tied to the capex cycle – private equity, private debt and, notably, infrastructure, which turns negative for the only time across the three scenarios. The third scenario is a slower-moving chain reaction: a bond sell-off triggered by a political shock – long yields spiking and OAT and

BTP spreads blowing out as fiscal risk resurfaces on both sides of the Atlantic – triggers an equity correction, which in turn causes a growth shock in the US and elsewhere that eventually feeds through to sharply lower rates and inflation, with the Fed cutting to 1.50% and the ECB to 1.00% by 2027. Because the political shock hits the US and Europe together, EURUSD stays essentially unchanged from baseline throughout, even as growth and rates swing sharply; peripheral European spreads, however, stay persistently wider even once credit and core yields have normalized, a lingering political risk premium.

Table 2: What could go wrong

			Baseline			Downside risks					
						Middle East deescalation fails		AI bubble burst		Bond sell-off after political shock	
		2025	2026	2027	2028	2026 (MDD**)	2027	2026 (MDD**)	2027	2026 (MDD**)	2027
Growth	US	2.1	2.1	2.0	1.8	2.0	1.5	1.7	0.0	2.0	1.4
	EZ	1.3	1.0	1.3	1.3	0.8	0.4	0.9	0.4	0.8	0.5
Inflation	US	2.7	3.4	2.6	1.9	3.7	4.5	3.3	1.4	3.3	2.2
	EZ	2.1	2.9	2.5	2.1	3.4	4.8	2.8	1.7	2.8	1.7
Monetary Policy	Fed	3.75	4.25	4.00	3.50	4.50	5.00	0.50	0.50	4.25	1.50***
	ECB	2.00	3.00	3.00	2.25	3.25	4.00	0.50	0.50	3.00	1.00***
Rates 10y	US	4.2	4.7	4.5	4.3	5.4 (5.8)	4.00	3.00	2.50	5.6 (6.0)	3.50
	DE	2.9	3.3	3.2	3.0	3.8 (4.0)	3.00	2.00	2.00	3.8 (4.0)	2.50
Equity (TR, LC)	S&P500	18	14	8	8	+4 (-1)	10	-6 (-11)	6	+4 (-1)	10
	MSCI EMU	25	15	9	8	+5 (-1)	6	+5 (0)	8	+10 (+5)	8
Spreads	US IG	79	85	90	90	100 (110)	100	110 (120)	105	100 (110)	90
	EZ IG	78	80	85	85	110 (120)	110	100 (110)	95	110 (120)	85
	EM HC	163	170	175	185	200 (220)	190	220 (250)	220	200 (220)	175
	10y BTP	65	80	80	70	110 (130)	90	80 (100)	70	130 (160)	100
	10y OAT	71	100	70	70	120 (140)	90	100 (110)	70	130 (160)	100
Oil (U$/bbl)		68	88	76	73	95 (140)	100 (170)	70	65	76	73.0
EURUSD		1.13	1.16	1.17	1.18	1.12	1.15	1.20	1.20	1.16	1.17
Private markets*	Private equity	5.6	7.0	11.0	9.5	-7 (-10)	7	-12 (-15)	5	-5 (-7)	7
	Private debt	530	540	545	550	650 (700)	600	700 (800)	650	600 (650)	575
	Infrastracture	8.4	9.0	9.5	10.0	5 (4)	9,5	-3 (-5)	2	7 (5)	10
	Real estate	5.3	5.7	6.0	7.4	-3 (-5)	9	-1 (-2)	7	-2 (-4)	8

Year-end values are displayed for capital market figures

* Average of US and EZ
** MDD = Maximum drawdown
*** Additional quantitative CB measures e.g. stop QT in Europe, TPI from the ECB, yield curve control, QE in the US

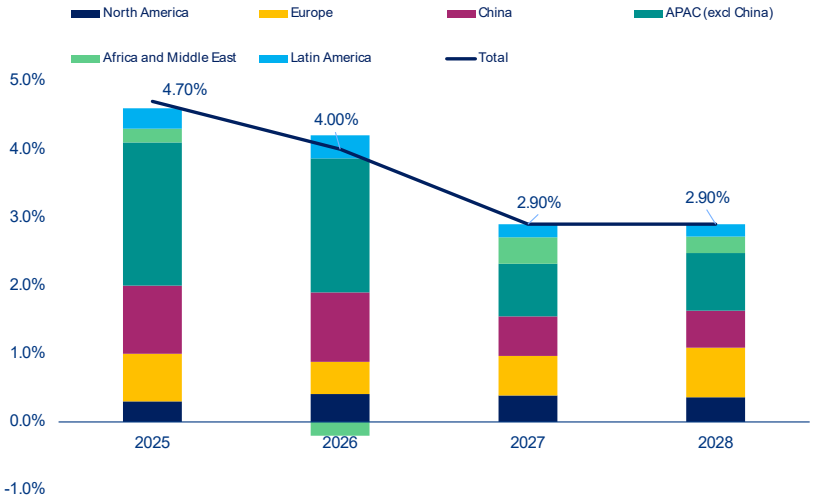
Sources: LSEG Datastream, Allianz Research

Global trade of goods in volume is expected to grow at +4% y/y in 2026, driven mainly by AI, which masks a more divergent global economy. AI-driven demand will contribute 4.8pps to global trade, which together with European defense spending (+0.2pp) and carryover effects (+1.4pp) add further support. Without these offsetting forces, the underlying picture would be considerably weaker: The Strait of Hormuz closure is estimated to subtract 2.1pps from trade growth, while the ongoing trade war erases a further 0.4pp. The rest of the global economy is contracting in trade terms, and the +4% headline number conceals what is effectively a two-speed world.

Global goods trade growth is volume is expected to ease to +2.9% in both 2027 and 2028 as the forces supporting the 2026 headline begin to fade. AI-driven demand will remain the largest contributor to growth (+1pp), but at slower phase than prior years as deceleration starts. Hormuz normalization is unlikely to be linear, causing stock rebuilding to take longer and extend to 2028. Defense spending remains a positive but diminishing contributor. The trade war persists through 2027, with US tariffs continuing to disrupt established supply chains, subtracting 0.3pp from growth. In parallel, free-trade agreements (FTAs) signed over the past 12 months will begin generating measurable export gains from 2027, adding around 0.1pp annually, with beneficiaries concentrated in the EU, India, Mercosur, the UAE and Australia.

At a country level, the clearest winners are economies embedded in AI supply chains, concentrated in Asia-Pacific, while structurally the US trade war unleashes the so-called "China shock 2.0" amplifying China's presence through global supply chains. South Korea and Taiwan are posting export growth rates of +10.5% and +30% y/y, respectively, driven by semiconductor exports and other AI inputs. Mexico, Vietnam and Malaysia are benefiting from supply-chain diversification, while Israel's technology exports are also on the rise. In the developed world, the US and the Netherlands stand out. The structural consequence of US tariffs, combined with China's weak domestic demand, are amplifying China's role in the global supply chain under the „China shock 2.0." Unable to sell as much into

Figure 1: Global trade of goods, annual growth in volume, in %"



Sources: CPB, Allianz Research

the US, China is redirecting exports through the global south and into Europe at record volumes, causing Europe to be squeezed from both sides: more Chinese imports competing with domestic industry, and fewer US export opportunities due to tariffs.

The effective US tariff rate currently stands at 9.2% and is expected to reach 12% following the implementation of the second Section 301 investigation on overcapacity in October. Export losses are estimated at USD42bn this year, after USD74bn in 2025. We expect tariffs on China at 32%, with potential for lower rates on non-sensitive goods and fewer restrictions as relations are likely to remain stable in the near term. However, the trade war is likely to intensify after the US midterm elections as a shift in Congressional control would place constraints on the administration's domestic policy agenda and push it to rely more heavily on trade tools. On the downside, potential risks could push the average US tariff rate up to 21.3%. The most likely scenarios include higher-than-expected tariffs under the overcapacity Section 301, the opening of a new Section 301 investigation targeting countries accused of transshipment on behalf of China, and continued tensions with Canada following the escalation over the summer. While we do not expect further developments in the near term, the threat of 50% tariffs on Canadian autos remains while USMCA renegotiations progress very slowly. Finally, the EU should also remain watchful, with two main tariff risks: one linked to the global services tax and the other tied to the new US sanctions on Russia, allowing for tariffs on Russian energy importers.

The global fiscal outlook continues to deteriorate at the margin as structural spending pressures – defense foremost – combine with the renewed cost of energy-related support measures. Many governments were initially reluctant to intervene, treating the current shock as transitory; the repeated extension of these „temporary" measures has instead become a recurring drag on consolidation efforts. Looking at the regions, US fiscal policy is unlikely to turn significantly restrictive amid a likely divided Congress (or a Democratic sweep) after the November midterm elections. In this environment, we would expect only limited fiscal consolidation in 2027 and 2028, to the tune of 0.5% of GDP in 2027 and 0.6% in 2028 of structural deficit improvement, relying on a mix of discretionary and social spending restraint and „stealth" taxation increases. In the Eurozone, political risk is an increasingly relevant input for spread dynamics: With France, Italy and Spain all facing elections in 2027, pre-electoral tax cuts and spending pledges raise the risk of fiscal slippage precisely as consolidation becomes more pressing. Moreover, the phase-out of NGEU disbursements adds a further headwind: As grants are booked as fiscal revenue, their decline mechanically weighs on headline deficits for the bloc's largest beneficiaries (Southern European countries in particular), compounding the loss of investment support at a time when fiscal buffers are already thinning.

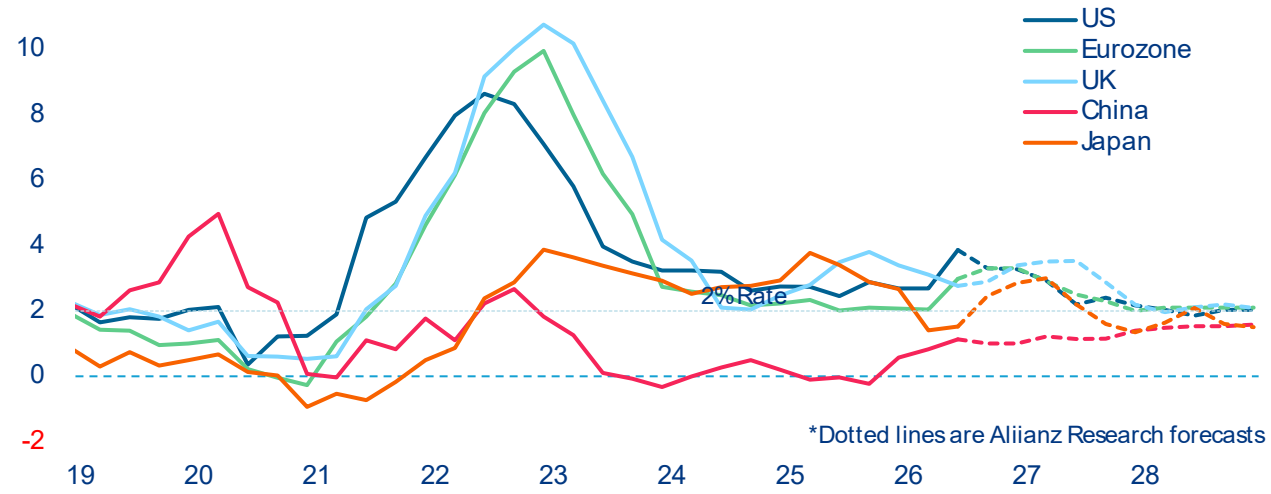


Inflation and central banks:

More hikes ahead before easing cycle starts in Q4 2027

Inflation rates will remain elevated until the first half of 2027 as indirect effects of elevated input costs filter through core consumer prices. Sharply higher energy prices in 2026 have quickly pushed up fuel inflation in most economies, with gasoline prices reaching historical highs. Meanwhile, utility bills have started to drift up, especially in European countries, as higher wholesale gas prices are gradually being passed through. In Q4 2026, we expect CPI headline inflation at +2.9% in Japan, +3.3% in the Eurozone, +3.4% in the UK and +3.5% in the US, with upwards risks. Higher utility bills should continue through 2027 even if wholesale gas prices start to decline as we expect. Persistently elevated energy and input costs should also increasingly prompt corporates to increase their selling prices to protect their margins. This will filter through to consumer prices, mostly from end-2026 and into 2027. In particular, consumer food prices should accelerate significantly from early 2027. In most developed markets, we expect headline inflation to start pulling down decisively only from Q2 2027, thanks to favorable base effects on fuel inflation, but core prices will remain sticky. However, high inflation and tighter financial conditions will weigh on growth, which should eventually limit 'second round' effects of higher prices onto wages and corporate profits, while lower oil and gas prices will also help pull down fuel and core prices. In this environment, we see inflation rates normalizing from the end of 2027 and in 2028. We expect headline CPI inflation to reach +2.1% by Q4 2027 in the Eurozone, +2.2% in the UK, +2.5% in the US and +1.4% in Japan.

Figure 2: Quarterly inflation, y/y, %



Sources: LSEG Datastream, Allianz Research

US and Eurozone labor markets are set to cool further into 2027 as slowing hiring meets accelerating AI adoption. In the US, August's steady headline (+162,000 payrolls, 4.1% unemployment) masks a thinning hiring pipeline: Soft hiring intentions and cooling wage growth point to further pullback ahead, even as layoffs stay contained. In the Eurozone, we expect unemployment to drift only marginally above current lows (6.4%) as vacancies keep falling and wage growth keeps normalizing. The adjustment should keep running primarily through hiring pace rather than job cuts, delaying, not removing, the risk of rising unemployment. Sectoral divergence should also widen, with manufacturing staying under pressure from weak demand and high energy costs while services hold up better. AI adoption adds a further, structural drag on hiring: Firms are increasingly able to absorb demand growth without adding headcount, and with productivity gains from AI still limited so far, the near-term effect shows up more in slower hiring than in higher output, reinforcing margin pressure into 2027. Our base case remains a gradual, not sharp, deterioration, with buffers thinner than a year ago, and Europe's main vulnerability now industrial rather than energy-driven.

Table 3: Inflation forecasts, yearly, %

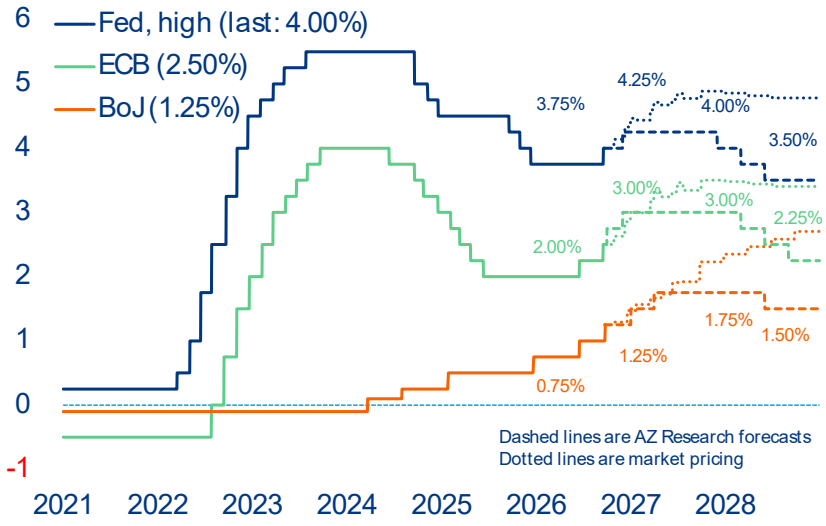
Inflation (yearly %)	2023	2024	2025	2026f	2027f	2028f
Global	**6.1**	**4.7**	**3.8**	**4.2**	**3.4**	**2.7**
USA	**4.1**	**3.0**	**2.7**	**3.4**	**2.6**	**1.9**
Latin America	**14.8**	**16.6**	**7.6**	**3.8**	**3.6**	**3.0**
Brazil	4.6	4.4	5.0	4.5	4.3	3.4
UK	**7.4**	**2.5**	**3.4**	**3.0**	**3.0**	**2.1**
Eurozone	**5.5**	**2.4**	**2.1**	**2.9**	**2.5**	**2.1**
Germany	6.0	2.3	2.2	2.7	2.4	2.2
France	4.9	2.0	0.9	2.2	2.2	1.3
Italy	5.7	1.0	1.5	2.7	2.3	2.0
Spain	3.6	2.8	2.7	3.6	3.0	2.2
Central and Eastern Europe	**11.1**	**3.8**	**4.8**	**4.3**	**3.3**	**2.9**
Poland	11.6	3.8	3.8	3.0	2.7	2.6
Russia	5.9	8.4	8.7	6.4	7.0	6.2
Türkiye	53.4	60.0	35.2	31.3	27.3	22.8
Asia-Pacific	**3.1**	**2.2**	**1.3**	**2.3**	**2.2**	**2.0**
China	0.2	0.2	0.1	0.9	1.1	1.3
Japan	3.3	2.7	3.2	2.1	2.0	1.7
India	5.7	5.0	2.2	4.7	5.2	4.2
Middle East	**16.6**	**10.8**	**14.1**	**9.4**	**3.2**	**2.4**
Saudi Arabia	2.5	1.5	2.0	2.1	1.8	1.8
Africa	**17.0**	**15.1**	**9.1**	**8.3**	**10.9**	**7.2**
South Africa	5.9	4.5	3.2	4.4	3.5	3.2

Sources: LSEG Datastream, Allianz Research

We expect the Federal Reserve to deliver one final hike in December, before maintaining a prolonged hold for most of 2027. As we expected in our last economic outlook, the Fed delivered a 25bps interest rate hike at its September meeting. With price pressures expected to remain elevated in the near term, we now see the Fed delivering a follow up hike at its December meeting. With economic activity and the labor market remaining resilient, the Fed will stay vigilant about the risks of second-round effects. However, this hiking cycle should be limited to two rate hikes. For a start, the Fed policy stance is much less loose than in 2021-23, with the real Fed interest rate slightly positive today (vs largely negative in 2021-2023). Second, corporate pricing power is less strong. Back in 2021-23, high and rising margins were widespread across sectors, pointing to an economy running too hot. In contrast, the rise in profits today is much more concentrated in a handful of sectors (ICT, energy, electronics). Thanks to a soft economy, easing supply-chain strains (including for AI) and lower expected energy costs, inflation should eventually cool down, prompting the beginning of a Fed normalization from December 2027. We expect the Fed policy rate to settle in the 3.25-3.5% bound by mid-2028.

Following the European Central Bank's (ECB) second rate hike this year in September to 2.50%, we expect two further 25bps increases in October and December 2026, taking the deposit rate to 3.00%. The ECB's focus is likely to remain on containing the second-round effects of the Middle-East-related energy shock, particularly as resilient economic activity provides room for further tightening. Thereafter, we expect a prolonged pause through 2027. While inflation is likely to remain elevated in the near term, our assumption of gradually easing oil and gas prices should support a renewed disinflationary trend, with inflation moving back towards target during the second half of 2027. Against this backdrop, we expect the ECB to resume easing in 2028, delivering three 25bps cuts to 2.25%,

Figure 3: Monetary policy key rates, %



Sources: LSEG Datastream, Bloomberg, Allianz Research

the upper end of the estimated neutral-rate range. This would mark a gradual normalization of monetary policy as energy-related pressures fade, while the ECB continues to balance inflation risks against the potential drag from higher borrowing costs on economic activity. Meanwhile, quantitative tightening continues at its full run-off pace of around EUR45bn per month and is expected to continue for the foreseeable future as the stock of holdings is still high. At the current pace it would still take six years to run down the remaining EUR3.2trn of assets sitting in the PEPP and APP program. The annualized balance-sheet reduction equals around 3.3% of GDP and by that exceeds the Eurozone's fiscal deficit of around 3.1%, further reinforcing the net supply pressure on government bonds.

The Bank of England (BoE) is expected to provide two back-to-back rate hikes in November and December as elevated core inflation prompt a response. The BoE has refrained from hiking interest rates so far despite persistently above-target inflation (even prior the Iran crisis). Admittedly, the BoE's policy rate is already elevated at 3.75%, and there is scant evidence of accelerating core inflation. However, the indirect effects of elevated input costs will start to show up soon as corporates will start to increase their selling prices. A surprisingly resilient economy provides further impetus for a likely acceleration of core inflation in the months ahead. The labor market is loose, but the unemployment rate has stabilized around 5%. In this environment, we expect the BoE to turn more hawkish and deliver back-to-back 25bps interest rate hikes at its November and December meetings, pushing the Bank Rate to 4.25%. We see a beginning of a normalization in November 2027 as inflation pulls back and the economy softens. We expect the Bank Rate to reach 3% by Q3 2028.

The Bank of Japan (BoJ) delivered a 25bps hike to 1.25% in September, accelerating its tightening on the back of resilient activity and firm wage growth despite headwinds from the Middle East conflict. Inflationary pressures have remained contained, in part thanks to government subsidies on energy, with headline inflation near target. However, the pass-through from elevated energy prices should push underlying momentum higher in the near term, with inflation picking up in Q4 to bring 2026 to +2.1%. The yen's slide to 40-year lows over the summer prompted intervention and reinforced the faster tightening path. We expect the next hike in January 2027 and one additional 25bps increase in H1 2027, reaching a terminal rate of 1.75%. With the Fed expected to ease in 2028 and Prime Minister Takaichi set to replace two hawkish board members in mid-2027, we anticipate a first 25bps cut in late 2028.



Developed markets:

Growth holding up amid different drivers

US growth is expected to cool off slightly through 2028 as ICT capex growth slows down. We have kept our GDP forecasts at +2.1% for 2026 and +2.0% for 2027. The US economy continues to see multi-speed growth, with ICT capex growth expected to peak at around +18% in 2026, while residential investment is going through another recession year (-3.1% expected) and government spending is soft (+0.6%). Household consumption has eased significantly from 2025 (+2% expected after +2.6%) as stretched consumers are moderating their spending. For 2027, although we expect a similar pace of GDP growth, the drivers will likely change. While inflation is set to cool off, we expect consumer spending to remain soft (+1.8%) as households strive to rebuild their savings. We expect ICT capex growth to moderate, but to keep increasing at a strong clip (+10%). Meanwhile, elevated input costs and tighter monetary policy should constrain overall investment growth. However, residential investment should stabilize at low levels (+0.8%) as housing affordability improves at the margin. Exports growth should moderate (from +4.1% to +2.0%) in line with the cooling down of ICT investment worldwide. Meanwhile, the supply-side of the US economy should continue to remain constrained by weakening demographics offsetting a gradual, AI-related pick-up in productivity growth. We expect GDP growth to be soft in 2028 at +1.8%.

The Eurozone growth outlook remains heavily distorted by Ireland's outsized GDP swings but underlying growth of the region remains solid. Despite accounting for only ~4% of Eurozone GDP, Ireland's volatility skews the aggregate picture. Excluding Ireland, we expect the Eurozone to post stable, decent growth of around +1.3% over 2026–2028. Renewed geopolitical tensions have driven a surge in energy prices, making inflationary pressures more persistent; we have revised our inflation forecast up to +2.9% this year and +2.5% y/y in 2027 (from +2.7% and +2.0% in our July outlook), before converging towards the +2% target in 2028. European gas prices are climbing as the region races to refill storage; the resulting macro risk looks contained for now, but poses a threat to the activity outlook in coming quarters, which has otherwise proved resilient in recent months. As prices climb, European firms plan to pass higher input costs on to consumers. Providing some offset, Germany's updated outlook lends support – defense and infrastructure stimulus is delivering near-term tailwinds – while Southern Europe continues to benefit from a stronger H1 and final NGEU inflows.

Germany: External headwinds persist but the fiscal boost creates resilience. Elevated energy prices remain a headwind for real disposable income and consumer sentiment. The government's fuel rebate will provide only partial relief, meaning household consumption should remain lackluster. However, business surveys and trends in high-frequency industrial data suggest that after some temporary weakness in Q3, a recovery in capex is underway. Overall, fiscal stimulus will continue to boost growth, offsetting structural headwinds from the second China shock – exports may even begin to recover cyclically. We expect GDP to grow by +1% this year and +1.2% and +1.1%, respectively, in 2027 and 2028. Improved growth should allow for a gradual firming up of the labor market over the next two years.

France's GDP growth is expected to remain weak amid external headwinds, tight macro policies and policy uncertainty. We have maintained our GDP growth forecast of +0.5% for 2026. Domestic demand has taken a hit from elevated input costs and rising interest rates, with both business and residential investment both set to contract. The industrial sector has fared better, thanks to strong demand in some sectors (transportation, electronics, machinery) but high energy costs are a growing headwind. Heading into the 2027 elections, policy uncertainty could rise, keeping investment subdued. Interest rates should remain elevated and fiscal policy tight. On the positive side, consumer spending has shown signs of improving despite higher inflation as households seem more eager to reduce their high savings. We expect GDP growth to accelerate only modestly to +0.9% in 2027 and +1.1% in 2028.

Italy's activity resilience has surprised on the upside in recent quarters, posting modest but steady growth (+0.2–0.3% q/q over the last year). Private consumption continued to support growth despite surging inflation (which reached +3.3% y/y in August). Buoyant investment has also been supported by the large inflow of NGEU funds – Italy has now received 85% of the funds (out of the EUR194bn allocated), easing earlier concerns about administrative capacity to absorb such a large volume of resources. On the back of a stronger H1, but cautious of rising headwinds and the end of NGEU disbursements in December, we have upgraded our forecast to +0.9% this year (up from +0.7% in 2025) and expect growth to settle around +0.8% in 2027–2028. With the fiscal deficit confirmed at -3.1% of GDP in 2025 (primary balance at +0.8% of GDP), the country remains under the Excessive Deficit Procedure. Bringing the deficit below 3% could have allowed for bigger spending in the 2027 budget, providing a boost to the current government's pre-electoral campaign.

Spain's growth does not seem to be slowing. We expect GDP to grow by +2.5% in 2026, before stabilizing below +2% in 2027–2028. Spain's outperformance remains a defining story within the Eurozone; average quarterly growth over the last six quarters has been +0.7%, versus a Eurozone average of +0.3%, with private consumption and services exports as the main drivers. Inflationary pressures have reignited strongly, with price growth set to average well above +3% this year. The labor market has been a bright spot, although immigration-driven regularization muddies the true picture behind the headline job growth. On the political front, Prime Minister Pedro Sánchez intends to run for re-election in 2027, but continued scandal and turmoil have left the opposition PP leading the polls, raising the risk of a snap election and a conservative government before then.

The UK has held up well against external headwinds but tighter financial conditions and higher inflation should keep growth capped. We have revised up our 2026 GDP growth forecast significantly to +1.3% (+0.3pp). Households have kept spending at a decent pace by reducing their savings rate, while business investment has maintained a healthy pace. The manufacturing sector has rebounded from 2025 with noticeable improvements in machinery and electrical equipment, while aerospace continues to power ahead. In 2027 we expect slightly lower GDP growth (+1.2%). Tighter financial conditions induced by higher market interest rates and (expected) policy rates should soften investment growth and keep residential investment weak. We also forecast GDP growth at +1.2% in 2028 as the UK economy remains constrained by weak supply side (including softening demographics).

Japan delivered strong Q2 growth at +1.4% y/y despite geopolitical headwinds and elevated energy costs. We forecast +0.9% GDP growth in 2026, supported by AI-linked exports and investments, and relatively resilient domestic demand. Fiscal policy remains expansionary under the Takaichi administration, with multi-year budgeting aimed at balancing stimulus with longer-term sustainability. We expect growth to edge to +1.1% in 2027 supported by the continuation of the global AI cycle, before moderating to +1.0% in 2028 as tighter monetary policy and a fading fiscal impulse weigh on activity. We expect inflation to average +2.1% in 2026, breaching the BoJ's target in Q4 on Hormuz pass-through and food inflation, before reaching +2.0% in 2027 and 1.7% 2028.



Emerging markets:
Tailwind from exports, mainly thanks to AI and rerouting

China's economy lost momentum in Q2, with GDP growth decelerating to +4.3% y/y as the oil shock from the Middle East conflict and persistently soft household spending weighed on activity. Nonetheless, we maintain our 2026 forecast at +4.7%, anchored by robust export performance, while structurally elevated savings rates and depressed consumer confidence remain the primary drag on the domestic economy. We forecast GDP growth at +4.5% (+0.1pp) in 2027 as the global AI cycle continues to support the external sector. In 2028, while the export contribution should fade as the AI cycle matures, we expect the real estate downturn to come to an end, gradually restoring household confidence and marking a pivot in domestic consumption, bringing growth to +4.3%. We forecast inflation at +0.9% this year as inflationary pressure should moderate into year-end. We expect a gradual normalization thereafter, supported by two cuts from the People's Bank of China (PBoC) in 2027, with inflation rising to +1.1% in 2027 and +1.3% in 2028 as the recovery in domestic demand progressively ends China's deflationary episode.

In the Middle East, divergence continues, with Qatar, Kuwait and Bahrain most exposed to conflict volatility, keeping their real economies mostly at a standstill. GDP contraction figures are high: -14% y/y for Qatar, -10% for Kuwait and -8% for Bahrain. The latest attack on Saudi Arabia's pipeline brings the war back to Riyadh, with a GDP contraction estimated at -2% y/y. Meanwhile, the UAE and Oman remain more resilient as their Strait of Hormuz bypasses allow for exports to continue, even if at reduced speed. In 2027, a substantial rebound is expected, especially for the Hormuz-exposed economies. The renewed tightening cycle, on top of the ongoing energy shock, is exposing fault lines across the EM space depending on the intensity of energy imports and exposure to the USD, causing several countries to increase rates. Most exposed are a group of Sub-Saharan Africa and South-Asian countries, but EMs across the globe are exposed to the ongoing risks.

We forecast growth in APAC at +4.4% y/y (+0.1pp), with 25% of it attributable to the AI investment cycle. However, this masks significant divergence across countries. While Taiwan, South Korea, Malaysia, Thailand and Singapore are the primary beneficiaries, with roughly 60% of their growth tied to AI-related activity – largely channeled through exports – Indonesia and the Philippines remain the region's laggards, having undergone the most aggressive tightening cycles, given their exposure to the Hormuz aftermath and domestic political difficulties, headwinds now compounded by El Niño effects on food supply and prices. On the central bank front, we see India joining South Korea in a tightening cycle in Q4, while we expect Indonesia and the Philippines to remain on hold, though both central banks will remain highly reactive to Middle East developments, energy and food inflation and FX depreciation. Looking ahead, we expect rates in the region to remain unchanged until Q4 2027, when we forecast Indonesia and the Philippines to enter an easing cycle.

In Africa, a deceleration is taking place from +4.5% y/y in 2025 to +4% y/y in 2026, and then a slight further deterioration to +3.9% in 2027. The major risks include inflation pressures from food and hydrocarbons and global liquidity tightening. Senegal remains one of the most exposed due to its high levels of debt that were misreported by the former administration. It is the latest nation to reach a deal with the IMF and is set to begin a restructuring process with international bond holders. Ghana, which already went through a restructuring process in 2023-2024 following the Ukraine crisis, also remains highly exposed to the current crisis as inflation levels have remained elevated for several years. A second layer of exposure linked to energy imports and USD-exposure is identified in Kenya, and three northern Africa nations: Egypt, Morocco and Tunisia. The largest African economies, Nigeria and South Africa, remain exposed to the current shocks but are relatively shielded. Nigeria, historically a crude exporter, has benefited from reforms that allowed for the free-float of the Naira and is now benefiting from new oil refined exports. South Africa is the only major African economy to have raised rates (+25bps) and is expected to raise again during Q4 2026 due to its exposure to energy imports, as well as its orthodox central bank aiming to reduce structural inflation. However, recent structural reforms have also supported resilience.

CEE growth proved resilient in the first half of the year despite weak external demand, geopolitical tensions and the renewed energy shock, with domestic demand remaining the main engine of activity. Resilient labor markets, positive real wage growth and still-solid consumption supported activity across most economies, while investment increasingly contributed in Poland, Czechia and Slovenia. We forecast regional GDP growth at +2.1% in 2026, accelerating to +2.4% in 2027 and +2.7% in 2028 as external demand gradually improves. Romania remains the clear outlier, with fiscal consolidation, falling real wages and weak consumption pushing the economy into recession in the first half of the year, while large fiscal and current account deficits add to its vulnerability. Inflation has remained relatively contained across most of CEE, but the balance of risks is increasingly tilted to the upside. We forecast regional inflation at +4.3% in 2026, easing to +3.3% in 2027 and +2.9% in 2028. Food prices have provided important relief, declining recently across Czechia, Poland, Slovakia and Hungary, but drought, extreme weather and higher global food prices could reverse this trend in the second half of the year and into 2027. Energy prices, persistent services inflation and wage pressures remain additional risks. Against this backdrop, we expect most central banks to remain on hold for longer, with the risk increasingly skewed toward renewed tightening rather than further near term easing. In Türkiye, growth has decelerated markedly, with GDP expanding just +2.3% y/y in Q2 2026, as persistently high inflation, running at +32% through Q3 and projected toward +30% by year-end, continues to compress consumer demand, erode trade competitiveness and squeeze corporate margins. We forecast growth at +2.7% for 2026, with a rebound toward +3.6% in 2027 conditional on inflation following a convincing downward trajectory, which would allow the Central Bank of the Republic of Türkiye (CBRT) to embark on a more meaningful easing cycle from the current 37% policy rate.

Across Latin America, fiscal consolidation remains a binding constraint, limiting the scope for countercyclical stimulus and requiring central banks to proceed cautiously with monetary easing, balancing the need to support activity against the risk of reigniting inflationary expectations. We forecast moderate GDP growth of +2.3% in 2026, accelerating to +2.7% in 2027, in both years trailing the global average by -0.3pp and -0.1pp respectively, as the region continues to face structural constraints on potential output. Brazil's economy has been losing momentum through the first half of the year, with the government recently downgrading its 2026 growth forecast, weighed down by weaker services and industrial output even as the agricultural sector provides partial offset. The BCB has delivered five consecutive rate cuts, bringing the Selic to 13.75%, but above-target inflation and persistent global price pressures are likely to cap the pace of further easing. Mexico has effectively concluded its easing cycle after Banxico cut to 6.5% in May as low growth (+1.3% y/y forecast for 2026, accelerating to 1.8% in 2027) coexists with still-elevated external risks, particularly from trade policy uncertainty and USMCA negotiations, which are leading to prolonged front-loading dynamics across sectors and is bringing about a structural shift in the goods exported to the North – from the automotive sector to those related to the AI transition. Central American countries, such as Costa Rica, Dominican Republic, Guatemala and Panama remain relative outperformers, supported by financial flows, tourism and commodity prices, but El Niño risks could affect 2027-2028 prospects in the area as well as in Andean countries. Chile, Ecuador and Peru have already seen flooding and logistics interruption. Colombia faces a more challenging adjustment path amid tighter financial conditions and spending-fueled GDP growth.



Corporates:

From energy shock to rate shock

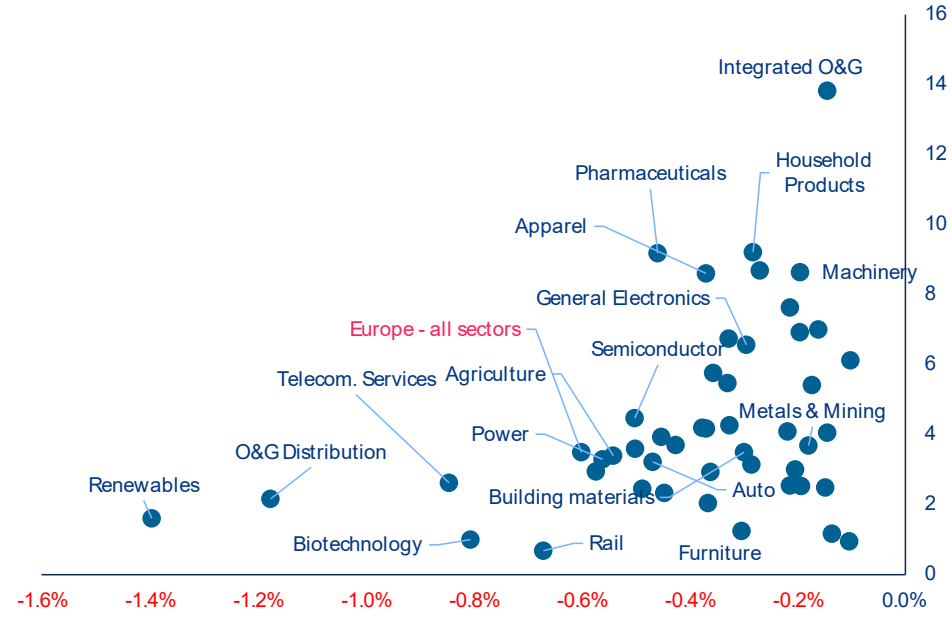
Corporate earnings remain resilient, but the breadth of growth is narrowing sharply and sectors divide into three very different clusters. Momentum is increasingly concentrated in AI, defense and energy, while most of the cyclical sectors remain under pressure. In the US, revenue growth reached +15.2% y/y, the strongest pace since Q2 2022. Semiconductors have been the principal engine, supported by the AI investment super cycle, while energy companies have benefited from higher oil prices. Europe has posted similarly robust headline growth at +11.2%, but the underlying picture is even more concentrated: energy, defense and semiconductors account for most of the increase. Corporate performance is therefore no longer moving broadly in sync. Instead, earnings are increasingly bifurcating around three distinct sets of exposures. The first is an AI-linked cluster spanning semiconductors, software and IT services, and telecom infrastructure. These sectors are capturing a disproportionate share of current earnings momentum as capital expenditure continues to flow into computing capacity, data infrastructure and digitalization. The second is a group of traditionally defensive sectors whose resilience increasingly depends on the nature of their underlying risks. Pharmaceuticals continue to benefit from patent protection, relatively strong pricing power and less cyclical demand. Agrifood enjoys similarly structural demand but is more exposed to climate volatility and trade disruption. Energy, meanwhile, is benefiting directly from elevated oil prices, providing a near-term earnings tailwind even as geopolitical risks increase uncertainty elsewhere in the economy. The third cluster comprises the more traditional cyclical sectors – autos, construction, machinery, textiles and transport equipment. Here, pricing power is thinner, tariff exposure is more direct and financing costs remain restrictive. These companies are therefore absorbing more of the downside from both weaker demand and a structurally higher cost of capital.

The Iran conflict has moved from an energy shock to a rate shock. The disruption around the Strait of Hormuz has sharpened the divergence in industrial cost structures, nowhere more visibly than in European chemicals and other energy-intensive industries. European producers were already operating at a structural disadvantage, paying a premium for feedstock and power relative to competitors in the US and Middle East. The result is an accelerating reallocation of production towards cost-advantaged capacity. Higher-cost European plants that are idled today are increasingly unlikely to return once conditions improve. This points to a continuation of the regional reshuffling of industrial production that began with the 2022 energy shock, rather than a conventional cyclical downturn that will simply reverse as demand recovers. In other words, part of the adjustment is becoming structural. The second transmission channel runs through interest rates. Persistent geopolitical tensions, higher energy prices and greater fiscal demands are reinforcing

pressure on borrowing costs just as many companies face refinancing needs. The impact on profitability is material. We estimate that a 50bps increase in the average interest rate on corporate debt would reduce the net margin of non-financial corporations from 9.0% to 8.6% in the US and from 6.6% to 6.2% in Europe, ceteris paribus. With a 100bps increase, margins fall further to 8.4% and 6.0%, respectively – a compression of roughly 0.6pp or 60bps in both regions. The burden is not evenly distributed. Exposure to higher rates is concentrated in capital-intensive, real-asset sectors with large debt stocks and persistent refinancing requirements. Under a 100bps shock, the net margin of US utilities falls from 19% to about 17%, while interest coverage declines from 3.1x to 2.4x. For European utilities, margins fall more sharply, from 10% to 7%, and coverage drops from 2.0x to 1.5x. US telecoms also see interest coverage fall substantially, from 4.5x to 2.8x, compared with a decline from 2.0x to 1.7x in Europe (see Figure 4). The implication is that the next phase of pressure on corporate margins may come less from the initial energy shock itself than from its second-round effects on financing conditions. Companies that entered this period with high capital intensity, limited pricing power and large refinancing needs are therefore increasingly exposed to a combination of weaker operating leverage and higher debt-service costs.

The corporate response is increasingly one of balance-sheet and industrial-footprint adjustment rather than conventional cyclical hedging. That is consistent with companies treating both the higher-rate environment and the emerging tariff architecture as durable features of the operating landscape rather than temporary shocks. Automakers are shifting the focus of margin defense away from unit growth and towards cost reductions, platform simplification and lifecycle revenues. Chemicals groups are accelerating capacity rationalization and redirecting investment towards structurally advantaged geographies rather than waiting for the cycle to turn. Metals producers, meanwhile, are maintaining capital discipline even as electrification-related demand increasingly strains available supply. These strategies have a common objective: preserving cash generation and balance-sheet capacity through a period in which neither demand nor financing conditions can be assumed to normalize quickly. The emphasis is therefore moving from maximizing volume growth to protecting returns on capital, liquidity and strategic flexibility. This also exposes a growing asymmetry in how markets are pricing corporate risk. The upside associated with the AI-linked cluster is being capitalized immediately through stronger earnings expectations and investment flows. By contrast, the downside from higher energy costs, tariffs and interest rates is concentrated in the other two clusters – and particularly in Europe, where structural energy disadvantages, weaker pricing power in parts of industry and greater sensitivity to external trade shocks compound the effect. The result is not simply a divergence between sectors, but a widening gap between companies able to fund structural growth and those forced to manage structural adjustment. That distinction is likely to matter increasingly for margins, investment and corporate balance sheets going forward.

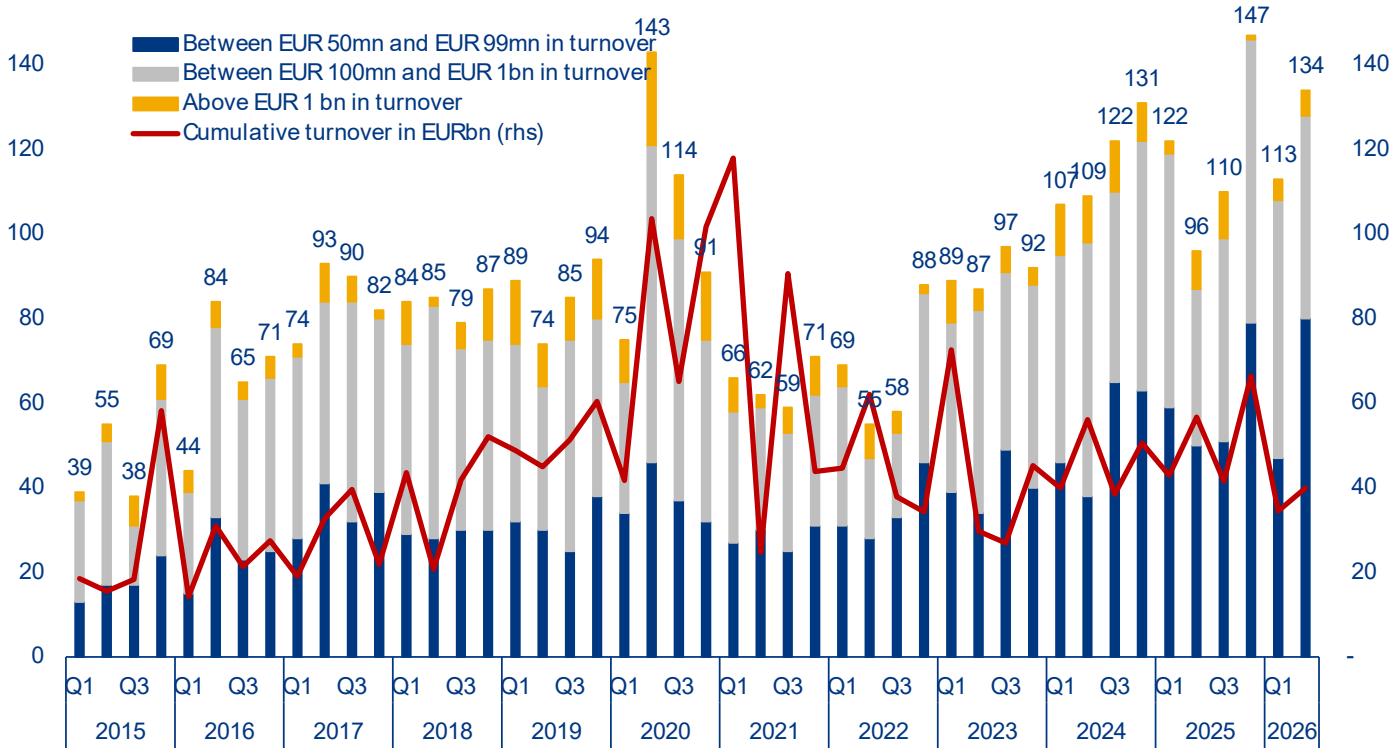
Figure 4: Change in net profitability vs interest coverage ratio after a 100bps shock for European firms



Sources: LSEG Datastream, NYU, Allianz Research

Global business insolvencies are running +6% above year-ago levels year-to-date, extending what is now the sixteenth consecutive quarter of y/y increases and leaving levels across most markets well above pre-pandemic norms. Among the largest economies, the US leads with a +19% surge, followed by Japan (+7%), Germany (+7%) and France (+5%), while the UK (-5%) and China (0%) are the notable exceptions. The strain is especially visible at the top end of the corporate spectrum: Insolvencies among firms with turnover above EUR50mn hit 134 in Q2 2026, the third-highest quarterly tally on record, bringing the count for the first half of the year to 247 cases (+13% y/y), with Western Europe accounting for nearly two-thirds of the total and industrial sectors such as chemicals, automotive and machinery equipment showing the sharpest deterioration. Insolvencies are projected to rise by at least +4% globally for the full year 2026 (the fifth consecutive year of increases) before a tentative stabilization in 2027. North America is set to be the largest regional contributor, with US filings forecast at +7% but a candidate for upside revision given strong first-half momentum; 27 countries are already tracking above our full-year projections. In Western Europe, the expected +2% increase in 2026 would be followed by a modest -3% decline in 2027, but nine out of 17 markets are forecast within the -4%/+4% range, pointing to quasi-stable insolvency levels that remain historically elevated. Asia will see contrasting trends, with most countries prolonging their rise, except Australia, Singapore and Hong Kong. The full impact of the Middle East shock has yet to feed through corporate income statements: higher input and shipping costs, weak(er) consumer sentiment, elevated selling-price expectations and higher-for-longer interest rates all point to persisting margin pressure in the coming quarters, in particular for medium, small and very small firms. Highly leveraged sectors are particularly vulnerable as debt-servicing costs compound the profitability squeeze, suggesting greater differentiation across countries and industries depending on their exposure to war-related spillovers and, conversely, their ability to benefit from global tailwinds such as AI and defense spending.

Figure 5: Major insolvencies, quarterly number, by size of turnover



Source: Allianz Trade



Capital markets outlook:
Cruel (bond) summer coming to an end

Capital markets had a difficult summer as the energy shock and renewed inflation concerns pushed government bond yields sharply upwards to multi-year highs. Equities proved more resilient: Strong earnings and AI-related investment kept returns positive despite rising rates, while credit spreads remained close to historical tights, supported by solid corporate results. In currencies, EURUSD stayed broadly range-bound, while emerging-market assets benefited from improving fundamentals but now offer less spread compensation. Private markets are becoming more selective: Private equity remains constrained by a record exit backlog, private debt continues to deliver attractive income despite pockets of stress, infrastructure is benefiting from the AI buildout and real estate faces renewed refinancing pressure. Looking ahead, we expect the summer repricing to prove orderly rather than the start of a broader market break. As the energy impulse fades in our baseline outlook, we see scope for gradually declining long-term rates, while equity returns should moderate as valuations normalize.

The summer selloff in long-term rates had three synchronized drivers: the feedback loop between energy prices and policy rate expectations, firmer economic activity and a higher term premium. The repricing of the rate path was the strongest driver. The term premium was the swing factor capturing supply-demand imbalances emerging over summer in a government bonds market that is moved at the margin by price-sensitive, leveraged investors that react to tighter funding conditions. Firmer economic activity on either side of the Atlantic acted as underlying upside trend. But we think US late-cycle dynamics will resume in 2027 as the energy impulse fades and growth returns to potential. Markets will price rate cuts. Long-term rates will anticipate lower growth, bringing 10y yields to 4.5% in 2027 and 4.3% in 2028. The US term-premium rebuild looks largely complete and is actively contained by Treasury operations (buybacks and active Treasury issuance). The hawkish Fed turn should itself re-anchor the long end by restoring inflation-fighting credibility.

Table 4: Capital market forecasts

EMU	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
Government Debt								
ECB deposit rate	2.50	%	4.00	3.00	2.00	3.00	3.00	2.25
10y yield (Bunds)	3.61	%	2.03	2.36	2.85	3.30	3.20	3.00
10y EUR swap rate	3.64	%	2.48	2.39	2.93	3.30	3.10	2.90
20y EUR swap rate	3.60	%	2.51	2.39	3.23	3.30	3.10	2.90
Italy 10y sovereign spread	95	bps	168	117	65	80	80	70
France 10y sovereign spread	110	bps	53	83	71	100	70	70
Spain 10y sovereign spread	46	bps	97	70	44	40	40	30
Corporate Debt								
Investment grade credit spreads	84	bps	135	101	78	80	85	85
High-yield credit spreads	277	bps	395	311	270	280	300	295
High-yield credit spreads ex-CCC	229	bps	333	239	219	225	240	240
Equity								
Eurostoxx (total return p.a.)	11 ytd	%	19	10	25	15	9	8

US	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
Government Debt								
Fed Funds rate (high)	4.00	%	5.50	4.50	3.75	4.25	4.00	3.50
10y yield (Treasuries)	5.19	%	3.87	4.57	4.16	4.70	4.50	4.30
Corporate Debt								
Investment grade credit spreads	79	bps	104	82	79	85	90	90
High-yield credit spreads	280	bps	334	292	281	290	315	310
Equity								
S&P 500 (total return p.a.)	14 ytd	%	26	25	18	14	8	8

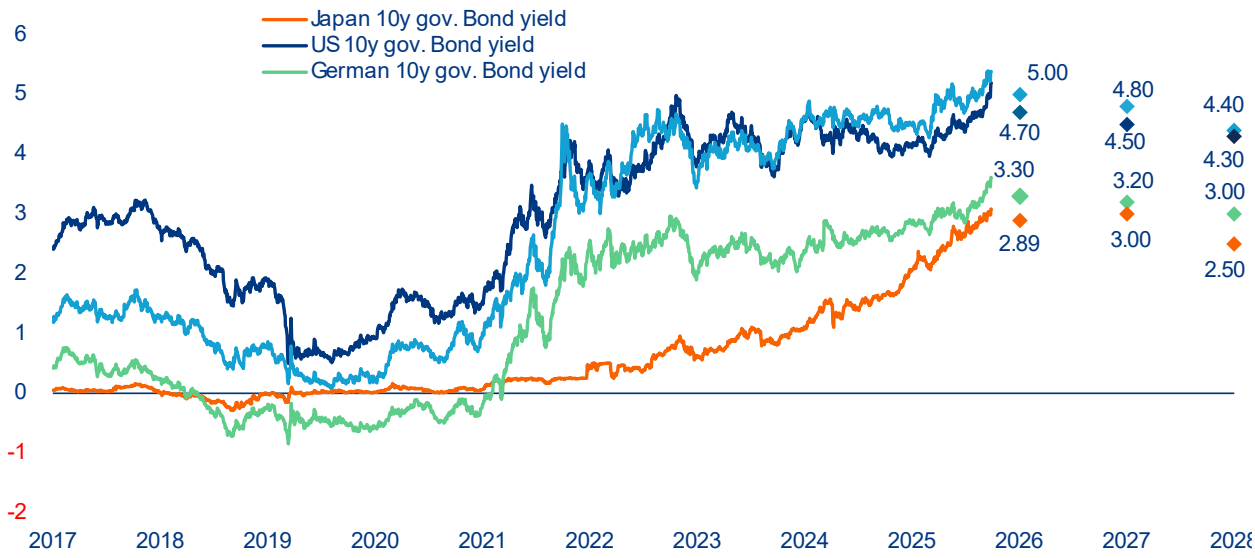
UK	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
Government Debt								
BoE rate	3.75	%	5.25	4.75	3.75	4.25	4.00	3.00
10y yield sovereign (Gilt)	5.39	%	3.54	4.57	4.47	5.00	4.80	4.40
Corporate Debt								
Investment grade credit spreads	84	bps	134	91	80	85	90	90
High-yield credit spreads	424	bps	515	364	420	425	405	380
Equity								
FTSE 100 (total return p.a.)	10 ytd	%	8	10	26	8	8	8

Emerging Markets	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
Government Debt								
Hard currency spread ex-CCC (vs USD)	164	bps	215	202	163	170	175	185
Local currency yield	6.47	%	6.19	6.39	5.87	6.30	6.20	6.20
Equity								
MSCI EM (total return p.a. in USD)	26 ytd	%	10	8	34	31	12	7

FX & Commodities	Last*		2023	2024	2025	2026f	2027f	2028f
EUR USD	1.14	$ per €	1.10	1.04	1.17	1.16	1.17	1.18
Oil (Brent)	107	$ per bl	78	75	61	87	70	71
Natural gas (Dutch TTF)	76	€ per MWh	32	49	28	65	35	30

Sources: LSEG Datastream, Bloomberg, Allianz Investment Management
Notes: Year end figures
* As of 24.Sept 2026
Sources: LSEG Datastream, Allianz Research

Figure 6 : 10y government bond yields including forecasts, %



Sources: LSEG Datastream, Allianz Research

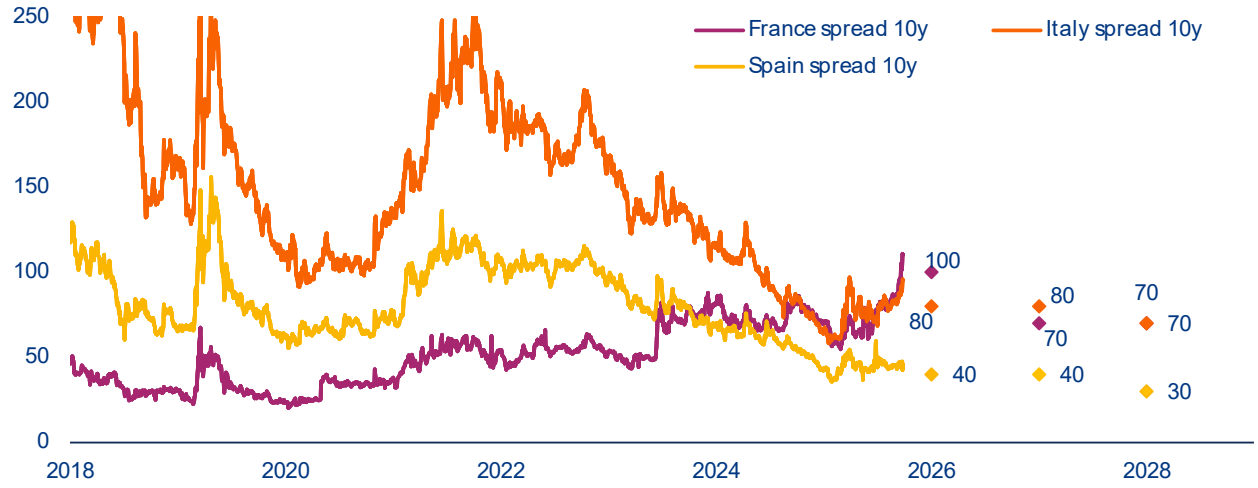
The Eurozone sits earlier in the cycle. But its growth impulse is moderate and there is no overshoot above potential to justify holding policy above neutral for long. We see markets pricing a reversal in mid-2027, easing German 10y yields to 3.2% in 2027 and 3.0% in 2028. Both curves bear-steepened through the summer. We now see potential for further steepening, especially in the Eurozone where the market-priced policy path is most excessively tight. In both markets, the belly is the sweet spot on a six to twelve month horizon. It captures some of the policy-driven decline, stays supported by economic activity and carries less term-premium risk than the long end. At current levels, intermediate maturities show the best combination of positive real returns and convexity.

Within the Eurozone the risk premium now sits in France rather than Italy or Spain. The OAT-Bund spread reached highest value since the Euro crisis (around 100bps) as markets began pricing a scenario in which the new president (election in April/May 2027) will struggle to gain a majority in the parliament, creating further fiscal uncertainty. The near-term risk stays skewed wider, and 130bps is reachable if political fragility deepens to levels not yet seen. BTP spreads stay contained, but the tightening impulse is missing as NGEU support fades, and upcoming elections are an upside risk we would treat as temporary. There is no systemic fragmentation risk within EGBs as yield movement remain synchronized. Political fragility, not market fragmentation, will be the theme of the coming months.

EURUSD traded within a relatively narrow range of 1.14 to 1.18 during the last quarter, largely continuing the pattern observed in previous quarters. Traditional drivers such as the expected interest rate differential and valuation metrics suggest that this range-bound behavior is likely to persist. Within this range, short-term exchange rate movements were primarily driven by developments in the US, whereas events such as the recent German elections had only a limited impact on the currency pair. We expect this pattern to continue. With the US midterm elections likely to increase political uncertainty, we believe EURUSD could move closer to the upper end of its recent trading range by year-end.

Equity markets: the 2026 earnings boost gives way to normalization. Equities have held up through the summer oil shock, leaving year-to-date total returns at +13% in the US and +10% for Europe. Earnings did the work: 12-month forward EPS growth runs near +20% in the US, +16% in the EMU and above +30% in EMs. But valuation dispersion is the widest in a decade: The US trades at 19.4x forward earnings against a 20-year average of 16.6x; the Eurozone at 16.4x and EM at 9.9x. Valuations argue for selectivity rather than retreat: Earnings should keep delivering the equity risk premium,

Figure 7: Yield spreads vs 10y German bund yield including forecasts, %

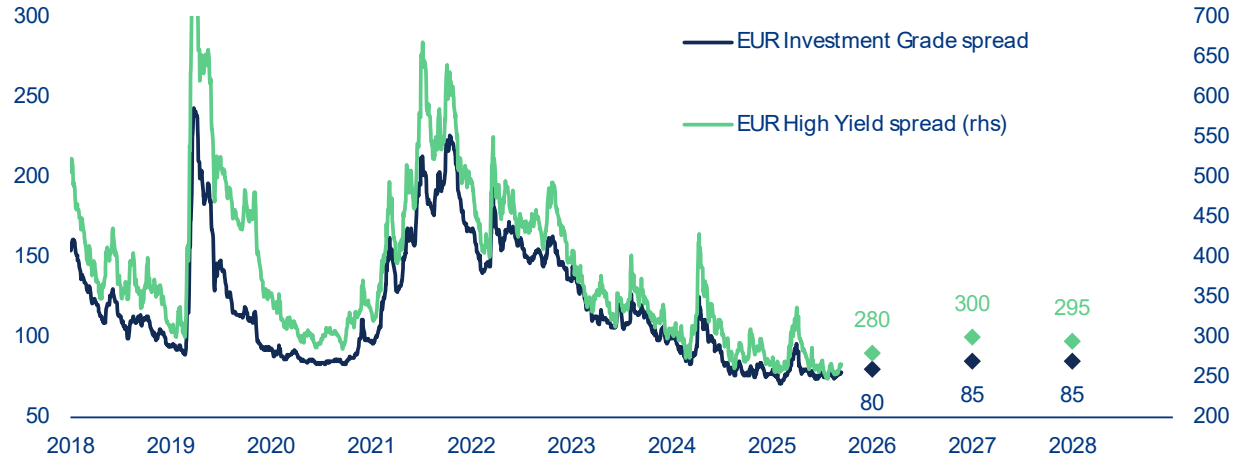


Sources: LSEG Datastream, Allianz Research. Note: For France and Italy we forecast the same spread at 70 for 2028.

but with PEs above average in the US and Japan, we expect the valuation premium to deflate there as growth slows and macro risks rise, while Europe and EMs – where expectations are lowest and the downside most discounted – offer similar earnings sensitivity at a lower price. We stay constructive on equities and expect Q4 to consolidate rather than extend the rally, with returns converging towards the long-term equity risk premium as multiples normalize. At year end, full-year 2026 total returns should reach +14% for the US and +15% for the Europe, before a more normal year in 2027 with +8% and +9%, respectively. Double-digit EPS growth carries the forecast (US: +32%/+16%/+16% over FY1-FY3; Eurozone: +22%/+12%/+12%). US earnings revisions (+7.1% since July) outrun nominal GDP only thanks to technology, ~30% of the index; ex-tech, the S&P 500 tracks the economy, so the market carries the downside if AI capex or monetization disappoints – growth, not inflation, is the risk. Eurozone consensus prices +14.7% EPS growth off +4.6% nominal GDP, but macro upgrades, lower valuations and already negative sentiment support it, while Japan looks hyped after a +20%. With positioning crowded and implied volatility below average, convertibles and hedges are compelling to retain equity and earnings upside while tailoring the downside to tolerance.

Credit markets have remained broadly resilient through 2026, with spreads holding near the tight end of their long-term range. In investment grade (IG), upgrades continue to outnumber downgrades, though the net upgrade trend has slowed from its 2025 peak. Solid growth is offsetting the higher interest burden, holding credit metrics: Interest coverage went below its long-term median but stabilized above 6x in the US and 8x in Europe, while net leverage remains near cycle highs. In high yield (HY), global default rates have stabilized, albeit at a level still above their long-run average. The market has differentiated, reflecting tight spreads yet above-average default rates: BB and B credits have outperformed, supported by high carry and fading recession risk, while CCC spreads remain elevated and are likely to stay so as the weakest issuers face the highest refinancing costs in a higher-for-longer rate environment.

Figure 8: European corporate credit spreads including forecasts, bps



Sources: LSEG Datastream, Allianz Research

In the US, earnings growth and supportive technicals have underpinned the market, though heavy technology issuance is drawing investor attention. IG gross supply reached nearly USD1.5trn year-to-date, up 30% on 2025, while net issuance almost doubled. Demand has moderated from the high of the start of the year, but new issuance book coverage above 3x suggests the market can still absorb a sizeable calendar. With technology set to account for around a quarter of new issuance through 2026, its share of the IG index could rise towards 15% in 2030. Heavier supply against adequate demand argues for drift rather than dislocation: We expect US IG at 85bps by end-2026 and 90bps in 2027–28, with HY at 290bps, 315bps and 310bps. Euro credit is comparatively insulated from this technology concentration and offers a diversification option. Technology represents only 3% of the Euro IG index, which should limit spillovers from tech-specific volatility. Current tight spreads are driven by 'yield' demand, and are likely to continue in a higher-for-longer rates environment. However, increasing rate volatility started to weigh on spreads in the near term. We see EUR IG at around 85bps in 2027–28 and HY at approximately 300bps and 295bps.

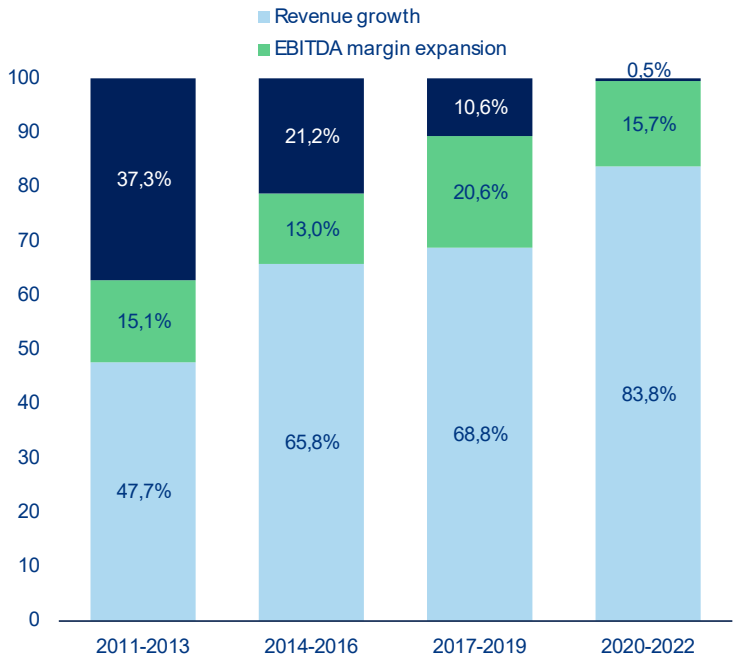
Emerging markets remain resilient to global shocks. However, the path for EM sovereign spreads is asymmetrically skewed towards widening, while energy volatility and Fed hiking remain the drivers for EMs locally. EM fundamentals continue to strengthen, with sovereign rating trends clearly shifting toward upgrades, supported by successful debt restructurings, IMF-backed policy discipline and improving monetary policy credibility across the asset class. The structural growth premium that EMs hold over developed markets remains intact and is expected to widen further, supporting debt sustainability and increasing the resilience to higher energy prices and US rates volatility. Robust fundamentals, combined with sustained investor inflows, have pushed EM sovereign spreads to multi-year tight levels, compressing the rating-adjusted spread premium versus US corporates close to negative territory. From current multi-year tight levels, spreads are expected to widen modestly by year-end. With spreads offering limited additional pick-up, EM local-currency assets appear relatively more attractive at current yield levels. Given their correlation with US Treasury yields and the ongoing EM central bank cycle, yields are expected to move broadly sideways, reaching 630bps by year-end. While valuations look more compelling in local currency markets, the recent environment is less favorable as Fed policy expectations and oil-price volatility remain the key drivers of local currency performance.

EM equities are the cheapest way into the AI value chain. Consensus EPS growth of +72%, +23% and +10% over FY1-FY3 is driven by semiconductors, and AI supports around a quarter of Asian growth. Yet the market still prices EM semis at a discount to US peers: Their combined USD4trn market capitalization is below Nvidia alone, and technology weighs 21% in MSCI ACWI, of which only 3.5% is for EM semis – despite their crucial role and early monetization. SK Hynix and Samsung trade near 4x PE, with new long-term contracts extending the outlook and securing payback, whereas US semis command three times the multiple for twice the growth. The cycle has limits: We estimate AI capex to be roughly halfway through and expect it to peak above USD1trn in 2028, when normalizing returns on equity would imply a 20-45% PE discount that our target already anticipates. We forecast MSCI EM total returns of +31% in 2026, +12% in 2027 and +7% in 2028 – ahead of developed markets next year, fading only as the semiconductor cycle matures.

Across the USD16.7trn private capital industry, two forces are doing most of the sorting. Rates, having risen sharply again on both sides of the Atlantic rather than easing as underwritten, are pushing financing costs back toward levels many portfolios were not built for, and AI is rewriting which businesses deserve a premium and which do not. Each corner of private capital wears this pressure differently. Private equity is stuck at the exit, sitting on a record backlog of unsold companies as chastened investors keep fundraising in a multi-year drought. Private debt still pays its keep, with direct lending returning almost 11% last year, but cracks are showing among smaller funds and the most AI-exposed borrowers, where write-downs are creeping higher. Infrastructure is the outlier success story, its 12-13% annual return leaning on the USD5-7trn the world is expected to spend this decade wiring up data centers for the AI boom. Real estate's fragile recovery is now at risk of stalling as financing costs move higher again instead of easing, and AI's dampening effect on office demand leaves the sector doubly exposed. The thread running through all four is dispersion. Capital is flowing to contracted, well-covered, AI-aligned assets and fleeing everything else, widening the gap between winners and laggards to levels rarely seen.

Private equity's story in 2026 is increasingly one of exits, or the lack of them. US buyout funds are still sitting on some 13,300 unsold companies, most acquired in the frothy days of 2020-21 at prices that assumed multiples would keep rising. Instead, across US buyout deals, multiple expansion contributed 37.3% of value creation in the 2011-13 vintages but just 0.5% in 2020-22, with EBITDA margin expansion and revenue growth now doing almost all the work (Figure 9). That is a much harder way to earn a return, and it shows up directly in the exit numbers. US exits fell -46.3% in the second quarter, kept alive mainly by a handful of large sales rather than a broad clearing of the backlog, while dealmaking itself dropped -37.5% as the Fed reopened the door to rate hikes and software, previously the industry's favored sector, fell -65.7% on AI-driven concerns about its growth outlook. With so little cash flowing back to investors, distributions remain thin and the incentive to hold rather than sell persists. Europe tells a related story, deal value rose +6.9% in the second quarter, but its own deals-to-exit ratio has climbed from 2.4x to 2.9x, an early sign that the same operational reckoning may be coming. The lesson on both sides of the Atlantic is the same: Returns now have to be built company by company rather than bought through re-rating, and only sponsors who can genuinely grow revenue and margins will convert their backlog into distributions. We expect private equity to return 7-9% this year, rising to 11-12% in 2027 and 2028 as the exit market gradually reopens.

Figure 9 : US buyout value creation has shifted decisively from multiple expansion to operational growth

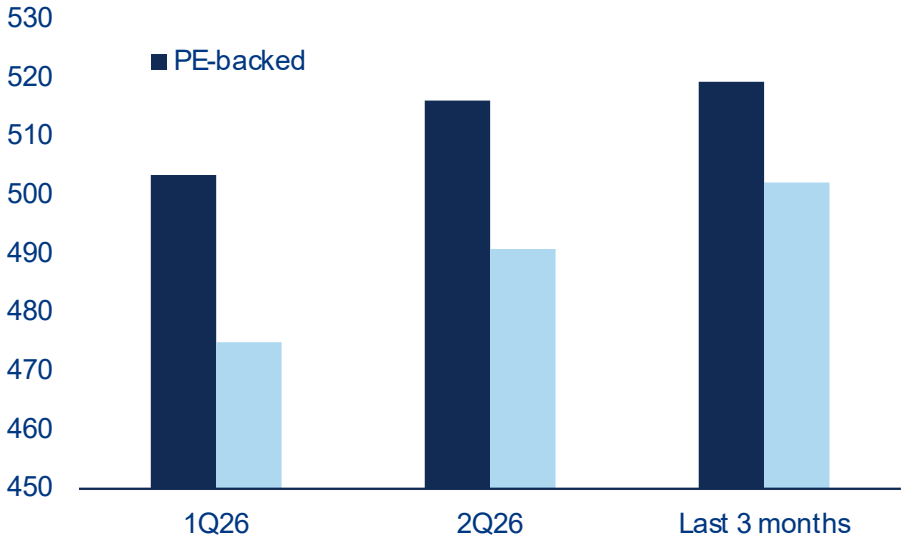


Sources: Pitchbook, StepStone, Allianz Research

Private debt has spent 2026 absorbing shocks it was largely built to withstand. Oil spikes and rate scares are not new for this asset class. The summer's Hormuz-driven energy shock pushed spreads a little wider, but the move has been modest. Spreads remain close to historic lows, and leveraged loan defaults, while ticking up, are still only a small drag on returns. In this environment we expect defaults to normalize gradually as energy prices and rate expectations settle back down. Some of the recent concern bundles together several separate issues – retail-vehicle redemptions, loan quality, software exposure and fund-wrapper design – and treating them as one story overstates the risk. The more interesting divergence is in valuations rather than credit quality. Private NAVs have held steady, while listed vehicles trade near 17% discounts, and payment-in-kind income, now around 8% of BDC investment income, is edging up among the weakest borrowers, whose interest coverage is squeezed by still-high floating coupons. The sensible approach, as in most late-cycle credit markets, is to be selective rather than pull back, favoring seniority, strong collateral coverage and full disclosure over older, more richly priced positions elsewhere in the portfolio. We expect spreads to hold around 550bps through year-end, cruising at similar levels through 2027 and 2028 as the asset class settles into a steadier, income-led phase.

Infrastructure is expected to sustain strong performance, underpinned by AI buildout as a growth lever. Data centers continue to dominate the deal market this year. Despite strong new-build across major regions, demand keeps outstripping supply (Figure 14), holding vacancy at record lows while rents keep growing strongly. With power, permitting, and land constraints sustaining the scarcity, the economics stay attractive for ready-to-use data centers contracted long-term to investment-grade counterparties. Two tailwinds are strengthening the case. First, the token economics are getting more compelling: Usage keeps surging despite significant efficiency gains as workloads shift from chatbots to agentic, reasoning-heavy models and the paradigm grows more compute-intensive. Token prices are stabilizing at the frontier even as serving costs keep falling, supporting provider margins. Hyperscaler AI revenue is now beginning to cover the capex depreciation, pointing to a more sustainable cycle. Second, rising data sovereignty demands across regions add a further durable tailwind. We continue to see infrastructure as a strong play in the AI supercycle – the foundation on which the whole AI stack is built – with tangible, contracted earnings rather than speculative upside.

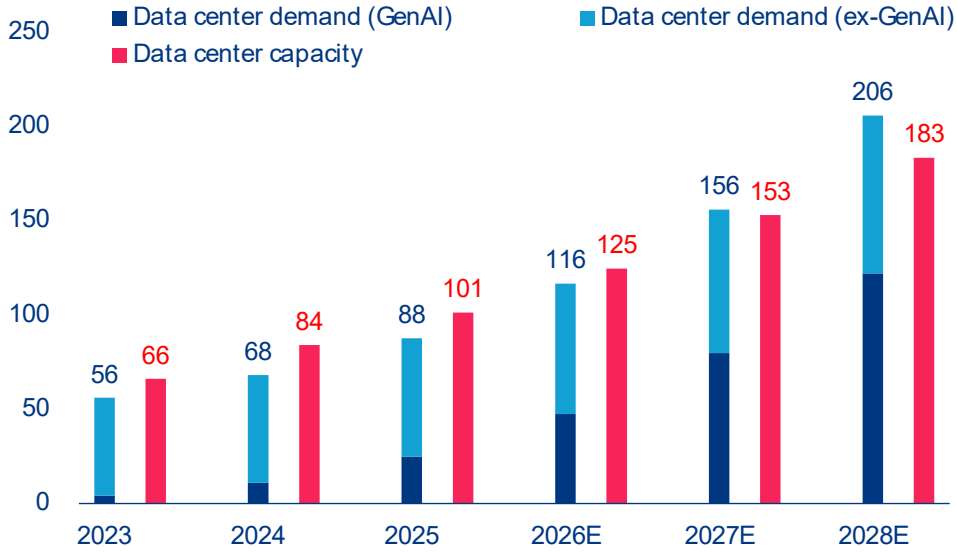
Figure 10: Spread of PE-backed deals & LBOs, direct lending market, bps



Sources: Pitchbook, StepStone, Allianz Research

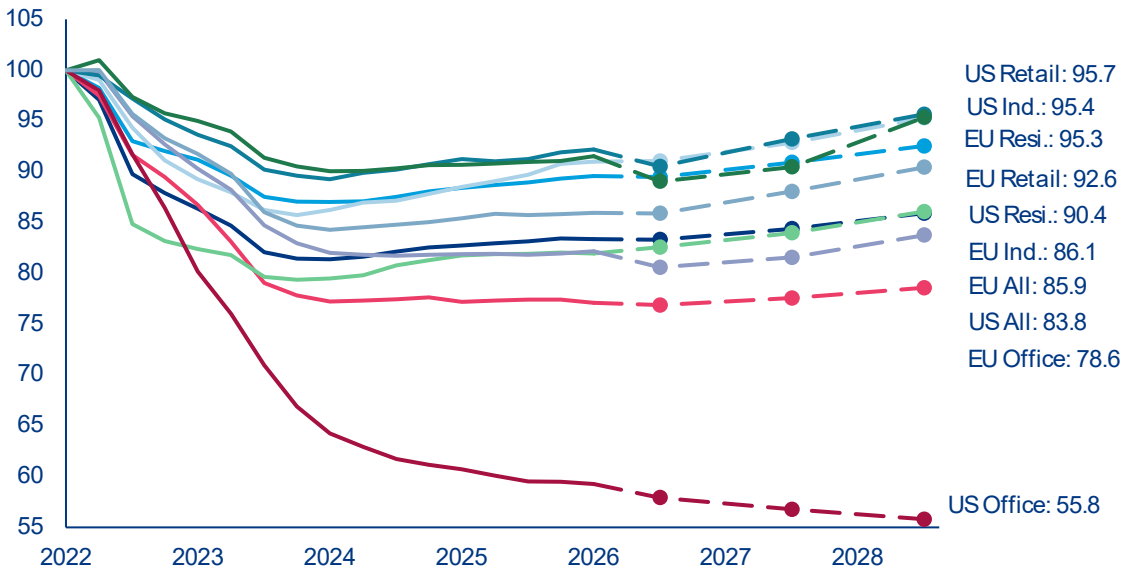
The income-led recovery in real estate continues, but higher long-end yields weigh on pricing and refinancing. Liquidity is returning ahead of pricing: Investment volumes are up 21% y/y in the US and 10% in Europe, drifting back to pre-Covid norms, while prices are stabilizing and cap rates are broadly flat. Values remain 14-16% below the 2022 peak in aggregate on both sides of the Atlantic, with US offices down more than 40% and Europe offices down over 20%, against high-single-digit drawdowns in US retail and industrial and European residential. Fundamentals are supportive: shrinking new supply and resilient occupier demand should underpin a progressive, income-led recovery, but the path is gradual, with no sector expected to regain its peak before 2028 and offices to barely move (Figure 15). Rates are the constraint. With 10y yields at multi-decade highs on renewed inflation pressure and fiscal concerns, private appraisal cap rates still sit near 2021 levels. Marks have yet to absorb the move, so further outward yield shift and headwinds on refinancing and liquidity lie ahead.

Figure 11: Global data center supply is expected to fall short of demand in 2027



Sources: S&P Global 451 Research, Morgan Stanley, Allianz Research

Figure 12: Pricing is recovering but will stay below peak through 2028, with US offices the worst hit



Sources: MSCI, Allianz Research
Note: Index is rebased, Q2'24 = 100


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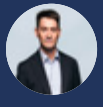
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